



ANNUAL REPORT 2025



His Highness Sheikh
Meshal Al-Ahmad Al-Jaber Al-Sabah
Amir Of The State Of Kuwait



His Highness Sheikh
Sabah Khaled Al-Hamad AL-Sabah
Crown Prince of The State Of Kuwait

WARD PROGRESS WITH PURPOSE

TELCO to TECHCO

Revenue

\$7.44B

+14% YOY

EBITDA

\$2.54B

+11% YOY

EBITDA Margin **34%**

Net Income

\$777M

+103% YOY

Capex

\$1.5B

+39% YOY

20% of REVENUE

S&P Global
Ratings

60 / 100

MSCI

A

Within industry average



FTSE4Good

3.9 / 5

Above industry average

Net Zero Carbon

2050 target

50.9M

Active customers
+4% YoY

\$2.8B

Data revenue 37% of
group's revenue
+13% YOY

55files

EPS

35files

DPS & minimum
cash dividend
policy until 2028

63%

Payout ratio

\$1.1B

Free cash flow

2.2X

Net debt / EBITDA

5G

advanced
Kuwait



* 15.5% ownership in INWI, Morocco
** ZAINTECH, ZOI, TASC Towers based in UAE

zain TECH



zain INFRA



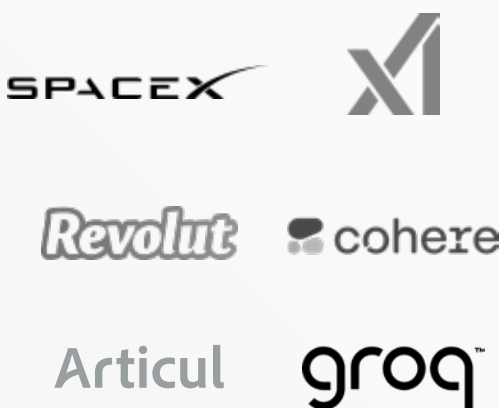
zain FINTECH



zain DIGITAL



zain VENTURES



zain INSURE



zain ESPORTS

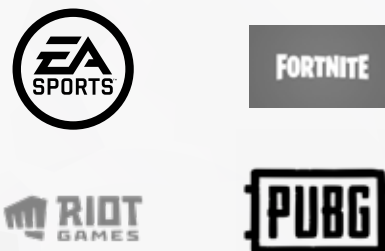


Table of Contents

01

Strategic Review

→

 Board of Directors Statement6

→

 Year in Review8

→

 Key Milestones11

→

 Awards & Recognition12

→

 Statement from the Vice-Chairman and Group CEO13

→

 Our Shareholders19

→

 Strategy20

→

 Zain Infra23

→

 Zain Ventures28

→

 Zain Great Idea29

→

 Fintech30

→

 Zain Operations33

→

 ZainTECH39

→

 Technology41

→

 Regulatory Affairs45

→

 Risk Management56

→

 Branding58

→

 Inclusion, Diversity and Equity61

02

Corporate Sustainability

→

 Corporate Sustainability64

→

 Climate Change66

→

 Operating Responsibly68

→

 Inclusion69

→

 Generation Youth70

03

Corporate Governance

→

 Introduction73

→

 Board of Directors76

→

 Board Committees80

→

 Members of the Board & the Executive Management86

→

 Remuneration Report92

→

 Integrity of Financial Reporting94

→

 Risk Management and Internal Audit95

→

 Code of Conduct & Ethical Standards99

→

 Disclosure and Transparency101

→

 Shareholders' Rights104

→

 Stakeholders' Rights106

→

 Performance Management109

→

 Corporate Sustainability110

04

Financial Statements

→

 Independent Auditor's Report115

→

 Consolidated Statement of Financial position118

→

 Consolidated Statement of Profit or Loss119

→

 Consolidated Statement of Other Comprehensive Income119

→

 Consolidated Statement of Changes in equity120

→

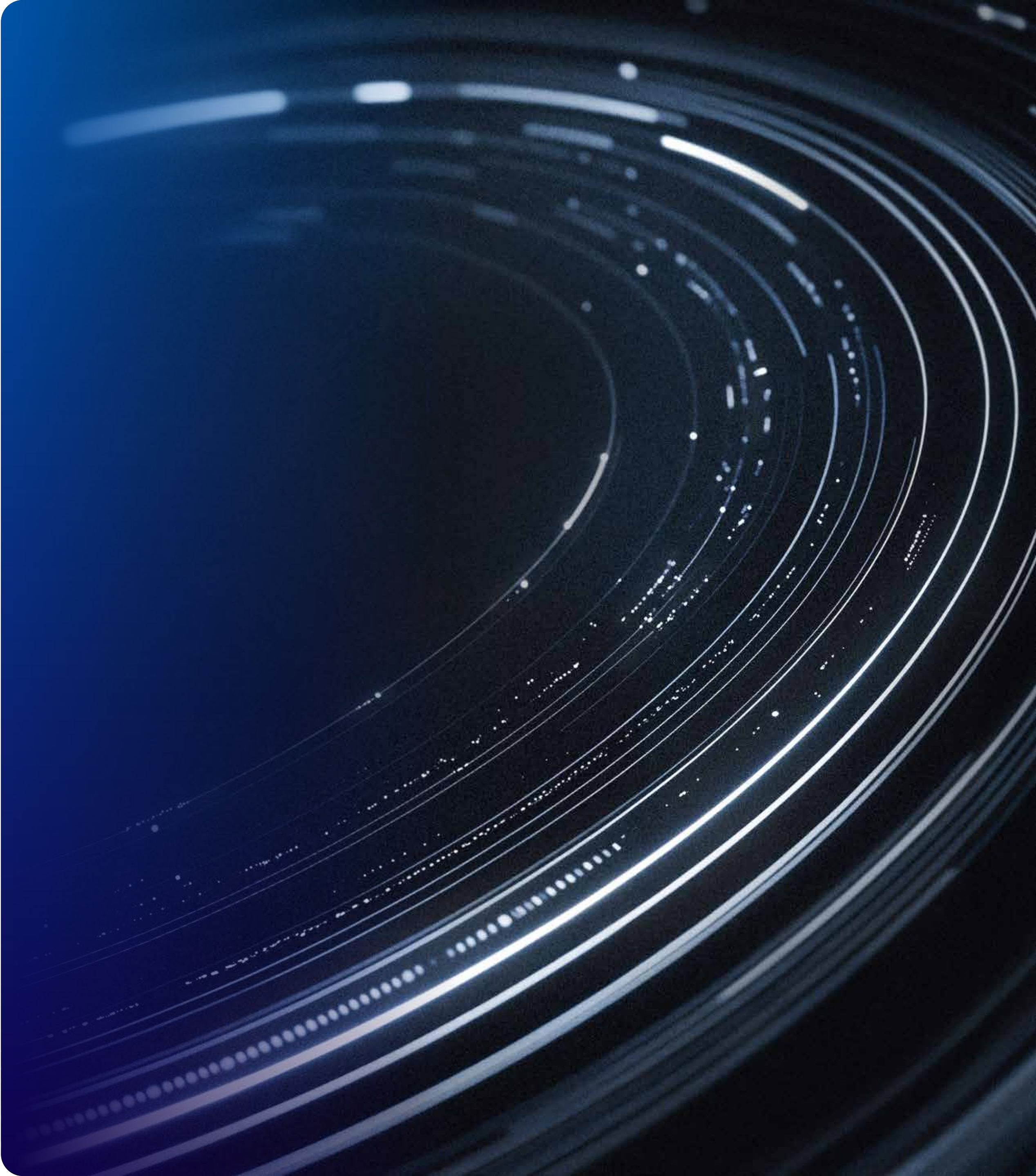
 Consolidated Statement of Cash Flows121

→

 Notes to the Consolidated Financial Statements122

01 Strategic Review

➔ Board of Directors Statement	6
➔ Year in Review	8
➔ Key Milestones	11
➔ Awards & Recognition	12
➔ Statement from the Vice-Chairman and Group CEO	13
➔ Our Shareholders	19
➔ Strategy	20
➔ Zain Infra	23
➔ Zain Ventures	28
➔ Zain Great Idea	29
➔ Fintech	30
➔ Zain Operations	33
➔ ZainTECH	39
➔ Technology	41
➔ Regulatory Affairs	45
➔ Risk Management	56
➔ Branding	58
➔ Inclusion, Diversity and Equity	61



Board of Directors Statement

Dear Shareholders,

The Board of Directors is pleased to present Zain Group’s Annual Report for the financial year ended 31 December 2025, highlighting the Group’s solid financial results and key achievements over the year.

Markets worldwide are witnessing an unprecedented acceleration in technological innovation. Artificial intelligence (AI), cloud computing, advanced networks, the Internet of Things (IoT), and cybersecurity have emerged as essential enablers of economic and social transformation, and as foundational pillars of development.

As the rollout of 5G-Advanced technologies becomes a critical catalyst for innovation, and demand for AI applications surges across industries, telecom operators today are called upon to do far more than provide connectivity. They are expected to design and deliver integrated, value-driven solutions that address the evolving needs of individuals, enterprises, and nations alike.

Amid this rapidly changing environment, Zain Group’s ‘4WARD – Progress with Purpose’ strategy has remained steadfast in its ambition to build one of the region’s largest TechCo conglomerates, ready to power this new digital era. Across our markets, we have continued to align our strategic direction with global and regional trends, investing in advanced digital infrastructure, the latest technologies, and innovative services that support national development visions.

Operational resilience in the face of challenges

Throughout 2025, Zain strengthened its extensive network of partnerships and enhanced its technological capabilities to keep pace with the fast-evolving ICT sector. This approach has enabled the Group to protect its core business while unlocking new growth avenues in high-potential digital domains, ultimately generating sustainable value for shareholders.

Despite global uncertainties, economic disruptions, and the need for resilient supply chains amid rising geopolitical tensions, the Group navigated these headwinds with agility and confidence, continuing to expand profitably across key regional markets.

Exceptional performance

These efforts delivered outstanding financial results. Annual revenues grew by 14% to KWD 2.3 billion (USD 7.44 billion), the Group’s highest level in 16 years. EBITDA increased by 11% to KWD 780 million (USD 2.54 billion), with a healthy margin of 34%, while net income more than doubled, rising 103% to KWD 239 million (USD 777 million).

Data revenues were a key driver of this growth, rising 13% to USD 2.8 billion and contributing 37% of Group revenues, underscoring the accelerating momentum of digital transformation and customer appetite for higher-value services.

Our disciplined investment approach continued to balance expansion with financial prudence. CAPEX rose 39% to USD 1.5 billion, representing 20% of revenues, focused on strengthening networks, modernizing core systems, and accelerating digital transformation across operations.

The Group’s customer base grew by 4% to 50.9 million, propped up by the restoration of Zain’s network in Sudan, expansion in Iraq, and the growing appeal of 5G services in Kuwait, Saudi Arabia, Jordan and Bahrain.

These achievements were underpinned by network efficiency initiatives, robust cost management, commercial momentum, deeper customer insights, the successful implementation of Zain Sudan’s recovery plan, and significant progress in new growth verticals such as carrier, wholesale and subsea cable services, enterprise and business solutions, and various fintech services.

Implementation of IAS 29

In 2025, the Group’s Extraordinary General Assembly authorized the Board to utilize reserves and share premium to offset any accumulated losses arising from the adoption of International Accounting Standard IAS 29, Financial Reporting in Hyperinflationary Economies, for Zain Sudan. Consequently, the Board approved the transfer of a portion of the share premium balance to eliminate the retained earnings deficit.

This strategic step addressed the long-standing audit qualification related to the prior non-application of IAS 29 and positively impacted the 2025 financial results, raising revenues by USD 119 million, EBITDA by USD 67 million, and net profit by USD 50 million, while restating 2024 full year results accordingly.

Stable cash dividend policy

Reflecting our commitment to shareholder value, 2025 marked a milestone as Zain distributed cash dividends in two installments all paid out during 2025 for the first time in its history: 10 fils for the first half and 25 fils for the nine-month period, totaling 35 fils for the year. These timely distributions underscore the Group’s confidence in its long-term financial trajectory.

The Board also recommended total remuneration of KWD 652,775 for the fiscal year ending 31 December 2025, subject to approval by the General Assembly and relevant authorities.

Strong rise of new growth engines

Zain’s new growth verticals delivered exceptional progress, generating combined revenues of USD 743 million, an impressive 67% YoY increase and now representing 10% of total Group revenues.

Zain Omantel International (ZOI) led this dynamic growth, with revenues doubling to USD 401 million, while ZainTECH achieved 55% growth, supported by sustained demand for cloud, cybersecurity, and managed services. The fintech business also expanded strongly, with revenues up 28% and transaction volumes reaching USD 11.5 billion, driven by the performance of Tamam in Saudi Arabia, Zain Cash in Jordan, and Bede, Zain’s newly launched fintech brand in Bahrain, Sudan, and Kuwait.

Zain also entered the digital insurance sector through the Zain Insure app, marking a strategic expansion within fintech, with further market rollouts planned.

01	Strategic Review
02	Corporate Sustainability
03	Corporate Governance
04	Financial Statements

Governance and sustainability

Zain achieved major advancements across multiple Environmental, Social, and Governance (ESG) indices during 2025. The Group’s MSCI ESG rating was upgraded from ‘BBB’ to ‘A’, while scores in the S&P Global and FTSE4 Good indices surpassed global telecom averages. Additionally, Zain’s Carbon Disclosure Project (CDP) rating advanced to ‘A’, making it the only regional telecom operator at this leadership level. The Science Based Targets initiative (SBTi) also validated the Group’s climate action roadmap and emissions-reduction targets.

In Inclusion, Diversity, and Equity (IDE), Zain continued to lead through initiatives that empower women, youth, and people with disabilities, while promoting mental well-being in the workplace. These efforts further affirm Zain’s proactive, responsible approach to navigating complex social and environmental challenges across the Middle East and Africa.

Best Employer

Zain was recognized as the number-one telecommunications company in the MENA region on Forbes’ World’s Best Employers 2025 list, also ranking first in Kuwait and among the region’s top three overall. This recognition reflects our continuous investment in talent attraction, professional development, and an inclusive corporate culture.

A digital force

The year 2025 reaffirmed Zain’s position as a regional digital powerhouse, diversified, resilient, and purpose-driven. By leading innovation and enabling communities across our markets to embrace digital transformation, Zain continues to play a pivotal role in shaping the region’s digital future.

We sincerely value the continued trust of our shareholders, which remains a cornerstone of our success. We are also very grateful to government bodies in Kuwait and across our markets for supporting the ICT sector and empowering Zain to provide meaningful connectivity to the communities, businesses, and governments we proudly serve.

As we move forward, we extend our deep gratitude and prayers for continued prosperity for the State of Kuwait and its people under the wise leadership of His Highness the Amir, Sheikh Mishal Al-Ahmad Al-Jaber Al-Sabah.

Board of Directors



Year in Review

January



Khaleeji Zain 26 held in Kuwait concludes, a remarkable edition of the region's premier sporting event



ZainTECH Joins NVIDIA Partner Network as a Reseller to Pioneer AI & GPU Excellence Across the Region



Over 12 million views of Its Tournaments and Events. Zain Jordan reinforces role as a key driver of esports growth in the Kingdom partnering the Jordan Esports Federation, Ministry of Digital Economy and Entrepreneurship and the University of Jordan

February



Zain Kuwait partners with Huawei to enrich customer experiences through digital Business Support System (BSS) transformation project



ZainTECH and King Khalid University forge landmark partnership to revolutionize Digital Education in KSA



ZainTECH earns CREST accreditation for SOC excellence in Jordan and KSA



ZainTECH and Hyperfusion forge strategic partnership to revolutionize AI and high-performance computing across the GCC

March



Zain's 2025 Ramadan video focuses on people "belonging, resisting, and rebuilding the land" they own and love, attains over 6 million views within a few days after release



Revolutionizing the M2M connectivity landscape in the Middle East - Zain Group introduces Global M2M offering to accelerate the proliferation of connected devices across the region



ZainTECH launches Cybersecurity GRC Service Portfolio to enhance Compliance and Resilience

Zain Bahrain expands its portfolio and offer new insurance solutions to its customers including motor and travel insurance with plans to include home, cyber, and health coverage

April



Zain Kuwait: One of the first Mobile Network Operators in region to achieve ISO 37301 certification Compliance Management Scope



ZainTECH secures commercial license in Saudi Arabia, paving the way to set up regional head offices in the Kingdom



Zain publishes 14th annual Sustainability Report, titled 'The New Paradigm Shift'



Zain launches 'Bede' Fintech Platform in Sudan driving financial inclusion

May



Zain and IE University's 'IDEU Master Program in Digital Transformation' recognized with the EFMD Excellence Award 2025



Zain's internal innovation program 'ZAINIAC' invests in Actly, an AI startup delivering personalized customer experiences through AI Agents



Zain Group's Data Office holds workshop on the enormous potential and deployment of AI strategies across the mobile and ICT industry



Zain Jordan attains EDGE Green Building Certification awarded by the International Finance Corporation (IFC), making it the first telco in the Kingdom to receive this international certification

June



Zain Kuwait launches 5G Advanced, unlocking new horizons for the country's digital economy and technological innovation



A new era of Disability Inclusion begins: Zain launches "WE ABLE 2030" Vision



ZOI, PCCW Global, Sparkle, and Telecom Egypt to construct AAE-2 subsea cable linking Asia, Africa and Europe

July



Zain Iraq modernizes its solar energy, AI-driven and 5G-ready network; doubling its data capacity with new spectrum bands while reducing CO₂ emissions



ZainTECH attained significant certification and compliance milestones for IT services, cybersecurity, and data protection, reinforcing its commitment to international standards and delivering high-quality digital solutions

August



Enhancing the purpose of innovation: Zain Great Idea (ZGI 2025) Accelerator program expands across the region



ZainTECH launches AI-powered managed SecOps elevating regional cybersecurity



Zain Jordan recognized with the Best Digital Transformation Initiative for its innovative (Agentic AI) initiative that reduced internal request processing time by 80%, increased internal user satisfaction to 95%, and saved more than 1,000 working hours annually



ZainTECH achieves CSA STAR Certification, advancing Regional Cloud Security Compliance

September



Zain KSA Taps into Insurtech through Strategic JV with PREVENSURE acquires majority stake in Green Shield Insurance Brokers Ltd (GSIB) through its financial investment arm



Zain Iraq launches “Mamnoon” Program, a cutting-edge omnichannel loyalty program for Zain’s entire customer base



Zain Iraq pioneering eSports in Iraq through a fully integrated platform, moving to a structured, publisher-recognized national model and organizing over 25 tournaments that engaged 30,000 gamers

October



Zain Jordan launches free Maintenance Training Courses on Mobile Phones and Gaming Consoles across six governorates

Zain KSA secures SAR 5.5 billion strategic refinancing agreement on more favorable commercial terms than previous arrangements



Zain Bahrain expands partnership with Ericsson, commits to USD 100 million investment over next three years introducing cloud-native core network functions for scalable, energy-efficient, and 5G-Advanced ready connectivity



ZainTECH concludes GITEX GLOBAL 2025 with strategic partnerships and innovative technology showcases



Zain Jordan expansion of its 5G network coverage across the northern governorates to reach 60% coverage of the Irbid Governorate

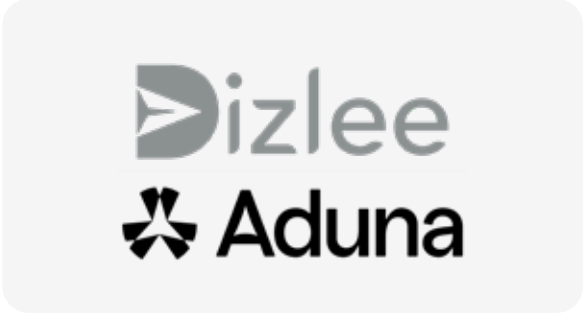


ZainTECH in collaboration with Zain Kuwait and ZOI, partner with Microsoft to accelerate government digital transformation in Kuwait

November



World Children's Day: Zain ranked top company in region across all sectors in Global Child Forum’s Benchmark



Zain’s API monetization arm, Dizlee, partners with Aduna for faster deployment of digital services

Zain KSA enters strategic partnership with MDLBEAST to advance future of entertainment and music in the Kingdom



ZainTECH partners with Vortex to advance video compression and AI-powered visual intelligence across the region

December



Zain Kuwait’s ‘Women in Tech’ opens new pathways for women into digital roles



BEDE Kuwait showcases next-generation payment solutions for businesses at NEXUS 2025



Zain launches its fully Digital Motor Insurance App in Kuwait



Zain KSA and Groq Partner to Expand AI Cloud Capabilities for Enterprises



International Day of Persons with Disabilities: Zain launches three inclusion initiatives to accelerate WE ABLE 2030 vision



Zain Jordan’s Innovation Campus (ZINC) concludes 2025 with strong momentum of achievements, partnerships, and entrepreneurial programs incubating 253 startups, 6,000 activities and over 400,000 beneficiaries

Key Milestones

01
Strategic Review

02
Corporate Sustainability

03
Corporate Governance

04
Financial Statements

2025

- › Launch of 5G Advanced in Kuwait
- › Launch of Bede - Fintech services in Kuwait, Sudan and Bahrain
- › Launch of Zain Insure, first fully start-to-end digital motor insurance application
- › Launch of Global M2M services across the region

2024

- › Unveiled '4WARD-Progress with Purpose' strategy to accelerate company's evolution into a TechCo
- › Acquired the remaining 70% stake of IHS (Kuwait TowerCo) in Kuwait

2023

- › Zain celebrates its 40th Anniversary
- › Landmark deal with Ooredoo and TASC to create the largest Tower Company in the region with 30,000 towers
- › Zain Iraq finalizes the sale and leaseback of 4,968 towers to TASC Towers Iraq for \$180 million
- › Establishment of Zain Omantel International (ZOI) revolutionizing the international wholesale carrier sector
- › Launch of commercial 5G services in Jordan
- › Zain maintained its A- score in 'CDP Score Report - Climate Change 2023'

2020

- › Launch of commercial 5G services in Bahrain
- › Regional first, Zain Kuwait successfully completes the sale and leaseback of its 1,620 towers for \$130 million
- › Zain Iraq 2G+3G license extension and grant of technology-neutral 4G license for 8 years
- › Zain KSA successfully completes SAR 4.5 billion capital restructuring and right issue
- › Zain handed back the management of Touch Lebanon to Lebanon's telecom ministry

2021

- › Zain Jordan completes the sale and leaseback of its towers for \$88 million
- › Launch of 4G services in Zain Iraq & Zain South Sudan
- › Establishment of ZainTECH, the Group's integrated digital solutions ICT provider
- › Zain KSA's "Tamam" receives first consumer microfinancing license in region
- › Zain attained A- score in 'CDP Score Report - Climate Change 2021', ranking it first in region and among leaders globally

2022

- › Zain KSA approved sale of its 8,069 tower infrastructure for SAR 3 billion to PIF
- › Zain maintained its A- score in 'CDP Score Report - Climate Change 2022'
- › Zain Jordan granted 5G license for 25-year and extended 2G, 3G & 4G spectrum licenses extension for 10-year

2019

- › Introduced '4SIGHT' corporate strategy
- › Regional first, launch of commercial 5G services in Kuwait and Saudi Arabia

2018

- › Zain Saudi Arabia becomes a subsidiary of Zain Group due to step-up acquisition in Q3-2018

2017

- › Zain sells 425.7m treasury shares representing 9.84% of its capital to Omantel for \$846.1m
- › Omantel acquired additional 12.1% of Zain shares to take holding to 21.9%

2016

- › Zain Sudan launched 4G LTE high speed technology
- › Zain KSA mobile operating license extended for additional 15 years
- › Zain KSA granted Unification telecommunication license

2015

- › Listed Zain Iraq on Iraq Stock Exchange

2014

- › Listed Zain Bahrain on Bahrain Bourse

2008

- › Merged MTC Atheer and Iraqna, and rebranded to Zain
- › Rebranded from Celtel to Zain in all African operations
- › Commenced operations in KSA
- › Commenced operations in Ghana

2009

- › Invested in 15.5% of Moroccan operator Inwi through a JV investment

2010

- › Divested mobile operations in 15 African countries (excluding Sudan) to Bharti Airtel for \$10.7 billion

2011

- › Separated operations between Sudan and South Sudan

2012

- › Zain KSA raised \$1.6 billion in rights issue and Group increased stake in the operation to 37%
- › Increased stake in Zain Iraq to 76%

2013

- › Zain celebrates its 30th Anniversary

2007

- › Won bid for 3rd GSM license in KSA for \$6.1 billion
- › Rebranded to Zain in four Middle East markets
- › Acquired a 15-year nationwide license in Iraq
- › Acquired 75% of Westel Ghana (rebranded to Celtel)
- › Acquired Iraqna in Iraq

2006

- › Acquired the remaining 61% of Mobitel in Sudan
- › Acquired 65% of V-mobile in Nigeria (rebranded to Celtel)

2005

- › Acquired Celtel in 13 African nations for \$3.4 billion
- › Acquired Madacom in Madagascar (rebranded to Celtel)

2004

- › Awarded management agreement in Lebanon

2003

- › Acquired Fastlink in Jordan
- › Awarded 2nd GSM license in Bahrain
- › Awarded GSM license in Iraq

1983

- › Established Mobile Telecommunications Company (MTC) in Kuwait

Awards & Recognition

01
Strategic Review



Zain ranks first in the regional Telecom sector in Forbes "World's Best Employers" list



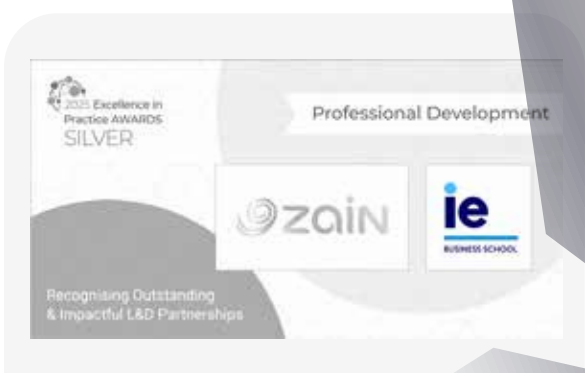
Kuwait sets Guinness World Records title with the farthest intercontinental remote robotic surgery over 12,000 km



Zain named Best Telecom Company in Kuwait and Best Digital Transformation Company



Zain achieves major milestone in climate action with SBTi approvals of Net-Zero Targets



Zain and IE University's 'IDEU Master Program in Digital Transformation' recognized with the EFMD Excellence Award 2025



Zain receives 'Best Corporate Governance in Kuwait' award from World Finance



Zain Group's MSCI rating for ESG upgraded to 'A'

02
Corporate Sustainability



Yaqoot by Zain KSA wins two MENA Digital Awards 2025, recognized for digital excellence and delivering a best-in-class communications experience



Zain KSA wins Gold CSR Award for second consecutive year, recognized for social responsibility track record driving national development



Zain Omantel International takes home four major industry awards, reinforcing its role as the Middle East's connectivity powerhouse



Yaqoot by Zain KSA wins two awards at SMARTIES KSA 2025 for excellence in marketing & digital customer journey



World Children's Day: Zain ranked top company in region across all sectors in Global Child Forum's Benchmark



Zain KSA wins Connected World KSA Award for its leading role in cultivating next-gen talent and championing inclusion



ZainTECH recognized as 'Technology Disruptor of the Year' at Inc. Arabia's Best in Business Awards

03
Corporate Governance

04
Financial Statements



Zain Great Idea named 'Corporate Rising Star' by International Chamber of Commerce and Mind the Bridge



ZainTECH secures Fast Company recognition for regional leadership in AI and enterprise transformation



Zain scoops two major global awards at the 'Informa 5G Core Excellence and Innovation Awards'



Zain Kuwait clinches three prestigious awards for its leadership in 5G-Advanced, network experience, and digital transformation



Zain wins four Kuwait Creativity Awards for campaigns that blended purpose, craft, and community impact



Zain: Kuwait's Fastest Network wins five global awards from Ookla® Speedtest®

Statement from the Vice-Chairman and Group CEO



Bader Nasser Al-Kharafi
Vice-Chairman & Group CEO

4WARD – Progress with Purpose: accelerating our TechCo evolution

2025 marked a pivotal first year for our ‘4WARD – Progress with Purpose’ corporate strategy, which is fast-tracking Zain’s evolution from a predominantly mobile-centric operator into a purpose-driven, customer-centric, future-ready regional TechCo. Our commitment to sustainable growth that fulfils our purpose of ‘Better Lives and Lasting Connections’ is reflected in our listing on Bursa Kuwait’s Premier Market and local listings in Saudi Arabia, Iraq, and Bahrain, underlining our core duty to enhance value for all stakeholders.

The Board and executive management have worked closely to execute the 4WARD strategy and fully capture the opportunities in our markets by focusing on four key strategic pillars: Customer Delight, Digital Zain, Purpose & Action, and Collaborative Growth. Throughout 2025, disciplined CAPEX, OPEX and monetization management, combined with the accelerated momentum of our growth verticals – Fintech, ZainTECH and ZOI – drove our key financial indicators to their highest levels in over a decade.

Targeted investments totaling USD 1.5 billion in network expansion, technology upgrades, fiber deployment, subsea cables, and AI and emerging technologies strengthened our capacity to elevate the customer experience and address the growing digital needs of individuals, enterprises and governments. These strategic CAPEX investments were key to driving a 4% increase in our customer base, which now stands at 50.9 million, and a 13% YoY growth in data revenues to USD 2.8 billion, representing 37% of total revenues and reinforcing our market leadership across an increasingly competitive landscape.

With 4WARD now completing its first year, we are confident that it has already generated the momentum needed to accelerate Zain’s evolution into an impactful, leading regional TechCo. This strategy is strengthening our growth, deepening our relevance in shaping societies, and continuing to elevate the Zain brand to new heights.

- The ‘4WARD—Progress with Purpose’ corporate strategy continues to drive Zain’s transformation into a leading TechCo
- 2025 revenues rose 14% YoY to reach a 16-year high of KD 2.3 billion (USD 7.44 billion)
- Net income up 103%, a 13-year high of KD 239 million (USD 777 million), surpassing shareholder guidance
- 2025 annual cash dividend totaled 35 fils, representing a 63% payout ratio
- CAPEX investment increased 39% to USD 1.5 billion, equivalent to 20% of total revenues
- The application of the IAS 29 standard resolved the audit qualification
- Zain maintained its regional leadership in 5G, operating across four markets, with Kuwait among the first globally to launch 5G-Advanced services.
- Data revenue grew 13% to USD 2.8 billion, accounting for 37% of total revenues
- Growth verticals including Fintech, ZainTECH, and ZOI, generated USD 743 million in revenue, a 67% increase
- ESG performance strengthened, leading to an MSCI rating upgrade to ‘A’
- Regulatory developments were reinforced by a robust compliance and governance framework integral to the business
- Zain ranked first regionally in Telecom sector on Forbes’ “World’s Best Employers” list
- Brand valuation rose 16.1% reaching a record high milestone of USD 4.04 billion

Record Year \$7.44Billion

Revenue



Strong financial performance and shareholder returns

In 2025, Zain Group delivered a solid financial performance, with consolidated revenue rising 14% YoY to KD 2.3 billion (USD 7.44 billion), the highest level in 16 years. Consolidated EBITDA reached KD 780 million (USD 2.54 billion), an increase of 11%, reflecting a healthy 34% EBITDA margin, while consolidated net income soared 103% to KD 239 million (USD 777 million), a 13 year high. Earnings per share amounted to 55 fils (USD 0.18).

These results supported attractive shareholder returns. The 2025 annual cash dividend totaled 35 fils per share, representing a payout ratio of 63%, while total dividends distributed during the 2025 calendar year reached 60 fils per share. This performance underscores the strength of our balance sheet and financial position as we grow the business and advance our TechCo transformation.

DPS 35 Fils

63% payout ratio



Implementation of IAS 29

The Group's Extraordinary General Assembly authorized the Board to utilize reserves and share premium to offset any accumulated losses arising from the adoption of International Accounting Standard IAS 29, Financial Reporting in Hyperinflationary Economies, for Zain Sudan. Consequently, the Board approved the transfer of a portion of the share premium balance to eliminate the retained earnings deficit. This strategic step addressed the long-standing audit qualification related to the prior non-application of IAS 29 and positively impacted the 2025 financial results, raising revenues by USD 119 million, EBITDA by USD 67 million, and net profit by USD 50 million, while restating 2024 full year results accordingly.

Robust growth across our markets and 5G leadership

All our main operations recorded solid financial results in 2025, giving us confidence in our ability to sustain growth in 2026 and beyond. Zain Kuwait, the Group's flagship operator, maintained its market leadership with revenue growth of 4%, supported by expansion in the government and enterprise segments and the launch of 5G-Advanced services that are enhancing the customer experience.

Zain KSA recorded its highest-ever revenue, driven by its 5G network, B2B growth, and the success of its digital operator, Yaqoot, and micro-finance fintech platform, Tamam. Zain Iraq's revenue grew 20%, fueled by sustained commercial momentum, continued network deployment of nearly 1,200 new sites, and the successful diversification of revenues from its subsidiaries, Next Generation and Horizon.

In Sudan, the gradual restoration of the network, which saw 814 sites return to operation and brought 90% of the network in safe areas back online, drove exceptional customer and revenue growth, making it Zain's most profitable operation in 2025. The launch of BEDE fintech services is proving life-enhancing for many communities in Sudan.

In Jordan and Bahrain, 5G expansion supported healthy revenue and customer growth, with their respective fintech platforms also delivering strong performance.

As a 5G leader across four markets – Kuwait, Saudi Arabia, Bahrain, and Jordan – underpinned by our fiber-to-the-home and subsea cable infrastructure, we will continue to invest at scale to maintain technology leadership, support customer growth, and capture new revenue opportunities.

13-Year High

\$777 Million

Net Income



5G Advanced

Launched in Kuwait



GROWTH VERTICALS

(Fintech, ZainTECH, and ZOI)

\$743M

in revenue

+67% YoY



**Executing our 4WARD strategy:
Tech platforms and growth verticals**

The ‘4WARD – Progress with Purpose’ strategy sets Zain’s strategic direction from 2025 through 2030. Just over one year since launch, we have achieved meaningful progress across our technology platforms and priority growth verticals, demonstrating strong execution momentum and validating the strategy’s foundations.

In June 2025, Zain Kuwait’s launch of 5G-Advanced unlocked new horizons for Kuwait’s digital economy and innovation landscape, positioning the country as one of the first worldwide to deploy 5G-Advanced commercially. This pioneering move accelerated Kuwait’s progress as a regional digital hub and contributed significantly to Zain Kuwait’s revenue growth.

Through ZainTECH, we have accelerated our B2B digital and AI agenda, reinforcing Zain’s position as partner of choice for enterprises and governments. By collaborating with hyperscalers and global technology leaders, ZainTECH is advancing AI adoption, cloud migration, cybersecurity, data analytics, and digital transformation across the region, enabling clients to modernize operations, improve efficiency, and unlock new digital capabilities. Working closely with B2B teams across our footprint, this has driven overall enterprise growth of 13%, with ZainTECH recording revenue growth of 55%.

Similarly, Zain Omantel International (ZOI) has made significant strides in strengthening regional digital infrastructure and international connectivity, while playing a central role in expanding data center capacity and AI-ready infrastructure. Leveraging strategic partnerships in subsea cable systems linking Asia, Africa, and Europe, and access to more than 20 international submarine cables, ZOI has positioned Zain as a critical enabler of regional and cross-border digital traffic. ZOI’s revenue doubled in 2025, reflecting strong demand from hyperscalers, enterprises, and governments for resilient, high-capacity international connectivity, and we will continue supporting its expansion plans.

Scaling our fintech footprint remains a strategic priority. Zain now provides digital financial services across Saudi Arabia, Kuwait, Jordan, Iraq, Bahrain, and Sudan, serving both B2C and SME segments. We continue to broaden our offerings to include payments, remittances, micro-finance, and merchant and SME solutions, strengthening financial inclusion, increasing wallet engagement, and supporting SME digitization across our markets.

The launch and gradual expansion of Zain Insure in Kuwait, Bahrain, and Jordan, alongside strategic partnerships in Saudi Arabia, reflects our ongoing transition into a TechCo delivering customer-first digital solutions that enhance livelihoods and simplify everyday experiences. These services are gaining strong traction, with transaction value reaching 11.5 billion and fintech revenues rising 28% during 2025. Collectively, our growth verticals – Fintech, ZainTECH, and ZOI – generated USD 743 million in revenue in 2025, representing YoY growth of 67%, and we will continue to invest in and nurture their development.

Advancing digital infrastructure and tower strategy

Our tower infrastructure strategy remains an important enabler of our long-term growth. Following the step-up acquisition of the Kuwait tower network in late 2024, through which we acquired 100% of Zain Kuwait’s towers, we expect to make significant progress with our infrastructure expansion plans in 2026. Over the last five years, TASC Towers has operated as an independent digital infrastructure company, acquiring and managing the tower assets of Zain Jordan and Zain Iraq on a sale-and-leaseback basis.

Building on an agreement with Ooredoo Group, we expect to complete a key stage of the integration of TASC’s tower assets with Ooredoo’s tower network in the coming months. Once fully completed, the resulting combined portfolio of around 30,000 towers will position the region on the global telecom tower map, providing shared infrastructure services to multiple mobile network operators, improving capital efficiency, and contributing to a lower carbon footprint. This tower company will be a valuable entity in its own right, further enhancing shareholder value for both Zain and Ooredoo.

Digital monetization and youth-focused propositions

Our group-wide API and digital monetization platform, Dizlee, continues to scale rapidly. Offering innovative entertainment and gaming solutions, direct carrier billing, messaging, and digital authentication, Dizlee recorded revenue growth of 51% in 2025, with 289 live services across 58 active global OTT and solutions providers. This performance reflects strong partner confidence, increasing customer adoption, and provides a robust foundation for future growth.

We also recognize that digitally savvy, app-centric youth segments require differentiated experiences. Our digital operators are designed to meet these needs with tailored, app-based propositions. In Saudi Arabia, Yaqoot continues to gain momentum with attractive data and voice bundles. Our partnership with Red Bull Mobile in Kuwait, along with oodi in Iraq, are serving customers through digital-centric packages and market-leading app experiences. By offering these focused digital brands, we are strengthening engagement with younger customers and ensuring that Zain’s portfolio caters to diverse preferences across our footprint.

Accelerating AI-driven networks and operations

Zain made notable progress on its Artificial Intelligence agenda in 2025, pursuing a structured portfolio of AI proof-of-concepts and trials across its operations. Working closely with strategic partners, we are validating high-impact use cases in network operations, customer experience, and energy efficiency, including role-based copilots and scenario-based agents that support natural-language operations and maintenance, automated fault diagnosis, experience assurance, and intelligent energy-management.

These initiatives aim to shorten fault-resolution times, reduce complaints, and optimize engineering resources. The insights gained are shaping a clear roadmap for scaling AI capabilities across our networks in the coming years, further enhancing the resilience and efficiency of our infrastructure and the quality of our customer experience.

Regulatory engagement and compliance

As Zain’s footprint extends beyond traditional telecommunications into broader ICT and digital ecosystems, regulatory engagement and compliance have become even more critical to safeguarding operational continuity, investment sustainability, and long-term value creation. In 2025, regulatory frameworks across our markets evolved rapidly amid the convergence of 5G, cloud, AI, IoT, fintech, and data-driven business models. Regulators increased their focus on spectrum allocation and optimization, infrastructure sharing, competition, customer protection, cybersecurity, and data privacy, while aligning policies with national digital transformation agendas.

In this environment, Zain maintained a proactive regulatory posture, balancing robust compliance with strategic advocacy to enable innovation while mitigating regulatory risk. Our Regulatory Compliance Program (RCP) has now been successfully implemented across our footprint, further strengthening our regulatory frameworks and operational efficiency. We continue to engage with regulators through structured consultations, industry forums, targeted advocacy, and collaborative policy development, positioning Zain as a constructive partner in shaping forward-looking regulatory ecosystems.

Expanding insurance offerings

The launch of Zain Insure in Kuwait reflects our expanding role beyond connectivity and into digital financial and lifestyle solutions. By leveraging our innovation capabilities and trusted customer relationships, Zain Insure provides simple, convenient digital insurance offerings. We are gradually extending these services to Bahrain, Iraq, Jordan, and Saudi Arabia, covering motor, device, and other insurance products aligned with local market conditions.

Our strategy is to partner with capable insurance entities to drive growth in this attractive new business vertical, while reinforcing our positioning as a TechCo focused on customer-centric solutions that add value to everyday life.



Advancing our ESG leadership

Zain achieved significant progress across its Environmental, Social and Governance (ESG) agenda in 2025. We recorded upgrades in multiple global ESG indices, highlighted by an improvement in our MSCI ESG rating from ‘BBB’ to ‘A’ in September 2025. We also performed above the global telecom sector average in the S&P Global ESG Index and surpassed the global average in the FTSE4Good Index.

A major milestone was the approval of Zain’s Net-Zero targets by the Science Based Targets initiative (SBTi), validating our Group-wide commitment to achieve net-zero greenhouse gas emissions across our value chain by 2050. We believe that addressing climate change must be a priority for every organization and individual, and we are determined to demonstrate that sustainable growth and climate leadership go hand in hand. Our ‘A’ score from CDP reflects the rigor, transparency, and action embedded in our climate governance and operations.

On the social dimension, ESG translates into competitive advantage through talent, inclusion, and gender diversity at scale. Building an inclusive culture and a future-ready workforce enhances execution and customer experience.

Initiatives such as our WE ABLE 2030 disability inclusion program, BE WELL mental wellbeing initiative, IDE University, and our Gender Diversity vision illustrate our deliberate approach to supporting our people and ensuring that digital progress leaves no one behind. These milestones reinforce Zain’s commitment to sustainability and robust governance and have taken our ESG leadership agenda to new levels.



Investing in venture capital funds and the startup ecosystem

Our venture investment arm, Zain Ventures, continues to deliver strong strategic and financial contributions. By the end of 2025, Zain Ventures had invested approximately USD 156 million directly into startups at various growth stages and through leading venture capital funds. The portfolio includes high-profile, high-growth companies such as Revolut, SpaceX, xAI, and others that are contributing to long-term shareholder value. We will continue to evaluate exit opportunities as they arise and seek new investments in high-growth companies across different industries and stages of development.

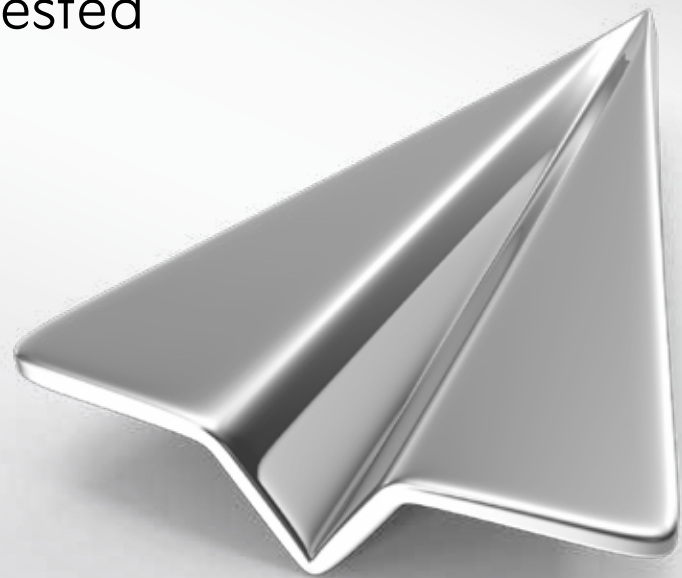
We are equally focused on nurturing internal innovation. Through our internal innovation platform, ZAINIAC, employees are encouraged to submit, share, and collaborate on new ideas, fostering intrapreneurship and creativity within the company. We provide mentoring, workshops, and funding for selected initiatives to turn ideas into viable businesses. In May 2025, ZAINIAC incubated and funded its first startup, ACTLY, founded by Zain employees, an AI-focused company delivering personalized customer experiences through AI agents that combine real-time insights, behavioral analytics, and predictive reporting to support better decision-making.

Zain Venture invested

\$156M

Valuation

1.8X



No.1

In the regional Telecom sector in Forbes “World’s Best Employers” list



Scaling Zain Great Idea regionally

Our award-winning tech startup accelerator, Zain Great Idea (ZGI), launched 16 years ago in Kuwait to help promising early-stage ventures scale into investable businesses, reached an important milestone in 2025. Now powered by Zain Ventures and ZainTECH, ZGI expanded beyond its Kuwait-centric roots to invite applications from innovators across six Zain markets: Kuwait, Bahrain, Iraq, Jordan, Saudi Arabia, and the UAE.

This regional expansion demonstrates how a Group-wide accelerator can bridge local innovation with regional and global markets. By supporting startups, exposing them to the Silicon Valley ecosystem, and convening investors and decision-makers on a single platform, ZGI is playing a long-term role in converting ideas into investable ventures and strengthening the region’s innovation ecosystem.

Employer of choice and people-first culture

In 2025, Zain was ranked the number one telecommunications company in the MENA region on Forbes’ annual “World’s Best Employers” list, while also being ranked first in Kuwait and among the top three employers region-wide. This recognition reflects the seriousness of our commitment to responsible business conduct and building a thriving, diverse, and inclusive workplace.

Our comprehensive talent strategy, and our ESG and Inclusion, Diversity and Equity (IDE) programs, ensure that our actions align with meaningful impact and responsibility. They form key pillars of Zain’s culture, supporting our ambition to be an employer of choice and a company where people can build fulfilling careers.

Showcasing the power of connectivity:
a Guinness World Record in digital health

In 2025, Zain Kuwait achieved a Guinness World Record for enabling the farthest remote robotic surgery between a surgeon and a patient, connecting Kuwait and Brazil across a distance of 12,034.92 km. Conducted on 23 September 2025, this intercontinental procedure showcased the capabilities, resilience, and precision of our digital infrastructure, requiring a secure, high-bandwidth international link and consistently low latency.

This achievement, delivered in collaboration with national partners including the Kuwait Foundation for the Advancement of Science (KFAS) and Zain Omantel International (ZOI), illustrates how advanced connectivity can support high-stakes use cases that improve lives. It also reflects the kind of ecosystem collaboration we believe in, bringing together healthcare leadership and digital infrastructure providers to position Kuwait as a platform for meaningful innovation with global relevance.

12,035KM

Guinness World Record in Digital Health

The Guinness World Records logo, featuring a blue circular border with the words "GUINNESS WORLD RECORDS" and a yellow star in the center.



Top 25

Strongest Brands Globally

\$4.04Billion



Brand strength and customer engagement

The strength of the Zain brand continues to grow. According to Brand Finance’s 2026 rankings, Zain’s brand value increased 16.1% YoY to USD 4.04 billion, placing us among the top 25 strongest telecom brands and the top 35 most valuable telecom brands globally. Nineteen years after the Zain brand was launched in September 2007, this sustained growth reflects the success of our 4WARD strategy, our investment in compelling marketing and customer experiences, and the quality of our networks and services.

Our corporate sustainability and IDE initiatives, combined with substantial network investments and cutting-edge technologies, continue to win the hearts and minds of customers and employees, which are key drivers of brand value.

Today, we serve 50.9 million customers across our eight-country footprint and have more than 35.5 million social media followers. In 2025, our creative content generated over 4 billion views and around 1.5 billion interactions, making Zain one of the most appealing, inspirational, and recognized corporate brands in the region and internationally, and the ICT provider of choice for individuals, businesses, and governments.

Supporting Kuwait’s transformation into a regional digital hub

Guided by the directives of His Highness the Amir of Kuwait, Sheikh Meshal AL-Ahmad AL-Jaber AL-Sabah, Zain Group remains committed to advancing Kuwait’s transformation into a regional hub for the digital economy and helping to cultivate an attractive, private-sector-led investment environment. In May 2025, this commitment was reflected in our engagement at Zain’s headquarters with John Lee KaChiu, Chief Executive of the Hong Kong Special Administrative Region of the People’s Republic of China, underscoring the importance of international collaboration in accelerating national digital priorities.

Discussions focused on expanding digital transformation initiatives, enhancing telecommunications infrastructure, and unlocking new avenues for growth in areas such as 5G and the Internet of Things, alongside potential strategic partnerships to support long-term competitiveness. The dialogue also explored the role of emerging technologies and innovation – including AI and advanced R&D capabilities – in building resilient digital economies. This engagement provided an opportunity to showcase our ‘4WARD – Progress with Purpose’ strategy and reaffirm Zain’s role in building future-ready digital foundations across Kuwait and the wider region.

Thank you

I would like to close by expressing my sincere appreciation, on behalf of the executive management team, to the people who power our progress. To our 9,000 colleagues across the Group, thank you for the discipline, creativity, and commitment you bring to our purpose every day. To our individual and corporate customers, government partners, and shareholders, thank you for the trust you place in Zain and for the role we all play together in strengthening an ecosystem that delivers meaningful connectivity to the communities we serve.

Looking ahead to 2026, our priority is to build on the strong first-year momentum of 4WARD and accelerate its execution across the Group. We will continue advancing our evolution into a TechCo by scaling network investments, strengthening digital platforms and capabilities, pursuing strategic growth opportunities, and developing the talent and operating model required to deliver at speed. Through deeper collaboration across our markets and with our partners, we aim to convert early momentum into sustainable, measurable progress, keeping Zain at the forefront of digital transformation in a fast-evolving mobile and ICT landscape and creating lasting value for all stakeholders.

Bader Nasser Al-Kharafi
Zain Vice-Chairman and Group CEO

In remembrance of Elfatih Erwa, Managing Director of Zain Sudan

[1950-2025]

In April 2025, we mourned the passing of our dear colleague, Elfatih Erwa, Managing Director of Zain Sudan, whose leadership and character shaped the company’s journey for 17 years. His loss was deeply felt across the business, and our thoughts remain with his family, loved ones, and the Zain Sudan team.

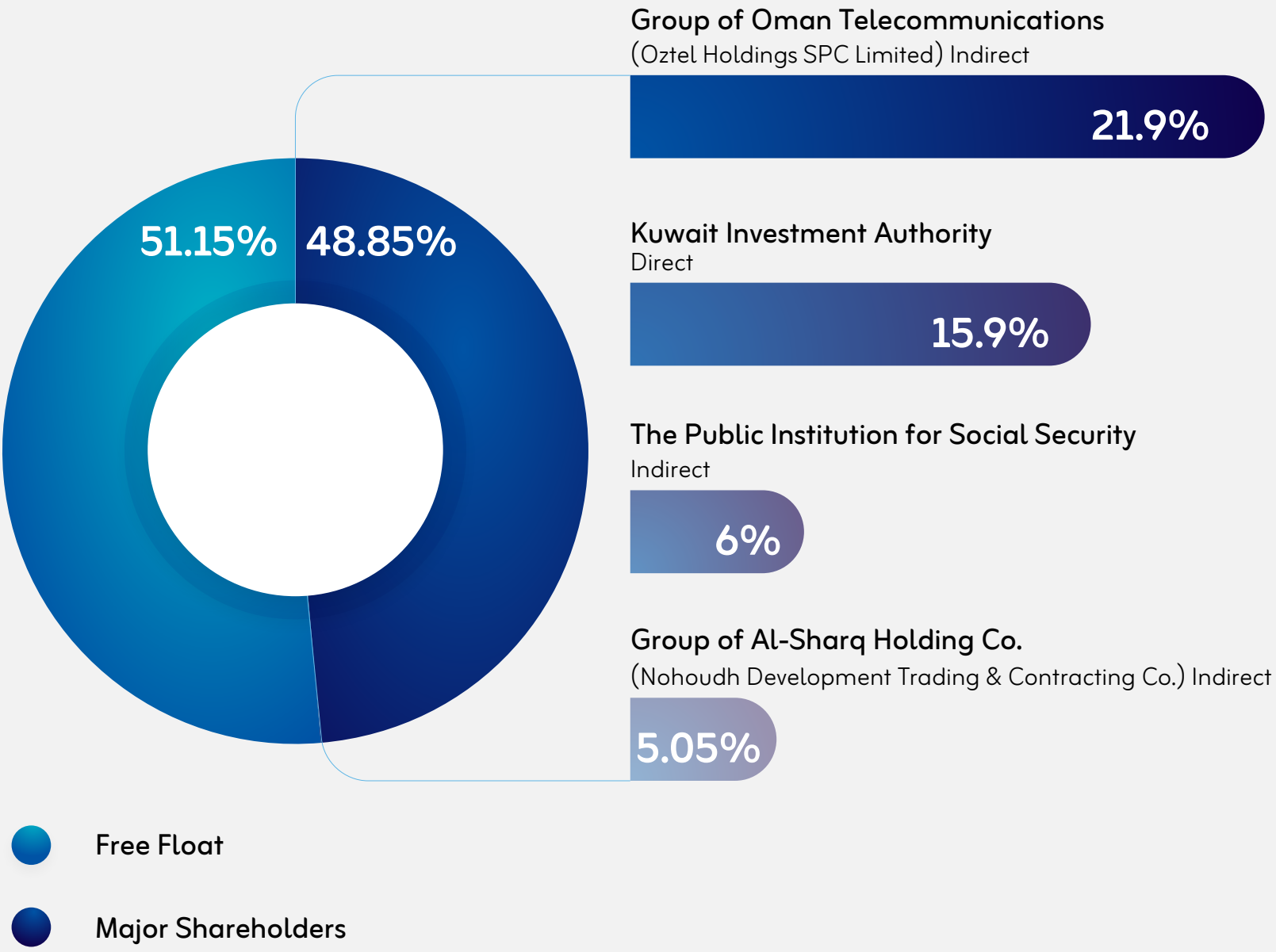
Elfatih left behind a legacy defined by steadfast leadership, calm strength in adversity, and profound commitment to people. Widely regarded as one of the most influential ICT leaders in North-East Africa, he inspired many through his warmth, care, and personal interest in those around him. To countless colleagues, he was a father figure whose energy and optimism helped nurture and motivate a generation of professionals.

His impact extended beyond the company, advancing key milestones for Zain Group, including the Group’s strategic evolution in Africa and the separation of the Sudan and South Sudan operations, while ensuring that Zain Sudan continued to move decisively into the digital era and sustain its meaningful role in society. Internationally, he was recognized as a pioneer in leveraging technology for community development, extending communications services under the most challenging conditions, particularly in remote areas, to connect and empower marginalized communities.

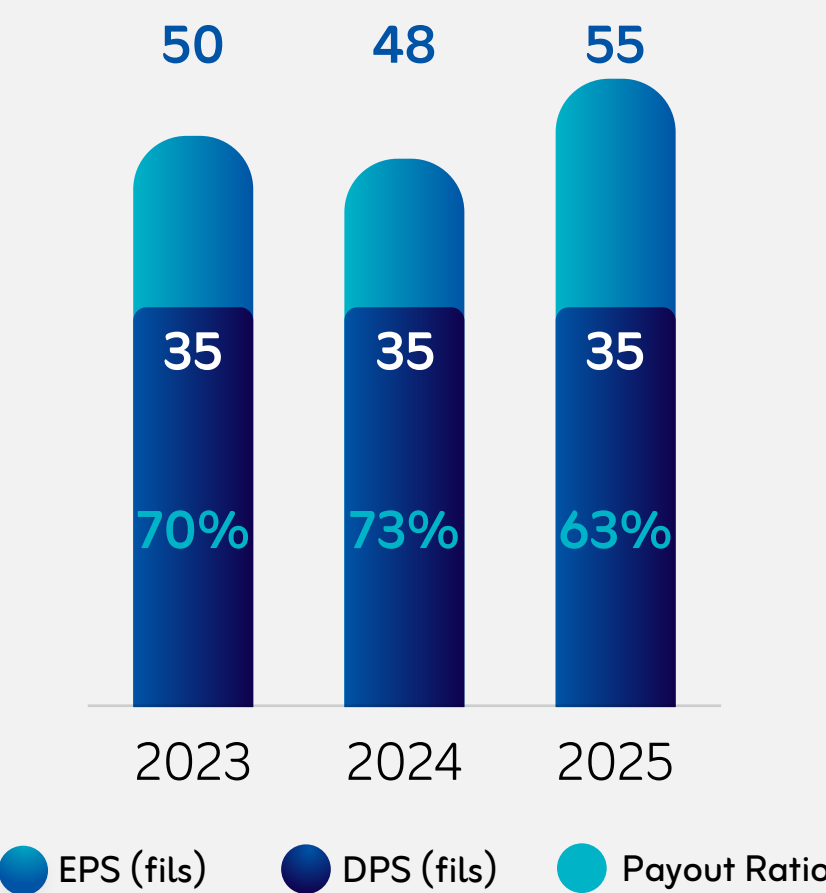
Throughout the crisis in Sudan, Elfatih remained resolute, supporting teams operating in extreme circumstances and prioritizing service continuity as a lifeline for the Sudanese people. His wider public service reflected the same convictions, including contributions aligned with the United Nations Sustainable Development Goals and initiatives that promoted stability, supported peacebuilding, and delivered tangible outcomes across education, health, and economic development. We remain proud and grateful for Elfatih’s rich legacy, which united professional excellence with deep humanitarian commitment. May his soul rest in peace.

Our Shareholders

Zain Shareholders



Shareholders Value



Dividend Distribution – 2025 Highlights:

- The full-year committed dividend 35 Fils/ Share was distributed ahead of schedule, across two rounds
- 10 Fils/Share - Sep 2025
- 25 Fils/Share - Nov 2025

Dividend Policy Extension – 3 Years:

- Dividend policy extended to 2028, reaffirming a minimum annual payout of 35 fils per share.

Investor Relations Events 2025

Feb 2025	HSBC MENAT Future Forum
16 Apr 2025	Ordinary General Assembly Meeting - 2024
May 2025	Arqam Capital 12th Annual MENA Investor Conference
7 May 2025	25 Fils - Dividend Distribution - H2 2024
12 May 2025	Q1'25 Earnings Release
14 May 2025	Q1'25 Earnings Conference Call
June 2025	HSBC GCC Exchanges Conference - Boursa KWT
12 Aug 2025	Q2'25 Earnings Release
13 Aug 2025	Q2'25 Earnings Conference Call
Sep 2025	EFG Hermes The 20th One on One Conference 2025
3 Sep 2025	10 Fils - Dividend Distribution - H1 2025
28 Oct 2025	Q3'25 Earnings Release
29 Oct 2025	Q3'25 Earnings Conference Call
Nov 2025	GS - CEEMEA Corporate Days
19 Nov 2025	25 Fils - Dividend Distribution - 9 Months 2025
Dec 2025	Jefferies Kuwait Corporate Day
4 Dec 2025	Extra-Ordinary General Assembly Meeting
17 Feb 2026	Q4'25 Earnings Release
18 Feb 2026	Q4'25 Earnings Conference Call

Share Price Performance



Share Data

Close (fils) 31 Dec 2025	516
52 Week	High 543 Low 441
Average Daily Volume (Shares)	3.7M
Market Cap. (KD Billion)	2.23B



Strategy

4WARD: Accelerating Zain’s Evolution into a Purpose-Driven Tech Conglomerate

Building on strong foundations, Zain is accelerating its transformation through its ‘4WARD-Progress with Purpose’ corporate strategy, designed to unlock the company’s full potential as a customer-centric, future-ready, and purpose-driven regional Tech conglomerate (TechCo).

In recent years, Zain has successfully evolved from a traditional telecom operator into a multi-core digital player, strengthening its mobile and fixed connectivity leadership while expanding into new growth verticals including ICT, fintech, digital infrastructure, entertainment, subsea cables, and cross-border connectivity. This transformation has enhanced the organization’s resilience, diversified revenue streams, and expanded its role across the digital economy.

4WARD reflects Zain’s response to the accelerating pace of technological, economic, and societal development. It is guided by an evolutionary mindset, balancing ambition with pragmatism, and anchored in Zain’s commitment to Progress with Purpose, ensuring that growth delivers sustainable value for customers, communities, shareholders, and the environment. This commitment is embodied in Zain’s purpose: “Better Lives, Lasting Connections.”

At its core, 4WARD defines Zain’s ambition to lead the next phase of regional digital transformation. It places customers and communities at the heart of value creation, leverages digital innovation and data-driven capabilities, and emphasizes the seamless integration of resources, partnerships, and value flows across the Zain ecosystem, spanning telecom operations, technology subsidiaries, and digital ventures.

4WARD IN ACTION:

FOUR FORCES, TWELVE ACCELERATORS, ONE PURPOSE



Strategic Architecture: Four Forces Driving Value Creation

4WARD-Progress with Purpose is executed through four strategic forces, perpetuated through 12 accelerators, collectively designed to drive sustainable growth and strengthen Zain’s long-term competitive positioning.

Force 1: Customer Delight – Placing Customers at the Core

Aiming to consistently exceed customer expectations across Consumer, Enterprise, and Government segments by delivering seamless, reliable, and differentiated experiences.

- **One Delightful Experience:** A unified, customer-first approach that strengthens satisfaction, loyalty, and life-time value.
- **Business Partner of Choice:** Positioning Zain as a trusted digital transformation partner for enterprises and governments.
- **Superior Fixed & Mobile Connectivity:** Strengthen connectivity leadership by expanding fixed broadband services and integrating mobile into fully converged service offerings.

Force 2: Digital Zain – Scaling Innovation and Digital Growth

Scaling digital platforms and emerging technologies to unlock new revenue opportunities, expand beyond traditional connectivity, and elevate customer experience through continuous value proposition innovation.

- **Digital Finance:** Growing fintech into a regional digital financial services platform, with expansion into adjacent banking and insurance services.
- **AI & Digital Innovation:** Embedding AI across operations and services to enhance efficiency, personalization, and new business models.
- **Digital Infrastructure:** Expanding Zain’s Digital Infrastructure by establishing a network of data centers to support hyperscalers, enterprises, and governments.

Force 3: Purpose and Action – Driving Growth with Responsibility

Integrating sustainability and inclusion into its growth agenda, ensuring long-term value creation.

- **Purpose:** Embedding Zain’s values into all business practices and interactions across the organization.
- **Inclusion, Diversity & Equity:** Building a diverse, empowered, and future-ready workforce.
- **Sustainability:** Advancing Environmental, Social, and Governance (ESG) initiatives that deliver measurable environmental and social impact.

Force 4: Collaborative Growth – Strengthening People and Partnerships

Unlocking synergies across its ecosystem by empowering people and deepening partnerships.

- **People:** Developing high-performing teams and leadership capabilities.
- **Enhanced Collaboration:** Rewiring Zain to operate as a leading Tech Conglomerate, unleashing potential, and enabling the seamless flow of value and expertise across the Group.
- **Partnerships:** Expanding strategic alliances to accelerate innovation and market access.

Value-Creation and Time Horizon

4WARD is designed to deliver sustainable value over the 2025–2030 timeframe, with a clear focus on:

- Accelerating the core through B2C customer delight initiatives, B2B partner-of-choice positioning, and continued growth in ICT, fixed, and converged connectivity.
- Expanding growth platforms via regional data centers, fintech portfolio expansion, and scalable digital infrastructure.
- Embedding AI across the business to improve efficiency, personalization, and unlock new revenue models.
- Driving margin resilience and capital efficiency through ecosystem synergies and disciplined investment.
- Creating long-term shareholder and societal value, enabled by people, collaboration, inclusion, and sustainability commitments.

Strategy Development

Emerging from within Zain, 4WARD-Progress with Purpose was built bottom-up through active and iterative engagement with numerous Zain personnel, from senior executive management to a wide representation of functions and areas of expertise across the business. The strategy was also complemented by integrating external views with subject matter experts, market research, and investor expectations. The strategic process that established the strategy is a testament of cross-functional alignment and stakeholder involvement, which has taken the Zain brand value to new heights while also raising the company’s standing as a leading regional TechCo.



Achievements and momentum under 4WARD

While 4WARD sets Zain’s strategic direction through to 2030, meaningful progress has already been achieved across technology platforms and across several priority growth verticals, demonstrating strong execution momentum and validating the strategy’s foundations.

5G Advanced:

Zain Kuwait’s launch of 5G Advanced in June 2025 unlocks new horizons for Kuwait’s digital economy and technological innovation accelerating the country into a regional hub for the digital economy. It builds on early investments made in developing the operator’s infrastructure and highlights that technology is not just about speed, but about bringing people closer and enabling them to live a wonderful world. 5G Advanced was built according to the highest global standards to meet the growing demand for data services, support smart city applications, power the Internet of Things, and accommodate the evolving digital lifestyle across sectors.

Kuwait now ranks among the first countries worldwide to deploy 5G Advanced commercially, underscoring its pioneering role in adopting cutting-edge telecom technologies and enhancing its position as a forward-looking digital hub.

B2B AI and Digital Transformation:

Zain has accelerated its B2B digital and AI agenda through ZainTECH, reinforcing its partner-of-choice positioning for enterprises and governments:

AI and Cloud Enablement:

ZainTECH partners with leading hyperscalers and global technology companies to accelerate AI adoption, cloud migration, data analytics, and digital transformation across the region.

Enterprise-Grade Solutions:

Through its portfolio of AI, cybersecurity, cloud, and digital platforms, ZainTECH enables enterprises and public-sector clients to modernize operations, improve efficiency, and unlock new digital capabilities.

Ecosystem-Led Growth:

These partnerships and capabilities strengthen Zain’s role beyond connectivity, embedding the Group deeper into customers’ digital value chains.

Digital Infrastructure: Data Centers, Subsea Cables, and Terrestrial Networks:

Zain Omantel International (ZOI) has made significant strides in strengthening regional digital infrastructure and international connectivity:

Subsea Connectivity (AAE-2):

ZOI, in collaboration with strategic partners, is participating in the AAE-2 subsea cable system, linking Asia, Africa, and Europe. This investment enhances Zain’s role in global data flows and supports growing demand from hyperscalers, enterprises, and governments for resilient, high-capacity international connectivity.

Terrestrial Digital Corridor via Iraq:

ZOI has partnered with Horizon Scope Telecom and Iraqi Telecommunications and Information Company (ITPC) to establish a strategic terrestrial telecommunications corridor connecting the Middle East to Europe through Iraq.

This corridor provides an alternative, secure, and high-capacity route, enhancing network resilience, efficiency, and geopolitical diversity of connectivity paths.

Integrated Subsea and Terrestrial Model:

With access to more than 20 international submarine cables across the region, ZOI has developed an integrated subsea-terrestrial connectivity model, positioning Zain as a critical enabler of regional and cross-border digital traffic.

Data Center and AI-Ready Infrastructure Expansion:

ZOI continues to play a central role in expanding regional data center capacity and AI-ready infrastructure, supporting hyperscalers, enterprises, and governments as demand for cloud, AI, and low-latency services accelerates across the Middle East.

Digital Finance - Scaling Fintech across Markets:

Zain has continued to scale its fintech footprint, reinforcing Digital Zain as a core growth engine:

- **Multi-Market Fintech Operations:** Zain today provides digital financial services across KSA, Kuwait, Jordan, Iraq, Bahrain, and Sudan, serving both B2C and SME segments.
- **Broadening Service Portfolio:** Offerings span payments, remittances, lending, and merchant/SME solutions, strengthening financial inclusion, increasing wallet engagement, and supporting SME digitization across operating markets.
- **Insurtech:** The launch of Zain Insure services in Kuwait, Bahrain and Jordan and strategic partnerships in KSA reflects Zain’s ongoing transformation into becoming a TechCo as it expands its focus and base of activities beyond telecom services to delivering customer-first digital solutions that simplify everyday experiences.

Zain ranks first in the regional Telecom sector in “World’s Best Employers” list:

Zain was ranked as the number one telecommunications company across the MENA region on Forbes’ annual “World’s Best Employers” list for 2025. Zain was also ranked first in Kuwait and among the top-three employers regionwide. Zain’s comprehensive talent strategy is anchored in 4WARD, which emphasizes that Zain’s actions align with meaningful impact and responsibility. Multiple Human Resources initiatives as well as ESG and Inclusion, Diversity and Equity programs remain strategic focus areas in Zain’s work culture. They are all vital part of the company’s ethical commitment to aligning with the UN’s Sustainable Development Goals of leaving no one behind by creating positive ESG impacts in the communities Zain serves and beyond.

These foundations position Zain to further expand into adjacent financial services and deepen integration between telecom, fintech, and digital ecosystems.

Collectively, these achievements demonstrate that 4WARD is not only a forward-looking strategy, but one already translating into tangible progress—accelerating growth platforms, strengthening regional digital infrastructure, expanding fintech inclusion, and positioning Zain as a trusted AI and digital transformation partner across its markets.

Zain Infra

Building the Digital Backbone of a Connected MENA

1. Zain Omantel International (ZOI)

Strategic Partnerships & Infrastructure

Zain Omantel International's (ZOI) key achievements and strategic collaborations that shaped 2025 showcase how the company is driving innovation, resilience, and growth across the digital infrastructure ecosystem.

From enabling a Guinness World Record-breaking remote surgery, to launching new digital corridors connecting the Middle East to Europe, to expanding capabilities across Asia, ZOI has firmly established itself as an international carrier that supports unified, AI-ready digital infrastructure in MENA and across the world.

As ZOI continues to build the region's most advanced wholesale platform, customers benefit from unmatched reliability and innovation through one partner, one network, and one commercial framework.



Highlights of 2025:



Partnered with Horizon Scope Technologies and Iraq's ITPC:

ZOI partnered with Zain Iraq's subsidiary Horizon Scope Technologies and Iraq's Information and Telecommunications Public Company (ITPC) to establish a new terrestrial corridor connecting the Middle East to Europe via Iraq, Turkey, and Germany. This strategic route offers a faster, more secure, and resilient alternative to traditional subsea routes, designed to deliver higher capacity and lower latency for hyperscalers, telecom operators, and global enterprises expanding across continents.



Strategic collaborations with Sparkle, Telecom Egypt and PCCW Global:

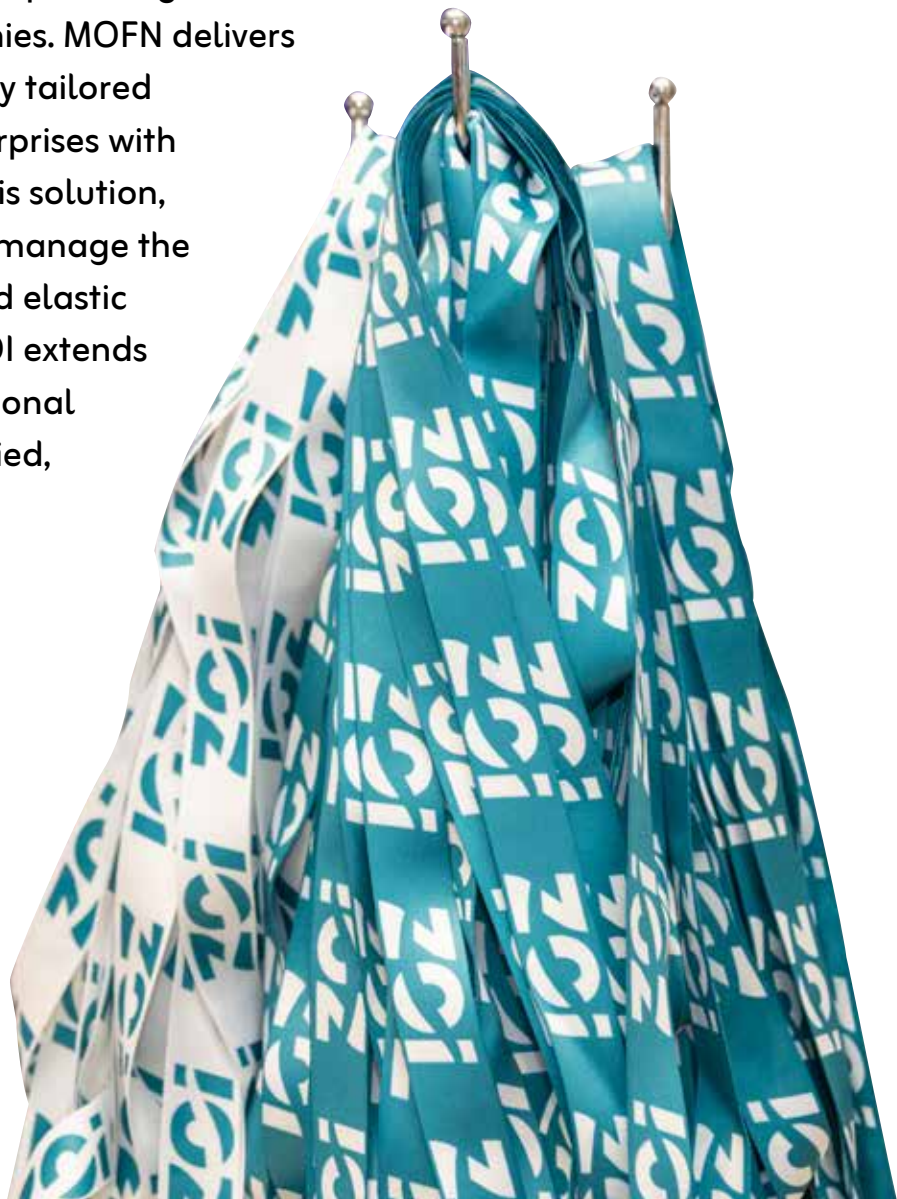
ZOI entered a Memorandum of Understanding (MoU) with Sparkle, Telecom Egypt, and PCCW Global to develop the Asia-Africa-Europe-2 (AAE-2) subsea cable system. This next-generation project will eventually encompass 16,500 km and be fully operational by 2030, creating a robust digital link connecting Hong Kong and Singapore to Italy, traversing secure, high-capacity terrestrial corridors across Thailand, the Arabian Peninsula, and Egypt.

Supported ZainTECH and Zain Kuwait in partnering with Microsoft:

ZOI empowered the international connectivity supporting ZainTECH and Zain Kuwait in partnership with Microsoft to launch Azure ExpressRoute via the Azure Marketplace in Kuwait and globally. This collaboration delivers secure, private, high-performance cloud connectivity for government and enterprises, marking a major step toward Kuwait Vision 2035. By enabling organizations to directly procure dedicated Azure connectivity using existing Microsoft credits, the initiative simplifies access to world-class cloud infrastructure. As the international wholesale partner, ZOI provided its AI-ready network to connect the Microsoft Azure Marketplace in Kuwait to Microsoft's global data centers.

Cooperated with Ciena to launch a new Managed Optical Fiber Network (MOFN) service*

In collaboration with Ciena, a global leader in high-speed connectivity, ZOI launched a Managed Optical Fiber Network (MOFN) service enabling Zain regional operators and Omantel in providing solutions to support AI and cloud-driven economies. MOFN delivers dedicated, high-performance optical connectivity tailored for hyperscalers, cloud providers, and large enterprises with complex digital infrastructure needs. Through this solution, the operators in each country design, build, and manage the local fiber network, offering secure, scalable, and elastic connectivity that mirrors cloud-native agility. ZOI extends these capabilities by enabling access to international capacity and multi-country reach through a unified, fully managed service model.



Industry Leadership

Enabled Zain Kuwait’s Guinness World Record-breaking remote robotic surgery over 12,000 km:

In cooperation with Zain Kuwait and a wider ecosystem of healthcare and innovation partners, ZOI delivered the ultra-low latency international transport required to enable a live, two-way remote robotic surgery between Kuwait and Brazil, setting a Guinness World Record for the longest distance (12,000 km) between a surgeon and a patient. Purpose-built routing, with diverse paths on standby, ensured predictable performance and resilience across the connection, achieving 199 ms end-to-end latency, an average bandwidth of 80 Mbps, and packet loss of just 0.19%. This milestone demonstrated how ZOI’s international backbone can power mission-critical, low-latency applications, reinforcing the company’s industry leadership and advancing real-world digital transformation beyond telecom, including new frontiers in healthcare.

ZOI ranked #1 Autonomous System Number (ASN) in the Middle East:

Ranked as the #1 ASN in the Middle East and the only regional network to secure a spot among the top 100 globally out of 70,000 active networks,



ZOI has established the most interconnected IP network in the region. This milestone delivers faster, more direct global connectivity, reduced latency, and seamless routing without third-party dependence. With a secure, scalable infrastructure, ZOI enables hyperscalers, ISPs, and enterprises to achieve superior performance, greater efficiency, and smarter connectivity.

Celebrated the second cohort of ZOI Ambassadors in Kuwait:

15 team members from across ZOI’s footprint came together for an intensive program designed to equip them with the skills and confidence to represent ZOI with purpose. More than just training, this initiative empowers ZOI’s workforce to become the company’s voice, ready to lead conversations and showcase its brand on global stages.

ZOI delivers a Peering Knowledge Sharing Masterclass at GCCM ME 2025:

Achieved a significant milestone by becoming the first wholesale service provider to deliver a Peering Knowledge Sharing Masterclass at GCCM ME 2025. Since the launch of GCCM Masterclasses in 2022, these sessions have traditionally been led by hyperscalers and technology vendors. This year, ZOI broke new ground by leading the way as the first wholesale provider to host a Masterclass, reinforcing its position as an industry innovator.

Awards & Recognition

In 2025, ZOI earned international recognition for innovation and connectivity leadership, including:

GCCM Europe 2025, Berlin:

ZOI secured three prestigious awards at GCCM Europe 2025, Berlin:

- **Best Data Connectivity Innovative Provider of the year** – for advancing pan-regional connectivity with integrated subsea-terrestrial networks and high-capacity solutions for hyperscalers and carriers.

- **Best Subsea Cable Operator of the Year** – for leadership in subsea investments, including strategic participation in G2A, AAE-1, and Oman Australia Cable.
- **Middle East Regional Connectivity Operator of the Year** – for delivering the only fully operator-owned pan-Middle East fiber network, with a continuous footprint linking the Indian Ocean, Arabian Sea, and Red Sea across key markets.

Global Brand Awards 2025:

ZOI was awarded the “Best New Telecom Connectivity Brand – Middle East” accolade at the Global Brand Awards, a UK-based publication with over 8 million annual views, celebrating excellence in branding, leadership, and innovation across industries worldwide.

The Fast Mode Awards 2025:

Named Network Transformation Icon at The Fast Mode Awards 2025, having been recognized for innovation in network transformation, highlighting the continued developments ZOI has contributed to the global telecoms landscape.



Corporate Sustainability

WE ABLE Awareness Session:

ZOI employees from across all branches came together for WE ABLE, an engaging awareness session marking the International Day of Persons with Disabilities. The session covered disability etiquette, inclusive terminology, unconscious bias, and practical steps to foster a culture of respect and equal access for all.

Empowering Youth Through Education: ZOI Awards Scholarship for Global Leadership Conference

As part of ZOI's social commitment to youth empowerment and education, ZOI awarded a scholarship to support a student's participation in the Asia Youth International Model United Nations 16th Conference, held in Kuala Lumpur, Malaysia, between January 17–20, 2025. This global event provided young leaders with a platform to broaden their networks, enhance leadership and negotiation skills, and gain firsthand experience of international diplomacy. By enabling this opportunity, ZOI reinforces its dedication to fostering future leaders and promoting inclusive growth through education.



Global Engagement: Key Industry Events and Milestones in 2025

Throughout 2025, ZOI actively shared insights at major global and regional industry events, engaging in discussions on international connectivity, wholesale voice and data, and edge computing. ZOI's presence at these forums reinforced the company's role in shaping the future of connectivity across the globe. Milestones included:

Co-hosted GCCM ME 2025 with Omantel, Muscat:

GCCM Middle East 2025 brought together over 1,000 attendees and more than 200 decision-makers for expert-led discussions on the future of network infrastructure. The event explored critical topics including subsea cables, terrestrial fiber, satellite and space connectivity, wholesale voice and data services, and emerging technologies such as 5G, 6G, edge computing, and cloud solutions.

Panels featuring industry leaders focused on regional collaboration, cross-border infrastructure, and innovative business models that position the Middle East as a vital global connectivity hub. This milestone event provided an unparalleled opportunity for ZOI teams to engage with global telecom experts and shape the future of connectivity.

Capacity ME, Dubai:

Participation at Capacity Middle East 2025 in Dubai, saw the ZOI team actively reconnecting with partners, forging new alliances, and securing strategic collaborations that will shape the future of global telecom. Through meaningful conversations and knowledge exchange, ZOI reinforced its commitment to driving connectivity and innovation across the industry.

GSMA WAS #21, Dubai:

Actively engaged with industry leaders to explore new roaming opportunities, share insights on emerging trends, and strengthen strategic partnerships.

Capacity Europe, London:

Showcased its AI-ready hybrid subsea and terrestrial mesh network that spans the Middle East and connects globally. The team highlighted how ZOI delivers diversity, scalability, and simplicity for hyperscale networking; reinforcing the company's role as a trusted partner in advancing global connectivity.

Europe 2025 GCCM, Berlin:

Meetings with global telecom leaders to discuss emerging trends, explore new business opportunities, and strengthen strategic partnerships, reinforcing ZOI's commitment to driving collaboration and advancing connectivity across international markets.

ITW 2025, Washington DC:

Engaged in shaping conversations around the future of global connectivity. A key highlight was ZOI taking the keynote stage for an in-depth panel discussion on the emerging subsea ecosystem; underscoring the company's leadership and expertise in advancing next-generation infrastructure.

ITW Africa 2025, Nairobi:

The team in Nairobi helped African carriers and MNOs to open new markets across the globe.

European Peering Forum, Romania:

Networked with key players from hyperscalers to global operators in Romania to strengthen collaboration across the peering ecosystem and establish new relationships.

WWC, Madrid:

Discussed voice, messaging, and roaming with the world's leading MNOs and communications service providers.

Submarine Networks World, Singapore:

The team gained key insights into the future of AI-driven cable maintenance and new infrastructure developments.

ITEX, Iraq:

Highlighting the company's northern route to Europe via Iraq while discussing Iraq's national telecom and digital strategy.

Pacific Telecommunications Council (PTC) 2025, Honolulu, Hawaii:

Engaged in key discussions with global telecom leaders showcasing ZOI's expertise and exploring innovative solutions to strengthen connectivity and drive industry growth.

Looking ahead to 2026, ZOI will:

- Execute and activate key subsea projects: Blue-Raman and Africa-1
- Expand new digital corridors to further expand route diversity
- Launch its carrier-neutral regional data centre strategy across the Zain and Omantel footprint
- Further expand its centralized mobility and VAS platforms, such as roaming, voice, and IPX/GRX signaling hub.
- Strengthen corporate governance, compliance, risk management, and its leadership depth.

Zain Infra

Building the Digital Backbone of a Connected MENA

2. TASC Towers

History in the making

In a regional first, in February 2020, Zain Group’s flagship operation in Kuwait completed the sale and leaseback of the passive physical infrastructure of its 1,620 mobile tower portfolio for USD 130 million (KD 40 million) to IHS Holding Limited (IHS). The transaction which was penciled a few years earlier and of which Zain retained 30% of the Kuwait entity, was the first sale and leaseback of telecom towers in the Middle East and North Africa region by a licensed mobile operator.

By freeing a telcos’ resources, tower sale and lease back deals enable Zain operations to laser focus on the telco’s core business and customers, therefore providing them an exceptional mobile and data experience.

Strategic partnership with TASC Towers

To exploit the full potential of Zain’s infrastructure investments across its footprint, in mid-2020 as part of its then 4SIGHT strategy, the Group entered into a strategic partnership to establish TASC Towers Holding as an independent digital infrastructure entity that builds, owns and operates shared telecommunications infrastructure across the Middle East and North Africa.

The partnership aimed to create significant value for shareholders through the unlocking of capital and optimization of infrastructure assets that will flourish under the management of an independent team with expansion aspirations in making it a leading regional operator of telecom infrastructure.

TASC’s first landmark in Jordan

The partnership’s first milestone came in 2021, when TASC Towers announced the acquisition and leaseback of Zain Jordan’s 2,607 tower portfolio under a definitive 15 year agreement valued at USD 88 million. The transaction included managed sites, supporting facilities, and a build-to-suit commitment of over 525 new sites.

Jordan became the proving ground for TASC’s operating model demonstrating the company’s ability to deliver infrastructure-grade uptime, expand coverage into underserved areas, and initiate multi-operator colocation.

TASC expanded coverage across urban centers and rural areas alike, improving network quality and bridging connectivity gaps throughout the Kingdom. Today, the Jordanian platform comprises over 3,200 towers.

It’s important to note that under such arrangements, the operator, Zain Jordan and other operators retain their active infrastructure, including wireless communication antennas, intelligent software, and intellectual property with respect to managing its telecom network.

Expansion into Iraq

In January 2023, TASC replicated this model in Iraq, acquiring Zain Iraq’s 4,968 tower portfolio for USD 180 million under a similar 15 year structure. The Iraqi platform has since grown to over 6,000 towers, with infrastructure rebuilt and upgraded to serve a rapidly expanding subscriber base across urban and underserved regions alike.

Agreement to make TASC the largest Tower company in the MENA Region

In December 2023, saw the signing of definitive agreements between Zain Group, Ooredoo Group and TASC Towers to create the largest tower company in the MENA region, comprising approximately 30,000 towers, with a combined estimated current enterprise value of USD 2.2 billion.

The deal once materialized will see Ooredoo and Zain equally retain a substantial stake of 49.3% each in the newly restructured entity, through an asset and cash equalisation process.

The tower entity is expected to achieve run-rate revenues close to USD 500 million annually, with an EBITDAaL (after leases) of more than USD 200 million annually upon the completion of closings in all individual countries including Qatar, Kuwait, Jordan, Iraq, Algeria, and Tunisia. This financial position underpins the promising prospects and profitability of the newly restructured tower company.

The signing of this landmark transaction constitutes a major milestone placing the MENA region on the world telecom tower map and towards realising key aspects of Zain’s strategy, focused on evolving into a smart

telco and creating value-focused portfolio that drive growth and value for shareholders.

Independent nature of TASC with a focus on Sustainability

The trajectory ahead is defined by scale. As an independent tower company, leveraging the combined assets of Ooredoo and Zain, TASC will offer Passive Infrastructure as a Service (Plaas) in a partnership model. This creates unprecedented opportunities for all mobile network operators, offering a capital-efficient alternative to building, owning and managing their own passive infrastructure in a cost-efficient and environmentally friendly manner.

This partnership model is well-equipped to meet the needs of other mobile network operators seeking to reduce costs, lower carbon emissions, and address the increasing demand for sites driven by double digit growth in mobile data consumption across the region.

Both Zain and Ooredoo will retain their respective active infrastructure, including wireless communication antennas, intelligent software, and intellectual property with respect to managing their telecom networks.

This planned consolidation preserves TASC’s independent, neutral-host model while creating a platform of regional significance, positioned to drive colocation growth, standardize operations, and deliver compounding efficiency gains across the portfolio.

Solutions spanning colocation, build-to-suit, sale-and-leaseback, urban densification, and power management delivered through an AI-powered platforms. Sustainability is key hence the push for hybrid power modernization, solar integration, remote monitoring, and cooling optimization.

01
Strategic Review

02
Corporate Sustainability

03
Corporate Governance

04
Financial Statements

01	Strategic Review
02	Corporate Sustainability
03	Corporate Governance
04	Financial Statements

Buy back of Kuwait Tower network

In December 2024, Zain entered a definitive agreement to acquire IHS Holding Limited’s 70% interest in IHS Kuwait Limited, an independent licensed Tower Company that owns 1,675 sites and manages an additional approximate 700 sites in Kuwait. Under the terms of the transaction, Zain agreed to increase its 30% ownership of IHS Kuwait Limited to 100%, at an equity value for the remaining 70% stake of USD 134 million. The Kuwait Tower entity will continue to provide independent tower infrastructure services within the Kuwait market.

New leadership to take TASC Towers to new heights



In Oct 2025, TASC Towers Holding Board of Directors appointed Kamil Hilali as Chief Executive Officer to lead the next phase of TASC’s journey. Kamil has been the Chief Strategy Officer of Zain Group since March 2018, with over 20 years of track record in strategy and corporate development to the new role at TASC, encompassing excellent leadership capabilities, solid technical skills, and business acumen.

As CEO, Kamil has a clear mandate for TASC Towers as the entity enters its next phase: complete the integration of expansion markets between Zain and Ooredoo with the same operational rigor proven in Jordan and Iraq, drive tenancy ratio improvements across the consolidated portfolio, and continue investing in energy efficiency and AI-powered operations that generate long-term value for operators, shareholders, and the communities the platform serves.



Zain Ventures

Scales innovation by investing in the start-up ecosystem

Zain Ventures spearheads company’s investment portfolio, diversifying Zain’s reach and leverage future investment opportunities. Expanding its relationship with regional and international venture capital funds, Zain Ventures continued to diversify its portfolio through direct investments, both internally and externally, offering them access to Zain’s wide geographical reach and expansive customer base.

Having invested approximately USD 156 million by end-2025, Zain Ventures’ portfolio includes:

Indirect Investments

- **Valor Fund:** Managed by Valor Equity Partners, an operational growth investment firm focused on high-growth companies across different industries and stages of development that includes SpaceX.
- **Unbound:** A London-based long-term investment firm that partners with entrepreneurs to build “100-year companies.”
- **BECO Capital III:** Dubai-based and focused on early-stage technology startups.
- **Kadmos Capital:** London-based investment firm dedicated to finding and backing early-stage, deep-tech entities, and impactful technologies in Europe.
- **Colle Capital I:** A US-based women-founded venture fund targeting seed and early-stage technology companies in industries such as FinTech, IoT and healthcare. Focuses on ESG-related activities from business practices to economic and environmental impacts.
- **Wamda MENA Venture I:** Headquartered in Dubai, the fund invests in growth-stage technology companies operating in the MENA region.
- **MEVF II:** A MENA-centric fund targeting early-stage technologies in new media, e-commerce, and enterprise software as a service (“SaaS”). This fund represents synergies with Zain’s digital health and insurtech plans.
- **MEVF III:** A growth-stage fund focusing on Series B technology startups in MENA and Turkey.

Direct Investments:

- **xAI:** An artificial intelligence (AI) company founded by Elon Musk in 2023, best known for its chatbot Grok, and built around a mission to develop AI technologies that advance human understanding and scientific discovery.
- **Cohere:** A Canadian multinational technology company focused on AI for the enterprise sector, specializing in Large Language Models (LLMs) across 100+ languages. Cohere provides businesses customizable models for unique use cases that can easily be integrated into users’ applications.
- **Groq:** A US-based technology company specializing in AI inference infrastructure processing through ultra-fast, low-latency inference chips offering a distinct advantage to accelerate AI, machine learning, and high-performance computing workloads.
- **Articul8:** A US-based entity that offers enterprise customers a full-stack, vertically-optimized and secure generative AI software platform, delivering AI capabilities that keep customer data, training and inference within the enterprise security perimeter.
- **Beyond Limit:** US AI company founded in 2014, rooted in technologies developed at NASA’s Jet Propulsion Laboratory and Caltech. The company specializes in Hybrid AI, combining machine learning with symbolic reasoning to deliver explainable, human-like decision-making for industries such as energy, manufacturing, and healthcare.
- **Revolut:** Established in 2015, a British FinTech company that is expanding across the globe offering comprehensive banking services, adding value to Zain’s FinTech efforts in enhancing the ecosystem across Zain’s footprint.

Internal Initiatives:

ZAINIAC: Zain Group’s internal innovation platform that allows employees to submit, share, and collaborate on new ideas. It was launched to encourage intrapreneurship and creativity within the company. The platform provides mentoring, workshops, and funding for selected ideas to turn them into real business initiatives.

In May 2025, ZAINIAC successfully incubated and funded its first startup, ACTLY, founded by Zain employees, demonstrating commitment to scaling internal innovation. ACTLY is an AI startup delivering personalized customer experiences through AI Agents, providing actionable decision intelligence, combining real-time insights, behavior analytics, and predictive reporting to elevate business decision-making. With the capability to automate over 20,000 monthly conversations, ACTLY empowers organizations to scale effortlessly and meet growing customer expectations with precision.

\$156M

Zain Ventures invested

1.8X

Valuation



Zain Great Idea

Regional expansion marked a new chapter in Zain’s innovation journey



Background

Zain Great Idea (ZGI) is the Group’s flagship tech startup accelerator, created to turn promising early-stage ventures into investable, scalable businesses. Launched in 2010 as a Kuwait-based initiative, and following the launch of the ‘4WARD-Progress with Purpose’ corporate strategy, ZGI evolved into a Group-wide platform that connects founders with structured mentorship, routes to capital, and real market pathways across Zain’s enterprise and consumer ecosystems. Over its 16+ year journey, the program has upskilled more than 7,000 entrepreneurs through 110+ bootcamps, reinforcing ZGI as a long-term engine for capability building and value creation.

In 2025, ZGI marked a defining milestone by expanding beyond its Kuwait-centric roots to welcome applications from innovators across six Zain markets: Kuwait, Bahrain, Iraq, Jordan, Saudi Arabia, and the UAE.

This regional expansion was powered by Zain Ventures, the Group’s venture capital arm, and ZainTECH, its regional digital solutions enterprise arm, strengthening Zain’s pipeline for collaboration with high-potential startups at scale. Zain Ventures played a central role in identifying opportunities for investment and enabling founders to pitch directly for potential funding, while ZainTECH supported program execution by providing strategic advisory and technical enablement aligned with emerging technologies, including cloud, AI, analytics, robotics, and more.

Bootcamp phase

The bootcamp phase served as ZGI’s foundation-building engine, bringing together founders and subject-matter experts through intensive, skills-focused sessions. Across Zain markets, the bootcamp journey gave entrepreneurs a chance to meet program partners and gain clarity on the roadmap, objectives, and expectations. Over the following weeks, founders participated in one-to-one and speed mentoring sessions designed to accelerate practical readiness across core areas such as product development, go-to-market strategy, finance, and operations. The bootcamps drew on a diverse bench of international and regional experts who contributed deep perspectives on venture building and investment readiness.

Beyond expert-led content, the bootcamp phase was deliberately designed to connect founders with the broader ecosystem that can support their growth. Zain specialists from business solutions, sales, technical solutions, and business development contributed practical market insights, while alumni from previous ZGI editions shared live lessons and founder-to-founder guidance. This approach gave startups both capability uplift and early access to the relationships that matter for scaling, including exposure to Zain Ventures and ZainTECH leadership as part of the cohort’s development experience.

Super Saturday phase

Held in October, Super Saturday is ZGI’s high-stakes selection milestone, where participating startups pitched to a panel of judges for the opportunity to advance into the international acceleration track. The format was built to test clarity of problem-solution fit, traction signals, and founder readiness under pressure, while also serving as an early filter for startups with investment potential. Outcomes of this phase shaped the shortlist that moved forward toward the Silicon Valley international accelerator phase, ensuring the most prepared ventures progressed into the program’s most intensive growth environment.

Silicon Valley trip

The Silicon Valley Global Acceleration phase represented the program’s most immersive stage, with the two-week experience having brought together founders from the six Zain markets. The cohort consisted of 11 regional startups, and the program combined intensive learning, networking, and pitching exposure to a broad set of global experts. Designed to elevate business fundamentals and investment readiness, the experience included structured masterclasses and bootcamps, ecosystem engagement, and a Demo Day that helped founders refine their narratives and build momentum for partnerships and fundraising conversations.

The Silicon Valley itinerary blended curriculum with real-world exposure to global innovation leaders. Delivered in collaboration with Vibranium VC, an early-stage venture fund based in Silicon Valley, the program featured hands-on workshops spanning venture mindset, business model design, go-to-market execution, and product decision-making, alongside

practical perspectives on modern product building including no-code and AI approaches. Founders also engaged deeply with fundraising readiness, covering deal fluency, financial modeling, pitch mastery, and long-term pathways such as merger and acquisition outcomes. Field visits to major technology landmarks and innovation institutions, including Apple, Google, Tesla, NVIDIA, Amazon, and Stanford University, translated theory into live insight and reinforced what it takes to compete globally.

Demo Day

Demo Day marked the culminating milestone of the ZGI journey, translating months of acceleration, mentoring, and international exposure into tangible pathways for growth, partnership, and investment. The event brought together founders from 11 tech startups representing six Zain markets, who pitched their refined business models and growth strategies to a curated audience of investors, business partners, and senior executives from across the Group.

More than a showcase, Demo Day reflected Zain’s evolved approach to open innovation by positioning ZGI as a platform where acceleration leads to outcomes. Through the integrated roles of Zain Ventures and ZainTECH, founders were connected directly to potential investment discussions, commercial pilots, and strategic partnerships, reinforcing Zain’s commitment to turning entrepreneurial momentum into scalable economic value.

The event also underscored the impact of ZGI’s regional expansion, demonstrating how a Group-wide accelerator can serve as a bridge between local innovation and regional and global markets. By convening startups, investors, and decision-makers on a single stage, Demo Day reaffirmed Zain Great Idea’s role as a long-term growth engine that converts ideas into investable ventures and strengthens the region’s innovation ecosystem.

Fintech

Creating value by scaling and investing in the Digital ecosystem

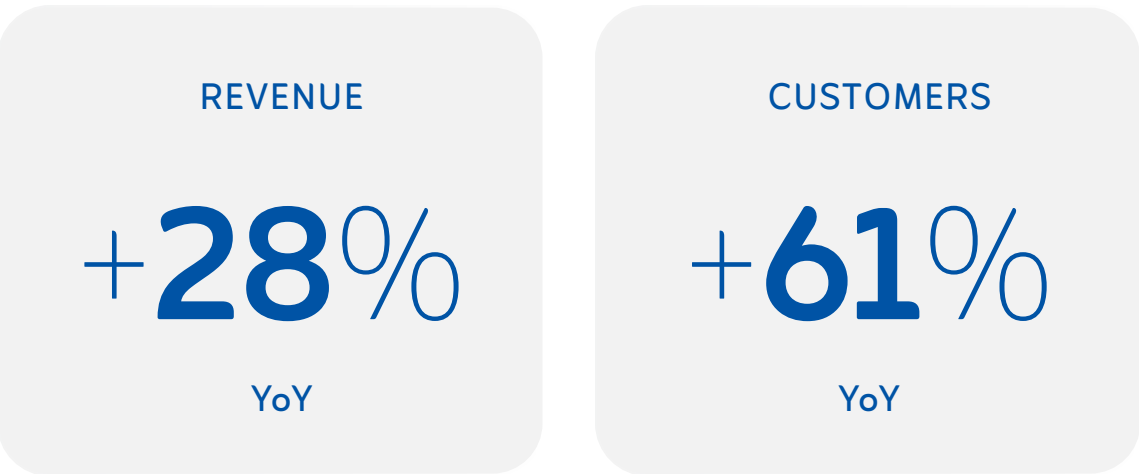
Digital Zain is one of four key forces of the '4WARD-Progress with Purpose' corporate strategy, centered on scaling innovation and investing in digital platforms and emerging technologies to expand beyond traditional connectivity and unlock new revenue opportunities.

In recent years, Zain's foray into multiple new digital-focused business verticals has created value for the company on multiple fronts, which include attracting and improving customer experience, enhancing the Zain brand, and delivering new revenue streams.

FinTech rollout across all markets

Throughout 2025, Zain expanded its FinTech operations and services, contributing to the evolution of the region's digital ecosystem and financial inclusion. Fintech operations were rolled out in KSA, Jordan, Iraq, Bahrain, Kuwait, and Sudan, along with FOO, a UAE-based subsidiary specialized in FinTech solutions for enterprises and governments of all sizes.

In 2024, Zain introduced BEDE, its all-new Fintech masterbrand, first launched in Bahrain. In 2025, BEDE expanded to Kuwait and Sudan. Going forward, Zain plans to gradually rebrand all its FinTech entities under BEDE.



Bede Kuwait

Bookeey, Zain's mobile wallet and payment gateway, was successfully rebranded to BEDE as part of its integration into the Zain FinTech portfolio. The rebrand marked a strategic shift toward establishing Kuwait's leading digital FinTech platform, designed to expand inclusive financial access for consumers and small and medium-sized enterprises (SME) through intelligent, compliant, and borderless digital finance, underpinned by deep partnerships with the banking sector and the Group's Kuwait operation. BEDE currently delivers an omni-channel payments stack offering a powerful suite of business-grade payment services built to support businesses of all sizes launch faster, sell across channels, and get paid seamlessly. The entity is awaiting regulatory approvals to rollout more services.

Bede Bahrain

BEDE was launched in the Kingdom in 2024, offering microfinancing services to Bahraini nationals. It has since expanded inclusive financing by broadening eligibility to non-Bahraini nationals and retirees, increasing financing limits, and launching Sharia-compliant campaigns such as Ramadan "No Fees, No Profit Financing." It has also strengthened digital capabilities through advanced backend integrations, AI-powered customer engagement, and self-service features that enhanced automation, speed, and customer experience. BEDE also scaled impact and partnerships by launching Ta'leem, Bahrain's first digital education financing solution, and deepening collaborations with Mastercard, NEC, and SINNAD to deliver value-added and payment services.

zain CASH Iraq

Zain Cash strengthened its leadership in the Iraqi market by expanding financial inclusion and increasing access to secure mobile financial services. A new mobile app was launched with improved user experience and added services, including the integration of Zain Bundles, expanded merchant payments, and enhanced remittances. A fully digital onboarding journey was introduced, with advanced biometric verification and fraud prevention to ensure secure and seamless customer registration.

zain CASH Jordan

Zain Cash sustained strong momentum, leading the Jordanian market with first-of-its-kind features including Apple Pay, virtual cards, inbound remittances, and enhanced security. It enhanced customer experience by ongoing improvements in onboarding, user journeys, and app reliability, making everyday payments simpler, smoother, and more dependable. It grew the ecosystem by expanding partnerships and strengthening SME solutions use cases, touchpoints, and digital payment adoption across consumers and businesses.

tamam Saudi Arabia

Another strong year was achieved for Tamam, Zain KSA's digital micro-financing subsidiary. The platform delivered fully digital, instant approval, and Sharia-compliant financing. Tamam continued to reinforce Zain's leading position in digital consumer finance in KSA, expanding its financing portfolio across cash, instalment and device solutions.

Bede Sudan

BEDE in Sudan launched in April 2025, offering wallet services supporting USSD and mobile apps such as money in, money out, payment, and local transfer, with more services being introduced gradually.

Bede South Sudan

BEDE has applied for a Mobile Money license from the country's National Communication Authority and Central Bank. Looking ahead, BEDE aims to scale further across South Sudan, extending mobile money services to more communities.



Bede

Dizlee

Dizlee API platform offering rich and entertaining digital content

Dizlee is Zain’s API-driven digital monetization platform, designed to enable and scale a wide range of digital services across the Group’s operating companies through a single, unified ecosystem. The platform delivers a comprehensive portfolio that includes digital content and gaming services, Direct Carrier Billing (DCB), messaging solutions, digital authentication, network APIs, and other value-added digital services.

Launched in 2018, Dizlee was created to standardize digital service delivery across Zain markets, while unlocking new monetization opportunities from Zain’s large and premium customer base. Over time, it has evolved into a one-stop platform that connects operators, partners, and service providers, enabling faster go-to-market and consistent service deployment at scale.

During 2025, Dizlee demonstrated strong operational and financial performance. The DCB business continued its solid growth trajectory, with 289 live services across 58 active partners, reflecting strong partner confidence and increasing market adoption.

Overall, Dizlee recorded a 51% YoY revenue growth, underlining the effectiveness of its platform strategy and execution. This performance provides a strong foundation to support the platform’s upcoming strategic initiatives and long-term growth objectives.

Dizlee diversified its revenue streams in 2025 by introducing platform fees for partners, alongside the launch of Network API monetization and Digital Advertising services. These initiatives mark a key shift towards a more sustainable and scalable revenue model beyond traditional digital content services.

Additionally, Dizlee expanded its Communication Platform as a Service (CPaaS) offerings, with services now live in Kuwait and clear potential for further rollout in other Zain markets. This expansion positions Dizlee as a core enabler of enterprise and digital communication use cases within the Group.

On the Network API front, Dizlee has been working closely with Aduna, the global aggregator of standardized network APIs, to commercialize Zain’s Network APIs across multiple geographies and partner ecosystems. In parallel, through collaboration with several partners, Dizlee has begun deploying CAMARA-based APIs with Zain Kuwait, making Zain one of the early adopters of CAMARA-compliant APIs. Initial services include SIM Swap, KYC Match, Subscriber Number Authentication (SNA), and Number Verification, laying the groundwork for advanced digital security and identity use cases.

Through these strategic initiatives and strong partner collaborations, Dizlee continues to strengthen its position as a key digital growth engine for Zain Group, driving diversified, scalable, and sustainable revenue growth across markets.



Zain Esports in 2025

84K

Registrants / Attendees

64

Activations / Tournaments

211M

Total social media impressions
& stream views

203K

Social media followers

ZAIN ESPORTS

Zain Esports strengthening its connection with youth

Throughout 2025, Zain esports consolidated its journey with gaming communities through a series of activations across the region, undertaking 64 tournaments and activations with Zain operations in Kuwait, Bahrain, Jordan, and Iraq. The year saw over 84,000 registrants and attendees across all activations and tournaments. Since inception in 2021, Zain Esports has attracted over 234,000 participants and garnered over 550 million social media impressions regionally.

Further strengthening its connection with the youth, Zain Esports expanded its reach through meaningful partnerships with local universities across the region. By collaborating with academic institutions, Zain Esports is creating opportunities for students to explore the world of competitive gaming, digital entertainment, and esports management. These partnerships aim to foster a new generation of gamers, creators, and industry professionals by integrating esports into campus life through tournaments, workshops, and educational initiatives. This approach not only nurtures young talent but also bridges the gap between education and the growing esports industry, empowering students to transform their passion for gaming into real-world skills and career opportunities. Through these efforts, Zain Esports reaffirms its role as a leader in driving digital innovation and youth engagement in the Middle East.

While Zain Esports focused on regional events, Zain operating companies also carried out local activations and strategic partnerships.

Group-wide

Zain Esports has conducted seven major tournaments, seeing 530+ participants and 12,000+ stream views.

Kuwait

Zain Esports participated in Comfest 2025, one of the country’s biggest gaming and entertainment events, showcasing Duwaween Games, a gaming application with five local card games. Zain Esports activations and Group-wide tournaments were also showcased to the growing local gaming community.

Bahrain

The Zain Esports Lab underwent comprehensive renovation and rebranding to reflect a more modern, streamlined, and professional environment. The facility now includes over 50 spectator seats, 12 high-performance PCs and PS5 consoles. Moreover, Zain Bahrain Esports has partnered with the Bahrain Esports Federation to operate the National Esports Qualifier for the GCC league, FIFA eWorld Cup and the third Asian Youth Games, targeting 15- to 18-year-olds with three games titles: Rocket League, eFootball, and Street Fighter 6. Zain Bahrain sponsored two successful external events and venues, which include Comfest and Bahrain Sports Day. These events saw the complete build up and operation of syndicated esports venues that attracted hundreds of visitors and participants. Finally, Zain Bahrain is in discussions with Bahrain’s second-largest university, Bahrain Polytechnic, to establish a dedicated Zain esports Lab on campus. This lab will serve as a venue for national esports tournaments and events, including the second edition of the University eLeague, as well as hosting educational esports seminars.

Jordan

Zain Esports renewed its agreement with the Jordanian Esports Federation, hosting multiple tournaments and activations within Zain Jordan’s state-of-the-art venue, The Dome. Additionally, Zain signed and partnered with GamerG, an esports platform with over 30,000 players on the platform. In partnership with Jordan University, Zain also opened a gaming hall on campus to promote gaming to a new generation of students. Zain Jordan Esports will offer game design courses and provide a dedicated space for lectures and workshops on game development and esports, as well as allow students to book the center for related activities and events. Finally, Zain Jordan Esports sponsored and powered the electronic West Asian Football Federation (eWAFF) Invitational Championships, featuring 10 participating countries in collaboration with Zain Iraq Esports.

Iraq

Zain Esports achieved remarkable milestones in the industry through a series of prestigious partnerships and sponsorships. The platform also earned an official license from Ubisoft to host the Rainbow Six Siege tournament in Iraq. Zain also secured an official esports partnership with HONOR and Krafton for PUBG MOBILE, including obtaining the official license for Iraq’s largest PUBG MOBILE championship – PMNC Iraq Fall 2025. Zain sponsored the PMNC Iraq 2025 Champions, who went on to represent Iraq in the PUBG MOBILE Super League (PMSL). On another note, Zain Iraq expanded its network of official partners to include DHL, Al Nomoor, Karada Store, and Moonline Travel & Tourism, strengthening its presence across multiple sectors. Finally, Zain Iraq proudly sponsored Iraq’s only representatives at the Esports World Cup 2025 in Riyadh for FC25, cementing its role as a driving force in the growth and international recognition of Iraq’s esports community. In the fourth quarter of 2025, Zain Iraq Esports partnered with Visa and Faceit, a local gaming platform, to amplify and elevate the esports community in Iraq.





Zain Kuwait, the Group’s flagship operation, was established in 1983 and in 1994 became the first telecom operator to launch commercial GSM services in the region. The Company was listed on Bursa Kuwait in 1985 and is now traded on its Premier Market, consolidating all Group operations and assets across markets, with a market capitalization of USD 7.3 billion (at a share price of 519 fils) as at 31 December 2025.

Market-leading performance

Zain Kuwait delivered solid financial and operational results in a highly competitive market, maintaining its clear number-one position with a customer base of 2.6 million, the highest revenue and net income market shares, and the leading Net Promoter Score (NPS), supported by consistent service quality and high network reliability.

For the full year 2025, revenue grew 4% YoY to KD 386 million (USD 1.3 billion), while EBITDA reached KD 139 million (USD 452 million), reflecting a healthy EBITDA margin of 36%. Net income declined 21% YoY to KD 87 million (USD 282 million), primarily due to the USD 80 million one-off transaction gain from the step-up acquisition of IHS (Kuwait TowerCo) in Q4 2024; excluding this one-time gain, net income would have grown 1% YoY. Data services remained a key growth driver, contributing 36% of total revenue, with data revenue increasing 4% YoY, underscoring the ongoing shift toward digital adoption and higher-value services.

CAPEX and technology leadership

Recognizing the importance of technology leadership, Zain Kuwait invested USD 274 million in CAPEX during 2025, representing 22% of

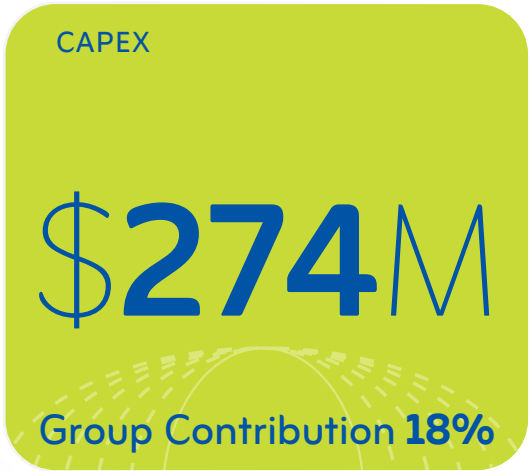


revenue, primarily to expand 5G Advanced across 1,300 towers nationwide, enhancing customer experience, driving B2B revenues, and supporting retention of key clients. The Company further strengthened its network leadership through an accelerated rollout program and targeted capability upgrades, expanding its 5G Advanced footprint across key population centers to improve coverage, speed, and overall customer experience. A major new data center milestone supported equipment migration and colocation growth, alongside core upgrades including enhanced Standalone (SA) and VoNR readiness, improved roaming interoperability, and additional service innovations, reinforcing a resilient, future-ready network.

Independent assessments by Ookla and OpenSignal throughout the year confirmed Zain Kuwait’s leading position in 4G and 5G performance, with top rankings in streaming experience and network quality. Beyond performance metrics, the Company enabled landmark innovation by supporting a Guinness World Record-setting remote robotic surgery enabled by ultra-low latency connectivity, and strengthened national digital trust by identifying and mitigating the source of fraudulent SMS activity, developing preventive detection tools in close coordination with relevant authorities.

Enhanced digital experience and Zain Perks

The launch of an enhanced customer app with more dynamic, seamless features led to a substantial increase in monthly active users and engagement, with digital payments accounting for nearly 75% of transactions. This was complemented by the introduction of Zain Perks, an exclusive rewards program providing instant offers from more than 50



partners across fashion, sports and health, home and lifestyle, and other categories.

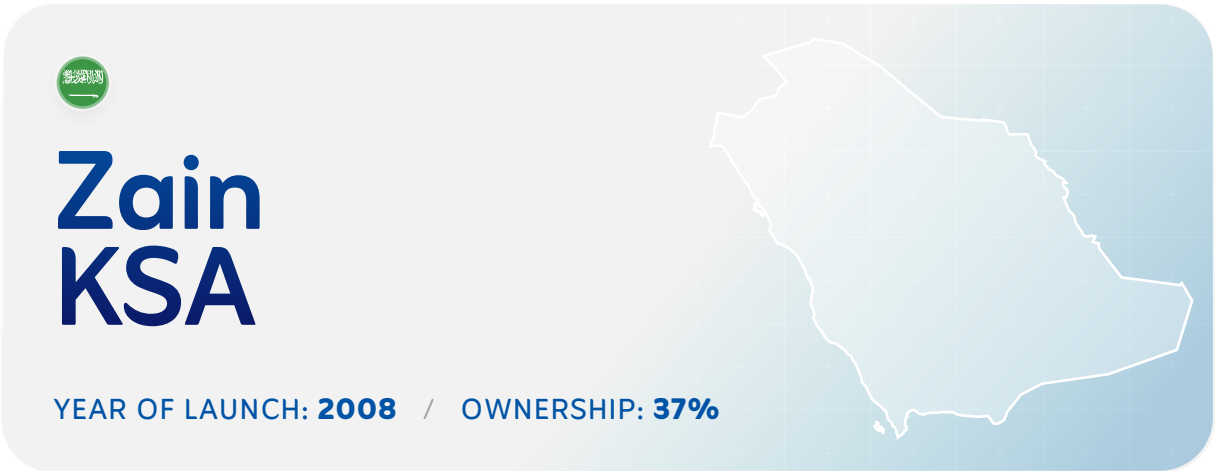
The growing network of local and international brands is automatically available to all Zain Kuwait customers on postpaid and prepaid voice and Internet plans, without pre-registration or point collection, offering a simple experience based on instant rewards without complications or conditions; customers also receive 50 GB free when redeeming any Zain Perks offer. Zain Perks aligns with the Company’s strategy to enrich the digital experience and provide added value beyond traditional telecom services by designing innovative solutions that make customers’ daily lives easier and more flexible, while supporting the local retail ecosystem by connecting brands directly with a broad segment of Zain’s customer base.

Sound corporate governance

Zain Kuwait’s leadership is also demonstrated in its governance practices, with the Company receiving World Finance’s “Best Corporate Governance Award 2025” in Kuwait for the fifth consecutive year, underscoring its ongoing commitment to transparency, accountability, and ethical business conduct.

Outlook

Looking ahead, Zain Kuwait remains committed to sustainable growth and long-term value creation for shareholders. Building on its network leadership, AI expertise and strong governance foundation, the Company will continue to deliver innovative solutions, elevate customer experience, and contribute to Kuwait’s broader digital transformation agenda.



Zain KSA launched commercial operations in the Kingdom on 26 August 2008, one year after being awarded its mobile license. Zain Group holds a 37% equity stake, with 21% owned by a Saudi consortium and 42% free float on the Tadawul Stock Exchange (ZAIN KSA, 7030); the Company’s market capitalization was approximately USD 2.45 billion as of 31 December 2025, reflecting a share price of SAR 10.26.

Highest revenue on record

In 2025, Zain KSA reported its highest-ever revenue of USD 2.9 billion, a 6% YoY increase, with EBITDA rising 4% YoY to USD 925 million, reflecting an EBITDA margin of 32%. Net income reached USD 161 million, up 1% YoY, and on a like-for-like basis—excluding the non-recurring SAR 233 million tax and zakat provisions recorded in 2024—net profit grew 66% YoY, highlighting stronger operational performance and more sustainable revenue streams.

Investments in digital infrastructure, 5G expansion, and enhanced customer experience were key drivers of revenue growth, further supported by the enterprise segment and adjacent businesses including digital operator Yaqoot and microfinance arm Tamam, which contributed to revenue diversification. Reflecting this performance, the Board recommended a cash dividend of SAR 0.5 per share for 2025.

Network investment driving growth

Zain KSA continued to invest significantly in CAPEX, allocating USD 357 million to expand 5G coverage and enhance 4G LTE capacity. With a dynamic 5G network now covering 66 cities, data revenue grew 3% and



represented 39% of total revenue for the year, while the customer base reached 8.1 million. The operator added approximately 1,000 new sites, increasing population coverage by 700,000 and achieving 5G Standalone readiness for VoNR, VoWiFi, VoNR handover, roaming, and gaming use cases.

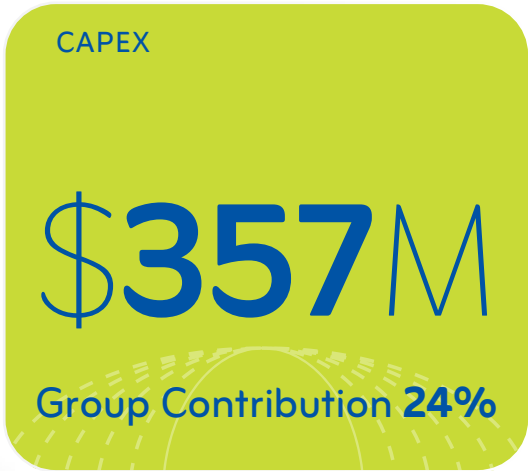
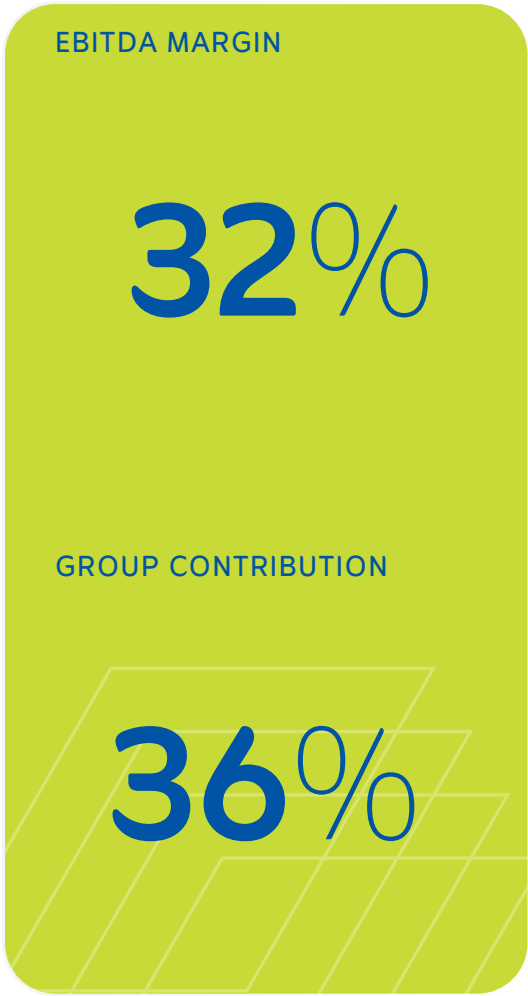
Digital operator of choice

Zain KSA enhanced its end-to-end digital journey through improvements in activation, payments, add-ons, customer value management (CVM), and visitor onboarding. Yaqoot continued to see strong demand, delivering revenue growth supported by refreshed voice and data packages, attractive roaming and international offers, and effective marketing campaigns.

The Company further strengthened Yaqoot’s digital proposition with a new website featuring an improved UX/UI to support smoother product discovery and easier access to customer support, while engagement was boosted via the Mokafaa Rewards program and the launch of Mokafaa Welcome Points, which increased transactions and accelerated digital onboarding. Zain KSA also built an in-house e-commerce marketplace and upgraded its core digital Business Support System (BSS), enhancing scalability and supporting future digital growth.

A leading fintech platform

Tamam, Zain KSA’s digital micro-financing subsidiary, recorded another strong year, offering fully digital, instant-approval, Sharia-compliant financing and reinforcing its leading position in digital consumer finance in the Kingdom. Revenues grew 18% through expansion of its financing

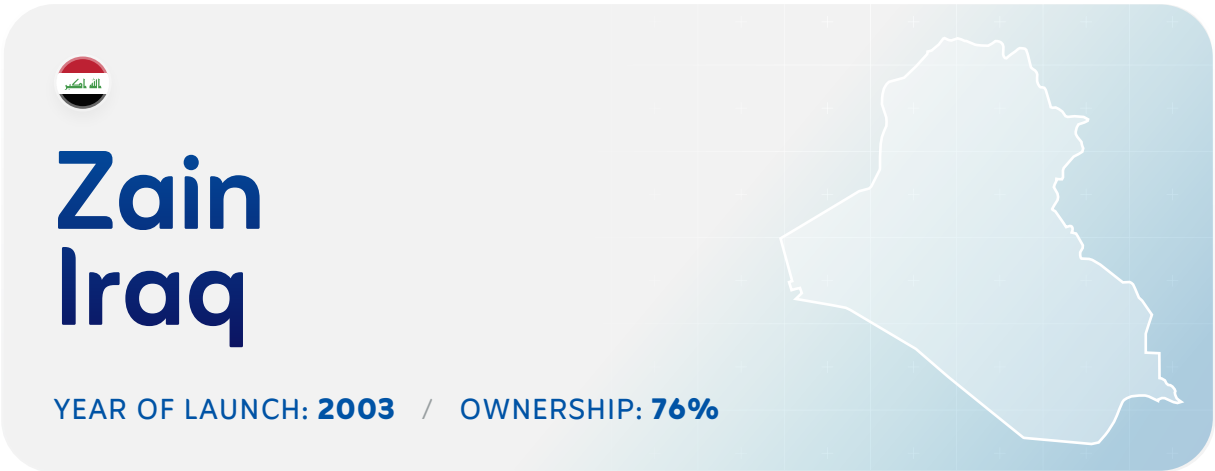


portfolio across cash, instalment, and device solutions, contributing to the Company’s broader fintech momentum.

Recognition and outlook

Zain KSA’s performance and investments in sustainability, innovation, customer experience, and national talent development earned multiple national and international awards in 2025, including the CSR Award from the Ministry of Human Resources and Social Development for the second consecutive year, as well as recognitions in health and well-being, customer experience, future talent development, inclusion, and digital innovation and AI applications.

Looking ahead, Zain KSA will focus on converting its network leadership into stronger monetization and sustainable growth, while continuing to play a central role in the Kingdom’s digital transformation and Vision 2030. The Company will accelerate its digital-first, AI-enabled operating model to enhance customer experience and efficiency, strengthen its position as a trusted ICT partner for enterprises and national initiatives, and scale Yaqoot and Tamam to deepen engagement and drive digital-led growth, with disciplined risk and quality management underpinning long-term value creation.



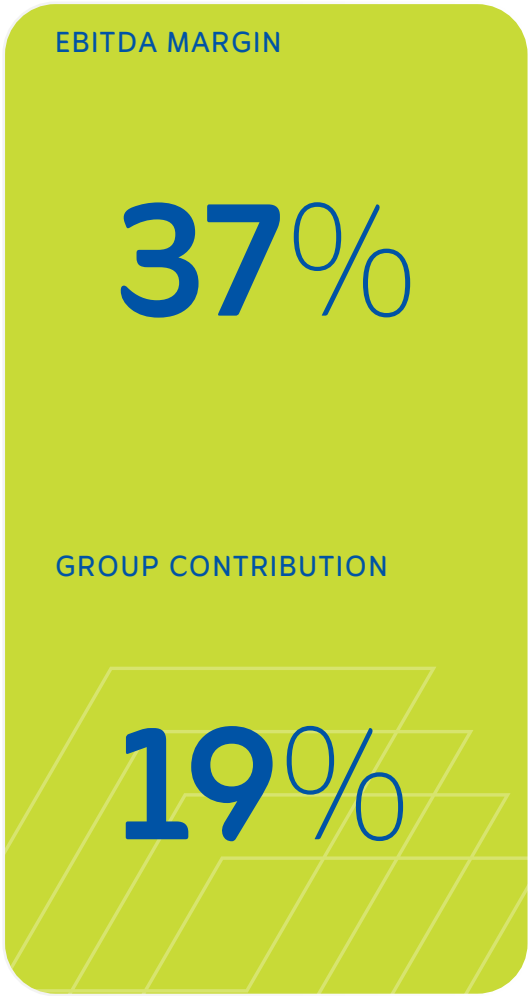
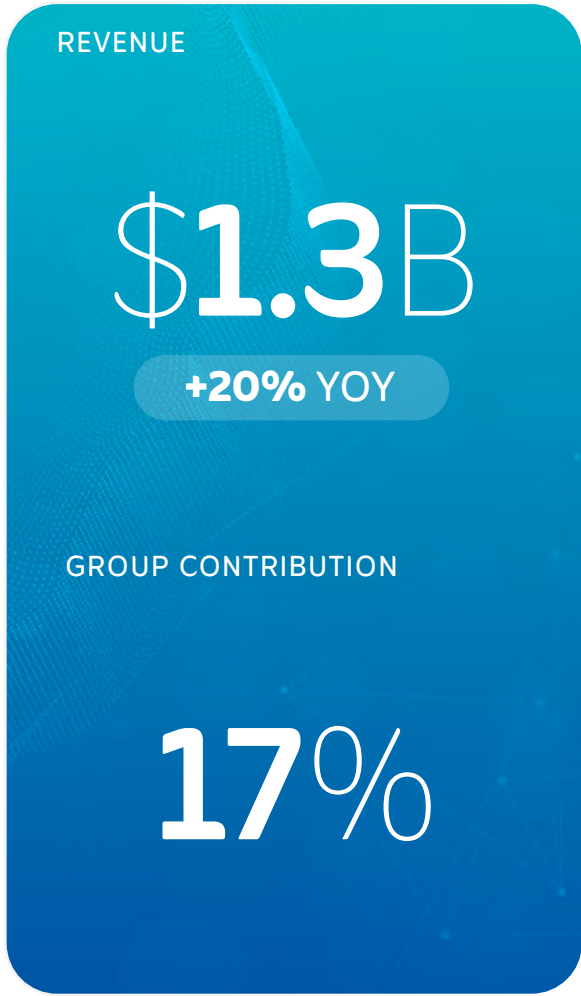
Zain has been providing mobile services in Iraq since December 2003 and, following the award of a 15-year license in August 2007, further extended to 2030 including 4G spectrum, has grown to become the largest mobile operator in the country. As of 31 December 2025, Zain Iraq’s market capitalization was approximately USD 3.3 billion.

Zain Iraq delivered a standout performance in 2025, reaffirming the company’s strategic direction and the long-term value of its ongoing infrastructure investments. Revenue reached USD 1.29 billion, marking 20% YoY growth driven by sustained commercial momentum, the successful diversification of subsidiaries Next Generation and Horizon, and an aggressive network expansion program coupled with optimized operational efficiencies.

By year-end, the customer base increased 6% YoY to 20.9 million, further cementing Zain Iraq’s position as the market leader. EBITDA rose to USD 473 million, maintaining a solid 37% margin, while net profit grew 15% YoY to USD 150 million, reflecting a highly successful and transformative year.

Superior network and digital expansion

A CAPEX investment of over USD 555 million, primarily directed toward the rollout of 1,288 new sites, is delivering strong returns and reinforcing network superiority. To enhance the digital journey for its predominantly young customer base, the operator revamped its customer app, increasing monthly usage by 30% and materially growing online payment transactions, while enhancements to the website improved self-care capabilities.



Commercial innovation and new platforms

Zain Iraq continued to strengthen its commercial propositions, particularly through its KAFOO service, which is evolving into an app-first product and has significantly attracted customers, driving revenue and data usage; device sales also contributed to revenue growth. The launch of Zain Mart, a new in-house developed e-commerce marketplace, recorded strong initial uptake during its soft launch, supported by promotions and a comprehensive go-to-market plan with targeted offers and seasonal campaigns tailored to a price-sensitive market.

Developed by the Company’s Digital Factory to ensure agility, operational efficiency, and scalability, Zain Mart aims to leverage Zain Iraq’s customer base, brand trust, and ecosystem touchpoints to drive adoption, offering same-day delivery, multiple payment options including cash, cards, and BNPL, and a wide range of merchant partners. The operator also launched a new loyalty platform, Mamnoon, to support customer retention and acquisition through enhanced rewards and engagement.

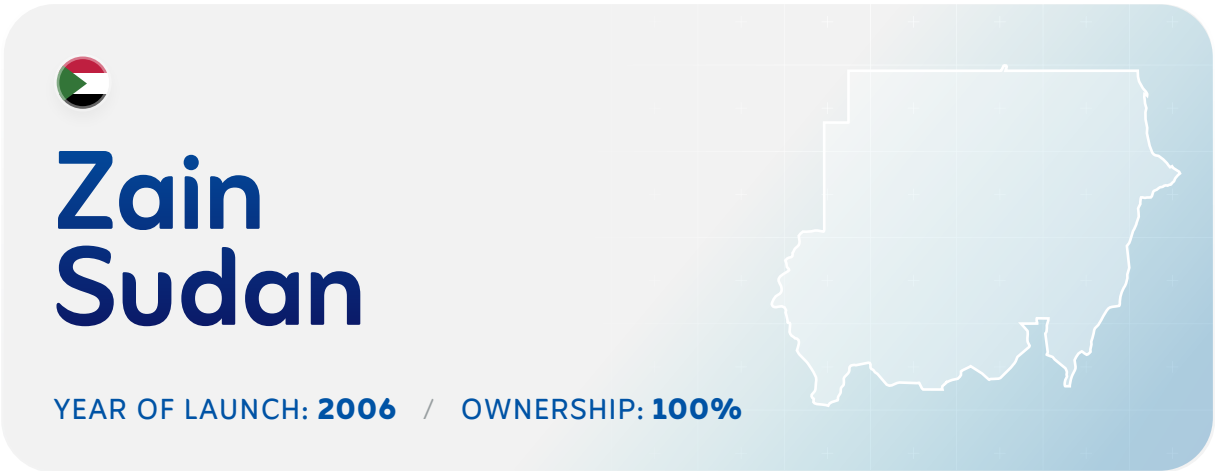
Enterprise focus

Horizon deepened its engagement with key Iraqi government entities and national institutions, securing new agreements across multiple large-scale government and enterprise projects, reinforcing Zain Iraq’s role as a strategic ICT partner in the country’s digital transformation.



Outlook

Building on the many milestones achieved in 2025, Zain Iraq will continue to expand its network while advancing toward full 5G readiness. The Company will utilize AI and recent learnings to further enhance its customer app to drive higher levels of digital payments and transactions, strengthen its loyalty program to deepen engagement with its customer base, and enrich its KAFOO product offerings. A key priority will be accelerating growth in its high-value enterprise business, targeting government entities and businesses of all sizes.



Zain Sudan began its journey in February 2006, when Zain acquired a 61% stake in Mobitel Sudan’s first mobile operator in a deal valued at USD 1.33 billion. The company was rebranded as Zain in September 2007 and subsequently renewed its operating license for a 20-year period.

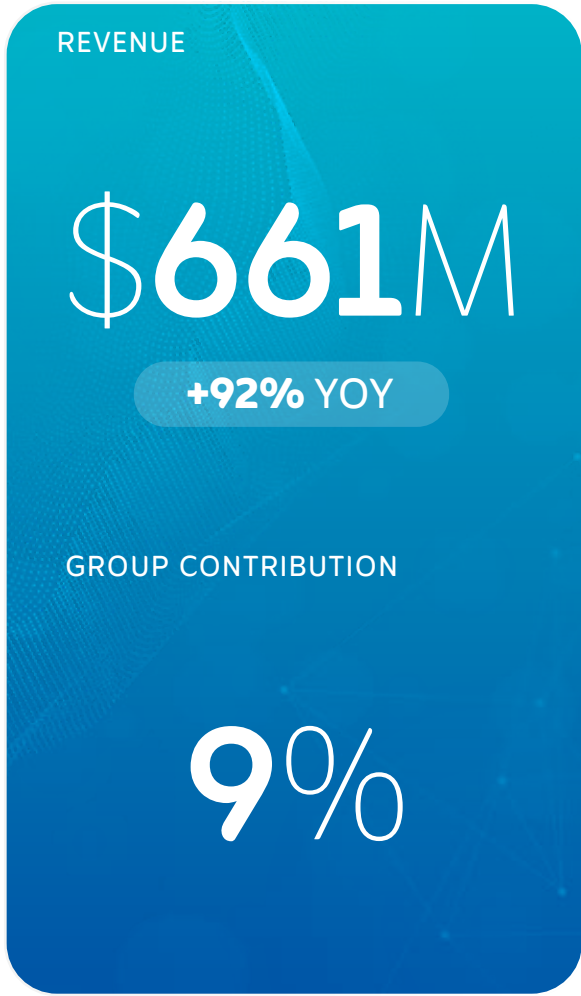
Navigating a Challenging Environment

In 2025, Zain Sudan operated in an exceptionally complex environment, as ongoing conflict continued to impact infrastructure, power availability, and overall customer experience. Against this backdrop, the company prioritized resilience—optimizing existing assets, restoring critical network nodes where possible, and adapting its commercial strategies to mitigate inflationary pressures and currency depreciation.

These efforts drove a clear operational turnaround, with key performance indicators (KPIs) gradually recovering and showing marked improvement throughout the year. Zain Sudan balanced the stabilization of core services with revised pricing structures and accelerated growth in data, digital platforms, and enterprise ICT services to offset revenue pressures. The operator further strengthened its strategic positioning by advancing its mobile financial services offering.

CAPEX Driving Growth and Recovery

Recognizing its critical role as a backbone for economic activity, humanitarian operations, and social resilience, Zain Sudan invested over USD 98 million in CAPEX. The company deployed 350 km of fiber as part of a replacement program and upgraded 68 km of microwave links to metro fiber across multiple cities. These initiatives boosted data network



performance and significantly enhanced customer experience, contributing to a 122% year-on-year (YoY) increase in data traffic.

Operationally, Zain Sudan accelerated its recovery program, restoring 814 sites during the year, a 60% increase compared to 2024 and reactivating nearly 90% of its network in safe areas. This progress was enabled by strong technology-led initiatives, including reinstating a Knowledge Transfer Network to function as a disaster recovery site for Power Spectral Density (PSD), with full charging and circuit-switching capabilities.

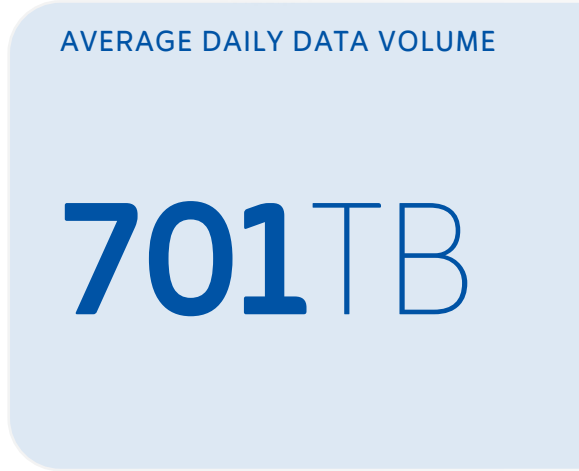
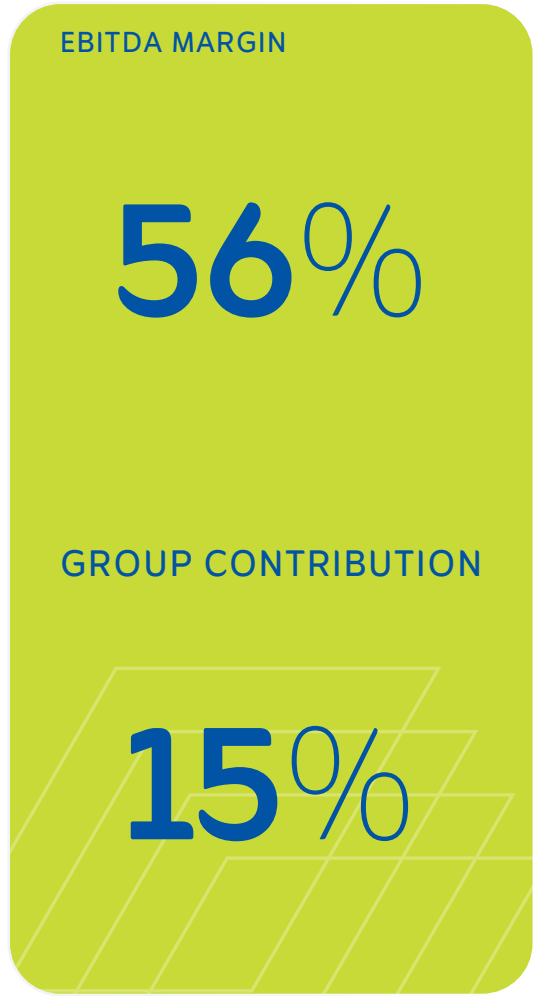
Sustained Growth Across All KPIs

As network coverage and service availability improved, Zain Sudan’s customer base expanded by 22% YoY to 12.3 million. Data revenue more than doubled (+108% YoY) and now represents 32% of total revenue, reflecting strong digital adoption across the market.

Financially, the company delivered outstanding results: revenue rose 92% YoY to USD 661 million, EBITDA grew 143% to USD 373 million (a margin of 56%), and net income reached USD 290 million. Zain Sudan consequently became the largest contributor to Zain Group’s net income in FY 2025, underscoring its remarkable turnaround and strategic value to the Group.

Completion of the BSS Transformation

Zain Sudan successfully completed its Business Support System (BSS) transformation program in 2025. The initiative unified products and order management within a single governed commercial framework,



enabling consistent omnichannel execution and end-to-end visibility across distribution, resources, and inventory.

The company enhanced credit management with AI-driven scoring tools, improving credit control and reducing default risk. This transformation also delivered a redesigned website, a new Zain App, and advanced Real-Time Transport Protocol capabilities—ensuring a consistent digital experience across all platforms. Additional initiatives included the introduction of a Value-Added Services (VAS) landing page with OTP verification to prevent unauthorized subscriptions, as well as the automation of repetitive call-center tasks, improving efficiency and customer satisfaction.

Launch of BEDE to Drive Financial Inclusion

On the fintech front, Zain Sudan continued scaling its digital ecosystem with the launch of BEDE, the country’s first telecom-led mobile financial services application, in April 2025. Strong early adoption was achieved through targeted onboarding campaigns, resulting in 821,000 registered users and over 110,000 transactions in its first year. BEDE has strengthened customer engagement and expanded the role of mobile money in daily life across Sudan.

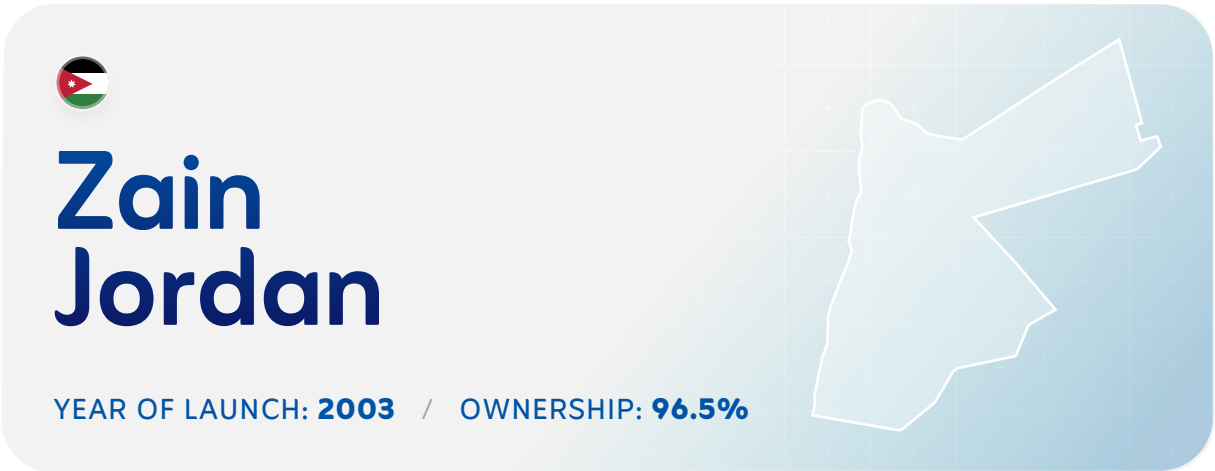
Expanding the Merchant Network

To broaden acceptance and drive transaction growth, Zain Sudan launched nationwide merchant acquisition campaigns across nine major cities. Over 5,000 merchants were onboarded through on-ground registration, cash-in stations, and digital payment activations, laying the foundation for sustained growth in mobile financial services.

Outlook

Looking ahead, Zain Sudan remains committed to sustaining its market leadership and accelerating operational recovery. The company will continue to protect revenue and market share, deepen data monetization, and leverage selective local and international partnerships. Key priorities include restoring and re-engaging the customer base in recovered areas through targeted win-back and churn-control campaigns, expanding eSIM penetration, and enhancing the overall customer journey.

Supported by a stronger network, digital platforms, and an improving environment, Zain Sudan is well positioned to maintain its positive momentum and continue as a major contributor to Zain Group’s performance.



Since its establishment in 1994, Zain Jordan has played a pioneering role in transforming the Kingdom’s telecommunications sector. As the nation’s first mobile operator (launched as Fastlink), the company set new industry benchmarks, later becoming part of Zain Group’s Middle East operations in 2003. Despite operating in an increasingly competitive and liberalized market, Zain Jordan has maintained its leadership position, being the first to introduce 4G services in 2015, and continues to set the pace for innovation and connectivity across the country.

Solid financial performance

2025 was marked by sustained and balanced growth, driven by continued digital transformation and disciplined strategic execution. Zain Jordan’s customer base expanded 2% YoY to reach 4.2 million, while revenue grew 7% to USD 595 million. EBITDA increased 1% to USD 227 million, maintaining a robust margin of 38% supported by ongoing efficiency initiatives. Net income reached USD 75 million, underscoring the Company’s resilience and consistent delivery of value to shareholders and customers alike.

CAPEX and network-driven growth

Zain Jordan invested over USD 88 million in 2025 to strengthen its network and digital infrastructure, fueling stronger connectivity and service expansion. Continued efforts in accelerating 5G rollout and FTTH deployment led to a 15% increase in data revenue, which now accounts for 55% of total revenue, reflecting the rising appetite for high-speed digital experiences. The main 5G expansion, comprising approximately 400 new sites concentrated in northern regions of the Kingdom, brought total 5G



sites to over 1,100. Meanwhile, FTTH progress in Irbid, Karak, and Mafrqa connected more than 1.6 million homes, expanding the reach of fiber connectivity to more communities.

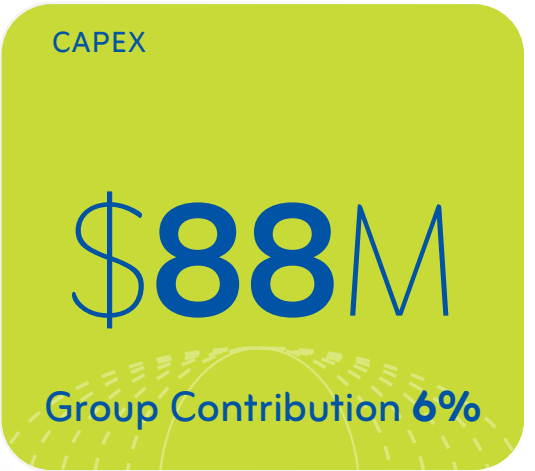
Enhanced commercial momentum

Zain Jordan’s device-led packages achieved a 65% increase in device-related revenue, supported by flexible installment plans, an expanded portfolio, and bundled offers for postpaid and mobile broadband customers. The enhanced Zain Jordan App and revamped digital portals boosted engagement, driving over 50% growth in customer interactions while reducing dependence on physical branches and call centers.

Strengthening the enterprise portfolio

Within its ICT segment, Zain Jordan achieved strong momentum through major enterprise and government contracts across connectivity and digital services. This success reinforces its position as a trusted partner supporting national digitalization efforts. The company expanded integrated connectivity and Wi-Fi solutions for key government institutions, enhancing value creation and user experience across mission-critical environments.

Zain Jordan also advanced its enterprise digital capabilities through milestones in cloud and productivity solutions, securing its largest-ever Office 365 agreement and enabling more robust connectivity for strategic customers. Furthermore, its work in smart infrastructure, such as smart metering, continues to strengthen its role in driving the Kingdom’s digital modernization agenda.

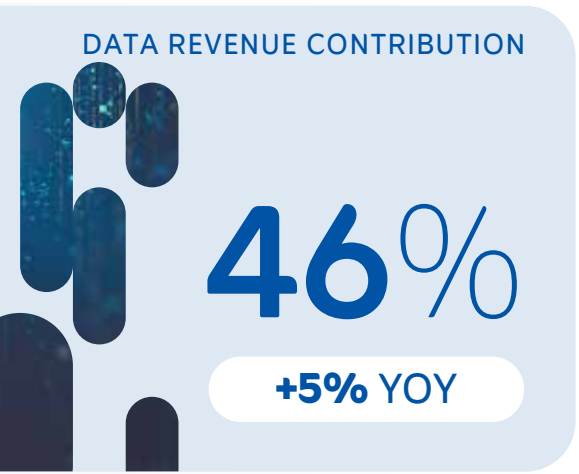
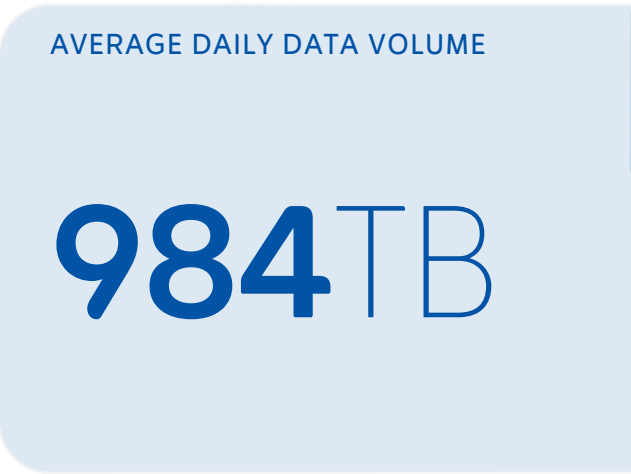
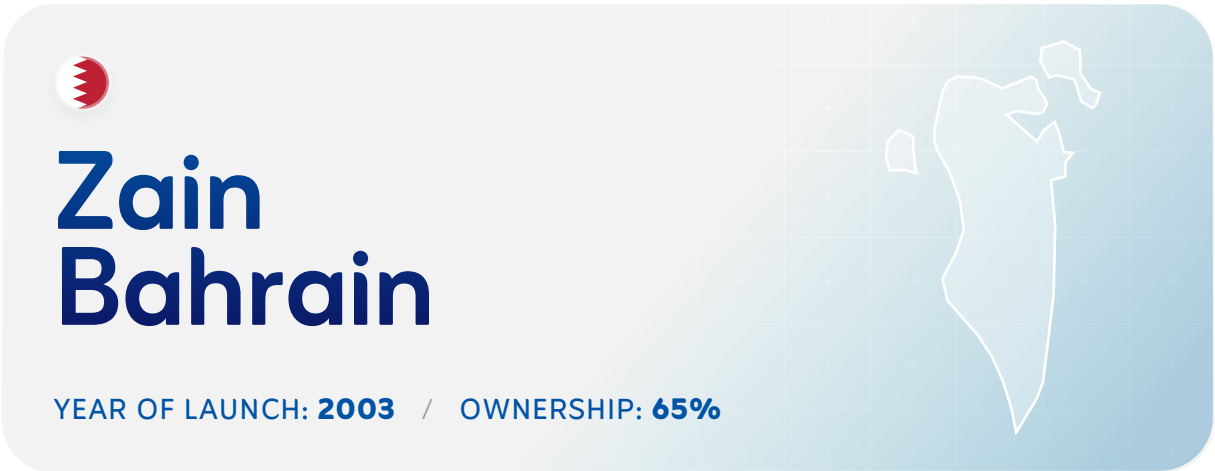


Recognition and leadership

The company’s achievements received wide industry recognition, with awards including Best Data Center, Best 5G Expansion, and Best Digital Transformation. These honors underscore Zain Jordan’s leadership in enterprise innovation, customer experience, and digital excellence, reinforcing its readiness for future growth.

Innovation key to future growth

Through continued innovation with AI initiatives at the forefront, targeted investments including a major BSS modernization project and a disciplined approach to execution, Zain Jordan remains firmly positioned to lead national digital transformation, elevate customer and enterprise experiences, and deliver sustainable value for all stakeholders.



Zain Bahrain commenced commercial operations in December 2003 under the name MTC Vodafone before rebranding to Zain in 2007. Through its pioneering efforts in deploying advanced technologies, Zain has played a central role in positioning Bahrain on the global telecommunications map. The company is listed on the Bahrain Bourse (trading symbol: ZAINBH) with a market capitalization of approximately USD 111 million, reflecting a share price of BHD 0.114 as of December 31, 2025.

Resilient performance

In 2025, Zain Bahrain delivered a robust performance while continuing to advance its digital transformation agenda. Revenue grew 7% to USD 219 million, supported by sustained demand for digital services. The company reported EBITDA of USD 62 million, maintaining a 28% margin, while net income rose 1% to USD 16 million. Data revenue continued its upward trajectory, increasing 5% to represent 46% of total revenue, highlighting the growing adoption of data-driven services.

Network leadership

Zain Bahrain’s strong operational execution during 2025 was marked by key milestones in network performance and customer experience. Independent benchmarking by Opensignal recognized Zain Bahrain as the Kingdom’s best network for coverage, quality, and overall gaming experience—further consolidating its position as Bahrain’s most awarded network and underpinning the Kingdom’s leading regional ranking in mobile network experience indices.

To strengthen its role as an enabler of Bahrain’s digital economy,

the company invested USD 36 million in CAPEX, advancing strategic initiatives that support the Kingdom’s digital transformation. Zain Bahrain expanded its partnership with Ericsson to introduce advanced 5G solutions, including Edge User Plane capabilities enabling Industry 4.0 applications and next-generation enterprise use cases. Complementing these advancements, the company enhanced its digital portfolio through new initiatives such as Zain Insure, offering seamless access to motor and travel insurance. It also relaunched its Signature program and revamped the Zain app, integrating AI-powered omnichannel capabilities to enhance customer engagement

Accelerating digital transformation

Zain Bahrain launched a new-generation mobile app in 2025 with enhanced security, performance, and optimized customer journeys to drive engagement and digital payments. Its AI-powered chatbot and Bahraini-dialect AI voice IVR played a pivotal role in boosting customer retention and acquisition.

The Zain Delight rewards program expanded to include more than 230 merchant partners, delivering additional value to customers. The introduction of Wiyyak, offering outbound roamers instant eSIM activation with high-speed connectivity and flexible data plans, created new revenue streams and strengthened Zain Bahrain’s international mobility offerings.

Commitment to Sustainability and national talent

Sustainability, inclusion, and national development remained at the heart of Zain Bahrain’s agenda in 2025. The company maintained

a 93.33% Bahrainization rate, underscoring its longstanding commitment to developing local talent and being a leading employer of Bahraini nationals.

Environmental and community initiatives included the deployment of high-capacity EV chargers at the company’s headquarters, participation in national tree-planting campaigns, and expansion of employee wellbeing programs. Zain Bahrain also introduced the first local edition of Zain Great Idea, an initiative supporting entrepreneurship and innovation in line with the National Innovation Strategy.

Recognition for excellence

Zain Bahrain’s unwavering focus on innovation earned it recognition for excellence in customer experience, particularly through the use of AI and omnichannel technologies to deliver seamless, customized interactions and elevate the customer journey.

BEDE Fintech: a year of accelerated growth

BEDE, the company’s fintech arm, recorded another year of rapid growth in 2025. The platform advanced financial inclusion by offering accessible, instant, and Sharia-compliant micro-financing solutions. Its capital increased 20%, reflecting market confidence and its pivotal role in Bahrain’s evolving financial landscape.

BEDE strengthened its strategic partnerships by signing agreements with Mastercard for card services, NEC for remittance capabilities, and Sinnad as well as various schools and merchants to expand its reach and impact.

Outlook

Looking ahead, Zain Bahrain remains focused on operational excellence and disciplined execution across all key business drivers. The company is accelerating its evolution from a traditional telecom operator into a leading provider of integrated ICT solutions powered by AI, fully aligned with Bahrain’s Economic Vision 2030 and its national digital transformation priorities.

ZainTECH

ZainTECH: Scaling integrated digital transformation across the region

In 2025, ZainTECH affirmed its role as Zain Group’s integrated digital solutions and ICT arm, accelerating its evolution into a unified, regional technology platform serving enterprises, governments, and strategic sectors across the Middle East.

Building on the foundations laid in 2024, the company completed a major phase of structural integration, consolidating Cloud, Cybersecurity, Data, Digital, Drones and Robotics into a single operating model. This integration enabled stronger delivery-at-scale, deeper technical specialization, and a more consistent customer experience across multiple markets, while supporting national digital agendas spanning cloud adoption, AI enablement, cybersecurity resilience, and industrial digitalization.

Crucially, this model combines global technology partnerships and expertise with strong local execution, allowing ZainTECH to deliver solutions that are internationally benchmarked while also being tailored to local regulatory, operational, and market realities.

Securing commercial license in Saudi Arabia

In 2025, ZainTECH achieved a significant milestone in its regional expansion strategy by securing a commercial license in KSA, transitioning from an investment license to full national entity status. This development paves the way for ZainTECH to establish regional offices in the Kingdom and scale its advanced technology portfolio across key sectors including digital IoT, cybersecurity, drones, AI, and cloud services.

The milestone followed ZainTECH’s participation at LEAP 25, where it announced multiple agreements with local entities, supporting innovation, talent development, and the continued advancement of the Kingdom’s digital infrastructure.

Strong commercial performance and market momentum

ZainTECH delivered robust commercial and financial results in 2025, reflecting sustained demand for enterprise-grade cloud, AI, and cybersecurity services across the region:

- 36% YoY growth in Sales
- Revenue growth of 55%, with margins increasing by 29%
- Public cloud TCV growth of 64% across AWS, Azure, GCP, and OCI
- Microsoft licensing and services growth of 55% YoY
- A growing revenue backlog providing strong visibility into 2026

Demand generation also accelerated significantly, reflecting tighter integration between marketing, sales, and delivery functions, and strengthening forward visibility into 2026.

Product expansion and digital capability leadership

Throughout the year, ZainTECH made targeted investments to strengthen its solution portfolio and move decisively toward scalable, repeatable offerings:

- Established a central Product Hub to unify product strategy and life-cycle management
- Launched the Digital & AI Hub, consolidating data, analytics, AI, and drone capabilities
- Introduced AI-SecOps, enhancing cyber resilience through automation and intelligent threat detection
- Activated Retail Analytics as a flagship data-driven product
- Delivered one of Microsoft’s first regional enterprise OpenAI implementations with ROSHN (PIF)

Notably, ZainTECH partnered with Microsoft to support AlBawani Holding—a KSA based fully-fledged general contracting group of companies in its AI readiness journey, delivering digital transformation, cloud migration, IoT, and AI adoption initiatives that enhance agility, productivity, and governance aligned with Vision 2030 goals.

These initiatives enabled ZainTECH to progress from bespoke implementations to industrialized digital solutions, aligned with enterprise and government requirements across banking, financial services, insurance, retail, manufacturing, and the public sector.



Regional partnerships, ecosystem growth, and recognition

Partnerships remained a key growth lever in 2025, strengthening ZainTECH’s regional ecosystem and technical depth:

- Selected as one of only 10 AWS Datacenter Partners in Saudi Arabia
- Recognized as a leading AWS Partner within the Digital Startups Ecosystem
- Launched Azure ExpressRoute and Ijaba, ZainTECH’s AI-powered enterprise chatbot, on the Microsoft Marketplace
- Delivered regional Microsoft AI roadshows promoting responsible AI adoption

During GITEX GLOBAL 2025, ZainTECH engaged thousands of visitors, showcased cutting-edge AI, cloud, IoT, and immersive technologies, and advanced multiple strategic collaborations that reinforced its position as a catalyst for regional digital transformation.

The company also partnered with Vortex Global, a leading software company specializing in surveillance and visual intelligence solutions, to integrate advanced video compression and AI-powered visual intelligence solutions, enhancing operational efficiency and situational awareness for enterprise clients.

ZainTECH’s innovation and execution capabilities were also reinforced through multiple industry recognitions during the year, including:

- ‘Best Digital Solutions Provider’ at the Tech Innovation Awards 2025, recognizing ZainTECH’s leadership in delivering enterprise-grade digital and AI-driven solutions across the region
- Named a dual winner at Fast Company Middle East’s Most Innovative Companies Awards 2025 (AI & Data Science, and Enterprise categories)
- Awarded Technology Disruptor of the Year at the Inc. Arabia Best in Business Awards
- Recognized as Top Performing Cloud Partner of the Year by Veeam

In parallel, the company announced a strategic partnership with Hyperfusion, a leading provider of high-performance computing and AI

solutions, at LEAP 2025 to expand access to high-performance computing and scalable AI infrastructure across the GCC, supporting innovation in sectors such as healthcare, finance, and smart cities.

Operational excellence, governance, and talent development

Alongside commercial growth, ZainTECH strengthened its operational foundations:

- Advanced enterprise governance, risk, and compliance frameworks
- Expanded regulatory and certification coverage across cybersecurity, business continuity, cloud, and environmental management
- Completed private cloud optimization programs in Kuwait and Jordan
- Expanded the Egypt Delivery Hub and transitioned critical operational roles closer to key markets

ZainTECH achieved the prestigious CSA STAR Level 2 Certification, one of the world’s most respected cloud assurance models, reinforcing trust in its secure, scalable, and compliance-driven cloud services across the UAE, Saudi Arabia, and Jordan.

The company also secured a broad range of international certifications (ISO, cloud security, privacy, and service management), further strengthening its compliance posture and aligning regional operations with global standards.

In 2025, ZainTECH launched its Cybersecurity GRC Service Portfolio, empowering enterprises to manage governance, risk, and compliance comprehensively, a capability announced at LEAP 2025 in KSA.

ZainTECH’s CloudHub platform achieved National Cybersecurity Authority (NCA) certification in Saudi Arabia, making ZainTECH one of fewer than 20 providers across the Kingdom to earn the prestigious Class C Certification, demonstrating exceptional compliance scores and reinforcing leadership in secure managed cloud services.

People and capability development remained central to ZainTECH’s strategy. The company invested heavily in cloud, data & AI, and

cybersecurity training, expanded leadership development programs, and launched the Generation ZT Graduate Program, supporting long-term talent sustainability and future-ready skills development.

Moreover, ZainTECH’s contribution to Zain Great Idea (ZGI), Zain Group’s award-winning innovation and entrepreneurship platform supported the latest cohort expand regionally across multiple Zain markets. Investing in capability development, ZainTECH supported the program with clear engagement frameworks, specialist mentorship, and scalable ways of working that help ensure consistency, transparency, and measurable outcomes across geographies, while contributing to the development of future-ready entrepreneurial talent aligned with Zain Group’s strategic priorities.

Looking Ahead

By the end of 2025, ZainTECH had established a strong, scalable foundation as a regional ICT and digital solutions leader within Zain Group. With integrated capabilities, disciplined execution, a delivery model that combines global expertise with local execution, and growing market demand, the company is well positioned to accelerate growth in 2026. It plans to further expand cloud, cybersecurity, and digital platforms that support enterprise transformation and economic development across the region, all underpinned by responsible adoption of AI.



Technology

Making Zain ‘Future Ready’

Personal Data Privacy Policies & Framework

Zain Group made a strategic leap in its data transformation journey through the establishment of the Group Data Office, reinforcing its commitment to responsible, secure, and innovative data management across all markets. The Data Office assumed full ownership of the Group Data Management and Privacy Frameworks, ensuring a unified and future-ready approach aligned with international best practices. The Group Board approved major enhancements to the data privacy policies to strengthen personal data protection and ensure full compliance across all Zain entities. In addition, a new data privacy and protection framework is being developed with clear governance structures, defined accountability, and standardized privacy practices across Zain’s operations.

Management approach to protecting personal data

The new Zain Group Data Privacy Framework serves as the Group’s unified, binding, and operational governance model for managing personal and sensitive data across all subsidiaries, affiliates, and operating companies. It defines the principles, structures, and mandatory controls governing how personal data is collected, used, stored, shared, transferred, retained, and disposed of throughout its lifecycle. The Framework consolidates applicable legal requirements, international standards, and internal governance practices into a single reference that applies to all business functions, systems, technologies, and third-parties acting on behalf of Zain.

Zain’s subsidiaries, affiliates, and operating companies are in the process of appointing qualified Data Protection Officers and adopting the updated policy and its associated controls within their operations. This Group-wide alignment strengthens privacy governance and harmonizes data protection practices across all entities. As implementation progresses, Zain reinforces its commitment to ethical data stewardship and strengthens trust with customers, regulators, and partners.

Through this Framework, Zain embeds privacy into corporate governance, system design, and operational processes, ensuring that digital and technological initiatives including analytics, artificial intelligence, and cloud-based services follow the privacy-by-design principle. Ultimately, the Framework functions as the Group’s authoritative reference for

safeguarding personal data, upholding regulatory trust, and supporting responsible and secure operations across all jurisdictions. It positions data protection not only as a compliance requirement but as a strategic enabler of innovation, transparency, and sustainable digital transformation.

Evolving Regulatory Landscape and Strategic Compliance Outlook

Zain operates within a rapidly evolving privacy regulatory environment across Kuwait, the Gulf Cooperation Council (GCC) region, and global jurisdictions. Kuwait continues to advance its national privacy landscape through new mandates and enforcement expectations from authorities such as the National Cyber Security Center and the Communications and Information Technology Regulatory Authority (CITRA). Across the GCC, countries including Saudi Arabia, the United Arab Emirates, Qatar, Bahrain, and Oman have enacted comprehensive data protection laws and cybersecurity frameworks. Internationally, regulations such as the EU General Data Protection Regulation (GDPR), UK Data Protection Act, and sector-specific standards, are increasingly influencing cross-border requirements, data subject rights, and expectations for accountability and lawful processing.

Strategic Blueprint of the Zain Group Data Privacy Policy

Zain’s unified Data Privacy Policy is the Group’s formal statement of commitment to protecting the personal data of all individuals who interact with its services across the Middle East and Africa. The Policy establishes the principles, legal bases, governance structures, and operational requirements that apply to the collection, processing, storage, sharing, transfer, retention, and deletion of personal data across all Zain entities, subsidiaries, and digital channels.

Core Policy Pillars

Compliance Framework

Unified framework for compliance with national data protection laws across Kuwait, Saudi Arabia, Jordan, Bahrain, Iraq, Sudan, South Sudan, and UAE

Data Categories

Clear definitions of personal and sensitive data categories, lawful processing bases, consent requirements, and special rules for children’s data

Governance Model

Comprehensive internal governance led by Data Protection Officers at Group and Entity levels overseen compliance and risk management

The Policy sets out a unified framework for compliance with national data protection laws in all Zain markets, including Kuwait, Saudi Arabia, Jordan, Bahrain, Iraq, Sudan, South Sudan, and the United Arab Emirates. It ensures that Zain processes personal data lawfully, fairly, and transparently, and that data subjects are informed of their rights and the ways in which their information is used.

Data Privacy Policy Architecture

Principles

- Lawful processing
- Fair & transparent
- Purpose limitation
- Data minimization

Data Subject Rights

- Access & correction
- Erasure & objection
- Consent withdrawal
- Data portability

Security Safeguards

- Technical controls
- Organizational measures
- Access restrictions
- Encryption standards

DPO Structure

- Group-level DPO
- Entry-level DPOs
- Compliance oversight
- Risk assessment

Retention & Deletion

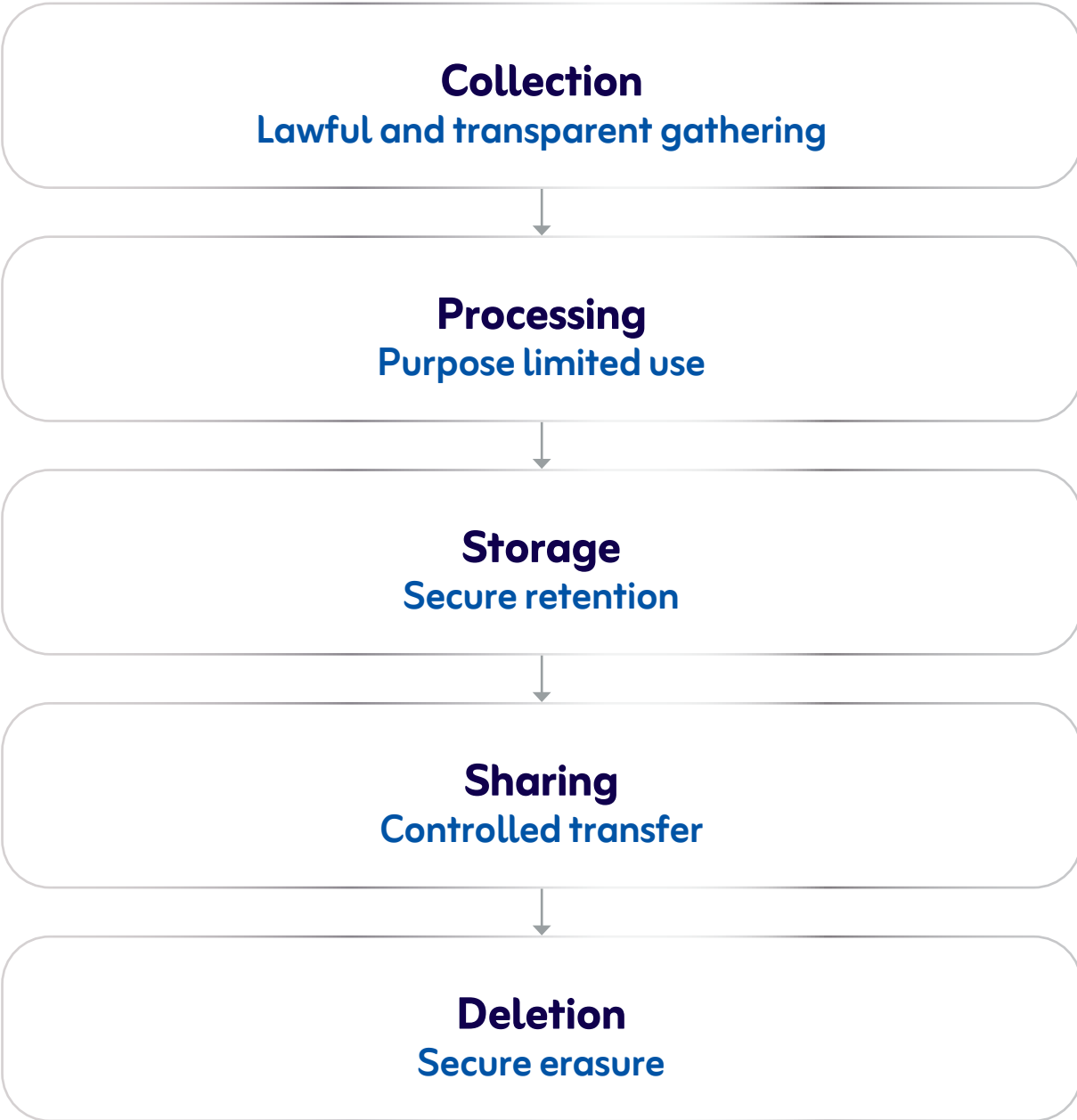
- Defined retention periods
- Secure deletion protocols
- Lifecycle management
- Audit trails

Breach Notification

- Mandatory timelines
- Regulator reporting
- Individual reporting
- Incident documentation

The Policy outlines the lawful bases under which personal data is processed, and explains the circumstances where consent is required. It provides clear rules for processing children’s data, explains the legitimate purposes for which Zain uses customer and employee information, and describes when and how Zain may share or transfer data to third-parties or across borders.

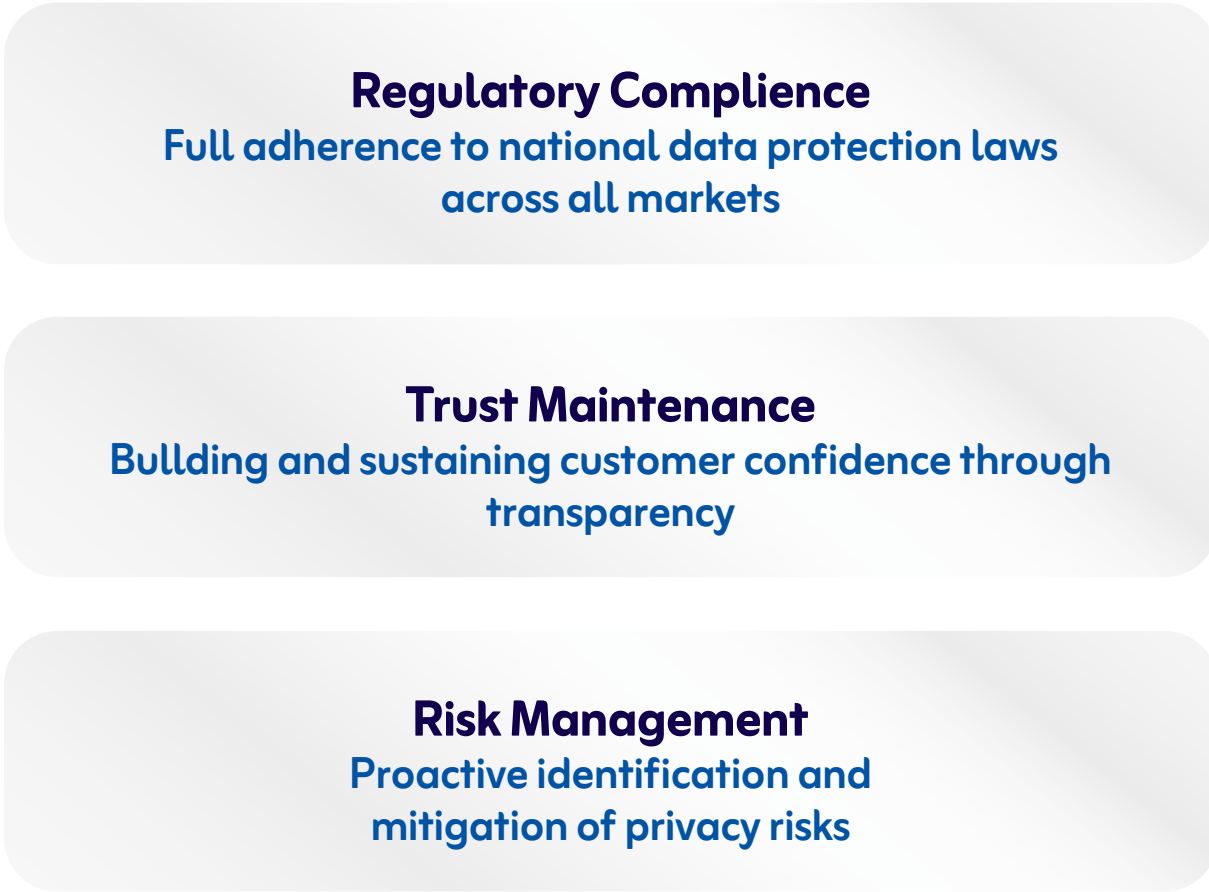
Data Processing Lifecycle



Data subjects are provided with detailed rights, including access, correction, erasure, objection, and withdrawal of consent. The Policy also outlines Zain’s procedures for breach notification, including mandatory timelines for reporting incidents to regulators and affected individuals.

Overall, the Policy functions as the Group’s binding rulebook for ethical, transparent, and compliant data handling. It ensures that privacy risks are managed, regulatory obligations are met, and trust is maintained across all operations, services, and jurisdictions in which Zain operates.

Policy Outcomes
Ensuring trust, compliance, and ethical stewardship



Leadership in Autonomous Network Innovation with Breakthrough Achievements

Zain Group advanced its leadership in Autonomous Network innovation by accelerating the adoption of AI-driven, automated, and self-optimizing capabilities across all operations in 2025. These advancements strengthened the Group’s readiness for higher levels of network autonomy and delivered clear improvements in service quality, operational reliability, and overall efficiency.

Throughout the year, Zain expanded intelligent automation across Radio, Transport, Core, and Customer Experience domains. AI models enabled faster detection and resolution of network issues, enhanced predictive maintenance, and improved resource utilization through real-time insights and automated decision-making. The introduction of closed-loop orchestration further reduced manual intervention and increased network stability across multiple markets.

In parallel, Zain achieved notable on-ground progress, including the successful AI-based wireless fault management trial in Kuwait and the implementation of AI-driven experience assurance use cases in Jordan, both demonstrating tangible steps toward predictive and self-healing network operations.

Zain also strengthened its collaboration with global technology partners to advance AI-native architectures and automation frameworks aligned with TM Forum and GSMA Autonomous Network standards. These strategic efforts ensure the Group remains aligned with global best practices while preparing its networks for future digital growth.

By embedding intelligence across every operational layer, Zain elevated its ability to deliver resilient, adaptive, and high-performance network experiences. The progress positions Zain as a regional pioneer in autonomous operations and establishes a strong foundation for next-generation services, including IoT expansion, 5G-Advanced capabilities, and cloud-native platforms.



Advancing AI-Driven Network and Operations Intelligence

Zain Group further advanced its Artificial Intelligence agenda in 2025 by pursuing a structured portfolio of AI proof-of-concepts (PoC) and trials across its operations, working closely with strategic partners to validate high-impact use cases in network operations, customer experience and energy efficiency. Across several markets, role-based Copilots and scenario-based Agents, including solutions for Radio, IP NOC, FTTH, DWDM and power optimization, are being trialed to support natural-language operations and maintenance, automated fault diagnosis, experience assurance and intelligent energy saving, with PoC objectives such as shorter fault-resolution times, lower complaint rates and more efficient use of engineering resources. In parallel, multi-domain observability and anomaly-detection PoCs are underway to automatically discover and map 4G/5G RAN and IP transport topologies and to correlate service degradation, forming the basis of an AI-enabled high-precision IP layer that provides end-to-end service visibility for operations teams. Complementing these initiatives, Zain is conducting energy-optimization trials in Jordan and Iraq that use AI-driven spectrum energization and traffic-aware control to explore potential energy savings of up to 54% on selected bands while maintaining customer experience. Collectively, these efforts are designed to confirm technical feasibility, quantify business benefits, and define a clear roadmap for the scaled deployment of AI capabilities across Zain’s networks in the coming years.

In Kuwait, the Group accelerated the practical adoption of generative AI in network operations through the launch of the region’s first AI Digital Assistant for Wireless Site Engineers. Deployed in collaboration with Huawei, the solution (FME Mate) leverages large language model capabilities and natural-language interaction to help engineers rapidly access fault data and connection topologies, pinpoint root causes with higher precision, and recommend corrective actions without relying on complex command-based workflows. Early results indicate an improvement in fault-handling efficiency of more than 20% across approximately 90% of cases, with an expected reduction of more than 2,250 hours of annual site downtime, reinforcing Zain’s roadmap toward smarter, more autonomous operations.

5G-Advanced launch elevating Zain Kuwait’s network leadership

Aligned with Zain Group’s ‘4WARD – Progress with Purpose’ strategy, which is built on the four forces of Customer Delight, Digital Zain, Purpose & Action, and Collaborative Growth, Zain Kuwait advanced its network leadership with the commercial launch of 5G-Advanced on 30 June 2025. The rollout delivered coverage across Kuwait following extensive readiness and field testing. Beyond higher capacity, 5G-Advanced introduces ultra-low latency and smarter bandwidth management through component carrier aggregation, strengthening Kuwait’s readiness for future technology generations, including the pathway toward 6G. This milestone followed CITRA’s enablement of 5G-Advanced in Kuwait, supporting the national direction to upgrade digital infrastructure and readiness for future technology generations. For Zain Kuwait, network expansion is being translated into measurable improvements in customer experience, through more resilient connectivity, higher capacity, and more consistent performance in high-demand areas, enabling customers to benefit from a richer, more reliable digital experience in everyday use. These enhancements also support more responsive digital interactions across key customer moments, reinforcing Zain Kuwait’s focus on service quality, reliability, and experience-led network evolution. The launch also strengthens the platform for enterprise and public-sector digitization, enabling smart services and scalable IoT connectivity that depend on high-throughput, real-time networks. At the same time, it extends the foundation for innovation opportunities and collaborative partnerships across Kuwait’s digital ecosystem, aligning advanced connectivity with national priorities and future market needs. Collectively, these enablers and features support Kuwait Vision 2035 by contributing to nationwide digital transformation and elevating the overall digital experience for citizens, customers, and businesses.

Accelerating Zain’s Digital BSS Transformation

Zain is advancing its Digital Business Support Systems (BSS) transformation, strengthening digital capabilities, enhancing customer experiences, and driving long-term value creation across its markets.

In Zain Kuwait, a key milestone was achieved with the awarding to Huawei to lead the Digital BSS transformation across both B2C and B2B domains, supporting future scalability and enhanced monetization capabilities.

Zain Sudan demonstrated exceptional speed and resilience by delivering its Digital BSS at an accelerated pace despite highly challenging operating conditions, underscoring the company’s ability to execute critical transformation initiatives under extreme circumstances.

Zain Bahrain continued its Digital BSS transformation through a drop-based delivery model, enabling faster time-to-market and incremental value realization.

Zain Iraq continued advancing its BSS AI roadmap with a strong focus on customer-centric use cases, aimed at improving customer experience, engagement, and retention.

At the Group level, Zain Group launched the Digital Factory Guideline for Zain Telecom Operators during the BSS & Digital User Forum in December 2025. The Digital Factory provides a scalable operating model to accelerate digital channel development, improve time-to-market, and strengthen alignment between business and IT, enabling future-ready digital capabilities across Zain operations.

01
Strategic Review

02
Corporate Sustainability

03
Corporate Governance

04
Financial Statements

Driving Energy Efficiency and Advancing Adaption to Climate Change

In alignment with its current five-year corporate strategy, '4WARD – Progress with Purpose', Zain developed the Green Target Network whitepaper to define its approach to climate change adaptation. The paper focuses on redefining Zain’s target network by moving away from unsustainable legacy site infrastructure and adopting low-carbon, energy-efficient solutions that deliver both operational and environmental benefits.

The Green Target Network is designed to enable renewable energy integration by optimizing photovoltaic (PV) and battery systems through AI-driven load forecasting. It also incorporates virtual power plant (VPP) capabilities, allowing telecom sites to participate in electricity markets, where feasible. By integrating power systems with wireless and microwave equipment, the solution enables intelligent, sustainable site management, reducing costs, maximizing energy efficiency, and strengthening the Company’s long-term competitive advantage.

A key dimension of the Green Target Network is the smart site solution, for which a blueprint was developed and a PoC under implementation in Kuwait. The smart site solution builds on the core principles of the Green Target Network by extending backup duration, improving power availability (PAV), and enhancing overall power supply reliability, while enabling intelligent, real-time power disconnection based on demand.

Together, the Green Target Network and smart site solutions are designed to drive energy efficiency despite continued growth in network traffic, supporting Zain’s climate change adaptation efforts and enabling a smooth transition toward Net Zero by 2050.

Pushing the Limits of Ultra-Low Latency International Connectivity

In 2025, Zain Kuwait showcased the capabilities, resilience, and precision of its digital infrastructure through a Guinness World Records milestone for the farthest intercontinental remote robotic procedure between surgeon and patient, conducted on 23 September 2025 across a distance of 12,034.92 km each way between Kuwait and Brazil.

The achievement required a secured high-bandwidth international link and consistently low latency to enable real-time operation, delivering an average latency of 199 milliseconds, average bandwidth of 80 Mbps, and packet loss of 0.19%. Zain delivered the communications infrastructure through advanced international MPLS technology, enabling a secure, high-speed connection between the two continents, supported by national partners including the Kuwait Foundation for the Advancement of Science (KFAS).

At the Group level, the milestone also reflects how operating companies can draw on Zain’s international wholesale scale and global reach through Zain Omantel International (ZOI) to support next-generation, cross-border digital use cases where performance and reliability are non-negotiable.



Regulatory Affairs

Zain Group operates within a complex and rapidly evolving regulatory environment shaped by cross-sector, sector-specific, and extraterritorial legislation. The company also navigates national licensing regimes and policy frameworks that govern the development of telecommunications infrastructure, delivery of digital services, customer protection, pricing structures, data governance, and the secure handling of information across consumer, enterprise, and government segments. As Zain’s footprint continues to expand beyond traditional telecommunications into broader ICT and digital ecosystems, regulatory engagement and compliance remain central to safeguarding operational continuity, investment sustainability, and long-term value creation.

In 2025, the telecommunications and digital services landscape accelerated their transformation, driven by the convergence of 5G expansion, cloud adoption, artificial intelligence, IoT, fintech, and data-driven business models. Regulators across Zain’s markets intensified their focus on spectrum optimization, infrastructure sharing, competition dynamics, customer protection, cybersecurity, and data privacy, while simultaneously recalibrating regulatory frameworks to support national digital transformation agendas. Against this backdrop, Zain maintained a proactive regulatory posture—balancing compliance with strategic advocacy—to enable innovation while mitigating regulatory risk.

Spectrum and technical regulation developments remained a defining theme in 2025. Across multiple markets, Zain advanced spectrum acquisition, renewal, and optimization initiatives, supported regulatory consultations, and engaged authorities on auction design, pricing, licence duration, and technology neutrality. Notable progress included new spectrum awards, extensions linked to rollout obligations, successful advocacy to defer or recalibrate auction timelines, and constructive engagement on quality-of-service frameworks to ensure alignment with international benchmarks and sustainable investment models. These efforts strengthened Zain’s readiness for advanced 5G and future network evolution while preserving capital efficiency.

Infrastructure regulation and deployment also featured prominently during the year. Zain continued to engage regulators on passive and active infrastructure sharing, fiber rollout, tower regulation, international gateways, and fixed network frameworks. Through sustained engagement,

Zain progressed site deployments, resolved legacy regulatory constraints, influenced the timing and structure of new infrastructure regulations, and advanced cross-border connectivity initiatives. These efforts supported network resilience, rural connectivity, and long-term digital-infrastructure development across Zain’s operating markets.

In parallel, regulatory developments in taxation, levies, and competition required focused intervention. Zain actively challenged disproportionate regulatory fees, secured favorable judicial outcomes, progressed royalty fee reform discussions, and advocated for balanced competition frameworks to safeguard market sustainability. The Group also remained engaged on mobile number portability, wholesale regulation, national roaming, and market review processes, ensuring regulatory remedies remained proportionate and investment friendly.

Customer affairs, data protection, and cybersecurity commanded heightened regulatory attention in 2025. Zain sustained compliance with evolving SIM registration, e-KYC, customer protection, and personal data protection requirements while adapting operational processes to new national frameworks and enforcement expectations. In parallel, cybersecurity governance matured further as national cybersecurity frameworks, licensing regimes, and security controls were introduced or enhanced across key markets, reinforcing Zain’s commitment to safeguarding customer trust and network integrity.

Aligned with Zain Group’s strategic evolution under the ‘4WARD – Progress with Purpose’ strategy, regulatory oversight now extends across an increasingly diverse portfolio spanning traditional telecom services, 5G, cloud, IoT, fintech, digital platforms, and emerging technologies. Zain engages regulators through structured consultations, industry forums, targeted lobbying, and collaborative policy development—positioning the Group as a constructive partner in shaping forward-looking regulatory ecosystems.





The Group Regulatory team held their 6th Annual Forum (20-22 January 2025) in Kuwait bringing together Regulatory executives and professionals from Zain Group, OPCOs, ZainTECH, Dizlee and Omantel, as well as key personnel from most cross-functional teams at the Group.

The forum featured keynote presentations from internal and external speakers commencing with a showcase on Zain's new '4WARD' strategy, followed by presentations on Sustainability with a focus on applying integrated thinking concepts, Low Earth Orbit satellite technologies, a masterclass on digital infrastructure, regulatory compliance implementation and outcomes for Zain OPCOS, regulatory community building initiatives and a panel discussion on regulatory challenges with value-added services and more.

All operating companies also provided detailed presentations and insights into regulatory successes, challenges, and priorities.

The three-day event facilitated collaboration, engagement, and team building among community members and cross-functional counterparts, providing an opportunity to share knowledge, discuss challenges, and align on common approaches!

Regulatory Compliance Program - RCP

Zain has advanced substantially in embedding regulatory compliance across the organization, reinforcing our commitment to robust governance and exceptional regulatory standards. We launched RCP (Regulatory Compliance Program) in 2022 and has made market leading advancements, including getting ISO 37301 certification for 2 OpCos, i.e. Kuwait and Bahrain.

RCP has now been successfully implemented in Zain Bahrain, Zain Kuwait, Zain Sudan, Zain Jordan, Zain South Sudan and Zain Iraq and all 6 OpCos are now in Sustenance Phase. As part of the Sustenance Phase, key activities covered include updates to the Compliance Universe with new issuances/ amendments issued by Authorities, enhanced monitoring of regulatory developments (such as change in compliance owners, potential fines/ penalties, new products launched etc.), compliance gap assessments, and ISO 37301 certification aligned with global standards which will bolster investor confidence.

Furthermore, the new RCP Portal was launched in 2025. The new RCP Portal equips our OpCos with it's enhanced user interface including key functionalities such as centralized repository, documentation databases, role clarity, automated reminders, management dashboards, and digitized workflows.

In 2026, RCP will be rolled out in Zain KSA and ZainTECH. Compliance obligations have been identified in Zain KSA and ZainTECH in the ongoing phase. Post RCP roll out for Zain KSA and ZainTech, Sustenance Phase will commence for these entities. Further, Zain Jordan and Zain Iraq will proceed for ISO 37301 certification.

We will continue ensuring compliance excellence remains integral to our operations.

RCP Sustenance



- Monthly updates to Compliance Universe
- Monthly monitoring of key regulatory development
- Monthly OpCo Regulatory Compliance Report issued
- Compliance Status Assessment
- ISO 37301 certification for Zain Kuwait and Zain Bahrain

RCP in 2026

RCP Sustenance for ZainTECH and Zain KSA



ISO 37301 certification for Zain Jordan and Zain Iraq

RCP under implementation



- Compliance obligation identification
- Stakeholder mapping

RCP in 2025



ISO 37301 Certification Maintenance
Sustaining ISO 37301 Certification highlights commitment to global compliance and continuous improvement.



ISO 37301 certification for Zain Kuwait and Zain Bahrain

Excellence Across Operations

Since its launch in 2022, Zain's Regulatory Compliance Program (RCP) has set a benchmark for governance and compliance excellence across the organization. Our achievements underscore Zain's unwavering commitment to robust regulatory standards and investor confidence.

Key Milestones Achieved

ISO 37301 Certification: Successfully obtained for Zain Kuwait and Zain Bahrain, reinforcing adherence to global compliance standards.

RCP Implementation

Completed across 6 OpCos – Zain Bahrain, Zain Kuwait, Zain Sudan, Zain Jordan, Zain South Sudan, and Zain Iraq. All are now in the Sustenance Phase.

Regulatory Community Developments

- 01 Strategic Review
- 02 Corporate Sustainability
- 03 Corporate Governance
- 04 Financial Statements



Regulatory Leadership Council

In 2025, the Regulatory Leadership Council (RLC) strengthened Group-wide regulatory alignment by advancing key initiatives including the unified Data Privacy Framework, the rollout of the V-Comply compliance platform, and the development of the Regulatory Academy. The Council also coordinated Zain’s regional position on emerging areas such as satellite and D2D regulation, reinforcing Zain’s role as a proactive leader in shaping future regulatory frameworks.



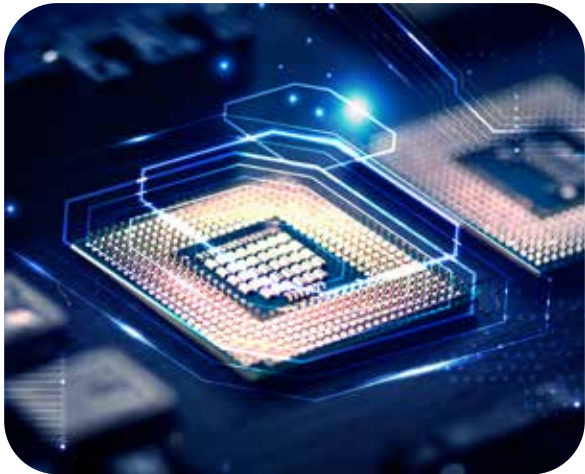
VAS Working Group

Introduced a unified OpCo reporting template and completed a cross-market regulatory scan across our operating markets; it prioritized fraud mitigation, billing transparency, and licensing consistency, and agreed next steps including knowledge-sharing on KSA self-regulation and evaluating a WASPA-style self-regulatory model with regulators.



Data Privacy Working Group

Zain Group established the Data Privacy Working Group to drive alignment on data protection across all OpCos. Through collaborative sessions, the group developed and finalized the Personal Data Privacy Policy and Privacy Notice, both of which were approved by the Group Board. This initiative laid the foundation for the upcoming Group Data Privacy Framework, reinforcing Zain’s commitment to responsible data governance.



AI Working Group

The AI Working Group advanced Zain’s leadership in responsible AI by mapping regional regulations, aligning OpCo compliance practices, and launching a unified AI regulatory template across all markets. The group’s work strengthens Zain’s readiness for emerging AI policies and supports safe, efficient adoption of AI technologies.

Spectrum & Technical Regulations



New Spectrum Acquisition & Auctions

Kuwait

A testing request has been formally submitted to CITRA covering the following spectrum bands:

- Band N77 (100 MHz)
- Band N258 (26 GHz, 1 GHz bandwidth)

The acquisition will be paid through three equal annual installments totaling USD 19.5 million.

Iraq

Zain secured access to 75MHz in the 2.6GHz band in 11 governorates for an overall price of USD 34.6 million. (Baghdad 75 MHz, Basrah 75 MHz, Karbala 75 MHz, Najaf 75 MHz, Anbar 40 MHz, Babil 40 MHz, AlQadisiya 40 MHz, Muthanna 40 MHz, ThiQar 40 MHz, Missan 40 MHz, Ninawa 40 MHz).

Zain was granted an additional 20 MHz in the 2.1 GHz band to enhance spectrum capacity in 15 governorates on a renewable basis

Saudi Arabia

Zain KSA brought forward its 600 MHz rollout commitments and effectively engaged with CST to secure a suspension of the cost-intensive 2022 QoS framework, thereby positioning itself as a leader in technical and regulatory reform.

Sudan

Zain strengthened its spectrum strategy by acquiring 2×10 MHz in the 700 MHz band, subject to TPRA's confirmation, to enhance LTEquality of service and drive revenue growth.

Technical Regulations

Jordan

Settlement Agreement with the government

- Zain fulfilled all obligations under the Agreement through the installation and operation of 180 sites and the payment of the third installment amounting to JOD 6.1 million, thereby securing a five-year extension of its spectrum licenses.
- The Company advanced its 5G rollout obligations under the same agreement, achieving 36% population coverage, with 1,068 new sites brought on air and 233 neighborhoods fully covered.
- Quality of service (QoS):The TRC issued draft Quality of Service instructions that impose KPIs and rollout obligations more stringent than prevailing international benchmarks

Iraq

900 MHz / 2100 MHz interference: A joint declaration signed by GSMA, MSI, Nokia and Huawei was submitted to CMC, highlighting urgent interference concerns and the need for immediate spectrum allocation to enhance QoS.

New Developments

Bahrain

The TRA planned Q4 2025 spectrum award of 700 MHz, 2300 MHz, 2500 MHz, and 3800 MHz through auction did not proceed following sustained multi-level lobbying by MNOs.

MNOs, including Zain, are lobbying for a deferral beyond 2026 & a managed assignment model in place of an auction.

South Sudan

Zain secured a NCA regulatory approval for LTE 900 MHz to activate services across rural areas and to progress toward full activation in Juba, strengthening nationwide LTE capacity.

Iraq

Following an Industry engagement, the CMC modified the QoS Regulation with a streamlined compliance framework, which led to penalty reduction.

Infrastructure



Infrastructure Sharing

Jordan

Instructions & directives:

- Successful lobbying to get the TRC hold back its draft Interconnection, Infrastructure sharing and Mobile National Roaming instructions to avoid Zain’s infrastructure usage by 3rd parties without fair compensation.
- New PM Council directive requires trenchless digging to protect roads, increasing fibre rollout costs

WLA Agreement: Zain concluded the WLA Agreement with Orange with interconnection pending TRC approval.

FTTH: Subscription fees imposed by MoLA were cancelled after Zain won the case.

Bahrain

Zain completed the fibre asset transfer negotiation with Bnet on favorable terms, including financial compensation and replacement products, marking a milestone in Bahrain’s telecom sector separation process.

South Sudan

Zain restarted tower deployments in Juba after regulatory suspension, advanced site-sharing renegotiations with MTN, and continued lobbying for international gateway reassignment to operators.

Sites Deployment & Fixed Network

Bahrain

After the release by TRA of an updated NRU guidance that may impact how enterprise connections are supported through in-building systems:

- Zain secured the withdrawal of a TRA Draft Article 35 Order alleging NRU non-compliance & breach that removed enforcement risk including a proposed BHD 120k fine & daily penalties.
- Zain challenged retroactive application of NRU obligations while implementing a WDC-based configuration in parallel as a risk mitigation measure preventing forced migration of enterprise IBS & mobile-site links to higher-cost wholesale products.
- Zain continues to coordinate with the Ministry of Transportation and Telecommunications and other authorities to work toward a balanced and sustainable resolution.

Sudan

Sustained pressure by Zain on TPRA to finalize the new fixed-license framework and

Continued push for the resolution of the Sudatel infrastructure-sharing conflict, keeping strategic projects active despite regulatory delays.

Kuwait

Tower and Site Regulation Review

- New instructions issued by MOF in DEC’25 regarding the Towers rental excluding the indoor sites.
- New Site sharing bylaws issued by CITRA in DEC ’25;
- Zain Focus remains on continuity of service, regulatory compliance, and cost optimization

Fixed Network Development Project: Evaluation of the submitted bids expected to be completed by Q4 2025 but delayed to H1 2026

Saudi Arabia

Successful lobbying by Zain to halt CST proposal to fiberize all HUB tower, thus avoiding substantial, unjustified capital investment while maintaining network performance efficiency.

Cross border terrestrial cable
Kuwait

In 2025, Zain Kuwait applied for a terrestrial cable application on behalf of Zain KSA and ZOI.

CITRA approval has been secured

The final contractual arrangements are currently under execution, enabling enhanced regional connectivity for Zain KSA

USF Projects

Saudi Arabia

Zain secured SAR 1.3 Billion in USF subsidies, made progress rural broadband expansion.

Industry Taxation & Levies



Competition and Market Developments



Regulatory fees

Jordan

New FTTH Fees Decision: The decision issued by Ministry of Local Administration (MoLA) imposing fees on FTTH subscriptions has been cancelled by court with Zain winning the case at the first and second (Final) degrees courts.

Revenue share: Revision of the revenue share mechanism with the TRC, to achieve a more efficient calculation through a more relevant way of including services

Saudi Arabia

Zain kept driving the royalty-fee reduction effort currently 10%, strengthening its role in shaping long-term fiscal reform for the telecom sector.

Zain, successfully, negotiated with CST to hold the implementation of financial fees on Manafith 2 preserving Zain from the annual 13M SAR agent's fees.

South Sudan

Zain successfully implemented the Automatic Tariff Adjustment (ATA) mechanism—closing the FX gap, stabilizing revenues, and unlocking critical 2026 CAPEX funding.

Sudan

Zain achieved a reduction in MW, USF, and annual license fees after successfully clarifying the exclusion of non-operational microwave links and third-party costs—optimizing regulatory payments with proper documentation that led to USD 600K in savings.

Iraq

The Telecoms Industry secured the exclusion of devices sales from the revenue-share calculation basis.

Market Developments

Jordan

Mobile Number Portability (MNP)

- The TRC shared a draft of the MNP Clearinghouse instructions with operators; Zain and Orange submitted joint feedback and requested further review.
- Both operators informed the TRC that internal system upgrades are required before MNP can be implemented, with readiness expected after 2027.

Managing telecom infrastructure within commercial complexes

- Zain engaged with the TRC and the Ministry of Industry and Trade regarding commercial matters related to telecoms services in major complexes, and has provided all required documentation.

New Services

- Zain secured the necessary approvals to operate Cell Broadcast Service (CBS) making Zain the 1st operator to operate this service in Jordan

Pricing

- A government case concerning pricing and competition practices is ongoing and currently in the witness-hearing stage

Iraq

- 4th License: Zain is challenging the 5G exclusivity given to Al Salam and is preparing for national roaming with Vodafone who is expected to manage the 4th operator.
- Mobile Number Portability: CMC has suspended MNP procedures as of June 2025.
- Following extensive efforts by Telecoms industry highlighting concerns over the adverse CMC draft VAS regulation, the Board of Commissioners paused enforcement of the VAS regulation.

Sudan

Zain secured an exceptional regulatory approval for Shoofa+ until end-2025, coordinating with Dizlee and Group Digital to formalize the service's legal setup and maintain uninterrupted content availability.

Mobile Termination Rate (MTR): the MTR has been adjusted from 3 SDG to 12 SDG in order to control the national offnet traffic, to uplift the market and promote investments through interco revenue increase.

Saudi Arabia

Zain has optimized its numbering resources—achieving cost savings—and has actively reshaped CST's coverage and speed commitments toward more balanced market conditions.

Zain successfully completed the first phase of the Open Access Platform in collaboration with CST helping the users to check the coverage of FTTH services using interactive map and potentially improving the overall experience of the customers.

South Sudan

Through sustained regulatory engagement, Zain secured NCA support to pressure MTN toward fairer site-sharing, improving competitive infrastructure access.

Customer Affairs and Data Protection



SIM Registration

Bahrain
Zain has successfully introduced facial recognition as a secure method for SIM card registration, following years of lobbying and collaboration with operators and TRA.

Jordan
e-KYC has been fully enabled by Zain for prepaid and postpaid registrations; available online and in shops.

Around 10% of e-KYC transactions completed via Sanad.

Saudi Arabia
Zain implemented a new digital authentication method via Absher across Zain and Yaqoot channels during Hajj reducing regulatory and identity fraud risk during Hajj season

South Sudan
Zain launched eSIM services and a digital registration app following NCA eSIM approval.

Sudan
Mobile numbers recycling: the Recycling Freezing Decision has been revised allowing the number recycling to resume in Jan 2027. Thus, Zain avoid investing USD 20 Million in acquiring a new numbering block.

SIM Registration: A penalty of USD 200K has been cancelled.

Base registration rectification/ Clean-up : Zain reviewed and corrected its SIM registration records to comply with regulatory requirements with 1.2 Million SIM cards adjusted and the avoidance of USD 3 Million penalty.

Kuwait
Customer Registration Restrictions: Zain successfully completed Phase 2 of the CID update for the historical customer backlog

MOI restrictions: they are impacting self-registration channels, E-SIM replacement processes and issuance of e-cards. Zain is aligning internal processes to ensure full compliance while minimizing customer impact

Customer Protection

Sudan
Despite the National Registry blocking digital access, Zain maintained compliance through manual ID verification and internal validation, ensuring continued customer-acquisition stability.

Data Protection

Saudi Arabia
Zain maintained a full compliance with CST’s customer-protection and data-privacy requirements.

Jordan
The “Right of the Data Subject” bylaw was approved by the Prime Minister; Zain is aligning internal processes with upcoming Data Privacy Law requirements.

TRC is reviewing handset regulation updates (ACEIR); RFP under preparation.

Kuwait
A new bylaws was issued by the National Cybersecurity Authority on data classification

Zain is aligning internal governance, systems, and processes to align with the new cybersecurity obligations.

Cybersecurity

Jordan
In August 2024, Jordan Cybersecurity Center has issued Jordan’s National Cybersecurity Framework.

In November 2024, the Jordan National Cyber Security Center has issued a By-Law on the Licensing of Cybersecurity Service Providers in Jordan.

5G



5G Developments

Kuwait

Zain has been awarded a nationwide 5G Advanced License by CITRA

5G Advanced License fee is KD 1 million while the annual payment for the attached 100MHz in 2.6GHz band is KD 2 Million.

Saudi Arabia

Zain has aligned its 5G rollout with CST targets, leveraging new 600 MHz spectrum to strengthen nationwide coverage and future 5G-Advanced readiness.

Jordan

Zain started the phase no. 3 of its roll out plan which aims to cover main cities, industrial and commercial zones by Feb 2026 with 35.7% of the population and 204 neighborhoods covered.

B2B, Cloud, IoT & ICT Focus Areas



B2B, Cloud, IoT & ICT Focus Areas

Saudi Arabia

Zain secured the Vehicle tracking license and requested approvals by CST for two IoT MVNOs, expanding its enterprise and wholesale digital ecosystem.

Innovative Digital & Emerging Services



Innovative Digital & Emerging Services

Sudan

Zain achieved a major milestone with Bede Ltd officially going live under its Central Bank license, expanding fintech reach.

South Sudan

Zain formally exited the mGURUSH JV—pivoting toward securing its own fintech license for a cleaner, more compliant entry into digital finance.

The NCA granted Zain a “Letter of No Objection for Mobile Money Platform”.

Saudi Arabia

Developing Local Digital Content: Zain avoided penalties under Decision 508 related to Accessing Internet Content Hosted Locally which obligates Zain to peer with other Exchanges and protected commercial flexibility by demonstrating compliance while challenging mandatory local-peering obligations.

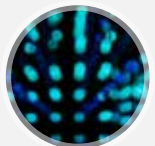
Regulatory Focus Areas Underpinned by Regulatory Compliance

Where to play?



Spectrum & Technical Regulations

- Spectrum Management & Technical Regulation
- Radio Access Network Spectrum
- Microwave Backhaul Spectrum
- National Spectrum Roadmaps
- Cross Border Frequency Coordination



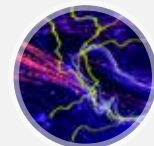
Customer Affairs & Data Protection

- Personal Data Protection and Privacy
- Consumer Protection
- SIM-Registration / SIM-Caps
- Customer Complaints Handling
- Others: Billing / Collection / Spam



Infrastructure & Climate Action

- Service Licences
- Sites/Masts/Active/Passive Sharing/TowerCo
- National/Intercity/Metro Fibre/Open Access
- International Connectivity/Submarine Cables
- Data Centres/Cable Landing Stations



Competition & Market Developments

- Strategic Market Reviews and Remedies
- Access & Interconnection
- Competition Matters
- Telecom Law Reviews
- Others: New Entrants/OTT Players



5G

- 5G Policy Development
- 5G Licensing Rollout Obligations
- Strategic Approach to Verticals
- 5G Security and Privacy
- Demand Stimulation for Use Cases



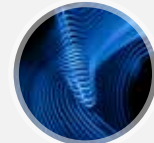
Industry Taxation and Levies

- Operator Regulatory Fees
- Consumer Levies
- Value Added Taxation
- Universal Service Fees
- Tracking of Regulatory Financial KPIs



B2B, Cloud, IoT and ICT Focus Areas

- B2B Enablement
- IoT Regulatory Framework
- eCall Regulations
- Cloud Computing Frameworks
- Cyber-security regulatory mandates



Innovative Digital & Emerging Services

- Artificial Intelligence
- Digital On-Boarding/Electronic Transaction Laws
- FinTech/Insurtech/e-Payments Regulations
- AML/CFT Laws and Regulations
- Digital Content / E-Sports

How to play?

Constant alignment with Group Corporate Strategy '4Ward'

Engagement with Group Divisions and OpCo Plans

Regulatory Compliance, Risk Evaluation, Prioritisation and Mitigation

Regulatory Authority Engagement

Public Consultation Responses

International Institutional Agenda Alignment

Increased Management Regulatory Awareness

Training and Capacity Building

Best Practices Benchmarking

Regulatory Strategic Direction Across Eight Pillars



Spectrum & Technical Regulations

Lower spectrum prices for new acquisitions and license renewals considering inflation, cost of deployment

Grant Longer License Duration (>20 years) in line with international best practice for investment certainty

Guarantee technology neutrality across all bands considering the sunset of certain technologies.

Favorable Payment Models: Installment over license tenure; deferred payment schemes

Accelerated release of IMT spectrum in markets with limited spectrum holdings

Regulator-led cross border frequency & synchronisation coordination across all bands

Contiguous spectrum allocation for efficiency and higher speed

Proactive Publication of National Spectrum Roadmap for Coordinated Planning



Infrastructure

Support right to deploy fibre or regulated access to fibre on fair price and non-price terms

Liberalisation of international gateway and cable landing stations

To lower IP transit costs, advocate landing of more submarine cables

Site roll-out regulations aligned to international best practices

Favourable legislation for passive/active infrastructure sharing & TowerCo establishment

Offer unified or integrated licences to permitting fixed and mobile services for converged offerings

Accelerate initiatives to support digital infrastructure: Data centres, IXPs, etc.

Favourable legislation for renewable energy generation /production



Industry Taxation & Levies

Lower levels of industry-specific fees (revenue share, licensing, numbering) on national operators

Where possible, eliminate industry-specific utility prices or differential tax rates

Create incentive to deploy IoT/M2M by lowering regulatory costs to enable these to thrive

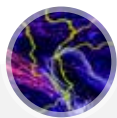
Reasonable rental fees for passive infrastructure owned by government entities

Lower Government-imposed activation charges on customers (SIM, connection taxes)

Lower handsets taxes to enhance affordability

Lower Usage Taxes (excise duties, higher VAT rates...)

Minimal or no fee that will hinder digital services development



Competition and Market Developments

Periodic Strategic market reviews to assess effectiveness of any ex-ante obligations

Implement proportionate remedies – only apply tariff pre- approvals on dominant operators

Avoid stringent regulations or government behavior that impede competition (e.g monopolies)

Market liberalisation should consider ability of existing players to sustain and recoup investments

Lobby for Retail Tariff increase when inflation rates and Forex are out of normalcy

Ensure Cost-based pricing for Wholesale and access services

Implement regulations addressing price wars that destroy market value

Regulate number of MNOs/MVNOs to a level that does not deter further investment



Customer Affairs and Data Protection

Enact consumer protection legislation to guard against unfair terms and foster transparency

Develop Robust Standalone Data Protection Laws Across All Sectors

Create a safer, cyber-secure internet experience for consumers, businesses and society

Create flexible and reasonable SIM Registration Requirements

Develop legislation enabling the use of artificial intelligence without impeding personal data protection

Promote transparency in Customer Privacy Information collection and use by 3rd parties

Avoid onerous consumer protection rules impeding operators' marketing strategy

Create light touch or favourable roaming regulations governing usage, price, price caps and terms



5G

Ensure 5G rollout obligations are not onerous

Licensed spectrum dedicated to MNOs and not to Verticals

Government-led 5G investment support in exchange for accelerated rollout of 5G

Government to stimulate 5G demand and cross sector collaboration to support use-cases

Collaborative actions to tackle 5G Security Challenges that Service Providers are facing.

Promote the development of private 5G-network-as-a-service provided by MNOs

Release new spectrum for 5G to drive bandwidth availability for advanced use cases

Promote fiber roll-out for speedy 5G backhauling and effectiveness



B2B, Cloud, IoT and ICT Focus Areas

Lobby for Unified Licenses or Right to Offer Fixed/ Data Centre Services

Accelerate adoption of Cloud regulations through favourable legislation

Permit cross-border transfer of non-personal data for centralized processing

Create favourable regulatory frameworks to IoT/M2M deployment and service provision

Lobby for incentives and subsidies to attract investment to boost Datacenters capacity

Develop cybersecurity legislation to prevent attacks and secure applications and infrastructure

Incorporate balanced regulations, supportive of data protection and Big data analytics development

Create favorable regulations and alignment amongst authorities for the civil use of unmanned aircraft (drones)



Innovative Digital and Emerging Services

Develop policies and legislation supportive of Artificial intelligence adoption

Accelerate adoption of digital identity, e-KYC and e- Authentication procedures

Enforcement of electronic contracts and signatures in judicial system

Lobby for legislation that promotes the usage of direct operator billing by operators

Enactment of laws which are supportive of FinTech and InsureTech growth

Enactment of laws and regulations which are supportive of digital health

Enactment of legislation which is supportive of e-gaming growth and development

Promote creation of regulatory sandboxes for emerging technologies

Risk Management

Safeguarding Zain to ensure business continuity

Zain Group operates in a highly regulated, extremely competitive, and rapidly evolving environment. This landscape is growing more complex due to the strategic focus to grow adjacent businesses and significant investment to maximize returns from the digital economy.

The unprecedented uncertainties in the external environment meant that the Group's risk landscape evolved – as shown in the Enterprise Top Risks section – and, similarly, the Group's approach to governance and risk management is adjusting accordingly.

Safeguarding the business through three lines of defense

Zain Group's Enterprise Risk Management (ERM) function plays a critical role within the company, reporting independently to the Board Risk Committee (BRC), which meets at least quarterly to discuss the risk profile of the organization. The BRC oversees the implementation of a strategic risk assessment exercise across Zain's operations, while also reviewing and approving the risk management framework on an annual basis.

In addition, the BRC oversees compliance with risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the organization, from operational risk management, cybersecurity, and operational resilience.

Ultimately, management remains responsible for ensuring the adequacy and effectiveness of the Group's control environment, thereby limiting the likelihood and impact of risks that may materialize and exceed the approved appetite. The ERM function, through the existing governance structures, assists management by monitoring the implementation of effective risk management practices across the Group. Finally, Internal Audit provides independent and objective assurance to management and the Board on the adequacy of risk management and the effectiveness of the control environment and, through its mandate, facilitates the continuous improvement of the Group's governance practices.

THREE LINES OF DEFENSE MODEL

3rd Line OF DEFENSE

Internal Audit

Act in accordance with recognized international standards for independent assurance of first and second lines

2nd Line OF DEFENSE

ERM

Implement and operationalize the ERM framework, promote risk aware culture, provide support to management and challenge on risk

1st Line OF DEFENSE

Management (Risk Owners)

Own and manage risks

Implement the response strategies

Periodical monitoring and reporting

The Group's ERM function performs a pivotal role in ensuring the resilience of Zain's strategic plans and operations, including but not limited to the following activities:

1. Periodically scanning the environment to ensure that the company maintains an up-to-date view of the key risks that may affect it and provide those views to management on a regular basis at various engagement points, including through reporting to BRC.

2. Engaging with the community of risk professionals, risk champions and ERM teams across operating entities and international subsidiaries, providing them with the necessary tools and training, and supporting them to achieve their objectives and continuously raise the bar in terms of the quality of risk management practices across the Group.

Enterprise Top Risks

In accordance with Zain’s risk management process, the company scans, assesses, and monitors the Group’s risk and control environment on an ongoing basis, proactively seeking to reduce risk exposures down to acceptable levels.

In line with this process, the table below summarizes several of Zain’s risks and describes the high-level approach to managing them.

Risks	Description	Impact	Mitigation
Evolving regulatory regime (Strategic)	As Zain operates in diverse markets, the company faces legal and regulatory challenges. The authorities can alter current regulations and implement new ones, which can significantly influence the organization’s operations and financial performance.	Increased cost of operations (license fees, cost of regulatory compliance) leading to reduced profits. Delay, or postponement in launch of new businesses and services to create new revenue streams due to lack of regulations or delay in regulators' clearance.	Collaborate with market regulatory authorities and other stakeholders, engaging in market issues, with a clear focus on common benefits.
			Innovation on new products and services to enhance revenues and overcome increased regulatory costs.
Geopolitical & macro-economic situation (Strategic)	Zain operates in multiple markets, and changes to macro-economic indicators impact operations significantly.	Reduced customer spending leads to reduced revenues impacting the execution of the company’s strategy.	Ensure cost optimization initiatives and access to long- and short-term capital options through varied sources of funding.
	Geopolitical hindrances lead to reduced access to capital and technology. Political unrest causes disruption to operations and revenues.	Weakening local currencies in certain subsidiaries affects the profitability of Zain’s operations and asset valuation.	Employ various hedging instruments to offset rate hike impact.
		Hikes in interest rates increase the cost of debt in certain subsidiaries.	Ongoing improvement of Zain’s business continuity capabilities across operations.
Cybersecurity (Operational)	As technologies advance rapidly, cybersecurity threats are also evolving and need ongoing monitoring.	Customer data breach, financial, reputational, or regulatory consequences.	Ongoing enhancement of the company’s cybersecurity capabilities by conducting: 1. Periodic cybersecurity assessments 2. Latest security tools 3. Training and awareness programs.
Successful and timely implementation of Digital BSS Transformation program (Operational)	Billing and charging systems are critical to Zain’s business. The systems are being transformed in certain operations to offer attractive packages along with value added services with full scalability for B2C and B2B customers.	Delayed and incorrect implementation of the systems may lead to customer churn and cost overruns.	Formation of a dedicated cross-functional transformation team for planning and delivery of transformation programs.
			Develop transformation KPIs for the program and associated stakeholders with close follow-up and dedication from Board and management
Talent management (Operational)	Digital transformation strategies require transformation of workforce capabilities and skills, as talent acquisition / talent upscaling needs are pronounced in domains such as machine learning, data science, AI, and software-based networks.	Business initiatives leveraging digital platforms and new skillsets will be affected, leading to disruption to digital transformation programs.	Re-structuring organizational structure to align with a digital future while maintaining an effective balance between external hires, contractors, and an internal re-skilling program. Initiatives to attract digital/tech talent by creating a compelling value proposition for prospective talent.

Branding

The appeal of the Zain brand continues to attract followers, driving engagement and value

Zain’s brand sits at the heart of the Group’s identity, serving as a promise to customers and a clear articulation of its vision and strategic focus. In the recent Brand Finance 2026 rankings, the Zain brand was valued at USD 4.04 billion, a 16.1% YoY increase from USD 3.5 billion in 2025, and assigned a AAA- brand rating, reaffirming the strength of its equity across MENA. This recognition reflects sustained investment in compelling campaigns, corporate sustainability, diversity, equity and inclusion (DEI) initiatives, and ongoing innovation and network upgrades that enhance service quality and customer experience.

During the year, Zain Group strengthened its brand consistency, strategic alignment, and regional impact. Across markets, ensuring that the Zain identity was expressed with radiance, heart, and belonging while exhibiting emotion and clarity, safeguarding a unified customer experience across every touchpoint. This effort combined long-term brand stewardship with agile execution, enabling teams to accelerate delivery while protecting the integrity of the brand promise. By aligning brand expression across channels and markets, Zain Group reinforced recognition, trust, and a clear sense of belonging among audiences across the company’s footprint and beyond.

Purpose Campaign Launch

A defining milestone was the successful launch of the internally focused Purpose Campaign, developed as a core activation of the Group’s ‘4WARD - Progress with Purpose’ strategy. Anchored in the strategy’s Purpose and Action force, the campaign translated the company’s purpose of “Better Lives. Lasting Connections” into a clear, shared narrative that could be instilled in every employee and activated consistently across markets.

Activation of the initiative across digital channels and physical environments, also witnessed ensuring consistent application across virtual platforms and real-life settings. The engagement covered assets for virtual executions as well as the real-life artworks and applications required for Group-wide adoption. This translation of Purpose into tangible creative expressions enabled faster activation across markets, ensured creative coherence from concept to delivery, and strengthened internal alignment around a shared narrative that supports the Group’s strategic direction.



Branding Governance Across the Footprint

To ensure consistency and elevate brand equity, the company rolled out new and streamlined branding governance platform across the Group and its subsidiaries. This governance framework reinforced clear standards, enabled structured onboarding, and established a consistent review process before communications and campaigns go live. By improving alignment across markets and reducing fragmentation, governance strengthened brand consistency and supported higher-quality execution across media, partnerships, retail environments, digital content, internal communications, and partner activations, ensuring every release reflects a shared standard of excellence.

Updated Guidelines, Brand Strategy, and Brand Architecture

On a strategic level, Zain Group finalized refreshed brand guidelines across subsidiaries, delivered through an online format that improves accessibility, clarity, and adoption throughout the organization. The guidelines provide practical direction for applying the brand through various channels, ensuring that visual identity, tone of voice, and messaging hierarchy are executed consistently while allowing teams to tailor content to local market needs. By making guidance easier to access and apply, the Group strengthened compliance, and enabled colleagues to execute confidently with fewer revisions.

In parallel, Zain refreshed the brand strategy to ensure full alignment with the overarching business strategy and evolved the brand architecture to strengthen and elevate the brand. This work clarified how the portfolio is structured, how sub-brands relate to the masterbrand, and how Zain can communicate with greater precision while preserving a unified identity. The result is a stronger strategic foundation that supports future growth, enables coherent brand expansion, and reinforces trust with customers and stakeholders, while providing a clear foundation for future services, partnerships, and experiences.

Experiential engagement at scale, Zain’s Children’s Play 2025 - “Zain Who Knows No Fear”

From a marketing and engagement perspective, Zain focuses on high impact initiatives that blend entertainment, community, and digital reach. In 2025, Zain’s annual Children’s Play, “Zain Who Knows No Fear,” was a major success, premiering on the first day of Eid Al Fitr and running for 10 days at The Arena Kuwait. It attracted over 60,000 attendees, while its content generated over 43 million views across YouTube and TikTok combined. Staged on the world’s largest circular children’s stage, the production paired a dazzling visual experience with a storyline centered on confronting “monsters” that represent negative emotions and thoughts, reinforcing themes of resilience and self-belief. The initiative demonstrated Zain’s ability to create large-scale, family-first experiences that translate into meaningful digital momentum, reinforcing the brand’s relevance across audiences and strengthening affinity through memorable moments. By creating an experience that resonated on site and online, Zain reinforced its leadership in entertainment and family engagement across the region.



Ramadan TVC, Rich Storytelling with a Brave Voice

Each year, Zain’s annual Ramadan TVC is widely anticipated for its bold messages and emotionally resonant storytelling that consistently strike a chord across the region. The Group’s 2025 TVC achieved 79 million views on YouTube and TikTok combined, while also going viral within days of launch, generating over 6 million views and tens of thousands of audience reactions across major social platforms.

The film stood out for its emotionally resonant storytelling and a courageous narrative voice that sparked conversation on sensitive regional realities. Filmed on location across Gaza, Lebanon, and other affected regions, the TVC blended authentic imagery with a compelling message of perseverance and defiance, reinforcing the Zain brand’s presence alongside communities in moments that matter. At its core, the narrative reframed “presence” as more than physical attendance, positioning it as belonging, resisting, and rebuilding.

The storyline delivered a clear statement on resilience and the enduring bond between people and homeland, underscoring that land and identity are not transactional, and that communities rise from hardship to reclaim, restore, and rebuild with hope. Visually, the film used powerful symbolism, such as a flagpole combining the Lebanese cedar, Gaza’s keys, and Syria’s oud, reflecting endurance, the right of return, and resilience through art.

Adding depth and authenticity, the TVC featured the voice of renowned artist Majed Al Mohandes, turning the soundtrack into an anthem of resilience. It also highlighted real figures whose stories carried symbolic weight, including Maria from Gaza and Renad, the young chef known for sharing her cooking during the bombings, reinforcing the theme that determination transcends age.



Eid TVC, joyful celebration through Music, Movement, and Persona

Another widely anticipated annual tradition, the Zain 2025 Eid television commercial reached 56 million views on YouTube and TikTok combined. The content embraced a joyful, celebratory tone, featuring song and dance.

The film was led by the talented Lama Al Kinani, widely recognized as Aziza from the renowned television series Shara' Al Aasha. In the campaign, she embodied multiple personas, including a creative homage to the legendary Souad Husni and her iconic role as Aziza. The TVC captured the essence of Eid joy and illustrated how the excitement of the celebration often leads people to express themselves in spontaneous and unexpected ways, offering a fresh and engaging take on welcoming Eid.

Collectively, these initiatives underscore Zain Group's role as a strategic partner to operating companies, translating strategy into execution, protecting brand equity through governance, and delivering creative work that resonates across the region. By combining refreshed foundations with consistent stewardship and culturally relevant storytelling, Zain strengthens its brand promise and deepens emotional connections with audiences at scale.



4Billion
Views

1.5Billion
Interactions



Social media: 36 million followers

Zain's focus on promoting corporate sponsorship and participation, brand creativity and messaging, product and service launches, Corporate Sustainability, Inclusion, Diversity and Equity and other activities across its markets and the wider region through social media channels resulted in an impressive increase in followers, engagement, and views across social media channels.

Groupwide, Zain has a social media following of 36 million fans and annually having over 200 million YouTube and 150 million TikTok views of creative videos published, with many of them going viral.

Social media teams across Zain's footprint regularly produce appealing and engaging content, consumed by responsive followers. This has resulted in a loyal social media base across the Zain footprint, numbering over 36 million, with 14.6 million fans on Facebook, 6.5 million followers on X, 3.5 million on Instagram, 4.5 million YouTube, 5 million on TikTok and 1.3 million on LinkedIn.

During 2025, Zain Group and its operations' social media channels received 4 billion views and 1.5 billion interactions, remarkable engagements that reaffirm the appeal and power of the Zain brand across the globe.



Inclusion, Diversity and Equity

Zain's Inclusion, Diversity & Equity (IDE) division is a strategic accelerator of long-term performance and talent sustainability. In 2024, Zain launched its '4WARD - Progress with Purpose' corporate strategy, positioning Purpose & Action as a core driver of responsible growth through Environmental, Social, Governance (ESG) and IDE initiatives.

Targeted IDE initiatives, including WE for women advancement, WE ABLE for disability inclusion, BE WELL for employee wellbeing, Zain Youth (ZY), and the IDE University (IDEU), were continued and played a key role in driving digital transformation and supporting sustainable, long-term value creation.

Zain intricately measures the impact of its IDE-related initiatives through Group-wide inclusion assessment in partnership with Glint, benchmarking performance against 1,000 global organizations and focusing on Allyship, Addressing Bias, and Courage to Engage.



WE (Women Advancement Program)

In 2025, Zain launched two flagship initiatives: NOVA for entry-level women in departments at Zain with low female representation, and WE SUCCEED, for middle to senior management. As of Q4 2025, women represented 29% of Zain's total workforce, progressing towards the headcount target of 40%, while female representation stood at 23% in middle management positions, and 16% in leadership, indicating clear progress toward the 30% WE 2030 target for both levels.

NOVA targets key development areas supplemented with bi-weekly training and engagement sessions led by each Zain operating company's WE Champion, combining learning within groups to enhance career growth possibilities. The program engaged 148 participants, supported by structured learning and tracked progress. A dedicated two-day leadership retreat set the foundation for the cultivation of a new community, followed by the delivery of Mindset Transformation sessions, achieving 94% overall satisfaction and 93% knowledge acquisition and application, reflecting strong learning impact.

WE SUCCEED focuses on strengthening succession pipelines and accelerating leadership readiness, with Year 1 delivered in partnership with TRACE, a regional expert behavior transformation consultancy entity. WE SUCCEED engaged 50 participants selected by their respective CEOs to undergo a three-year journey built on tailored individual development profiles to guide growth, readiness, and progression.



WE ABLE (Disability Inclusion Initiative)

In 2025, Zain Group launched its WE ABLE 2030 Vision, reinforcing a commitment to disability inclusion in an AI-driven world through five strategic pillars spanning disability-inclusive AI governance, inclusive employment and retention, accessible products and services, leadership development for people with disabilities, and global recognition and advocacy. Key initiatives included Zain's first-ever Disability Inclusion Roundtable in partnership with PurpleSpace, the world's only cross-sector networking and professional development hub for disabled employees, Employee Resource Group leaders and allies, empowering employees with disabilities to confidently advocate for their needs, attended by 45 participants with a 93.5% satisfaction rate. 12 disability etiquette sessions were also delivered across Zain operating companies. These efforts are complemented by strong progress in physical accessibility, achieving near-full accessibility in Kuwait and Jordan (96-99%) and a Group-wide average of 81%, demonstrating sustained momentum toward inclusive infrastructure and equitable growth.

Building on the WE ABLE strategy launched in 2019, Zain scaled its partnership with Be My Eyes, an renowned app connecting blind or low vision users who want assistance with volunteers and companies across the world, through live video and AI. By enabling real-time employee volunteering across all eight markets, 1,873 calls were answered in 2025 with a 98.9% satisfaction rate. In addition, Zain became the first telco in the region to join the Business Disability Forum, engaging with over 600 global organizations on disability inclusion strategies, and enhancing the company's procurement accessibility practices.





BE WELL (Employee Wellness Initiative)

BE WELL strengthened Zain’s employee wellbeing agenda by prioritizing mental health, physical wellbeing, and resilience utilizing a data driven and sustainable approach. In collaboration with the Kuwait Counseling Center (KCC), 850 therapy sessions were delivered in 2025. Zain’s collaboration with Tuhoon, an innovative workplace wellness solution, saw an increase in engagement through webinars on topics such as stress management and happiness, with 500+ attendees in 2025. Physical wellbeing initiatives also saw strong engagement, with 915 participants joining the Ramadan Steps Challenge. Additionally, 24 employees are certified under the Mental Health First Aid (MHFA) program, reinforcing a psychologically safe and resilient workplace.

A key milestone achieved in 2025 was Zain’s Group-wide shift from isolated initiatives to a proactive, insight-led wellbeing strategy. In partnership with Omantel, the Mental Health at Work One Mind Index was piloted in 2024 and conducted in all operations in 2025, establishing a foundation for tailored wellbeing approaches. These findings directly shaped the evolution of BE WELL 2030, including the launch of the Youth Well-Being initiative, commencing with a survey completed by 791 youth respondents, and six corresponding youth focus groups Group-wide.



ZY (Zain Youth Initiative)

Zain Youth (ZY) empowers employees under the age of 30 through structured programs focused on leadership, capability building, and early-career acceleration, strengthening Zain’s long-term talent pipeline across operations. The ZY Counsel, a gathering of high-potential young talents, serves as an advisory team to address key operational and CEO-prioritized challenges. The group engaged through leadership masterclasses. At the same time, their ideas are under implementation across operations, including a gaming strategy in Zain Kuwait, customer experience enhancements in Zain Bahrain, challenge identification and mitigation in Zain Jordan, and initiatives to increase activations in Zain Cash Jordan. ZY Mavericks, meanwhile, builds internal youth trainers through certifications and peer-led learning via ZY Learn, delivering five sessions to 50+ attendees and supported by a Train the Trainer workshop in Jordan. A milestone was achieved with 30 Zain Youth Mavericks certified as professional trainers, strengthening internal capability-building across the Group. In parallel, NEXT Z serves as Zain’s structured early-career leadership and technical development program, while the Gen Z program for fresh graduates rolls out across opcos as it enters its second decade.



IDEU (Inclusion, Diversity, and Equity University)

IDEU (Inclusion, Diversity & Equity University) remains a cornerstone of Zain’s workforce development and digital transformation agenda through its strategic partnership with Spain’s IE University. With 2,000 employees onboarded, Zain equips participants with cutting-edge digital transformation capabilities and a structured pathway toward a Private Master’s Degree in Digital Transformation.

In 2025, IDEU welcomed 259 new students, maintaining a 95%+ average course pass rate with zero inactive learners, reinforcing the program’s effectiveness and sustainability. The Stellers program scaled peer-to-peer learning by enabling high performing graduates to mentor and support new participants across operations. IDEU’s impact has received international and regional recognition, including the EFMD Excellence Award 2025 (Silver), recognition as Best People Development Program at the MERIT Summit Awards, and being shortlisted for the 2025 Reuters Global Sustainability Awards, positioning IDEU as a leading model for data-driven, future-ready talent development.



02

Corporate
Sustainability

01
Strategic Review

02
Corporate Sustainability

03
Corporate Governance

04
Financial Statements

→ Corporate Sustainability	64
→ Climate Change	66
→ Operating Responsibly	68
→ Inclusion	69
→ Generation Youth	70



Corporate Sustainability

In 2025, the region experienced significant transformations that exposed various risks, requiring governments, businesses, and society to adapt rapidly and systematically. Geopolitical tensions and climate change emerged as two of the most material challenges, increasingly demanding coordinated public and private sector action.

The MENA region is among the most climate-vulnerable in the world, facing acute climate insecurity driven by extreme heat, chronic water scarcity, desertification, and increasing climate-related disruptions to infrastructure and essential services. These physical risks are exacerbated by transition risks linked to evolving climate policies, energy system shifts, and rising investor and regulatory expectations. Together, these dynamics heighten economic volatility, strain public resources, and complicate long-term investment and planning across the region.

Heightened uncertainty has further constrained businesses' ability to make accurate forecasts and plan long-term investments. At the same time, the region has an opportunity to strengthen resilience by better leveraging its human capital through skills development, innovation, and more agile workforce models.

However, structural labor market challenges persist. A large share of the workforce remains under-skilled, requiring significant upskilling and reskilling to meet the demands of the digital economy. Only 14.5 percent of firms in the MENA region invest in employee training, less than half the average of middle-income economies. These constraints are also highlighted by the lowest female labor force participation of 18 percent, despite evidence that increasing women's participation could raise income per capita by up to 50 percent. The inability to fully mobilize and develop human capital limits the region's capacity to respond to economic and climate-related shocks.

As such, Zain plays a unique role in addressing regional challenges through its products and services, supported by an agile, market-specific approach. Climate action is embedded within Zain's Corporate Sustainability strategy and long-term value creation agenda.

Zain's net-zero ambition is aligned with the Science-Based Targets initiative (SBTi), with targets validated under the SBTi Net-Zero Framework,

which requires achieving net zero by 2050. Greenhouse gas emissions are calculated in line with the GHG Protocol Corporate Accounting and Reporting Standard, with emission factors aligned to International Energy Agency standards. While Nationally Determined Contributions across Zain's markets extend to 2050, 2060, or beyond, alignment with the SBTi framework ensures a consistent, science-based approach across all operations.

This year marks the conclusion of Zain's 2020–2025 Corporate Sustainability strategy, reflecting progress made in formalizing the management of social, economic, and environmental impacts and advancing the company's mission of providing meaningful connectivity that supports resilience and systemic change.

All topics and material mentioned in this section can be found in greater detail in Zain's 2025 Sustainability Report.



The following section highlights yearly progress of Zain's CS Strategy across Zain's operations:

In 2025, Zain took a strategic step related to the collection of sustainability data by automating more than 200 ESG indicators through its data management platform, elevating the accuracy, consistency, and accessibility of sustainability performance across the Group. The company also published its Climate Transition Plan and embedded integrated-thinking principles into its sustainability reporting, laying the groundwork for the next strategic cycle.

Building on the mission of providing Meaningful Connectivity and its vision of driving equitable, systemic change, Zain is redefining its sustainability strategy to reflect key lessons learned, evolving market contexts, and emerging challenges and gaps across its operations, as sustainability is central to the new 4WARD–Progress with Purpose corporate strategy. In parallel, integrated thinking principles are embedded across Zain's Sustainability Report to further ensure a holistic assessment of value creation and take into consideration trade-offs of business decisions made.

Key Achievements of the Year:

Integrated a centralized ESG data-management platform, automating the collection of 200+ indicators across operations

Embedded integrated-thinking principles into the Sustainability Report to reflect holistic, cross-functional decision-making

Published Zain's Climate Transition Plan, outlining the company's pathway to Net Zero

Launched a Group-wide waste data collection initiative across all operations, establishing the foundation for a comprehensive waste baseline

01	Strategic Review
02	Corporate Sustainability
03	Corporate Governance
04	Financial Statements

Mission

To provide Meaningful Connectivity leading to equitable systemic change and empower Zain’s communities.

Vision

-  Safeguard the planet
-  Address societal challenges through the core business
-  Enable an inclusive digital society
-  Build the youth of the future

Strategic Pillars

Climate Change

Decarbonize our business & transition towards net-zero by 2050



Operating Responsibly

Embed ESG across our value chain



Inclusion

Reduce the digital inequality gap



Generation Youth

Build resilience across our communities by targeting 16 million children and youth



Sustainability pillars impact

SUSTAINABILITY PILLAR

Climate Change

IMPACT ON CAPITALS

Climate action strengthens natural, intellectual, and social capital by reducing environmental impacts, driving innovation in energy efficiency and renewable solutions, and enhancing community resilience and stakeholder trust. However, the transition requires significant upfront investments in infrastructure and clean technologies, creating short-term pressure on financial capital.



SUSTAINABILITY PILLAR

Operating Responsibly

IMPACT ON CAPITALS

Responsible supply chain practices strengthen social and relationship, human, and manufactured capital by improving labor standards, supplier trust, and operational reliability. However, enhanced compliance requirements and audits may increase short-term procurement and operational costs, placing pressure on financial capital.



SUSTAINABILITY PILLAR

Inclusion

IMPACT ON CAPITALS

Inclusive digital access and equitable practices strengthen human and social and relationship capital by expanding participation, skills development, and stakeholder trust. However, investments in accessibility, inclusion programs, and system adaptation create short-term financial pressures.



SUSTAINABILITY PILLAR

Generation Youth

IMPACT ON CAPITALS

Youth and SME empowerment strengthens intellectual, human, and social and relationship capital by building skills, innovation capacity, and economic participation. However, program funding and capacity-building investments create short-term pressure on financial capital.



Zain's progress in 2025 across its strategic pillars:

Climate Change

In 2025, Zain advanced its climate action agenda in line with its Corporate Sustainability strategy, building on the progress achieved over the previous five-year cycle. The company continued moving toward its Science Based Targets initiative (SBTi)-approved net-zero pathway by expanding renewable energy solutions, improving energy efficiency across facilities, and deepening water-risk assessments to strengthen operational water security. Nature and biodiversity considerations were further embedded into planning and development processes, complementing ongoing enhancements in waste and water management across all markets. A key milestone in 2025 was the launch of Zain's Climate Transition Plan, which provides a phased, practical roadmap for achieving net zero in alignment with global standards and operational realities.

Reinforcing its commitment to transparency and data integrity, Zain achieved the leadership score of an 'A' annual CDP disclosure and expanded the scope of its emissions reporting by securing reasonable assurance for Scope 1, Scope 2, and Scope 3 emissions, becoming the first company in the region to do so. This reflects Zain's dedication to high-quality, credible climate performance reporting.

Network and Energy Consumption Transition

Strategic Approach and Communications

Waste Management and Circular Economy

Zain’s Climate Action Journey Throughout the years:

2012

- First sustainability report

2016

- Completed first five-year target cycle

2017

- Aligned the CO₂ emissions factors for IEA Standards
- Set new CO₂ emissions reduction targets for five years

2018

- Updated Zain’s Enviromental and Social Management Plan to include IFC recommendations

2019

- Became a member of the GSMA Climate Action Task Force
- Disclosed to CDP: private

2020

- Disclosed to CDP: public
- Established a Climate Action Committee (CAC)

2021

- Achieved A- score (leadership) through CDP
- Plan to introduce Internal Carbon Pricing (ICP)
- Plant to commit to SBTi
- Published Zain’s Climate Change Policy

2022

- Developed the Climate Change Compliance Framework (approved by the Board)
- Formal commitment letter approved by SVTi and received acceptance letter on January 6, 2023
- Set new CO2 emissions targets for five years

2024

- Board approved Waste Management Compliance Framework
- Zain’s Science-Based Targets approved by the Science-Based Targets Initiative (SBTi)

2025

- Launched Climate Transition Plan
- Continued Scope 1 and 2 Reasonable Assurance and added Scope 3 this year
- Achieved an A (leadership score) under its CDP membership

Outlined below are Zain’s Emission Reduction Performance and 2025 targets, prepared in accordance with the Greenhouse Gas (GHG) Protocol and guided by the Science Based Targets initiative (SBTi) methodology for emissions accounting and reduction planning.

2020 – 2050 CO₂ Emissions targets for Scope 1 and Scope 2:

Target	Scopes / Targets	2020	2030	2050
Absolute / 1.5°C	Scope 1 emissions (tCO ₂ e)	401,370.94	232,795.14	52,178.22
	Scope 2 emissions (tCO ₂ e)	730,328.98	423,590.81	94,942.77
	Scope 1 + Scope 2 emissions (tCO ₂ e)	1,131,699.92	656,385.96	113,169.99
	Reduction Targets		42.0%	90.0%

CO₂ Emissions Reduction (2020-2025)

Scopes	Base Year (2020)	Reporting Year (2025)	Reduction to Date	% near-term SBT Progress
Scope 1 emissions (tCO ₂ e)	401,370.94	358,605.16	52,823.78	30.56%
Scope 2 emissions (tCO ₂ e)	730,328.98	683,974.678	80,943.30	25.19%
Scope 1 + Scope 2 emissions (tCO ₂ e)	1,131,699.92	1,042,579.84	133,764.28	27%

*Note:

- For the conversion from liters of fuel to KWh, we considered that 1 L = 3KWh on the basis that 1 liter produces 10KWH with diesel generator efficiency of 30% as recommended by the GSMA.
- DG-battery hybrid solutions usually lead to approximately 50% savings on fuel consumption.
- Estimate of KWh for solar system is based on the data provided by Zain Jordan as per site monitoring and management solution. 750KWh is produced per site on average.

Scope 3 Emissions Breakdown

Category name	Total tCO ₂ e
Category 1: Purchased goods and services	129,765.35
Category 2: Capital goods	121,439.17
Category 3: Fuel- and energy-related activities (not included in scope 1 or scope 2)	131,336.39
Category 4: Upstream transportation and distribution	556.76
Category 5: Waste generated in operations	11,083.59
Category 6: Business travel	1,182.20
Category 7: Employee commuting	11,390.58
Category 8: Upstream leased assets	87.98
Category 9: Downstream transportation and distribution	11,122.75
Category 10: Processing of sold products	0.00
Category 11: Use of sold products	16,803.95
Category 12: End-of-life treatment of sold products	10,012.17
Category 13: Downstream leased assets	11,435.13
Category 14: Franchises	0.00
Category 15: Investments	24,187.67
TOTAL Scope 3 Emissions	480,403.68
Y-O-Y Change (2024-2025)	(20,814.32) (4.15%)

More initiatives on Climate Change Awareness, Waste Management and Circular Economy can be found on page 101 of Zain’s 2025 Sustainability Report.

Operating Responsibly

Responsible Supply Chain

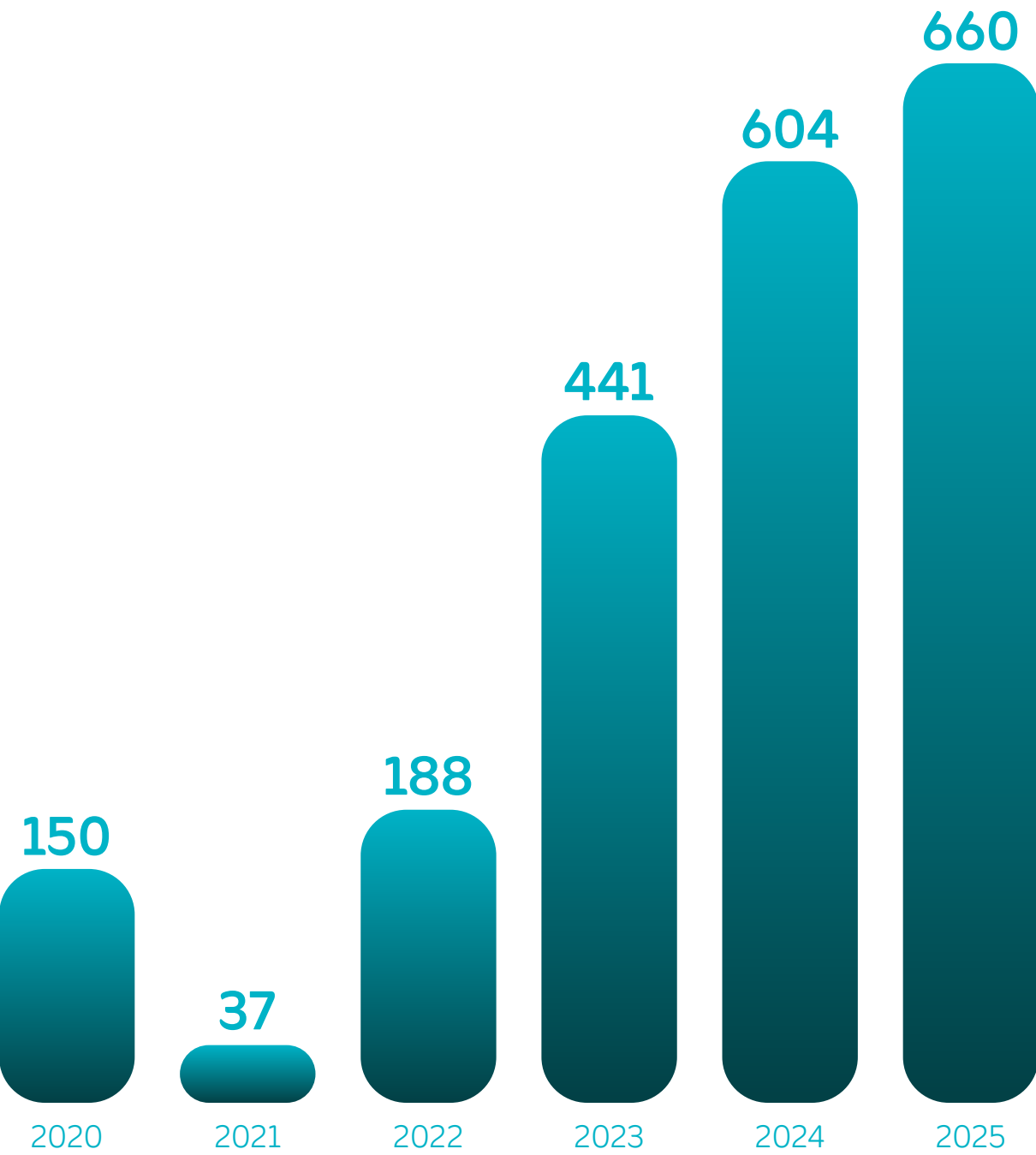
Zain continued to strengthen its supply chain management approach by ensuring that suppliers align with the company’s ESG standards. By addressing sustainability-related risks, promoting responsible practices across the value chain, and mitigating potential reputational impacts, Zain reinforced its commitment to responsible and ethical business conduct.

The table below presents the number of suppliers who completed Zain’s social and environmental self-assessment questionnaire.

Operation	Number of Suppliers Target	Number of Suppliers Completion	Percentage achieved
Bahrain	100% of Active Suppliers in 2025	71	59%
Iraq		50	91%
Jordan		307	84%
Kuwait		110	58%
Saudi Arabia		95	51%
Sudan*		21	10%
South Sudan		6	6%
Total		660	-

*Sudan's numbers are impacted due to the conflict.

Progression of Supplier Self-Assessment Questionnaire



The 2025 figures shown in the graph represent suppliers at the Group level and across all operating companies.

In 2025, Zain continued to apply the observation form introduced in 2023 across all physical supplier audits. This tool supports systematic tracking and reporting of identified risks, enabling the company to assess the severity of each observation and take appropriate action. Where high-risk findings indicate a breach of the Supplier Code of Conduct, suppliers remain subject to corrective measures, including potential termination.

Operation	Target of Number of Suppliers	Completed
Bahrain	10	10
Iraq	10	10
Jordan	10	11
Kuwait	10	10
Saudi Arabia	10	12
Sudan*	10	N/A
South Sudan	10	N/A

*Sudan's numbers are impacted due to the conflict.

Inclusion

Zain’s inclusion pillar focuses on reducing the digital divide with particular attention to supporting vulnerable groups. By expanding access to digital tools and services, the company promotes positive social outcomes and enables progress in areas such as education, healthcare, and economic opportunity.

As part of its strategy, Zain prioritizes the following segments:

- **Elderly community**
- **People with disabilities**
- **Women in technology**

Marginalized groups, including low-income populations, refugees, and rural communities, are also assessed and integrated into Zain’s broader commercial and business strategies to ensure more equitable access across its markets.

Elderly Community:

Target: **260,000 elderly people across Zain’s footprint by 2025 through products and services, marketing campaigns, and benefit features**

In 2025, Zain continued to strengthen its efforts to understand the needs and challenges of the elderly across its markets, recognizing them as an underserved community with significant opportunities for meaningful engagement. To address these needs, Zain collaborated with organizations that support senior citizens and elderly care homes to help enhance their quality of life. The initiatives highlighted below were launched to equip this community with essential digital tools and improved accessibility to help them stay connected. A total of 625 elderly were reached across Zain’s operations.

Zain Kuwait

- Delivered cybersecurity awareness sessions for 15 senior participants as part of the "You Are the Blessing" initiative.
- Included a health and wellness session led by a medical expert to support overall wellbeing.

Zain Bahrain

- Bede, Zain Bahrain’s Fintech arm, partnered with Al-Hekma Society to expand services for elderly users.
- The program engaged 80 seniors, improving access to digital and financial services.

Zain Iraq

- Hosted 30 older adults for hands-on training on mobile and social media applications.
- Welcomed 42 orphaned children for an intergenerational community visit and lunch.
- Launched a World Elder Abuse Awareness Day campaign that reached more than 1.3 million users.

Zain South Sudan

- Provided digital literacy training to 140 elderly participants in remote villages, covering mobile use, internet basics, and mobile money applications.
- Distributed 120 solar power banks to improve access to digital services.
- Registered 500 additional elderly individuals for upcoming solar power solution distribution in remote and Protection of Civilian areas. (300 women and 200 men)

People with Disabilities:

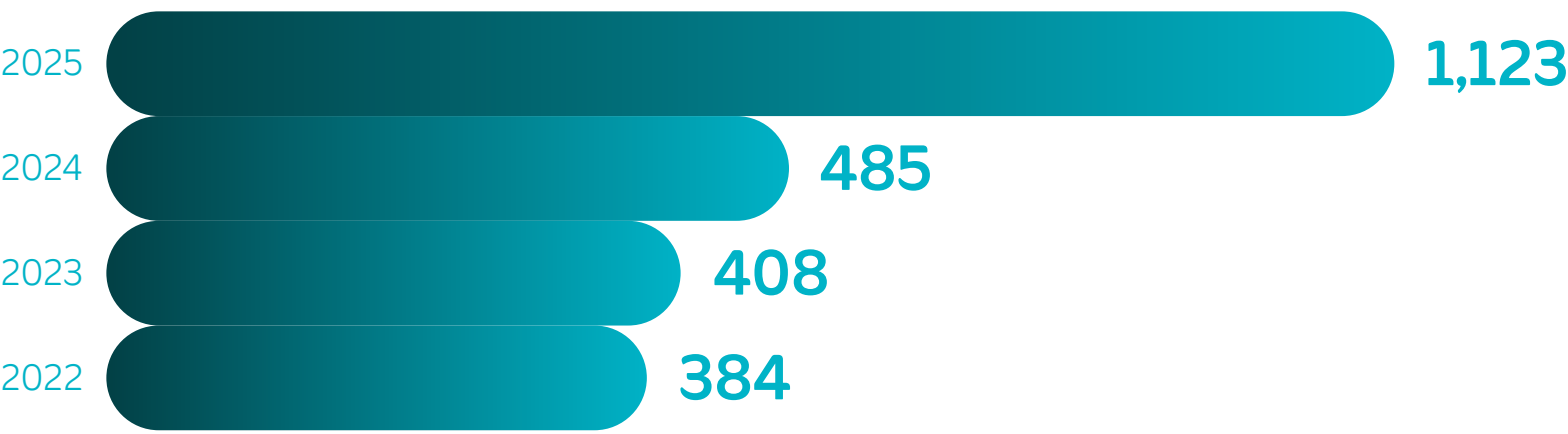
- **Zain Iraq** focused on alternative digital access solutions, providing 94 visually impaired students with monthly data bundles and enabling 36 PwDs to complete the Harvard CS50p digital skills program.
- **Zain Jordan** continued its Basma+ Line with 317 customers to further enhance inclusivity, a partnership with Royal Jordanian Airlines introduced tablets across 7 airport counters to support passengers with hearing impairments.
- **Zain KSA** maintained its Lifetime bundle for PwDs, reaching 840 subscribers.
- **Zain Sudan** developed a verified database of more than 23,000 PwD mobile numbers, enabling targeted communication and tailored offers, including 100 free call units on the International Day of Sign Languages.

Women in Tech:

Target: **in 2025 To mentor 200 women university students studying STEM in each market**

- **Zain Kuwait** significantly scaled the program to 550 participants, including six women with disabilities. Partnerships with academic institutions expanded reach, while training focused on key digital transformation areas such as cybersecurity, cloud, data, and AI. Early outcomes include five participants achieving career advancements or transitioning into technical fields.
- **Zain Iraq** delivered its largest program to date, reaching 318 women across three cities with 171 sessions delivered across specialized tracks including cybersecurity, data analysis, and mobile development. Partnerships with local tech organizations enhanced quality and accessibility.
- **Zain Jordan** streamlined its program to support 200 women across two phases, offering structured mentorship and targeted skill-building sessions.
- **Zain KSA** continued its collaboration with the Communications, Space and Technology Commission, launching the third edition of the program for 150 women.
- **Zain Sudan** implemented the program in a flexible hybrid format, providing online training to 50 participants in programming, AI, and innovation despite ongoing local challenges.

Women in Tech 2022-2025



Generation Youth

Within the Generation Youth pillar, the company established objectives aimed at fostering, developing, and maintaining supportive ecosystems that enhance the well-being of young people, thereby promoting sustainable, inclusive growth and social cohesion across the region.

In pursuit of these objectives, Zain continued to prioritize the following areas:

Child Online Safety

Digital Literacy

Youth Unemployment

Child Online Safety:

Partnership with Child Helpline International:

Zain is continuing in its Memorandum of Understanding (MoU) with Child Helpline International (CHI), supporting child helplines across its operations. In its third year, this partnership has focused on offering support through mobilizing and facilitation child helpline services, alongside physical roadshows.

Zain Kuwait: Kuwait National Child Protection Program (KNCPP) - 147

In 2025, Zain Kuwait continued in its efforts to sustain the 147 Child Helpline in partnership with the Kuwait National Child Protection Program (KNCPP), through targeted initiatives and awareness campaigns, including creating an animated video and to raise awareness and reiterate public trust in child protection services.

In addition, school roadshows were conducted, engaging in over 50 participants, with counselors, teachers, and education professionals from over 6 schools, further strengthening availability of child support services.

As a main sponsor, Zain continued to play a central role in supporting the awareness of the helpline throughout the year. In addition, further efforts

were made to strengthen child protection services, implementing a series of awareness campaigns and engagement initiatives aimed at promoting safe digital practices, child counselling guidance, and strengthening overall awareness of the service. The helpline handled a total of 5,212 calls during the year, reflecting continued public reliance on the service. Due to the continued efforts mainly from Zain, alongside other stakeholders, the helpline received 1,835 calls, with a 64% year-on-year increase and a 34% increase compared to Q3.

Zain Jordan: Jordan River Foundation - 110

In 2025 Zain Jordan expanded its nationwide awareness efforts to promote the Child Helpline and encourage access to support services. The company launched an awareness campaign through SMS broadcast targeting 100,000 individuals. Zain Jordan also utilized traditional media channels such as radio interviews as well as television interviews to reach a wider audience.

Moreover, Zain Jordan also conducted a social media campaign, that included four short videos highlighting the key services provided by the CHI 110 hotline, aiming to increase visibility, engagement, and public awareness of the available support services, which reached over 127,000 views.

As a result of these combined awareness efforts, the helpline recorded a significant increase in utilization. Total calls reached 886 in 2025, compared to 552 in 2024, representing a 60% year-on-year increase. Following the SMS campaign, calls increased from 3,496 to 5,049, reflecting heightened awareness and accessibility of the service.

Zain KSA: Saudi Arabia National Family and Safety Program Helpline - 11611

In 2025, Zain Saudi Arabia continued to support child protection services by raising awareness of online safety and children's rights through both digital and on ground activities. Social media campaigns resulted in 65,194 impressions, and an on-ground activation of the helpline was delivered to 443 children through 10 awareness sessions, addressing issues such as bullying and children's rights.

Digital Literacy:

Target: **To equip 471,000 children and youth with digital literacy skills by 2025**

In 2025, digital transformation continued to accelerate across the region, creating new opportunities for learning, economic participation, and social inclusion. Despite this progress, notable gaps in digital literacy remain, particularly among youth and vulnerable groups. As reliance on digital platforms grows, so do associated online risks, underscoring the importance of equipping individuals with the skills needed to navigate the digital ecosystem safely and confidently. Strengthening digital literacy is essential to ensure that all members of society can fully benefit from emerging digital opportunities.

Zain Kuwait:

Zain Kuwait continued to advance youth digital empowerment through its support of Academy X and Kuwait Codes, two flagship programs delivered in partnership with CODED. Kuwait Codes introduces high school students to programming and emerging technologies through specialized technical tracks, while Academy X, a non-profit initiative, focuses on equipping young women with essential digital, design, and entrepreneurship skills. Across both programs, participants engaged in practical learning on topics such as cybersecurity, Python with AI, mobile and web development, product design, and business innovation. Together, these initiatives fostered a strong pipeline of digital talent, culminating in the graduation of 1,288 students in 2025, reinforcing Zain's commitment to building future-ready capabilities among Kuwait's youth.

Zain Iraq:

In 2025, Zain Iraq strengthened youth digital inclusion and online safety through a series of high-impact initiatives. The company recorded 99,750 new active users on the Zain Kids platform during Q1 alone, significantly expanding access to digital literacy content for children and families. In parallel, the company supported future workforce readiness by enabling 200 youth to apply for CISCO digital skills courses through the Raqami platform, further reinforcing Zain Iraq's commitment to empowering young people with essential digital competencies. Zain Iraq also conducted bullying and cyberbullying awareness sessions for primary school students

in Basra and Baghdad on a quarterly basis. The sessions aimed to educate students on recognizing harmful behaviors, promoting respectful communication, and encouraging safe online practices.

	Q1	Q2	Q3	Q4	Total
Students	230	80	100	260	670

Zain South Sudan:

In partnership with the Whitaker Peace and Development Initiative, Zain South Sudan advanced digital inclusion by supporting large-scale ICT capacity-building youth across five states. A total of 1,725 participants (629 women and 1,096 men) were trained in core computer applications including Microsoft Word, Excel, PowerPoint, and internet navigation through Community Learning Centers in Juba, Torit, Yambio, Maridi, and Nimule.

Back to School Programs:

Zain Sudan: In response to the destruction of schools, Zain Sudan launched its flagship initiative, Back-to-School, offering support in basic education in six areas affected by the conflict: Khartoum, Sennar, Al Jazirah, White Nile, Al Gadarif, and North Kordofan. The project provided 1,090 school benches and 3,004 sets of school uniforms and scholastic materials. Supporting over 5,000 students (2,610 girls, 2,390 boys).

Zain Iraq: As part of its Back-to-School campaign, Zain Iraq hosted a five-day stationery bazaar at its headquarters, encouraging employees to purchase bags and stationery packages for orphaned children. Through this effort, 550 backpacks and stationery sets were distributed to students across Baghdad, Erbil, Basra, Anbar, and Samawah, supporting their return to school with essential supplies.

Zain South Sudan: Zain South Sudan promoted girls’ education through a large-scale Back-to-School campaign implemented in Central, Eastern, and Western Equatoria states under the theme, “Educate a Girl, Empower a Nation.” The campaign reached 3,711 community members through 25 outreach sessions in schools and villages, addressing early marriage, menstrual hygiene, poverty, and school drop-out while promoting the long-term value of girls’ education.

Youth Unemployment:

- Target
- 1. Reach unemployed youth through training, skills development, workshops, and mentorship opportunities
 - 2. Support the startup ecosystem and help create pathways for employment.

Youth unemployment continues to be among the region’s most critical socio-economic challenges, as political instability, conflict, and rapidly evolving market needs persist in limiting young people’s access to decent work. With youth unemployment rates in the region remaining among the highest globally, Zain recognizes the importance of adopting integrated approaches that strengthen education, digital and technical skills, and employability. Tackling youth unemployment is not only an economic imperative but also a key driver of long-term social stability, enabling young people to actively contribute to inclusive and sustainable economic growth.

Below are some examples of the initiatives conducted throughout Zain’s operations for more in-depth information refer to Zain’s Sustainability Report:

- In Kuwait, Zain’s youth programs reached 45 participants through the Zain Summer Program, KON with Babson College, and INJAZ, generating 1,711 sales transactions worth KWD 16,966 and attracting 132% more applications year-on-year.
- In Sudan, Zain supported over 715 youth across Sudan and Egypt through short-cycle vocational training in solar energy, electronics, tailoring, food manufacturing, and carpentry, with a strong focus on women’s economic inclusion.
- In Jordan, Zain’s Mobile, Gaming Devices, and Fiber Training Program operated across seven centers and in 2025 extended training to six months, added gaming specialization, and secured official national accreditation for vocational certification.
- In South Sudan, Zain’s Youth Empowerment program reached 487 young people (190 females, 297 males) across three states with CV writing, interview preparation, and first-time access to digital job platforms.



03

Corporate Governance

➔ Introduction	73
➔ Board of Directors	76
➔ Board Committees	80
➔ Members of the Board & the Executive Management	86
➔ Remuneration Report	92
➔ Integrity of Financial Reporting	94
➔ Risk Management and Internal Audit	95
➔ Code of Conduct & Ethical Standards	99
➔ Disclosure and Transparency	101
➔ Shareholders' Rights	104
➔ Stakeholders' Rights	106
➔ Performance Management	109
➔ Corporate Sustainability	110



Corporate Governance Report 2025

Introduction

Zain Group believes that effective corporate governance establishes the cornerstone for building trust, ensuring business sustainability, and protecting the interests of all stakeholders within a business environment characterized by rapid change and growing challenges. In light of the global transformations witnessed by the telecommunications sector, Zain continues to develop an advanced governance framework that focuses on Board effectiveness, robust risk oversight, and enhanced accountability and transparency, in line with laws and regulations and leading international best practices.

Zain's corporate governance framework emphasizes strengthening the role of the Board of Directors in strategic oversight, ensuring the independence and effectiveness of decision-making processes, and conducting regular evaluations of the Board and its committees, enhancing governance quality and embedding a culture of accountability. The Board also places particular importance on the integration of roles between executive management and the Board, ensuring clarity of authorities and responsibilities through clearly defined and approved governance frameworks.

With the increasing expansion of digital technologies and reliance on data, Zain places strong emphasis on technology and data governance. The Board oversees frameworks for managing digital risks, cybersecurity, and operational resilience, ensuring the protection of the Company's digital assets and business continuity. Zain also closely monitors developments related to artificial intelligence governance and the responsible use of emerging technologies, in line with guidance issued by international organizations and global governance frameworks.

Zain's corporate governance approach reflects a clear commitment to a stakeholder-centric model, whereby the Company actively enhances dialogue and engagement with shareholders, employees, customers, suppliers, and the wider community. This supports balanced decision-making that considers both financial and non-financial aspects. Integrated disclosure represents a core pillar of this approach, as Zain is committed to providing accurate and transparent disclosures regarding its performance, risks, and governance and sustainability practices.

Zain's governance framework also places increasing emphasis on enterprise risk management, including regulatory developments. The Board and its relevant committees regularly review these risks and ensure the Company's preparedness to address them with efficiency. This reflects Zain's commitment to adopting a preventive and proactive approach to risk management, safeguarding business stability over the long term.

Zain's governance culture is grounded in the highest standards of integrity and ethical conduct, supported by a comprehensive Code of Conduct and clear frameworks for whistleblowing and the protection of whistleblowers. This reinforces trust and fosters a transparent and respectful working environment. The Company also continues to invest in awareness and training programs to ensure that governance principles are embedded across all levels of the organization.

Through compliance with the requirements issued by regulatory authorities in Kuwait, and in alignment with relevant international frameworks, principles and standards, Zain continues to strengthen its position with a leading corporate governance framework within the telecommunications sector. This report reflects the evolution of Zain's governance practices during 2025 and role in supporting sustainability, enhancing trust, and creating long-term value for all stakeholders.

Amid the accelerated transformation of the telecommunications sector toward a technology-company model, Zain continues to enhance advanced governance frameworks that support this shift, integrating environmental, social, and governance (ESG) principles at the core of its operations and business model. The Board oversees this transformation to ensure a balance between technological innovation, digital risk management, stakeholder protection, and the responsible use of technology and data. This approach reflects Zain's commitment to adopting sustainable governance that keeps pace with the evolving role of telecommunications companies in the region as a key driver of the digital economy, while maintaining the highest standards of transparency, accountability, and long-term value creation.

The Board maintains strong oversight on Zain's sustainability strategy to support long-term value creation across social, economic and environmental impacts.

Throughout 2025, the company achieved major milestones showcasing the company's commitment to socio-economic development in its operating markets. The company achieved an A score under its CDP membership exhibiting Zain's leadership position in climate transparency and disclosure.

Zain also reached around 2,000 women under its Women in Tech mentorship program to support their transition into the workforce. Under its 3-year partnership with Child Helpline International, the company continued to facilitate the helplines in its communities through targeted awareness campaigns and school roadshows.

As part of its supply chain management program, the company continued to scale its supplier self-assessment and physical audits that following specific frameworks that aim to reduce risk exposure across its value chain.

The Board of Directors has worked to embed sustainability and environmental and social governance principles within both the operational and strategic frameworks of the Group, through regular monitoring of governance responsibilities, information security, and human capital development. This has been reflected in Zain's strong performance across global indices, including MSCI, where Zain achieved an A rating, as well as S&P Global ESG and FTSE4Good, where the Company's results exceeded global industry averages, highlighting the maturity of its governance framework and the sustainability of long-term value creation.

In 2025, Zain received the "Best Corporate Governance" award in Kuwait from World Finance, in recognition of the integrity and transparency of its governance practices.

The Board of Directors approved the Corporate Governance Report for the year 2025, which was prepared in accordance with applicable laws and regulations issued by the relevant governmental and regulatory authorities in Kuwait. This report covers the year 2025 and is available on the Company's website:

www.zain.com

Rule I: Construct a Balanced Board Composition

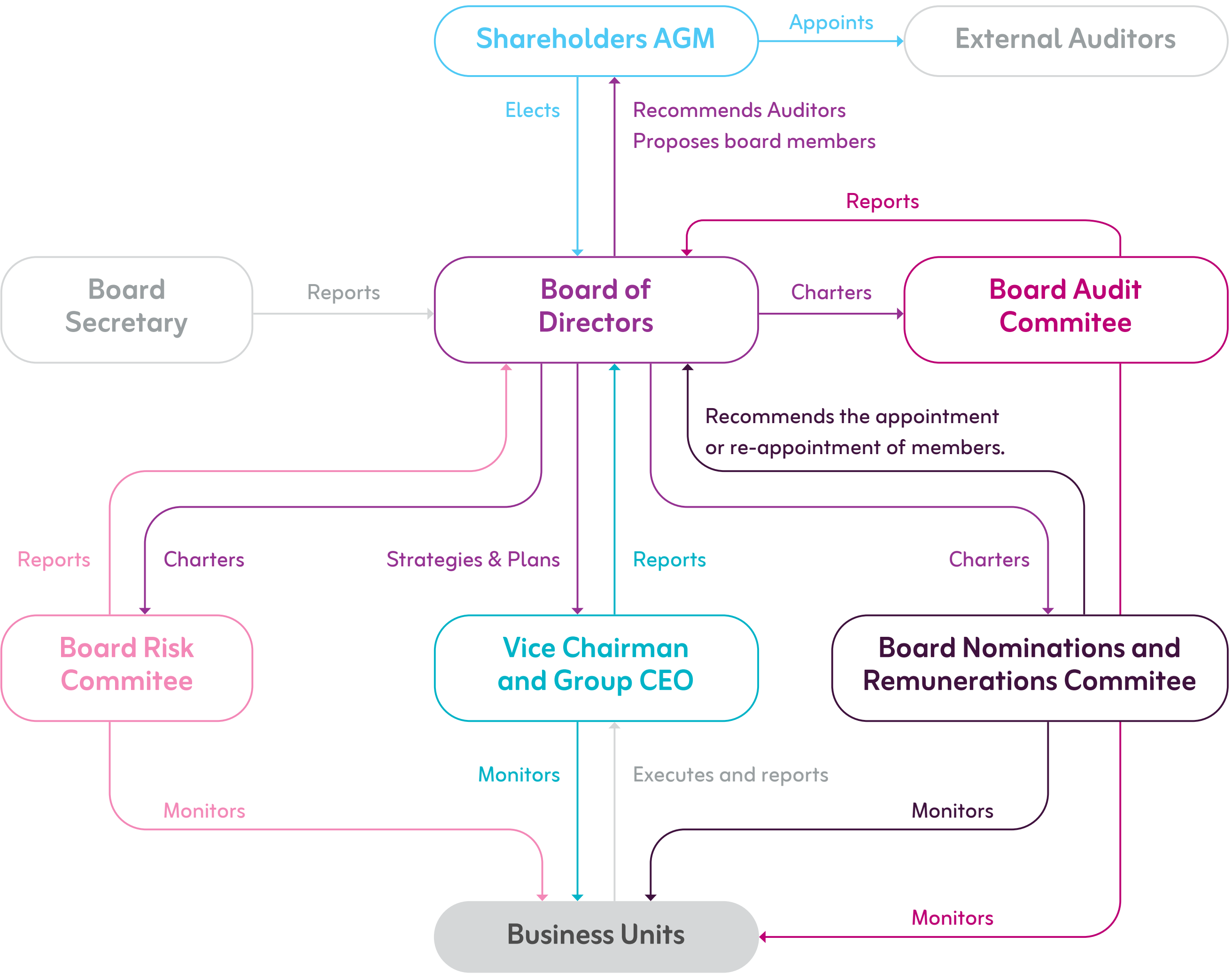
Establishing an appropriate decision-making framework is one of the pillars of sound corporate governance, as it relies on clearly defining responsibilities and providing transparent reports that ensure understanding and oversight of the company's development.

Below is an illustrative representation of the company's organizational framework:



The Company’s Framework

Below is an illustrative representation of the company’s organizational framework:



Applicable local laws and regulations

- Law no. 1/2016 [Companies Law]
- Capital Markets Authority: Law no. 7/2010
- Communications & Information Technology Regulatory Authority: Law no. 37/2014
- Boursa Kuwait – Rulebook
- Competition Protection Agency: Law no. 10/2007
- Kuwait Anti-Corruption Authority NAZAHA Law no. 2/2016
- Capital Markets Authority: Resolution no. 72/2015

Board of Directors

About the Board of Directors Composition 2023 – 2026

The following list presents brief information on the members of the Board of Directors, including the date of appointment, each member’s educational and professional background, and the nature of the position held.

Name	Classification	Education	Professional Experience	Date of Election
Osamah Othman AlFuraih Chairman	Non-executive	Bachelor’s Degree in Business Administration	25 years of experience in investments, industrial, banking, aviation, tourism and hotel, and transportation sectors	11 April 2023
Bader Nasser AlKharafi Vice Chairman & Group CEO Representing Oztel Holdings SPC Limited	Executive	Master of Business Administration & Bachelor’s degree in Mechanical Engineering	Industrial and banking sectors, Investment and business sectors, Non-profit institutions, Telecommunications, and mechanical engineering sector	25 June 2024
Abdulrahman Mohammad Ibrahim ALAsfour	Independent	Bachelor’s Degree in Business Administration – Accounting Major	Technical expertise in the application of IT solutions, audit, and finance	11 April 2023
Dr. Saad Ahmed AlNahedh	Independent	Bachelor’s degree in Electrical Engineering with a minor in Business Administration - MBA - Doctorate in Finance	Banking governance. Holds leadership positions at the Kuwait Fund for Arab Economic Development and the IILM, Government committees, Energy Research.	25 June 2024
Ibrahim Said AlEisri Representing Fajr Al Naseem Co.	Non-executive	Bachelor’s degree in Commerce (Accounting and Finance) and a Master’s degree in Finance	Financial and investment sectors, telecommunications, oil and gas, infrastructure, water, investment funds, and governance and government boards.	25 November 2025

Name	Classification	Education	Professional Experience	Date of Election
Zaki Hilal Saud AlBusaidi Representing Jawharat Al Jibla Co.	Non-executive	Master’s degree in Public Administration	24 years in the civil service sectors, port services, investment, and insurance and communications	11 April 2023
Atif Said Rashid AlSiyabi Representing Abeer Al Shuruq Co.	Non-executive	Bachelor of Engineering in Computer Hardware and Networking Technology	21 years in information technology, business development, innovative technological solutions and information systems, investment and communications	11 April 2023
Aladdin Baitfadhil Representing Danat Al Qiblah Co.	Non-executive	Bachelor's degree in Electrical and Electronics Engineering.	22 years in the information and communication technology sector	11 April 2023
Nasser Suleiman AlHarthy Representing Naseem Al Dilta Co.	Non-executive	Master's degree in business administration (MBA)	26 years in the investment, economic, financial, information management, legal and compliance sectors	11 April 2023
Yousef Khaled AlAbdulrazzaq	Non-executive	Bachelor’s Degree in Business Administration – Finance Major	Audit and investment expertise within the general reserve sector and investment funds	11 April 2023
Hatmel Farouq AlQadi	Board Secretary	Master of Laws (L.L.M)	Legal Consultancy Telecommunications sector	12 May 2015

Board of Directors Meetings 2025

During the year 2025, the Board of Directors held six (6) meetings in accordance with the controls and procedures set out in the applicable Governance Framework. Board meetings are convened upon invitation by the Chairman of the Board, or by the Vice Chairman in the Chairman’s absence, through any lawfully permitted means, including modern communication technologies approved by the Board. The Chairman of the Board is also required to convene an extraordinary meeting whenever a written request is received from at least two members of the Board.

A Board meeting shall be deemed valid when at least half of the Board members are in attendance. Meetings may be held through modern communication means approved by the Board, in accordance with the arrangements made by the Board in this regard. The Board may pass resolutions by circulation in cases that so require, subject to the unanimous approval of all Board members. Attendance by proxy at Board meetings is not permitted.

The Company affirms its commitment not to hold Board of Directors meetings during trading hours, in order to enhance transparency and ensure equal opportunities among all market participants, in line with best governance practices and the applicable regulations.

The table below sets out the details of the Board of Directors’ meetings held during the year 2025.

Name	Meeting 1/2025 24/2/2025	Meeting 2/2025 12/5/2025	Meeting 3/2025 12/8/2025	Meeting 4/2025 28/10/2025	Meeting 5/2025 11/12/2025	Meeting 6/2025 18/12/2025	Total Meetings
Osamah Othman AlFuraih Chairman		✓	✓	✓	✓	✓	5
Bader Nasser AlKharafi Vice Chairman & Group CEO	✓	✓	✓	✓	✓	✓	6
Abdulrahman Mohammad Ibrahim AlAsfour Independent	✓	✓	✓	✓	✓	✓	6
Dr. Saad Ahmed AlNahedh Independent	✓	✓	✓	✓	✓	✓	6
Talal Said AlMamari	✓	✓	✓	✓			4
Ibrahim Said AlEisri*					✓	✓	2
Zaki Hilal AlBusaidi	✓	✓	✓	✓	✓	✓	6
Atif Said AlSiyabi	✓	✓	✓	✓	✓	✓	6
Aladdin Baitfadhil	✓	✓	✓	✓	✓	✓	6
Nasser Sulaimen AlHarthy	✓	✓	✓	✓	✓	✓	6
Yousef Khaled AlAbdulrazzaq	✓	✓	✓	✓	✓	✓	6
Hatmel Farouq AlQadhi	✓	✓	✓	✓	✓	✓	6
Attendance Percentage	90%	100%	100%	100%	100%	100%	

*Mr. Ibrahim AlEisri was appointed to the Board of Directors on November 25th, 2025 after th eresignation of Mr Talal Said AlMamari .

Management of Board Meetings

Within the corporate governance framework, the Board Secretary plays a pivotal role in enhancing the effectiveness of the Board and ensuring its compliance with legal and regulatory requirements, while supporting the application of leading corporate governance best practices. The Board Secretary plays an essential role in supporting the structured operation of the Board and its committees, ensuring efficient planning, high-quality discussions, and sound decision-making.

The Board Secretary manages the organizational aspects of Board and committee meetings, including coordination with the Chairman to prepare agendas, ensuring that invitations and notices are issued within approved timelines, and distributing supporting documents sufficiently in advance to enable members to review and prepare effectively. The Board Secretary is also responsible for drafting and documenting meeting minutes accurately and objectively, as official records that reflect discussions, resolutions, and voting outcomes, while ensuring their approval, safekeeping, and availability to Board members in accordance with approved frameworks and policies.

The Board Secretary ensures the timely and accurate flow of relevant information to Board members, in compliance with internal policies and regulatory requirements. In addition, the Board Secretary oversees the follow-up of meeting outcomes, documents Board resolutions, and monitors progress of their implementation in coordination with the relevant functions, thereby strengthening accountability and ensuring that Board decisions are translated into practical and executable actions.

The Company affirms its commitment to disclose the results of Board of Directors meetings relating to material information at least fifteen (15) minutes prior to the commencement of the next trading session, in order to promote transparency and ensure equal opportunities among all market participants, in compliance with the relevant laws and regulations.

The Board Secretary also contributes to enhancing Board effectiveness by organizing induction and onboarding programs for new members. These programs provide a comprehensive overview of the Company’s business, governance structure, corporate performance, risk management

frameworks, environmental, social and governance (ESG) principles, as well as strategic directions and plans, ensuring that new members are well prepared to perform their duties effectively from the beginning of their tenure.

Furthermore, the Board Secretary oversees the management and maintenance of records related to Board activities, including membership records, committee records, disclosures, and regulatory requirements, in compliance with confidentiality standards and information governance principles. The Board Secretary coordinates with internal and external stakeholders to ensure that all relevant parties are appropriately invited to and attend Board and committee meetings.

As part of continuous development, the Board Secretary closely monitors international developments in corporate governance, emerging regulatory trends, and evolving challenges, particularly those relevant to the telecommunications sector, in coordination with the Corporate Governance department. The Board Secretary also supports keeping the Board informed of sustainability-related developments and applicable legislation, in collaboration with the Sustainability department, thereby supporting alignment of Board activities with the Company’s long-term strategic objectives.

Overall, the Board Secretary is a key enabler in fostering a collaborative institutional environment built on transparency, knowledge, and integration. Through ensuring high-quality documentation, effective communication, and providing guidance and support to the Board, this role enhances the efficiency of decision-making, safeguards Board independence, and ensures alignment of Board activities with the Company’s values and strategic priorities.

The independent member acknowledges that the independence controls are met, and a copy of the declaration shall be attached to the Arabic report.

Rule II: Establish Appropriate Roles and Responsibilities

The roles and responsibilities of the Board of Directors and Executive Management

The Board of Directors is formed in accordance with a structure that reflects the requirements of sound corporate governance and is fully aligned with the rules and regulations issued by the Capital Markets Authority (CMA). The Board consists of ten members, including one executive member and two independent members, with the majority being non-executive directors. This composition is designed to enhance independence within the Board and to ensure an effective balance in the decision-making process, thereby mitigating conflicts of interest and supporting objective oversight of the Company’s activities.

The Board is committed to maintaining its effectiveness and efficiency through a diverse mix of skills and expertise among its members, the adoption of clear succession-planning mechanisms, and compliance with the Company’s Articles of Association. Shareholders, whether natural persons or legal entities, are entitled to representation on the Board in proportion to their shareholding, while the remaining members are elected by the General Assembly through secret ballot. Board members are elected for a three-year term, with independent directors representing no less than 20% of the total Board composition. The Chairman and Vice Chairman are elected by secret ballot, and specialized committees, such as the Audit Committee, Risk Committee, and Nomination and Remuneration Committee, are established to support the Board’s focus on key governance priorities. The Board of Directors is the highest authority responsible for setting the Company’s overall policies, defining its strategic direction, embedding standards of professional conduct and ethics, and overseeing the implementation of environmental, social and governance (ESG) principles. The Board ensures that the executive management operates in compliance with applicable laws, regulations, and relevant international standards, while acting in the best interests of shareholders and balancing those interests with the expectations of other stakeholders.

As part of its oversight responsibilities, the Board monitors the Company’s financial performance, reviews and approves the financial statements, and ensures compliance with applicable accounting standards. The Board also approves the corporate governance framework, including the Code of Conduct, ESG policies, internal control systems, and compliance frameworks, while maintaining the highest levels of transparency and

disclosure. This oversight extends to anti-corruption and anti-money laundering policies, reinforcing a corporate culture founded on integrity and compliance.

The Board assumes comprehensive strategic and supervisory responsibilities aimed at ensuring the Company’s sustainability, promoting ethical conduct, and guiding the overall strategic trajectory of the business. It oversees the performance of executive management to ensure that operational activities are aligned with the interests of shareholders and stakeholders and comply with applicable laws and regulations. The Board also defines the Company’s mission, vision, and long-term strategic objectives, approves key initiatives, and oversees enterprise-wide risk management. The Board plays a central role in delegating the execution of the approved operational strategy to executive management, while retaining effective oversight and monitoring to ensure alignment with the Company’s values and objectives. In addition, the Board addresses potential conflicts of interest, reviews and approves related-party transactions, and ensures the existence of transparent and effective communication channels with shareholders. Sustainability and the well-being of the communities in which the Company operates remain key priorities for the Board, supporting the creation of long-term value.

Furthermore, the Board reinforces principles of transparency and accountability through continuous review of financial performance, approval of financial reports, and application of leading disclosure practices. It establishes comprehensive frameworks for combating corruption and money laundering, thereby strengthening a culture of integrity and compliance. Alongside its strategic role, the Board ensures a clear allocation of authorities and responsibilities between the Board and executive management, supporting efficient execution while preserving robust oversight. The integration of ESG standards is an integral component of the Company’s governance framework. The Board ensures that decisions and policies are aligned with sustainability principles, ethical standards, and long-term strategic objectives, thereby creating added value for shareholders, stakeholders, and the wider community. This integrated approach enhances the Company’s ability to achieve sustainable growth and adapt to evolving challenges within an increasingly competitive business environment.

Board achievements in 2025

In 2025, the Board of Directors continued to fulfill its supervisory and strategic role in a manner that strengthens the Company’s institutional framework and reinforces the principles of sound corporate governance. A

number of key achievements were realized, most notably:

1. The approval, review, and audit of several policies and regulatory frameworks governing the operations of various departments within the Company, ensuring alignment with the latest legislation and instructions issued by relevant regulatory and governmental authorities in relation to corporate governance, and further enhancing institutional compliance.
2. The Board approved the distribution of cash dividends of 25 fils per share for the profits achieved for the period ended 30 September 2025, in addition to interim dividends of 10 fils per share for the first half of 2025, bringing the total cash dividends distributed to 35 fils per share, in line with the Company’s announced annual cash dividend distribution policy.
3. The Group held its Extraordinary General Assembly meeting, during which shareholders approved the amendment of Article (5) of the Memorandum of Association and Article (4) of the Articles of Association, in order to keep pace with market developments and align with the Group’s strategic operational plans. The Assembly also approved authorizing the Board of Directors to utilize reserves (optional and statutory) and share premium to address any accumulated losses that may arise from the application of International Accounting Standard (IAS 29) relating to financial reporting in the Republic of Sudan for prior years, when preparing the financial statements for the fiscal year ending 31 December 2025.
4. The approval of several facilities and arrangements related to subsidiaries, ensuring business continuity, supporting investment plans, and enhancing operational efficiency at the Group level.
5. The approval of a number of strategic acquisition transactions aligned with the Company’s sustainable growth objectives, supporting income diversification and strengthening its competitive position in the markets in which it operates.
6. The launch of the advanced fifth-generation network (5.5G Advanced) in Kuwait with comprehensive coverage, serving as a backbone for digital transformation in the country and a key enabler of smart cities and the data-driven economy. In Saudi Arabia, the Company expanded its 5.5G Advanced services by adding new cities to the network.
7. Expansion in the digital financial sector, as the Group strengthened its regional presence by launching the “Bede” wallet in Kuwait and Sudan, in addition to Bahrain, facilitating digital payments and electronic transactions and promoting financial inclusion by enabling unbanked segments to access secure and innovative digital financial services.
8. Zain Omantel International (ZOI) signed a Memorandum of Understanding to develop the “AAE-2” subsea cable system in collaboration with leading companies from China, Egypt, and Italy. The project represents a qualitative leap in connecting Asia with Africa and Europe, and reinforces the Group’s position as a strategic connectivity hub linking continents through an integrated terrestrial and subsea fiber network.
9. The Group entered the digital insurance sector through the launch of the “Zain Insure” application, in a strategic move reflecting the Company’s direction toward expanding in financial technology. The application is expected to be rolled out in additional markets.
10. On the governance and sustainability front, the Group continued to strengthen its position among institutions most committed to best governance practices, achieving notable upgrades in global indices. Its S&P Global ESG score increased to a level above the global telecommunications sector average. The Group also achieved an “A” rating in the MSCI ESG Index and exceeded the global average performance in the FTSE4Good Index, reflecting the successful integration of sustainability and ESG standards into its corporate strategy.

Board Committees

The Board of Directors has approved an organizational structure under which specific duties and responsibilities are delegated to its committees. This structure aims to enhance operational efficiency and optimize the use of the Board members’ time. These committees are tasked with reviewing matters presented to them and providing recommendations, while the Board retains full authority and responsibility for all decision-making.

In this context, the Board ensures the clear definition and allocation of roles and responsibilities between the Board and the executive management. This supports the principle of separation between supervisory and executive functions and enhances the effectiveness of the governance framework. The Board is committed to exercising its authorities independently and objectively, relying on accurate and timely information and reports submitted by the relevant Board committees and executive management, thereby enabling informed decisionmaking that safeguards the Company’s longterm interests, protects the rights of shareholders and stakeholders, and ensures the sustainability of operations in compliance with applicable laws and regulations.

The committees are responsible for reviewing and verifying assigned matters and ensuring that tasks are executed efficiently and within the prescribed timelines. The findings and recommendations from these reviews are submitted to the Board, accompanied by detailed implementation plans. The committees also oversee the follow-up of these plans by the relevant departments, ensuring alignment of actions with the Board’s strategic objectives and enhancing the effectiveness of supervisory oversight and institutional governance practices.

At Zain, three committees form the cornerstone of the governance framework: the Risk Committee, the Audit Committee, and the Nomination and Remuneration Committee. Each committee plays a fundamental role in supporting the work of the Board, ensuring robust oversight and effective supervision. Their respective contributions and detailed responsibilities are presented in the following sections of this report.



Board Risk Committee (BRC)

Formed: May 12, 2015

Term: The term of membership of the Board committees shall run concurrently with the term of the Board of Directors and shall be for a period of three years.

Responsibilities:

The primary purpose of the Board Risk Committee (BRC) is to support the Board of Directors in fulfilling its oversight responsibilities relating to the identification, assessment, and management of risks. These include operational, strategic, and external environmental risks. The Committee plays a central role in reviewing, overseeing, and approving the Company’s risk management policies, frameworks, processes, and practices, ensuring their alignment with the Company’s strategy and objectives.

The Company confirms that the Chairman of the Risk Committee is a non-executive member of the Board of Directors, and that the Chairman of the Board does not serve as a member of the Risk Committee, in alignment with the Corporate Governance Rules issued by the Capital Markets Authority, thereby reinforcing the Committee’s independence and the effectiveness of its oversight role.

The Risk Committee is responsible for ensuring that the Company maintains an optimal balance between risk and return, both in its ongoing operations and in new projects and initiatives.

A key function of the Committee is to assess significant risk exposures and review the measures adopted by management to address them in a timely manner. This includes oversight of emergency interventions as well as ongoing initiatives such as Business Continuity Planning (BCP) and Disaster Recovery Plans (DRP). To enhance effectiveness and transparency, the Committee coordinates with the Audit Committee when required and submits regular reports to the Board of Directors.

The Committee reviews and evaluates the adequacy and effectiveness of the risk management framework, policies, and internal procedures within

its scope of responsibility, and recommends necessary enhancements to the Board for approval. It seeks to ensure that executive management’s risk management practices are aligned with the Company’s strategy, objectives, and risk appetite. In this regard, the Committee focuses on both short-term risks addressing immediate events and challenges and long-term risks, mitigating potential future exposures associated with the Company’s growth and expansion.

The Committee also promotes an enterprise-wide risk management culture by enhancing risk awareness across all levels of the Company and encouraging behaviors and practices that enable early identification, assessment, and effective mitigation of risks. This proactive approach helps minimize potential impacts on operational and strategic performance and ensures that risk management is fully integrated into the decision-making process, with a focus on sustainability, protection of stakeholders’ interests, and achievement of the Company’s long-term objectives.

As part of its oversight role, the Risk Committee evaluates the performance of executive management in managing risks, emphasizing adherence to rigorous standards and the adoption of a proactive approach that enables early detection and effective response to risks. These practices contribute to strengthening the Company’s resilience, reducing risk exposure, and supporting the sustainability of its long-term success.

In addition, the Committee oversees the Company’s compliance function to ensure full adherence to regulatory requirements and applicable standards. The compliance function operates independently and conducts its own reviews, providing an additional layer of oversight and assurance. The Committee receives regular reports on compliance matters, risk assessments, and mitigation strategies, thereby enhancing oversight effectiveness, ensuring transparency and accountability, and supporting the Board’s ability to make well-informed strategic decisions.

BRC Achievements in 2025:

- Reviewed and discussed the Risk Management Unit’s quarterly reports for the Group and its subsidiaries, established structured risk mitigation methodologies, and conducted regular quarterly reviews of the Unit’s activities.

- Completed comprehensive assessments of all categories of risks across subsidiaries and oversaw the implementation of measures to mitigate their potential impact.
- Monitored and strengthened cybersecurity protection measures, tracked progress and enhancements in security systems, and ensured continued resilience against evolving cyber threats to maintain the highest levels of protection.
- Reviewed related party transactions, assessed their impact on the Group, and submitted recommendations to the Board of Directors accordingly.
- Launched and sponsored the annual Risk Conference, facilitating collaboration and knowledge sharing among subsidiaries on risk management practices and initiatives.

Committee Members:

- Zaki Hilal ALBusaidi (Chairman)
- Bader Nasser ALKharafi
- Aladdin Baitfadhil
- Yousef Khaled ALAbdulrazzaq
- Atif Said ALSiyabi

Committee Meetings:

Member	Meeting 1/2025 24/2/2025	Meeting 2/2025 12/5/2025	Meeting 3/2025 12/8/2025	Meeting 4/2025 28/10/2025
Zaki Hilal AL Busaidi (Committee Chairman)	✓		✓	✓
Bader Nasser ALKharafi	✓	✓	✓	✓
Aladdin Baitfadhil	✓	✓	✓	✓
Yousef Khaled ALAbdulrazzaq	✓	✓	✓	✓
Atif Said ALSiyabi	✓	✓	✓	✓
Percentage of Attendance	100%	80%	100%	100%

Board Audit Committee (BAC)

Formed: June 9, 2011

Term: The term of membership of the Board committees shall run concurrently with the term of the Board of Directors and shall be for a period of three years.

Responsibilities:

The Audit Committee of the Board of Directors plays a pivotal role in supporting the Board in fulfilling its oversight responsibilities across several key areas, including ensuring the quality and integrity of accounting practices, audit processes, internal controls, the risk management framework, and financial reporting, as well as strengthening the Company’s overall corporate governance.

The Committee is responsible for evaluating the performance and qualifications of the licensed independent auditor, managing and assessing the Company’s relationship with the external auditor, overseeing the effectiveness and performance of the Internal Audit function, and ensuring compliance with applicable laws, regulations, and ethical standards.

While the Board of Directors retains ultimate responsibility for risk management, internal controls, and corporate governance, the Audit Committee performs a specialized oversight and advisory role. This includes reviewing the preparation of financial reports, addressing operational and financial risks, ensuring compliance with legal, regulatory, and ethical requirements, and assessing the performance of the Internal Audit function and the independent external auditors.

Through maintaining a robust governance framework, the Audit Committee contributes to enhancing the Company’s integrity and strengthening stakeholders’ confidence in its operations and decision-making processes.

The Committee works to ensure the accuracy and transparency of financial information by monitoring the application of approved accounting

standards and reviewing financial disclosures. This enhances the reliability of financial data and enables the Board of Directors and stakeholders to make informed decisions. The Committee also reviews accounting processes and internal control procedures to confirm their effectiveness in identifying and addressing risks at an early stage.

In addition, the Committee oversees all aspects of internal and external audit activities, including reviewing Internal Audit plans, assessing the implementation of its recommendations, and coordinating with external auditors to ensure comprehensive, efficient, and independent audit coverage. This ongoing oversight strengthens control over operational and financial risks and reduces exposure to potential weaknesses that may adversely affect the Company’s performance.

Furthermore, the Audit Committee supports compliance and corporate governance by monitoring adherence to regulatory requirements and ethical standards, and by submitting recommendations to the Board to enhance internal controls and adopt best institutional practices. This role promotes a culture of transparency, supports strategic decision-making based on accurate and reliable information, and contributes to protecting the interests of all stakeholders and ensuring the Company’s long-term sustainability.

BAC Achievements in 2025:

- Monitored and followed up on the activities of the Internal Audit Unit for the year 2025 and assessed its performance against approved objectives.
- Reviewed and discussed the Internal Auditor’s quarterly reports for the Group and its subsidiaries and ensured the closure of audit observations across all risk categories in coordination with the Internal Audit Unit.
- Approved the Internal Audit Unit’s work plan and strategic roadmap for the years 2025 and 2026.
- Reviewed and examined the Group’s consolidated quarterly financial statements, discussed them with executive management, and submitted recommendations thereon to the Board of Directors.
- Held quarterly meetings with the external auditor to review and discuss the external auditors’ reports on the Group’s financial and operational performance.
- Evaluated the performance of subsidiary Chief Executive Officers in addressing high-risk and annual audit observations, linked the

outcomes to annual performance incentives, and submitted related reports to executive management and the Board of Directors.

- Monitored and followed up on legal matters and official correspondence received from governmental authorities and ensured appropriate actions were taken.
- Recommended the appointment or reappointment of the external auditor and submitted the recommendation to the Board of Directors and the General Assembly.
- Reviewed and followed up on reports received under the whistleblowing policy and directed management to conduct investigations where warranted.
- Reviewed and coordinated the assessment of hyperinflationary conditions in Sudan and worked with relevant stakeholders to support the application of International Financial Reporting Standard (IFRS) IAS 29.

Committee Members:

- Nasser Suleiman ALHarthy (Chairman)
- Dr. Saad Ahmad ALNahedh (independent)
- Aladdin Baitfadhil
- Yousef Khaled ALAbdulrazzaq
- Abdulrahman Mohammad ALAsfour (independent)

Committee Meetings:

Member	Meeting 1/2025 23/2/2025	Meeting 2/2025 11/5/2025	Meeting 3/2025 10/8/2025	Meeting 4/2025 27/10/2025
Nasser Suleiman ALHarthy (Committee Chairman)	✓	✓		
Dr. Saad Ahmad ALNahedh	✓	✓	✓	✓
Aladdin Baitfadhil	✓	✓	✓	✓
Yousef Khaled ALAbdulrazzaq	✓	✓	✓	✓
Abdulrahman Mohammad ALAsfour		✓	✓	✓
Percentage of Attendance	80%	100%	80%	80%

Board Nomination and Remuneration Committee (BNRC)

Formed: May 12, 2015

Term: The term of membership of the Board committees shall run concurrently with the term of the Board of Directors and shall be for a period of three years.

Responsibilities:

The Nomination and Remuneration Committee supports the Board of Directors in overseeing the Company’s nomination and remuneration policies and procedures, ensuring their effectiveness, alignment with the Company’s strategic objectives, and compliance with applicable regulatory requirements.

The Committee is responsible for reviewing and approving the criteria and procedures for the selection, appointment, and reappointment of members of the Board of Directors and executive management. This includes ensuring that nomination policies and practices are aligned with the Company’s long-term vision and strategic objectives, are responsive to updates issued by external regulatory authorities, and are fully compliant with applicable laws, regulations, and standards.

The Committee also oversees the nomination and re-nomination processes for Board members and executive management to ensure the availability of a qualified and competent leadership team. It conducts an annual review of the skills and experience required at the Board and executive management levels to ensure alignment with the Company’s strategic priorities and the corporate governance framework issued by the Capital Markets Authority (CMA). The Committee further ensures diversity of backgrounds and expertise to support the effectiveness and cohesion of the Board. In accordance with best practices in corporate governance, the Committee carefully reviews candidates prior to the disclosure of the names of Board nominees to shareholders ahead of the Annual General Meeting.

In close coordination with executive management, the Committee develops and implements an integrated succession planning framework for senior leadership positions. This framework aims to ensure the Company’s readiness to address any unexpected changes or emergency situations, thereby safeguarding business continuity and uninterrupted operational performance. The succession plan includes the identification of qualified successors for key positions and the development of individual readiness programs to prepare future leaders, supporting institutional stability and the sustainability of the Company’s strategic performance.

The Committee also oversees the design and implementation of a comprehensive training and professional development framework aimed

at enhancing employee capabilities, strengthening leadership and management skills, and supporting continuous development initiatives that contribute to building a high-performing workforce capable of responding to market developments and supporting the Company’s sustainable growth.

In addition, the Committee is responsible for evaluating the performance of executive management and facilitating the Board performance evaluation process, thereby reinforcing a culture of accountability and institutional excellence and ensuring alignment between performance outcomes and the Company’s strategic objectives. The Committee plays a central role in determining the remuneration packages of Board members and executive management, ensuring full compliance with applicable laws, regulations, and standards, and linking remuneration to individual and collective performance indicators and the achievement of the Company’s long-term objectives.

Through these strategic contributions, the Nomination and Remuneration Committee strengthens the Company’s corporate governance framework, supports business growth, enhances organizational resilience, and ensures alignment of policies and practices with stakeholder expectations, reflecting the Company’s commitment to the highest standards of transparency and accountability.

BNRC Achievements in 2025:

- Approval of the mechanism for calculating and distributing the annual remuneration of executive management members and Group Chief Executive Officers.
- Determination of the remuneration of Board of Directors’ members and submission thereof to the Board for approval.
- Discussion and approval of the Board of Directors’ performance evaluation mechanism, and endorsement of conducting a formal Board evaluation.
- Approval of a number of training and development programs for members of the Board of Directors.
- Review and approval of the Company’s organizational structure and succession planning policy.
- Identification of successors for senior management positions in accordance with the approved succession planning policy.
- Approval of short-term and long-term incentive programs for executive management members aimed at promoting retention and long-term commitment to the Company.

Committee Members:

- Atif Said AlSiyabi (Chairman)
- Osamah Othman AlFuraih
- Bader Nasser AlKharafi
- Ibrahim Said AlEisri*
- Abdulrahman Mohammad AlAsfoor

Committee Meetings:

Member	Meeting 1/2025 23/2/2025	Meeting 2/2025 11/5/2025	Meeting 3/2025 22/6/2025	Meeting 4/2025 27/10/2025	Meeting 5/2025 11/12/2025
Atif Said AlSiyabi (Committee Chairman)	✓	✓	✓	✓	✓
Osamah Othman AlFuraih		✓		✓	✓
Bader Nasser AlKharafi	✓	✓	✓	✓	✓
Ibrahim Said AlEisri					✓
Talal Al Mamari	✓	✓	✓	✓	
Abdulrahman Mohammad AlAsfour	✓	✓	✓	✓	✓
Percentage of Attendance	80%	100%	80%	100%	100%

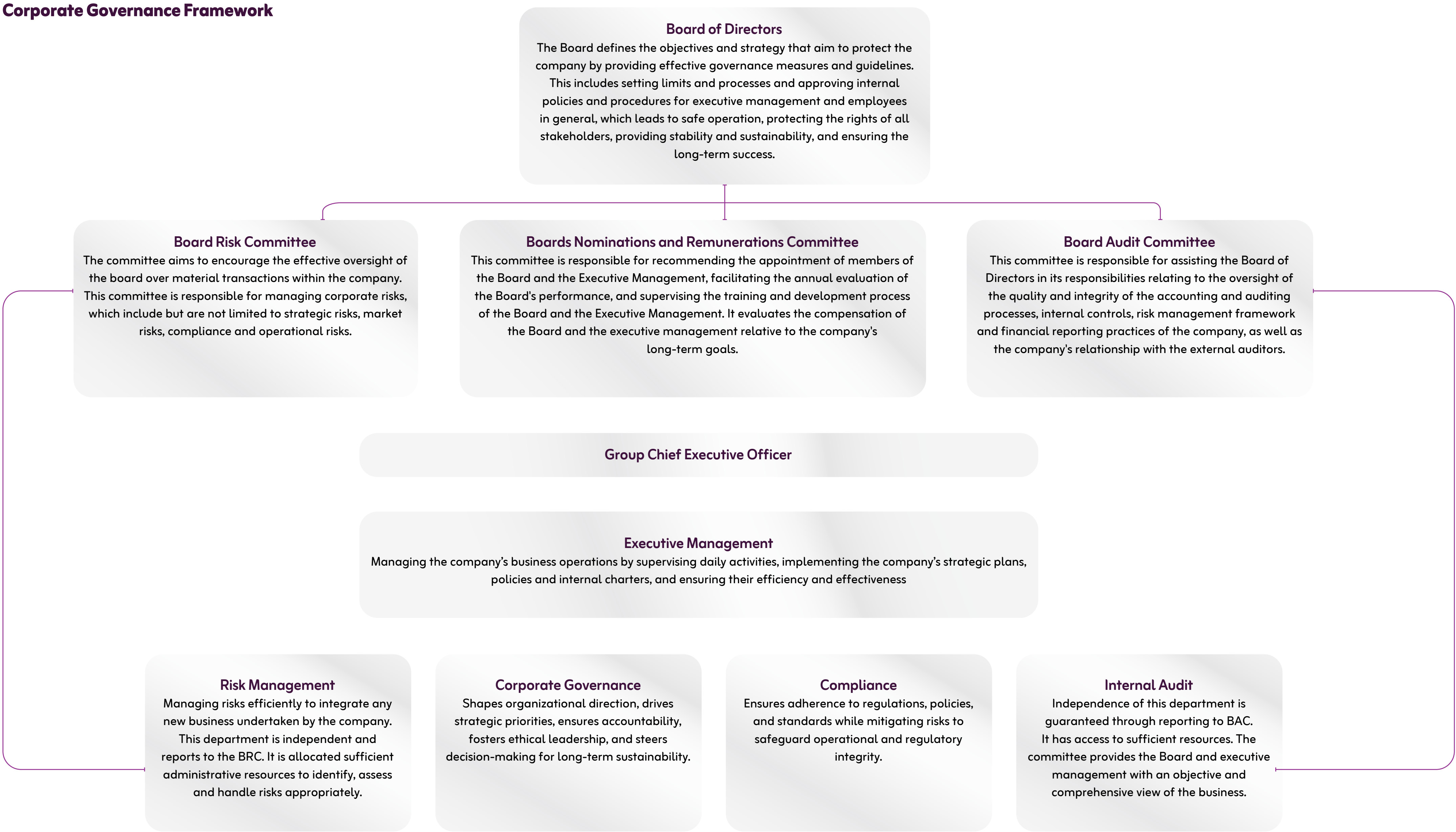
*Mr. Ibrahim Said AlEisri was appointed to the Board of Directors on November 25, 2025, after the resignation of Mr. Talal Said AlMamari.

The Company is keen to apply the relevant regulatory requirements that enable Board members to obtain accurate and timely information and data, in accordance with the instructions of the Capital Markets Authority, the rules of Bursa Kuwait, and the provisions of the Companies Law issued by the Ministry of Commerce and Industry. This is achieved through the Board Secretary coordinating the preparation of meeting agendas in consultation with the Chairman and providing members with meeting materials and supporting reports well in advance of meetings, allowing sufficient time for review and thorough consideration. Executive Management is also committed to submitting periodic financial and operational reports, as well as risk and compliance reports, while ensuring the Board members’ right to request any additional information or to seek independent advisors when necessary, thereby enhancing effective oversight and sound decision-making.

The Company also adopts clear mechanisms for the flow of information between Executive Management and the Board of Directors, including quarterly performance reports, detailed presentations on strategic plans and key risks, in addition to reports from the Board’s specialized committees. All deliberations and decisions are documented in official minutes maintained in accordance with approved controls, with organized access to documents provided through secure channels that ensure confidentiality and data integrity, thereby promoting transparency, accountability, and regulatory compliance.

The Board is also immediately notified of any material events or developments that may affect the Company’s financial position, reputation, or compliance status, in accordance with the immediate disclosure requirements issued by the Capital Markets Authority and Bursa Kuwait. Furthermore, the reporting system is subject to periodic review by the Internal Audit and Compliance Departments to ensure its efficiency and alignment with regulatory best practices.

Corporate Governance Framework



Relationship between the Board of Directors and Executive Management

Governance Framework Regulating the Relationship

The relationship between the Board of Directors and executive management is governed by a clear and integrated governance framework, supported by a detailed and well-defined delegation of authority matrix, in line with the requirements of the Capital Markets Authority (CMA). This framework aims to ensure clarity of authorities, integration of roles, and enhanced effectiveness of oversight and accountability. It is underpinned by a shared understanding of the Company’s vision, mission, and strategic objectives, ensuring that executive decisions remain fully aligned with the directions approved by the Board.

Allocation of Roles and Authorities

The Board of Directors is responsible for providing strategic leadership, approving general policies, setting long-term objectives, and overseeing the performance of executive management, thereby safeguarding the interests of shareholders and other stakeholders. In turn, executive management is responsible for operational management, implementing the approved strategies and policies, and achieving the Company’s objectives within the approved frameworks and in compliance with applicable laws and regulations.

Independence of Decision-Making and Balance of Powers

In compliance with the applicable laws and regulations in Kuwait, the roles of Chairman of the Board and Chief Executive Officer are separated to ensure an appropriate balance of powers and to reinforce the independence of oversight from executive functions. This separation supports transparency, mitigates conflicts of interest, and enhances the overall effectiveness of the governance framework.

Empowerment with Oversight

The Board adopts an approach that empowers executive management to perform its duties effectively by setting clear performance objectives and

well-defined authority limits, while retaining an effective oversight role. This approach enables executive management to operate with responsible operational autonomy, while remaining fully accountable for performance and results.

Monitoring and Performance Evaluation

The Board exercises its oversight responsibilities through periodic monitoring and evaluation of executive management performance, based on approved performance indicators. This process ensures clarity of expectations, supports continuous improvement, enhances execution quality, and contributes to the achievement of the Company’s strategic objectives.

Sustainability and Environmental, Social and Governance (ESG)

The Board oversees the integration of environmental, social and governance (ESG) principles into the decision-making process and ensures that policies and operational practices are aligned with long-term sustainability objectives and the safety and well-being of the communities in which the Company operates. This approach supports the creation of sustainable value for shareholders and stakeholders.

Corporate Culture and Communication

The relationship between the Board of Directors and executive management is founded on a corporate culture that emphasizes effective communication, transparency, and mutual trust. Executive management is committed to implementing the Board’s decisions within the approved framework, ensuring alignment between strategy and execution and enhancing the Company’s overall performance.

This integrated framework reflects an effective governance model that supports the Company’s sustainability and strengthens its ability to adapt to regulatory and competitive developments, in line with the requirements of the CMA and leading international best practices.



Members of the Board & the Executive Management

Rule III: Recruit Highly Qualified Candidates for the Members of a Board of Directors and Executive Management

About the Board of Directors



**Osamah Othman
Al Furaih**

CHAIRMAN

- A representative of Kuwait Investment Authority
- Member of the Board of Directors since 2023
- Chairman of the Board of Directors since 2023

DATE OF BIRTH: 1973

EDUCATION:

Bachelor's degree in Business Administration from Tennessee State University

WORK EXPERIENCE:

Over 25 years of experience in investment, industrial, banking, aviation, tourism, hotel, and transportation sectors. A prosperous career in project management and development, investment, portfolio and asset management, investment valuation, project and corporate strategies financing, credit, securities analysis, and risk forecasting across Europe, America, and MENA.

OTHER MEMBERSHIPS:

Senior Investment Manager at Kuwait Investment Authority of the General Reserves fund. He is the Chairman of the Arab African International Bank (2024-till date). He was the Chairman of the Board of Directors of the Kuwait Flour Mills and Bakeries Company from (2018-2023). Previous Board Member at Kuwait Airways from (2018-2020.) Held the position of Chairman of the Board of the Kuwait Small Projects Development Company (2014-2017), previously the Vice-Chairman of the Board of Directors of The Arab International Hotels Company (2004- 2011). He served as the Chairman of the Board of the Touristic Enterprises Company and was a Board member at Arab African International Bank, Industrial Bank of Kuwait, the Syrian Arab Company for Hotels and Tourism, Kuwait United Poultry Company.



**Bader Nasser
AlKharafi**

VICE CHAIRMAN AND GROUP CEO

- Member of the Board of Directors since 2011
- Vice Chairman of the Board of Directors since 2015
- CEO since 2017

DATE OF BIRTH: 1977

EDUCATION:

Master of Business Administration (MBA) from London Business School, a Bachelor's degree in Mechanical Engineering from Kuwait University, and currently pursuing a PhD at IE University in Madrid.

WORK EXPERIENCE:

He is one of the most active business leaders in the Middle East and Africa region. with an exceptional track record in leading business development and consulting projects for major corporations and international institutions. His activities span the finance, investment, business, and industrial sectors through a vast network of projects across the Gulf region, the Middle East, Europe, Africa, and Asia. He also has expertise in risk management, serving as a member of the Board Risk Committee at Zain.

OTHER MEMBERSHIPS:

Chairman of the Board of Zain Sudan, Board Member of Al-Khatem Telecom Company in Iraq, Vice Chairman of Zain Saudi Arabia, Board Member of Zain Bahrain, Chairman of TASC Towers, and Chairman of FOO Solutions. Beyond Zain, Mr. Al-Kharafi is the Chairman of Boursa Kuwait, Vice Chairman of Gulf Cables & Electrical Industries KSC (Kuwait), Board Member of Refreshment Trading Company (Coca-Cola), Vice Chairman of National Investments Company (NIC), Board Member of Foulath Holding B.S.C. and Bahrain Steel BSCC. Member of the Middle East Advisory Board of Coutts (Royal Bank of Scotland's wealth division), Chairmanship of Injaz Kuwait, a non-profit empowering youth, Board membership in the Kuwait-British Friendship Society (since April 2014), and membership on Kuwait University's Industrial Advisory Board for Mechanical Engineering.



Zaki bin Hilal bin Saud AlBusaidi

MEMBER OF THE BOARD OF DIRECTORS

- Member of the Board of Directors since 2020

DATE OF BIRTH: 1973

EDUCATION:

Master’s degree in public administration from the University of Exeter, United Kingdom, and Bachelor’s degree in public administration from Yarmouk University in Jordan.

WORK EXPERIENCE:

He has nearly 28 years of experience, having worked in the Ministry of Civil Service in the Sultanate of Oman in 1996 for 18 years, held the position of Director General of Organization and Job Classification, and held the position of CEO at the Institute of Public Administration since 2014.

OTHER MEMBERSHIPS:

Member in the State Council in the Sultante of Oman and Member in the Consultation Board for the Supreme Council of the GCC. Board Member in Liva Group company (insurance company)



Abdulrahman Mohammed Ibrahim ALAsfoor

INDEPENDENT BOARD MEMBER

- Member of the Board of Directors since 2018

DATE OF BIRTH: 1981

EDUCATION:

Bachelor’s degree in Business Administration with a major in Accounting from Kuwait University.

WORK EXPERIENCE:

Extensive technical experience in the application of information technology solutions, worked as a financial expert in the management of information systems at Equate Petrochemical Company, He has experience in the field of auditing through his work at the State Audit Bureau.

OTHER MEMBERSHIPS:

Chief Executive Officer of Alpha Group Holding. He also served as a board member of WABA Medical Insurance Company.



Yousef Khaled ALAbdulrazzaq

MEMBER OF THE BOARD OF DIRECTORS

- A representative of the Kuwait Investment Authority
- Member of the Board of Directors since 2018

DATE OF BIRTH: 1983

EDUCATION:

Bachelor’s degree in Business Administration, majoring in Finance, from Kuwait University

WORK EXPERIENCE:

His experience extends to 19 years at Kuwait Investment Authority in the general reserve sector. He is currently a senior investment manager within the General Reserve Sector under the local equities department at the Kuwait Investment Authority.

OTHER MEMBERSHIPS:

Member of the Board of Directors, Chairman of the Audit Committee of the Tourism Enterprises Company (2012-2019), Member of the Board of Directors and Chairman of the Audit Committee and Chairman of the Human Resources Committee in the Public Facilities Management Company (2015-2018).



Atif bin Said bin Rashid AlSiyabi

MEMBER OF THE BOARD OF DIRECTORS

- Member of the Board of Directors since 2020

DATE OF BIRTH: 1980

EDUCATION:

Bachelor of Engineering in Computer Hardware and Network Technology from Coventry University, a Master of Business Administration from Franklin University, Certificate in Professional Leadership Development from HEC Paris.

WORK EXPERIENCE:

He is the Chief of Information Management at the Oman Investment Authority (OIA) in the Sultanate of Oman. His track record extends to more than 21 years in Information Technology and business transformation. His experiences vary from hands-on experience leading innovative technology solutions and system operations to transforming business operations and driving technological advancements. He is involved in various investment initiatives in the ICT sector, where he has been leading numerous assignments, devising comprehensive strategies, and delivering several ICT projects at the national level.

OTHER MEMBERSHIPS:

Director of Information Management at the General Reserve Fund (SGRF) in the Sultanate of Oman.



**Aladdin
Baitfadhil**

MEMBER OF THE BOARD OF DIRECTORS

- Board Member since 2020

DATE OF BIRTH: 1978

EDUCATION:

Bachelor's degree in electrical and electronic engineering from Sultan Qaboos University, He holds certifications in executive leadership programs from Harvard University and London Business School.

WORK EXPERIENCE:

Eng. Aladdin Baitfadhil is the Chief Commercial Officer (CCO) at Omantel, the Sultanate's leading integrated telecommunication services provider. Eng. Aladdin has been the torchbearer of Omantel's digital transformation journey responsible for driving the growth of Consumer and Enterprise business units of Omantel across core telco products, cloud-based ICT Solutions and emerging technologies. He is a renowned business leader in the telecom's landscape with over 20 years of strategic and operational experience in diverse multi-domain roles – spanning across marketing, sales, network operations, service delivery and customer experience.

OTHER MEMBERSHIPS:

Vice Chairman of the Board of Directors of “Infoline” company. He holds executive board positions in NAMA Water, Oman Data Park (ODP).



**Nasser Sulaiman
Al Harthy**

MEMBER OF THE BOARD OF DIRECTORS

- Member of the Board of Directors since 2020

DATE OF BIRTH: 1975

EDUCATION:

Master of Business Administration from Victoria University in Australia, Bachelor of Finance from the United Arab Emirates University, National Leadership and Competitiveness Program (NLCP) from Oxford University.

WORK EXPERIENCE:

He has experience of up to 27 years in the investment, economic and financial sectors. He is the Depute President for Operations at the Oman Investment Authority, responsible for financial and administrative affairs, information management, legal affairs, and compliance.

OTHER MEMBERSHIPS:

ASYAD Group Chairman, Vietnam Oman Investments, Chairman, Charmain of Takatuf Oman.



**Dr. Saad Ahmed
AlNahedh**

INDEPENDENT BOARD MEMBER

- Member of the Board of Directors since 2024

DATE OF BIRTH: 1986

EDUCATION:

Bachelor's degree in Electrical Engineering with a minor in business administration from the University of Kansas in 2008, an MBA from the University of California, Irvine in 2012, and a Doctorate in Finance from the University of Colorado Boulder in 2017.

WORK EXPERIENCE:

Alnahedh is a Professor of Finance at the College of Business Administration, Kuwait University, teaching undergraduate and MBA students. He has extensive expertise in regulatory and governance policy development, banking supervision, and have previously consulted for the Central Bank of Kuwait, a pioneering institution in issuing US-dollar-denominated short-term sukuk and enhancing liquidity management in the global Islamic finance industry. Alnahedh is also affiliated with the Harvard Business Review Advisory Council and has published his research on corporate finance, governance, risk management, banking supervision, mergers and acquisitions, and institutional investment in top-tier academic peer-reviewed journals.

OTHER MEMBERSHIPS:

Member of the Board of Directors of the Kuwait Fund for Arab Economic Development since 2021. He served as the Chair of the Risk Management Committee and is currently the Chair of the Investment Committee. He also served as the Chair of the Risk Management Committee of the International Islamic Liquidity Management Corporation (IILM). He has also contributed to key government initiatives, including improving key performance indicators (KPIs) for government entities through the Government Performance Follow-Up Agency.



**Ibrahim Said
AlEisri**

MEMBER OF THE BOARD OF DIRECTORS

DATE OF BIRTH: 1980

EDUCATION:

Master's degree in Finance from Oxford Brookes University, United Kingdom, and a Bachelor's degree in Commerce (Accounting and Finance) from Curtin University of Technology, Perth, Australia.

WORK EXPERIENCE:

AlEisri has over 20 years of professional experience across the telecommunications, oil and gas, and financial investment sectors. He currently serves as Head of Private Markets Investments at the Oman Investment Authority (OIA), where he is responsible for developing and executing private market investment strategies, overseeing portfolio performance, and supporting long-term value creation in line with national economic diversification objectives.

Previously, he held senior roles at the State General Reserve Fund (SGRF) and Occidental Petroleum (Oxy), where he was involved in financial planning, performance analysis, capital allocation, and investment management. Throughout his career, he has contributed to strengthening investment governance, enhancing financial discipline, and supporting sustainable growth initiatives.

OTHER MEMBERSHIPS:

Chairman of Nama Water Services; Chairman of Razika Infrastructure Fund; Board Member of Ahli Bank; Board Member of Omantel.

About Executive Management



Ossama
Matta

CHIEF FINANCIAL OFFICER

APPOINTMENT DATE: 2010

EDUCATION:

Master’s in Business Administration -American University of Beirut (AUB), 2007; Certified Public Accountant (CPA) 1998; Bachelor of Business Administration (AUB) 1994.

WORK EXPERIENCE:

With over 30 years of financial, managerial, operational, strategic, and vendor experience in the mobile and ICT sectors across the MEA region. He joined Zain Group in 2004 and became the Chief Financial Officer of Zain Group in June 2010. As a key member of the senior executive management team, he plays a key role supporting the Group CEO in executing the company’s ‘4WARD-Progress with Purpose’ corporate strategy. Mr. Matta maintains trusted relationships with global investment and commercial banking communities, evidenced by his pivotal role in securing over \$25 billion in corporate financing for Zain since he joined.



Mohammad
AlMarshed

CHIEF TECHNOLOGY OFFICER

APPOINTMENT DATE: 2024

EDUCATION:

Bachelor of Science in Electrical Engineering from California State University, Long Beach; Master Certificate in Project Management from George Washington University; Executive Master’s degree from HEC Paris.

WORK EXPERIENCE:

Over 23 years of experience in telecommunications and ICT. Joined Zain in 2002 as a Network Engineer and held several senior roles, including CTO of Zain KSA. Led greenfield operations and 5G rollouts across key markets.



Kamil
Hilali

CHIEF STRATEGY OFFICER

APPOINTMENT DATE: 2018

EDUCATION:

BSc in Industrial Engineering from the National School of Mineral Industry (Morocco), an MBA from Suffolk University (Boston, USA), and a Master’s in Finance from London Business School.

WORK EXPERIENCE:

With over 23 years of experience in telecom, digital infrastructure, and corporate strategy, specializing in business transformation, mergers and acquisitions, growth strategy, capital allocation, and international connectivity. Leading major initiatives to diversify organizations into digital infrastructure.



Mohammad Abdal

CHIEF CORPORATE AFFAIRS AND COMMUNICATIONS
OFFICER

APPOINTMENT DATE: 2015

EDUCATION:

Bachelor of Science in Business Administration with a double major in Finance and Information Management Systems from Portland State University, USA.

WORK EXPERIENCE:

Over 25 years of experience. Oversees Investor Relations, Corporate Communications, and Governance. Played a key role in Zain’s expansion across the Middle East and Africa and in establishing the Middle East Investor Relations Association (MEIRA) in Kuwait.



Malek Hammoud

CHIEF INVESTMENTS AND DIGITAL TRANSFORMATION OFFICER

APPOINTMENT DATE: 2017

EDUCATION:
Bachelor’s degree in Electrical Engineering from the American University of Beirut; MBA from London Business School; Chartered Financial Analyst (CFA).

WORK EXPERIENCE:
Leads the Group’s digital investment strategy and revenue diversification initiatives. Oversaw the establishment of Zain Ventures, Zain Fintech, Dizlee, Zain Esports, and other strategic growth platforms.



Nawal H. Bourisli

CHIEF PURPOSE AND HUMAN RESOURCES OFFICER

APPOINTMENT DATE: 2018

EDUCATION:
Leadership Development Program, Harvard Business School.

WORK EXPERIENCE:
Oversees Human Resources and Purpose strategy, including talent development, change management, recruitment, culture, rewards, engagement, and leadership development.



Jennifer Suleiman

CHIEF SUSTAINABILITY OFFICER

APPOINTMENT DATE: 2018

EDUCATION:
Degree in Art History and Archaeology from Washington University, Missouri, USA.

WORK EXPERIENCE:
Over 33 years of experience. Leads sustainability strategy, reporting and disclosures, engagement with international organizations like the GSMA and the UN Global Compact, and co-chairs the Zain Climate Action Committee.



Firas Oggar

CHEAD OF LEGAL

APPOINTMENT DATE: 2017

EDUCATION:
Master’s degree in International Business Law from the University of Paris.

WORK EXPERIENCE:
Qualified lawyer before the Paris Bar with 25 years of experience in France and the Middle East. Held senior executive legal roles and serves as a visiting professor at Paris Panthéon-Assas University.



**Dr. Andrew
Arowojolu**

CHIEF REGULATORY OFFICER

APPOINTMENT DATE: 2016

EDUCATION:

PhD in Mobile Wireless Communications; Master’s degree from the University of Liverpool; Bachelor’s degree from the University of Lagos; LLM from Queen Mary University of London. Masters in Digital Transformation from IE University.

WORK EXPERIENCE:

Over 32 years of experience in telecommunications across the Middle East, Europe, Africa, and Asia. Leads the Group’s regulatory strategy and engagement with regulatory authorities.



**AbdulGhaffar
Setareh**

CHIEF RISK OFFICER

APPOINTMENT DATE: 2016

EDUCATION:

Degree in Telecommunications Engineering from École Nationale des Télécommunications, Morocco.

WORK EXPERIENCE:

Over 30 years of experience in telecommunications and IT. Led risk, cybersecurity, engineering, and operations functions across Zain’s Middle East and Africa operations.



**Javier
Cuadrado**

CHIEF INTERNAL AUDITOR

APPOINTMENT DATE: 2023

EDUCATION:

Certified Internal Auditor (CIA); Executive Development Program (IESE, Madrid); Master in Financial Markets; Bachelor’s degree in Economics.

WORK EXPERIENCE:

22 years of experience in internal audit and telecommunications. Held senior audit roles in Spain, Chile, and the UAE and served as Team Leader at IIA Spain.

Remuneration Report

Remuneration Report for the Board of Directors and Executive Management

Summary of the Company's Remuneration and Incentive Policy

This section provides a summary of the Company's remuneration and incentive policy, particularly as it relates to the Board of Directors and Executive Management.

The Board of Directors is responsible for establishing the remuneration policy, which lays the foundation for compensation structures for the Board, Executive Management, and senior managers. Aligning this policy with the Company's objectives and performance is of critical importance. This policy reflects the Company's strategic goals, taking into account principles of operational integrity and financial prudence, and forms an integral part of the overall corporate governance framework. The Board Nomination and Remuneration Committee (BNRC) oversees the implementation of this policy, as delegated by the Board of Directors.

The Company's remuneration policy is based on the following principles:

1. Linking rewards to the degree of risk undertaken, exercised with responsibility and prudence.
2. Attracting and retaining top talent.
3. Ensuring internal equity within the Company and external competitiveness.
4. Benchmarking performance levels against the market using analyses from specialized remuneration consultancies.
5. Ensuring transparency in the allocation of rewards.
6. Linking remuneration to performance indicators for Board members, Executive Management, and senior managers.
7. Ensuring consistency with the Company's strategy and objectives, both short-term and long-term.
8. Aligning remuneration with the experience and qualifications of employees at all levels.

The policy determines the remuneration system in accordance with the objectives of the Company, shareholders, and stakeholders, reflecting best

practice principles in corporate governance. It is adapted to the Company's structure and circumstances, based on relevant regulatory requirements.

Implementation and Review of the Remuneration Policy

- The BNRC plays a central role in overseeing the implementation of the remuneration policy.
- Annual reviews are conducted to ensure alignment with regulations issued by the Capital Markets Authority (CMA).
- Proposed amendments are presented to the Board of Directors for approval, demonstrating the Company's commitment to transparency and accountability.
- The remuneration policy is regularly updated to remain consistent with the Company's strategy and risk framework approved by the Board.

Alignment Between Strategy and Performance Indicators

- The remuneration policy is based on key performance indicators (KPIs) derived from the Company's overall strategy, as approved by the Board.
- Executive Management implements the strategy and reports periodically to the Board to ensure continuous alignment with the Company's objectives.

Board of Directors Remuneration Maximum Remuneration

Board members' remuneration shall not exceed 10% of net profits after taxes, interest, depreciation, and reserves, with a distribution to shareholders of at least 5% of capital, or the higher percentage stipulated in the Articles of Association.

Approval

Remuneration is presented to the Annual General Meeting for approval, based on BNRC recommendation and Board approval.

Fiscal Year 2025

Board remuneration amounted to KWD 652,775, pending shareholder approval at the Ordinary Annual General Meeting.

Executive Management Remuneration

Fixed Remuneration

- Based on the nature of job responsibilities and the defined career path for each executive.
- Salary scales reflect the value of each position within the Company.
- Reviewed annually by the BNRC in coordination with Human Resources to ensure alignment with market conditions and Company performance.
- Includes salaries, allowances, benefits, and end-of-service entitlements, in accordance with approved structures and policies.

Variable Remuneration

- Linked to achieving pre-defined financial and non-financial objectives.
- Designed to incentivize Executive Management based on individual and company-wide performance.
- Components include:
 - ⊕ Annual variable pay: awarded based on annual performance.
 - ⊕ Multi-year variable pay: linked to long-term objectives, such as stock-based incentives under the Company's incentive programs.

Balance Between Fixed and Variable Pay

- The Company maintains a balance between fixed and variable pay to ensure financial sustainability.
- Ratios are reviewed annually by the Board based on BNRC recommendations, with the possibility of reducing variable pay in case of unsatisfactory financial performance.

Commitment to Good Governance

The Company is committed to embedding transparency and sound governance within its remuneration framework, reflecting its dedication to maintaining a balanced and sustainable relationship between performance and rewards.

Remunerations and benefits of Members of Board of Directors

Total number of members	Remunerations and benefits through the parent			Remunerations and benefits through the subsidiaries			
	Fixed remuneration and benefits (Kuwaiti Dinar)	Variable remuneration and benefits (Kuwaiti Dinar)		Fixed remuneration and benefits (Kuwaiti Dinar)		Variable remuneration and benefits (Kuwaiti Dinar)	
	Health insurance	Annual remuneration	Committees' remuneration	Health insurance	Monthly salaries (total of the year)	Annual remuneration	Committees' remuneration
10		652,775	47,700				

Total remunerations and benefits granted to five senior executives who have received the highest remunerations. This is in addition to the Chief Executive Officer and the financial manager or their deputy, if not included *

Total number of members	Remunerations and benefits through the parent company									Remuneration and Benefits through the subsidiaries						
	Fixed remuneration and benefits (Kuwaiti Dinar)								Variable remuneration and benefits (Kuwaiti Dinar)	Fixed remuneration and benefits (Kuwaiti Dinar)						Variable remuneration and benefits (Kuwaiti Dinar)
	Monthly salaries (total of the year)	Health insurance	Social Security	Annual tickets	Housing allowance	Transportations allowance	Health Club Allowance	Children's education allowance	Annual remuneration	Monthly salaries (total of the year)	Health insurance	Annual tickets	Housing allowance	Transportation allowance	Children's education allowance	Annual remuneration
5	1,063,548	2,770	3,795	11,562	118,320	34,560	1,860	9,000	2,683,646							

There are no material deviations from the remuneration policy approved by the Board of Directors.

Integrity of Financial Reporting

Rule IV: Safeguard the Integrity of Financial Reporting

Written pledges by both the Board of Directors and the Executive Management on the integrity of the financial statements:

These declarations are included in the financial statements of the 2025 Annual Report.

In the event of a conflict between the recommendations of the Audit Committee and the decisions of the Board of Directors, a statement will be included detailing and clarifying the recommendations and the reason(s) behind the Board’s decision not to follow them.

There were no inconsistencies between the Audit Committee recommendations and the decisions of the Board of Directors during 2025.

Independence and Objectivity of the External Auditor

The Role of External Audit in Enhancing the Credibility of Financial Reporting

The independence and objectivity of the external auditor are fundamental pillars of a sound corporate governance framework, given their critical role in ensuring the integrity and accuracy of financial reporting and in strengthening the confidence of investors and stakeholders in the Company’s financial information. Independent auditing supports transparency, enhances the quality of disclosure, and reinforces the reliability of financial data as a basis for effective decision-making and oversight.

Compliance with the Legal and Regulatory Framework

The external audit process is governed by the legal and regulatory frameworks set out in the Companies Law and the rules and instructions issued by the CMA, which clearly define the requirements for the accreditation and independence of external auditors, as well as the professional standards to be observed when preparing audit reports and verifying the accuracy of the Company’s financial statements.

Safeguarding Independence and Avoiding Conflicts of Interest

Zain is committed to ensuring that the external auditor remains independent from the Company and its Board of Directors and does not perform any additional services that could compromise professional objectivity or independence. In this regard, the Audit Committee plays a key role by reviewing and evaluating the performance of the external auditor and recommending to the Board of Directors the appointment, reappointment, or replacement of the external auditor, including the review of audit fees and engagement letters. The external auditor is appointed by the Ordinary General Assembly based on the Board’s recommendation, subject to full compliance with applicable regulatory requirements.

This includes, in particular:

- The external auditor being accredited and registered with the Capital Markets Authority in accordance with the approved auditor registration system.
- Full independence from the Company and its Board of Directors, and the absence of any non-audit services that may affect objectivity or independence.

Financial Reporting Quality and Its Role in Governance

Audited financial statements represent a basis of effective corporate governance, as they provide a reliable assessment of the Company’s financial position and performance, enhance compliance with laws and accounting standards, and reinforce the principles of transparency and accountability. These statements also build confidence among shareholders and regulatory authorities and enable them to exercise effective oversight based on clear and accurate information.

As part of the Group’s commitment to the highest standards of transparency and accuracy in financial reporting, the Group convened an Extraordinary General Assembly during 2025. The Assembly approved authorizing the Board of Directors to utilize reserves (statutory and voluntary) and share premium to address any accumulated losses that may arise as a result of applying International Accounting Standard (IAS 29) related to financial reporting in hyperinflationary economies, in connection with the Company’s operations in Sudan for prior years, when preparing the financial statements for the fiscal year ended 31 December 2025.

This measure reflects a responsible approach to managing the accounting implications arising from exceptional economic conditions, ensuring the integrity of the Company’s financial position and safeguarding shareholders’ rights. As a result of this sound regulatory and financial treatment, the Group’s financial statements for the fiscal year 2025 were approved with an unqualified audit opinion, confirming the integrity of the financial reporting and its compliance with International Financial Reporting Standards (IFRS).

The Accounting Framework and the Role of the External Auditor

The Company’s accounting system has been designed to ensure comprehensive financial management, encompassing the identification, classification, analysis, recording, and reporting of financial transactions, while maintaining accountability over assets and liabilities. The external auditor is an integral part of this framework, entrusted with verifying the accuracy and integrity of the financial statements, ensuring compliance with applicable laws, regulations, and accounting standards, and providing an independent professional assessment of the Company’s financial position, operating results, and cash flow management, as well as an evaluation of accounting practices and potential risks.

Oversight by the Board of Directors and the Audit Committee

The Board of Directors ensures that the external auditor is provided with sufficient time and resources to gain a thorough understanding of the Company’s operations and business activities. The Audit Committee carefully reviews the external auditor’s report and opinion, follows up on observations and recommendations, and coordinates with executive management to address them proactively, thereby supporting ongoing compliance and operational excellence.

Communication and Transparency with Regulators and Shareholders

The external auditor holds regular quarterly meetings with the Audit Committee and has the right to request meetings with the Committee without the presence of executive management whenever necessary. In addition, the Board of Directors is obligated to convene a General Assembly meeting within a period not exceeding 15 days from the date of a request by the external auditor, in accordance with regulatory requirements.

The external auditor attends General Assembly meetings and presents the audit report to shareholders for approval of the financial statements, disclosing any obstacles or interference encountered during the performance of audit duties. The external auditor is also required to notify the Capital Markets Authority of any material violations or challenges that may affect the independence or integrity of the audit process.

Appointment of the External Auditor

Based on the above, the Company has appointed KPMG as its independent external auditor. The Company confirms that the appointed auditor does not provide any additional services outside the scope of audit and review services, thereby ensuring full compliance with independence and governance requirements.

This comprehensive approach reflects Zain’s commitment to the highest standards of transparency, accountability, regulatory compliance, and international best practices in corporate governance, reinforcing the confidence of regulators, investors, and stakeholders in the Company’s financial reporting and overall institutional performance.

About KPMG AlQenae & Partners

20 years of excellence: KPMG has been operating in Kuwait for more than two decades through its member firms KPMG Al-Qenae & Partners and KPMG Advisory W.L.L., providing Audit, Tax and Advisory services. By enhancing agility, strengthening connectivity and investing in key talent and technology, we are building a future-focused organization that can help tackle critical challenges through trusted insight, advice and analysis.

Local expertise backed by global pedigree: With ~250 employees and 10 partners based in Kuwait, KPMG Kuwait is part of and draws insight from a larger network of KPMG member firms operating in 138 countries and territories with 276,000 partners/employees ready to help clients navigate complexities that transcend borders.

Making impact matter: KPMG strives to drive positive change collaborating with and advising key public, private, as well as for- and not-for-profit organizations to enable progress, prosperity and sustainability that can help build a better world for future generations.

Auditor Fees

The total fees for audit and other assurance services for the Group and its subsidiaries amounted to KWD 1.772 million (2024: KWD 1.518 million).

Risk Management and Internal Audit

Rule V: Apply Sound Systems of Risk Management and Internal Audit

Summary of the Implementation of Requirements for Establishing an Independent Risk Management Department/Office/Unit

An independent Risk Management Department has been established in line with good governance practices, reflecting the Company’s commitment to strengthening an effective and integrated risk management framework. The Department operates with full independence under the supervision of the Chief Risk Officer, supported by the necessary human and technical resources, and maintains direct communication channels with the Board of Directors to ensure integrity, objectivity, and transparency.

The Department is responsible for identifying, analyzing, assessing, and monitoring organizational risks, serving as a key component of the second line of defense within the Company’s three-lines-of-defense framework. It reports directly to the Risk Committee of the Board of Directors, in accordance with the approved organizational structure, ensuring effective oversight, control, and timely escalation of material issues and key matters.

The independent Risk Management Department is fully committed to applicable legal and regulatory requirements, enhancing the Company’s ability to proactively identify and manage risks, protect its assets, and support the achievement of its long-term strategic objectives. This organizational framework reinforces accountability, adherence to recognized best practices and governance standards, and ensures sustainable growth while strengthening stakeholder confidence.

Overview of the Implementation of Requirements for Establishing the Risk Management Committee

The table under Rule II of this report provides full details on the roles and achievements of the Committee, as well as its composition and meetings.

Summary of Internal Control and Oversight Systems

Defining values, principles, and roles is essential to enable informed and sound decision-making. Effective implementation of the Company’s Code of Conduct and internal policies is critical to ensure ethical, efficient, and legally compliant operations.

The Company’s priorities go beyond mere compliance with applicable laws and regulations. They extend to ensuring the design and operation of internal control frameworks that align with internationally recognized best practices and standards. These frameworks serve to protect stakeholder rights and support the achievement of the Company’s strategic objectives and long-term ambitions.



Vision

Our vision is to be the leading provider of innovative ICT technologies and digital lifestyle communications, delivering an exceptional and seamless experience to our customers. We are committed to excellence in customer experience, enhancing operational efficiency, driving business growth, investing in human capital development, and contributing to human progress globally.

Our Values and Corporate Purpose

Heart

Embodying courage at both the individual and organizational levels and adopting an approach that reflects a distinctive corporate philosophy rooted in clear and well-defined values.

Radiance

Elevating performance and exceeding expectations by delivering services that meet global standards.

Belonging

Going beyond geographical boundaries, building sustainable social value, and upholding our cultural and environmental responsibilities.

Internal Control Framework

Responsibilities

Raising Awareness of Policies, Procedures, and the Code of Conduct

Technical Tools, Programs, Trainings, and Courses

Independence of Departments and Employees, and Competence and Integrity of Executives

Commitment to Governance Principles

Risk Assessment

Compliance Risks

Market Risks

Operational Risks

Control Environment

External Factors Shaping the Internal Control Environment:

Policies and Procedures

Effectiveness of Control Programs

Accountability

Compliance

Defense Lines

Internal Audit Department

Risk Management Department

Governance Department

Compliance Department

External Oversight Framework

Zain is subject to an integrated framework of external oversight mechanisms exercised by governmental regulatory and supervisory authorities, in addition to independent auditors and relevant professional bodies. These mechanisms aim to assess the Company's compliance with applicable legislation, regulatory requirements, and leading corporate governance practices. They constitute a core element of the Company's overall control environment, focusing on enhancing transparency, safeguarding the integrity of operations, and protecting the rights of shareholders and other stakeholders.

In this context, and beyond mandatory requirements, the Company voluntarily undergoes independent assessments and audits to evaluate the effectiveness of its overall governance structure. Zain is also subject to regular supervision and inspection by several official authorities, including the Capital Markets Authority (CMA), the Ministry of Commerce and Industry, the Anti-Corruption Authority, the Competition Protection Authority, and the Communications and Information Technology Regulatory Authority, in addition to other relevant regulatory and governmental bodies in the jurisdictions where the Company operates.

Role of the Capital Markets Authority in Supervision and Oversight

The Capital Markets Authority carries out its supervisory role through periodic and structured inspection processes, which include a comprehensive review of the Company's activities, records, and level of compliance with applicable laws and regulations. These inspections result in detailed reports addressing the status of compliance, effectiveness of implementation, and any observations, violations, or required corrective actions. The Company's records and files are also subject to review under the supervision of the CMA, thereby reinforcing discipline and ensuring ongoing compliance.

Appointment and Independence of the External Auditor

In accordance with the Kuwaiti Companies Law and International Accounting Standards, the Company appoints an external auditor at the Ordinary General Assembly meeting, based on a

recommendation from the Board of Directors and the approval of the Audit Committee. The external auditor is required to adhere fully to principles of independence and objectivity. Accordingly, the auditor is prohibited from combining audit responsibilities with any executive or supervisory role within the Company, holding the position of Chairman or Board member, or having any kinship up to the second degree with individuals involved in the Company's management or oversight of its accounts.

Furthermore, the external auditor is prohibited from owning shares in the Company or in any entity whose accounts are audited by the auditor and must refrain from buying or selling the Company's shares throughout the audit engagement period or while providing any advisory services. The external auditor is granted full access to the Company's books, records, and documents, and may request any information deemed necessary to perform audit duties effectively and independently.

The external auditor attends General Assembly meetings and presents the audit report, explaining the fairness of the financial statements in reflecting the Company's financial position and results of operations, and confirming their compliance with applicable laws and generally accepted accounting standards. The auditor is also required to disclose any obstacles or interference encountered during the performance of audit duties and to report any material violations to the Capital Markets Authority.

Oversight Role of Board Committees

The Risk Committee of the Board of Directors oversees compliance management to ensure adherence to regulatory requirements and approved governance standards. The Compliance function operates independently and conducts periodic internal reviews to provide an additional layer of assurance. Regular reports covering compliance matters, risk assessments, and mitigation strategies are submitted directly to the Committee, thereby enhancing effective oversight, transparency, and accountability.

Internal Control Framework and Risk Management

The Board of Directors is responsible for overseeing the Company's risk management framework, including operational, financial, and regulatory risks, in addition to risks related to environmental, social, and governance

(ESG) matters. In cooperation with executive management, the Board defines the Company’s risk appetite and approves the policies and frameworks through which identified risks are managed, based on an assessment of relevant internal and external factors.

Internal controls create the foundation of this framework, aiming to safeguard the Company’s assets, ensure the reliability of financial reporting, enhance operational efficiency, support legal and regulatory compliance, and achieve strategic objectives, thereby maximizing value for shareholders and stakeholders.

Audit and Assurance Activities at Zain

The Company applies a robust set of audit and assurance practices, including:

- Adoption of the Four Eyes Principle within the organizational structure.
- Independence of the Internal Audit function, which reports to the Board Audit Committee and is responsible for reviewing operations and procedures and ensuring compliance with applicable policies, laws, and standards.
- Appointment of an independent audit firm to conduct an annual review of internal control systems and submit its report to the CMA.
- Conducting an independent assessment of the performance of the Internal Audit function every three years, with results reported to the Audit Committee and the Board of Directors.
- Development of a risk-based annual audit plan focusing on areas with the highest impact, which is updated on an adaptive basis to address emerging risks and regulatory changes.
- Appointment of an independent external auditor (KPMG) to audit the financial statements, ensuring compliance with international standards and strengthening stakeholder confidence.
- Appointment of an independent assurance provider to deliver limited and reasonable assurance on sustainability reports over a period of 15 years, previously conducted by Deloitte and in recent years by Ernst & Young, thereby enhancing the credibility of ESG reporting and alignment with international standards.

Control Environment and Corporate Culture

Zain’s control environment is founded on integrity, ethical conduct, and a clear separation between the roles of the Board of Directors and executive management. It is supported by a well-defined organizational structure, clear reporting lines, and precise delegation of authorities, ensuring effective performance monitoring and achievement of objectives.

As part of promoting a culture of compliance, the Board of Directors has published the Company’s policies, procedures, and codes of conduct on the official website, with the aim of embedding a culture of consistent compliance and ethical standards across all levels of the organization.

Internal Control Review and Continuous Improvement

The Board of Directors approved the appointment of BDO as an independent auditor to conduct the Internal Control Review (ICR). This step reflects the Board’s commitment to continuous improvement, the adoption of leading best practices, and the use of independent and renewed perspectives. The review aims to assess the effectiveness of the internal control systems and their ability to manage day-to-day operational risks.

The Internal Control Review provides stakeholders with a comprehensive view of the effectiveness of the internal control environment and identifies areas for improvement. It includes an evaluation of policies and procedures, risk identification, process assessments, control testing, compliance verification, data analysis, management interviews, and the reporting of findings and recommendations to the Board of Directors and the CMA, thereby supporting transparency, accountability, and sustainable growth.



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Opinion letter

The Board of Directors
Mobile Telecommunications Company (K.S.C.P.) – Zain Group
Safat, 13083
State of Kuwait

1 March 2026

Dear Sirs,

Internal Control Review Report

We have examined and reviewed the internal controls systems of Mobile Telecommunications Company (K.S.C.P.) – Zain Group for the Financial Year Ended 31 December 2025.

The review covered the following areas:

- | | |
|---|---|
| ▪ General Control Environment | ▪ Internal Audit Department |
| ▪ Corporate Communications, Investor Relations and Corporate Governance | ▪ Risk Management Department |
| ▪ Investment and Digital Services Department | ▪ Technology Department |
| ▪ ZainTech | ▪ Corporate Sustainability Department |
| ▪ Strategy Department | ▪ Commercial Department |
| ▪ Human Resources Department | ▪ Inclusion, Diversity, and Equity Department (IDE) |
| ▪ Finance Department | ▪ Zain Omantel International (ZOI) |
| ▪ Legal Department | ▪ Corporate Compliance |
| ▪ Regulatory Affairs Department | |

Our examination has been carried out as per the requirements of the Executive regulations of Kuwait Capital Market Authority (Book No. 15 “Corporate Governance” article 6-9).

As members of the Board of Directors of the Mobile Telecommunications Company (K.S.C.P.) – Zain Group, you are responsible for establishing and maintaining adequate internal control systems, taking into consideration the expected benefits and relative costs of establishing such systems and complying with the requirements contained in the CMA instructions mentioned in the above paragraph. The objective of this report is to provide reasonable, but not absolute, assurance on the extent to which the adopted procedures and systems are adequate to safeguard the assets against loss from unauthorized use or disposition; that key risks are properly monitored and evaluated; that transactions are executed in accordance with established authorization procedures and are recorded properly; and to enable you to conduct the business in a prudent manner.

BDO Al Nisf & Partners is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms.



Because of inherent limitations in any internal controls system, errors or irregularities may nevertheless occur and not be detected. Also, projection of any evaluation of the systems to future periods is subject to the risk that management information and control procedures may become inadequate because of changes in conditions or that the degree of compliance with those procedures may deteriorate.

In our opinion, the internal accounting control system and other control systems of Mobile Telecommunications Company (K.S.C.P.) – Zain Group, implemented as of 31 December 2025, taken as a whole, were fully sufficient to meet the objectives referred to above insofar as these objectives relate to the company’s ability to prevent or detect errors or irregularities in material amounts that have a material impact on the company’s financial statements.

With the exception of the matters set out in the accompanying report, and having regard to the nature and volumes of the Company’s operations, during the Financial Year Ended 31 December 2025, and the materiality and risk rating of our findings, in our opinion:

- The internal controls systems of the Company were established and maintained in accordance with the requirements of the Capital Market Authority and the sound governance rules.
- The findings raised in the examination and assessment of the internal controls do not have a material impact on the fair presentation of the financial statements of the Company for the Financial Year Ended 31 December 2025, and
- The actions taken by the Company to address the findings referred to in the report are satisfactory.

Yours faithfully,

Qais M. Al Nisf
License No. 38 “A”
BDO Al Nisf & Partners

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Code of Conduct & Ethical Standards

A brief statement on implementing the requirements for forming an independent department/office/unit for internal audit

In line with the laws and regulations governing corporate governance in Kuwait and the requirements of the CMA, the Company has adopted an integrated framework for an independent Internal Audit function. This framework ensures clarity of scope, the application of effective audit methodologies, the availability of qualified competencies, and full independence from operational activities, with a direct reporting line to the Board Audit Committee.

The Internal Audit function operates independently under the supervision of the Chief Internal Auditor and reports to the Board Audit Committee, which is responsible for overseeing financial reporting, internal control systems, and for submitting recommendations to the Board of Directors regarding the appointment of the external auditor, in accordance with the requirements of the CMA and the Ministry of Commerce and Industry.

Internal audit is an independent assurance and advisory activity designed to add value and improve the Company's performance through a structured approach to evaluating and enhancing the effectiveness of risk management, internal controls, and governance processes. Internal audit activities cover all Company operations, and relevant reports and recommendations are provided to executive management, the Audit Committee, and the Board of Directors.

Key responsibilities of the Internal Audit function include assessing the adequacy of internal controls, verifying compliance with policies, laws, regulations, and ethical standards, reviewing operational processes and outcomes, and preparing a risk-based annual internal audit plan in coordination with executive management, the Audit Committee, and the Board of Directors, while maintaining full independence.

The Chief Internal Auditor periodically presents internal audit plans and results to the Audit Committee and has direct access to the Board of Directors in the event of material or urgent matters, thereby reinforcing transparency, accountability, and the effectiveness of the governance framework in line with international best practices and the requirements of the Capital Markets Authority.

Rule VI: Promote Code of Conduct and Ethical Standards

Code of Conduct, Professional Standards, and Ethical Values

Commitment to the highest ethical standards represents a structured and strategic approach to embedding integrity across all aspects of the Company's operations. Zain promotes a culture of accountability, transparency, and ethical responsibility through the following key initiatives:

Leadership Commitment

Ethical conduct starts at the top. The Board of Directors and executive management lead by example, demonstrating a strong commitment to ethical principles. Their behavior and decision-making set the ethical tone across all levels of the Company.

Comprehensive Code of Conduct

Zain has adopted a clear and comprehensive Code of Conduct applicable to the Board of Directors, executive management, employees, suppliers, and partners. The Code defines the Company's values, expectations, and ethical principles, ensuring alignment among all stakeholders.

Board members are also subject to a separate Code of Conduct introduced during the induction of new directors to reinforce ethical responsibilities from the outset. In addition, Zain has developed a Supplier Code of Conduct to promote ethical practices across the supply chain. Both codes are published on the Company's website to ensure transparency and accessibility.

Employee Training and Stakeholder Engagement

Zain promotes ethical awareness through comprehensive training programs designed to educate employees and stakeholders on ethical decision-making, compliance requirements, and responsible business practices. Awareness videos are available on the Company's website, while in-depth training programs are delivered through the Human Resources function in collaboration with external parties, tailored to roles and seniority.

For suppliers, Zain provides training on human rights, ethical labor practices, and grievance mechanisms, supported by participation

monitoring and supplier self-assessment questionnaires to ensure responsible compliance across the supply chain.

Ethics Integrated into Performance Evaluation

Adherence to ethical standards forms a core component of employee performance evaluations, with ethical behavior embedded in appraisal, recognition, and career development frameworks.

Whistleblowing and Confidential Reporting

To reinforce accountability and integrity, Zain has implemented secure and confidential reporting mechanisms that allow employees and stakeholders to report ethical violations, including workplace harassment, without fear of retaliation. These channels align with governance best practices.

Transparency and Public Accountability

Zain reinforces ethical conduct through periodic disclosures and annual updates published on its website, highlighting progress in strengthening ethical governance.

Ethical Considerations in Decision-Making

Ethical principles are embedded into the Company's decision-making processes, encouraging employees at all levels to evaluate decisions from an ethical perspective to support responsible and sustainable business practices.

External Audits and Oversight Reviews

Independent auditors are engaged to assess compliance with ethical standards and evaluate the effectiveness of internal controls, enhancing transparency and strengthening governance.

Continuous Improvement and Policy Updates

The Code of Conduct is reviewed and updated regularly to reflect regulatory developments, industry best practices, and stakeholder expectations, demonstrating Zain's commitment to ethical excellence.

Accountability and Enforcement

Clear and consistent disciplinary measures are applied in cases of Code of Conduct violations, ensuring fairness and reinforcing a culture of compliance and integrity.

Through integrating ethics into its governance framework, Zain affirms its commitment to integrity, responsibility, and long-term trust with all stakeholders.

Zain conducts its business with integrity, respect for the law, sustainability, and social and environmental responsibility. The Company is firmly committed to the Universal Declaration of Human Rights, the core conventions of the International Labour Organization, and the OECD Guidelines for Multinational Enterprises. This commitment is reflected in the Supplier Code of Conduct, which applies to all local and international suppliers and is publicly available on the Company’s website.

Data Protection and Privacy

Zain Group and its subsidiaries comply with applicable laws, regulations, and decisions issued by relevant legislative and regulatory authorities. The Company also aligns with international standards such as SASB and ISO/IEC 27001 for information security management.

Protecting personal identifiable information (PII) entrusted by customers, employees, suppliers, stakeholders, and partners is a critical priority. Zain is committed to safeguarding privacy with transparency and security in compliance with applicable laws.

Data privacy management is embedded within the Group’s regulatory compliance and enterprise risk management framework, supporting the implementation of Zain’s “4Sight” strategy. The Data Protection and Privacy Policy outlines principles for data collection, processing, storage, and disclosure. Privacy notices are published and regularly updated on all Zain company websites. The full policy is available on the Company’s website following Board approval.

Human Rights

Zain is committed to respecting human rights as defined in the Universal Declaration of Human Rights, the International Covenant on Civil and Political Rights, and the ILO Declaration on Fundamental Principles and Rights at Work.

The Company is guided by the UN Guiding Principles on Business and Human Rights, the UN Convention on the Rights of Persons with Disabilities,

the UN Convention on the Rights of the Child, the OECD Guidelines for Multinational Enterprises, the UN Global Compact, and the Global Network Initiative (GNI) principles.

The Board has approved a Group-wide Human Rights Policy applicable to all Zain entities, suppliers, and business partners. Implementation is monitored through internal processes overseen by Sustainability, Risk, Governance, and Legal functions, with transparent reporting to the Board and disclosure through the Group’s annual Sustainability Report.

Conflict of Interest

Zain’s governance framework includes a Conflict of Interest Policy that defines procedures for identifying, disclosing, and managing actual or potential conflicts between the personal interests of Board members, executive management, and employees, and the interests of the Company. The policy sets clear boundaries and standards for handling conflicts of interest, and Board members and executive management are required to disclose any actual or potential conflict in accordance with the Company’s policy, applicable laws, regulations, and international standards. Members of the Board of Directors, members of executive management, and their relatives up to the second degree are prohibited from having any direct or indirect interest in contracts entered into by the Company, unless prior approval is obtained from the Ordinary General Assembly, with full disclosure of the nature of such interest and its relation to the contract, in accordance with applicable laws and regulations, in a manner that promotes transparency and prevents conflicts of interest.

Zain’s Conflict of Interest Policy includes clear examples of conflict situations and guidance on how to manage them. Board members are required to disclose any personal interest in Company transactions or contracts, and such disclosures are recorded in the minutes of meetings. Members with an interest must abstain from voting on the related decision, and the Chairman of the Board reports to the General Assembly on any transactions or contracts in which a Board member has a personal interest, accompanied by a special report from the external auditor. In accordance with the Executive Regulations of the Capital Markets Authority, the Company appoints an independent expert, such as an asset appraiser or investment advisor, to provide a report to the General Assembly or the Board regarding any transaction between the Company and a related

party, or any arrangement under which both parties participate in a project, asset, or financing, when the value of the transaction or arrangement equals 10% or more of the Company’s total assets. This report is provided prior to approval of the transaction or arrangement. This policy is based on the principle of establishing the Board’s responsibilities to protect stakeholder rights and achieve maximum returns for shareholders. It emphasizes maintaining the confidentiality of transactions and information arising from Board meetings and Company operations. The policy includes all necessary provisions to ensure disclosure of conflicts of interest and defines procedures for managing them by the member or the Board.

Sanctions

Zain has adopted a Sanctions Policy aligned with applicable sanctions laws and regulations across all jurisdictions in which it operates. The policy outlines preventive measures, restrictions, reporting mechanisms, and consequences of non-compliance, supporting the Company’s commitment to lawful and responsible operations.

Anti-Corruption

The Board has approved an Anti-Corruption Policy based on a zero-tolerance approach to bribery and corruption. Zain strictly prohibits offering, giving, receiving, or soliciting bribes under any circumstances, including dealings with public officials.

The policy covers gifts, third-party relationships, charitable and political contributions, record-keeping, reporting mechanisms, disciplinary actions, conflicts of interest, related-party transactions, sanctions, and anti-money laundering.

Anti-Money Laundering (AML)

Zain is committed to preventing money laundering and terrorist financing across all operations. The Board-approved AML Policy ensures compliance with relevant laws and adopts a risk-based approach to prevent misuse of the Group’s assets and protect employees and stakeholders from inadvertent violations.

Inclusion Diversity & Equity

Zain seeks to embed inclusion, diversity, and equity across its workforce, starting with the Board of Directors. Board composition reflects the Group’s scale, geographic footprint, and listed status. Board appointments are based on objective professional criteria, supported by a Board Diversity Policy.

Zain is among the first telecom companies in the region to establish a dedicated DEI function, overseeing programs on gender inclusion, disability inclusion, youth empowerment, internal innovation, and mental well-being.

Shareholders’ Rights Protection

This policy safeguards shareholders’ rights, including voting, access to information, and participation in general assemblies, in line with CMA requirements and international best practices.

Stakeholders’ Rights Protection

The policy ensures fair treatment of employees, customers, suppliers, and communities, reflecting ESG principles and supporting long-term trust.

Insider Trading

Regulates securities trading by insiders and prevents misuse of non-public material information, ensuring market integrity.

Disclosure and Transparency Policy

Ensures timely, accurate, and comprehensive disclosures to investors and regulators, supporting informed decision-making.

Related Party Transactions

Establishes controls for identifying, reviewing, and approving related-party transactions to prevent conflicts of interest.

Sustainability

Defines the framework for managing environmental, social, and governance impacts and integrating sustainability into strategy.

Board Diversity

Promotes diversity of skills, experience, and perspectives on the Board to enhance decision-making and governance effectiveness.

Subsidiary Governance Framework

Zain Group’s Subsidiary Governance Framework is designed to ensure consistent oversight, alignment, and accountability across all its subsidiaries. The framework enables the Group to unify governance principles, standards, and policies while respecting the operational independence of each subsidiary. It strengthens the relationship between the Group and its subsidiaries by establishing clear reporting lines, regular performance monitoring, and structured risk management practices. Through this framework, the Group promotes transparency, operational efficiency, and strategic alignment, ensuring that all subsidiaries adhere to Zain’s corporate values, ethical standards, and long-term objectives. The framework also facilitates knowledge sharing, capacity building, and best-practice implementation, enhancing overall governance maturity and contributing to sustainable value creation for stakeholders across all markets in which Zain operates.



Disclosure and Transparency

Rule VII: Ensure Timely and High-Quality Disclosure and Transparency

Disclosure mechanisms and characteristics

As a listed company in the premier market in Kuwait, Zain ensures transparency through timely and high-quality disclosure, in accordance with corporate governance rules set by the Capital Markets Authority (CMA). Here are specific actions the company takes in this regard:

- **Forming of a disclosure team:** Dedicated corporate governance and investor relations teams are responsible for overseeing the company’s disclosure and transparency processes. The team works with various departments to ensure accuracy and timeliness, including the BOD, legal, finance, and the whole executive team. The team is responsible for supervising the disclosure process in accordance with the requirements of the CMA to ensure full compliance by the company with the instructions contained in Module Ten of the CMA’s executive bylaw on disclosure and transparency. Accordingly, the Corporate Governance and Compliance Department works to provide any clarifications related to disclosure requirements. This department is the main point of contact responsible for communicating with and responding to the inquiries of the CMA and the relevant regulatory authorities.
- **Development of a Disclosure Policy:** Crafted a comprehensive disclosure policy that aligns with CMA regulations. This policy defines material information, disclosure timelines, responsible parties, and communication channels. The policy is easily accessible to all employees and stakeholders as it is available on the website. It ensures the accurate, realistic, and timely disclosure of all material information related to the company, including financial position, performance, ownership, and corporate governance. The policy aims to enhance the company’s ability to comply with the rules, laws, and instructions issued by the CMA and other relevant regulatory bodies while ensuring fairness and equality in providing the right to access that information. The policy defines a framework for the proactive disclosure of information related to the company. It emphasizes achieving a balance between the confidentiality required by our customers with the information needed by stakeholders such as shareholders,

- regulators, and analysts. This policy defines the principles and requirements of transparency and the types of information that will be disclosed to ensure that stakeholders are treated fairly. The Board monitors the disclosure process and communicates with internal and external stakeholders. A set of the company’s internal policies has been published on the official website after the approval of the company’s Board providing a clearer picture of the company’s internal processes, policies and procedures, which leads to a deeper connection with shareholders and other stakeholders and reaching the highest levels of trust with different groups of stakeholders.
- **Identification of Material Information:** Clearly defined what constitutes material information according to CMA guidelines and developed internal procedures to quickly identify such information and ensure its prompt disclosure.
- **Disclosure Channels:** Zain utilizes approved channels for disclosing information, such as CMA email correspondence, Boursa Kuwait portal and the company’s official website. Zain ensures that the information is accessible to all stakeholders, including international investors.
- **Timely Disclosure:** The company adheres to CMA’s guidelines on timely disclosure. Material information should be disclosed as soon as it becomes available, ensuring that all stakeholders receive the information simultaneously.
- **Financial Reporting:** Zain prepares and publishes financial statements in line with International Financial Reporting Standards (IFRS) and CMA regulations. This includes quarterly and annual reports, which provide a clear and accurate view of the company’s financial performance and position.
- **Consistency and Accuracy:** We ensure that all disclosed information is consistent across various communication channels as accuracy is crucial to maintain investor trust.
- **Whistleblower Mechanism:** Zain implemented a confidential mechanism for employees and other stakeholders to report potential violations of transparency or unethical behavior. This encourages early detection and rectification of issues.
- **Internal Controls:** Zain established robust internal controls and procedures to verify the accuracy and completeness of disclosed information. We also conduct periodic reviews of these controls by an independent third party to identify and address any gaps.

- **Disclosure Calendar:** The company has a disclosure calendar that outlines the expected timing of regular and ad-hoc disclosures throughout the year. This helps with planning and coordination with all internal and external stakeholders.
- **Insider Trading Policies:** Zain enforces strict insider trading policies. Company insiders must adhere to trading windows and obtain pre-clearance before buying or selling company shares. In addition, Zain maintains a permanent record of the insider's trades. Accordingly, Boursa Kuwait is obligated to receive the insiders' watchlist and to verify that the people whose names appear in that list comply with the provisions of applicable laws and regulations when trading in securities. Boursa Kuwait is also obligated to consider the adherence of the insiders of the listed company not to trade during the prohibition periods indicated in the regulations and to announce all disclosures received accordingly.
- **Investor Relations:** The team maintains active and transparent communication with investors and provides updates on company performance, strategy, and other relevant matters through press releases, investor presentations, and conference calls.
- **External Audit:** Zain works with a reputable external auditor (KPMG) to independently verify the accuracy of financial statements and disclosure practices.
- **Annual General Meetings (AGMs):** Zain conducts AGMs as required by CMA rules. These meetings provide a platform for shareholders to engage with management, ask questions, and express concerns.
- **Ethical Culture:** The company fosters an ethical culture where transparency is valued and encouraged at all levels of the organization.
- **Continuous Improvement:** The team regularly reviews and updates disclosure and transparency practices to align with evolving CMA regulations and industry best practices. By implementing these strategies, our company demonstrates its commitment to transparency, meets CMA requirements, and fosters investor confidence in the Kuwaiti market. Zain ensures that all stakeholders are on board with the principle that transparency is an ongoing effort that requires dedication and vigilance.
- **Data protection and privacy policy:** The company is legally and ethically obligated to protect customer information to ensure that it is not misused in a way that harms the customer's interests or the company's reputation. All employees are responsible for protecting customer information and not disclosing any information they are not

authorized to disclose, following the relevant regulatory requirements. All employees are fully aware of all policies related to data protection, distribution, transmission, preservation, or disposal.

- **Disclosure archive:** All public disclosures are posted on the company's website; with the approval of the Corporate Governance and Compliance Department and in cooperation with the Corporate Communications and Investor Relations Departments, the company utilizes its website to communicate with stakeholders (shareholders, investors, customers, regulatory authorities, etc.) and distribute company information that is required to be published. The information available on the website includes annual reports, quarterly reports, financial information, and market disclosures (for more than 15 years) and other information.
- **Disclosures record for the Board of Directors and Executive Management:** The company keeps a comprehensive record encompassing all disclosures made by its Board members and Executive Management. This record is consistently updated to align with the latest disclosures, ensuring utmost accuracy. Additionally, the company upholds a record containing disclosures from insiders. All such vital information and disclosures are stored within an internal electronic library. This platform ensures seamless accessibility to relevant parties at the required moments. Notably, the company's official website features an archive comprising all market disclosures made by the company over the past thirteen.

Investor Relations (IR)

Zain is committed to providing information and reports to shareholders and potential investors through the Investor Relations (IR) department. The Board has approved an IR policy that confirms compliance with applicable laws, rules, and instructions, that covers all employees of the company and the company's board of directors. The IR policy includes all means of communication with shareholders, potential investors, analysts, and the media; this includes annual and quarterly reports, news, prospectuses, memoranda for shareholders, press releases held by official spokespersons, and information on the company's website.

The most important principles of this policy are protecting shareholders' rights, communicating with shareholders, and issuing disclosures to

shareholders. Accordingly, important information is made available to shareholders through appropriate means of disclosure such as periodic reports, annual reports, the company's website, Boursa Kuwait website, quarterly communication with analysts and relevant conferences, etc.

The responsibility for implementing this policy lies with the employees of the IR Department, in addition to other stakeholders in the company. This department plays a vital role in ensuring the protection of shareholders' rights by the company. The IR department includes multiple competencies and expertise, which ensures easy and continuous communication with shareholders, potential investors, analysts, and the media.

The main objectives of Investor Relations

1. Establish consistent and reliable communication channels with investors in compliance with relevant regulations and laws, including those issued by the CMA and the Commercial Companies Law of the State of Kuwait
2. Strengthening the company's position in the market and attract shareholders and investments
3. Establish a link between executive management and the financial community to strengthen the relationship of executive management with analysts and stakeholders
4. Provide financial and non-financial information related to the company to the Board of Directors, executive management, shareholders, and analysts.

Following the disclosure of the financial statements, the IR department organizes a call between Executive Management and analysts to discuss the results of the company's financial statements and open the door to any inquiries that analysts may have regarding the company's performance. The transcripts of these calls are available on the company's website to be a reference for shareholders and the public in both Arabic and English.

The IR team and Executive Management attend IR conferences to attract potential investors' interest and hold individual meetings with local and international potential investors and existing shareholders. All executives attending these conferences are fully prepared to answer any questions or inquiries raised during the meetings, provided that these meetings meet all relevant regulatory requirements.

The IR department is responsible for assembling the company’s annual report, including requesting input from relevant departments. In addition, the IR team reviews the content received from these departments and ensures its consistency with the company’s strategy and approved public image.

Key highlights of the year 2025 for the Investor Relations Department:

- Successful management of two General Meetings (one AGM and one EGM), with both meetings achieving strong shareholder participation and high quorum levels, reflecting effective governance and engagement.
- Supported the implementation of IAS 29, ensuring the alignment of financial reporting with International Financial Reporting Standards (IFRS).
- Successful end-to-end management of the dividend distribution process across three payment cycles during the year (25 fils in May, 10 fils in September, and an additional 25 fils in November), ensuring full compliance with governance requirements, accurate disclosures, and timely execution.
- Successful revamp of the Investor Relations website and corporate presentations, enhancing communication with stakeholders, and supported Zain’s operating companies (OpCos) in upgrading their IR websites in line with best practices.
- Nominated in two prestigious categories at the Middle East Investor Relations Association (MEIRA) Awards, “Best IR Corporate in Kuwait” and “Best IR Professional,” reflecting Zain’s continued commitment to IR excellence and effective stakeholder engagement.

IT infrastructure and disclosure processes

- The Capital Markets Authority has launched an enhanced XBRL Electronic Disclosure System, covering financial statements, capital adequacy reports, market disclosures, and general assembly requests. The XBRL Electronic Disclosure System enhances transparency, accuracy, and compliance by standardizing financial reporting. It automates processes, reducing manual efforts and submission time. The system improves data accessibility, strengthens regulatory oversight, and fosters investor confidence. By streamlining disclosures, it modernizes financial reporting, creating a more efficient, competitive, and transparent investment environment in Kuwait.
- The company’s website includes all the disclosures that date back more than 15 years. The website also includes periodic financial reports, analyst reports and other facts and indicators.
- The website contains information about the Board, executive management and the company’s code of conduct, and the main principles and values that support the company’s operations.
- **Zain IR App:** Developed in 2017, it is a comprehensive platform that caters to all IR activities and publications of the company. The Zain app primarily focuses on disseminating key information to stakeholders, such as company financials, shareholders’ presentations, earnings calls and management transcripts. Additionally, it provides updated share price information, dividend details, and analysts’ consensus to ensure investors are well-informed about Zain’s performance. The app also features an updated calendar that lets users track all the upcoming events related to Zain, ensuring that they do not miss any significant announcements. The Zain IR App is a crucial tool. It enhances the transparency and efficiency of all IR activities, ultimately leading to better communication with investors and greater value creation for all stakeholders.
- The CMA is addressed by e-mail (in addition to mail) to provide the required information and disclosures.
- Communication with the CMA takes place through the CMA’s electronic portal, which was established to facilitate the transactions of the entities covered by its supervision and enhance and raise work efficiency in an electronic environment.
- The company submits all required documents, such as the company’s annual financial statements, the request, and other requirements

necessary for holding the AGM, through the online platform provided by Kuwait Clearing Company. Moreover, all requests and inquiries by stakeholders are also received electronically by the Ministry of Commerce. Additionally, the platform facilitates other procedures and services.

- As listed in the Premier Market, Zain uses the electronic system provided by the Kuwait Clearing Company to hold its AGM and enable the companies’ shareholders to participate in the shareholders’ meetings without attending in person.
- The company’s intranet includes an electronic library that contains all the details and information, which are easily accessible at any time with the correct credentials.

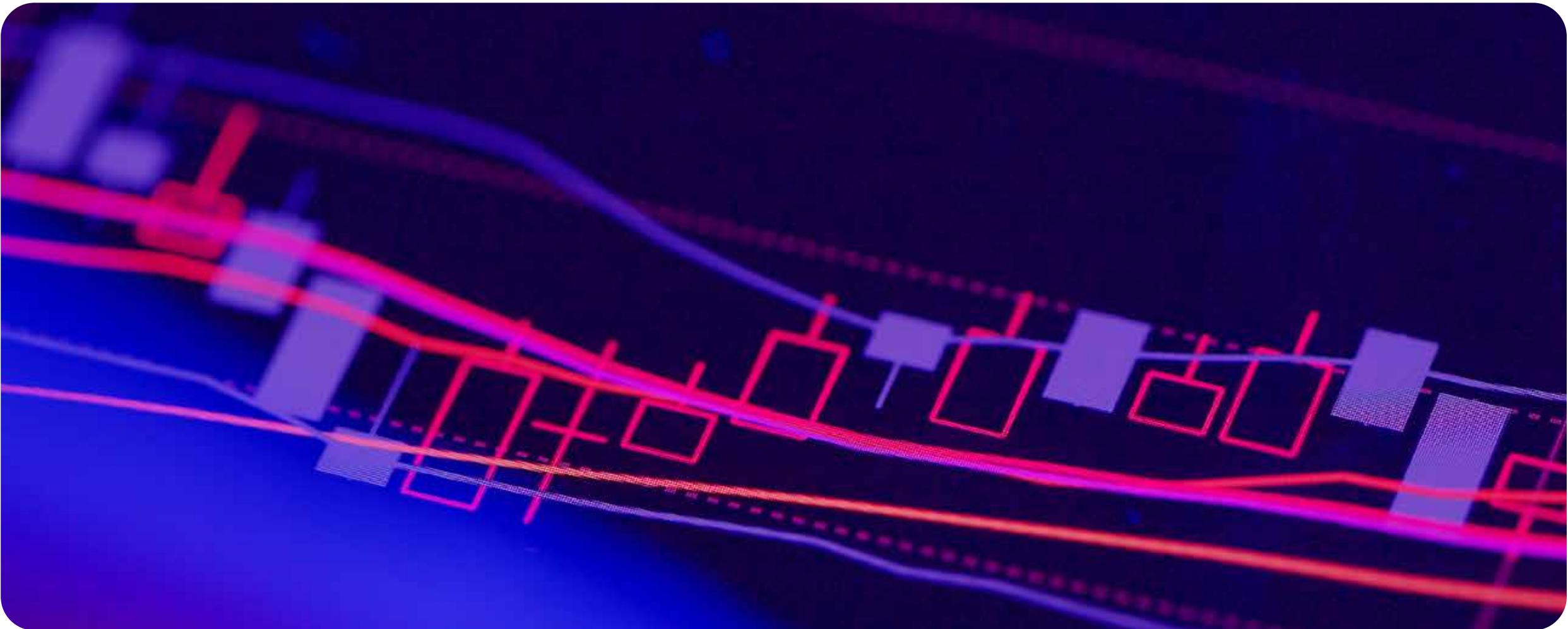


Shareholders' Rights

Rule VIII: Respect the Rights of Shareholders

Summary of shareholders' meetings during the last three years

Member	AGM for the year ending on 31/12/2022	AGM for the year ending on 31/12/2023	EGM	AGM	AGM for the year ending on 31/12/2024	EGM
Date	13/3/2023	6/3/2024	22/4/2024	27/5/2024	24/2/2025	28/10/2025
Date and time of the General Shareholders Meetings	11/4/2023 11:00 a.m.	6/5/2024 11:00 a.m.	22/5/2024 11:00 a.m.	25/6/2024 11:00 a.m.	16/4/2025 11:00 a.m.	4/12/2025 11:00 a.m.
Venue	Zain HQ (in-person) and KCC Live streaming (online)					
Percentage of Shareholders in Attendance	80.1%	77.1%	81.2%	76%	79.2%	78.4%



Protection of Shareholders' Rights

The company is dedicated to upholding equitable shareholder engagement. Furthermore, it is committed to safeguarding shareholder assets against any potential misappropriation by the Board, executive management, or key stakeholders. The company adheres to impartial treatment of all shareholders within the same category, devoid of bias, aligning with corporate interests and in accordance with legal statutes and regulatory frameworks.

The company is committed to providing the following rights to the shareholders:

- Recording the ownership value in the shareholders' register with Kuwait Clearing Company (KCC)
- Disposal of shares through registration of ownership and/or transfer
- Receipt of cash and share dividends
- Acquiring a share of the company's assets in case of liquidation (after payment of all debts of the company)
- Obtaining data and information about the company's business and operational and investment strategy regularly
- Participation in meetings of the General Assembly of shareholders and vote on its decisions
- Election of Board members
- Monitoring the performance of the company in general and the work of the Board in particular
- Accountability of Board members or executive management if they fail to perform the tasks assigned to them

All shareholders, regardless of their ownership size, are treated fairly and without discrimination. This includes providing equal access to information, voting rights, and dividends. As part of the company's corporate governance framework, the protection of shareholders' rights policy has been developed to ensure the company's commitment to respecting and protecting the rights of all shareholders per the relevant laws and regulations. In the provisions of the regulations and instructions issued by the regulatory authorities, this policy applies to the company, its subsidiaries, the board of directors, the executive management, and all employees about their role in protecting the rights of the shareholders.

Zain has open lines of communication with shareholders by regularly holding general meetings where shareholders can voice their opinions, ask questions, and receive updates about the company's performance and strategy.

Shareholders’ Register at the Kuwait Clearing Company (KCC)

In April 2004, Zain signed an agreement with the Kuwait Clearing Company (KCC) to maintain a record of its shareholders with the KCC. Accordingly, the KCC provides the following:

- Create an index for all shareholders, which includes the names, trading numbers, number of shares and nationalities.
- Update the data according to all trading activities on Boursa Kuwait
- Perform all procedures for transfer of ownership in addition to buy/sell transactions after obtaining all the required approvals from the regulatory authorities
- Track procedures for lost/damaged certificates and the related issuance of new ones
- Distribute cash dividends and stock splits
- Provide the company with shareholders’ balance reports on a daily/monthly basis
- Provide the company with profit reports on a daily/monthly basis
- Provide the company with unclaimed dividend reports monthly
- Distribute outstanding share certificates, issue new shares for heirs, and register them
- Record mortgage transactions on the company’s shares
- Prepare AGM invitations in coordination with the company
- Allow shareholders to obtain the company’s information or documents in compliance with laws and regulations

Shareholders’ voting and participation at the AGM

The company encourages all shareholders to participate in the Annual General Meetings (AGM) and to vote on all resolutions adopted by the Assembly, including the selection of the members of the Board. Any class of shareholders is entitled to attend the meetings of the General Assembly without paying any fees for their attendance. The voting in the General Assembly shall be by secret ballot.

The Board invites all shareholders to the AGM under the laws and regulations. When organizing the general meetings of the shareholders, the company includes the agenda and the date and place of the meeting in the invitation. In addition, the company provides all information related to the agenda items well before the General Assembly, particularly the reports of the Board, the external auditor and the financial statements.

The company encourages shareholders to actively participate in the General Assembly, discuss the issues on the agenda and related inquiries, and ask questions to Board members and the external auditor. The Board or the external auditor shall answer the questions to the extent that they do not jeopardize the interests of the company.

Shareholders are provided with access to all the data contained in the disclosure register of the Board members and Executive Management members without any fees. In addition, shareholders are also entitled to access the minutes of the AGMs.

The company sends out invitations for the extraordinary general assembly meeting at the request of a number of shareholders who own at least fifteen percent (15%) of the company’s capital within thirty (30) days from the date of the request as stated in the relevant laws. In addition, shareholders who own a percentage of five percent (5%) of the company's capital may add items to the agenda of the General Assembly meetings.

Each shareholder may file a case to nullify any decision issued by the Board or the general assembly (ordinary or extraordinary) in violation of the law, the company’s articles of association (AOA) or the company’s memorandum, or that was intended to harm the interests of the company. In addition, shareholders who own at least 15% of the capital may appeal before the court in the decisions of the ordinary and extraordinary General Assembly, which prejudice the rights of the minority shareholders.

Zain Guarantees the Following Rights for Shareholders:

Proxy Voting: Facilitating proxy voting to allow shareholders who cannot attend meetings to exercise their voting rights. This promotes greater shareholder participation in decision-making. The voting is conducted through a secret ballot. Shareholders can cast their votes whether they choose to attend in person, online, or through proxy.

Dividend Policy: Establishing a transparent dividend policy that outlines how dividends are determined and distributed to shareholders. This ensures that dividends are distributed fairly and consistently.

Right to Information: Ensuring shareholders have access to accurate and timely information about the company's financial performance, strategy, risks, and corporate governance practices.

Shareholder Education: Providing educational resources to help shareholders understand their rights, responsibilities, and how to effectively engage with the company. The company created the board diversity policy to educate the shareholders about the importance of having a diverse board. A diverse Board with a range of views enhances decision-making, which is beneficial to the company’s long-term success and the interests of stakeholders. When selecting board members, the process is based on factual criteria and there is no discrimination on any personal or physical attributes that would not speak to the person’s ability to perform as a Board member.

Stakeholders' Rights

Rule IX: Recognize the Roles of Stakeholders

Protecting the rights of stakeholders

At Zain, corporate governance represents a comprehensive approach that reflects its commitment to responsibility and sustainability. Its practices are not limited to transparency, accountability, and fairness but extend to a broader vision that considers the interests of all stakeholders, not just shareholders. With the evolution of governance standards in 2025, it has become essential for companies to move toward more inclusive models that ensure a balance between various stakeholders.

Zain focuses on promoting fair treatment, ensuring effective disclosure, and providing communication and engagement mechanisms for all stakeholders, including employees, customers, regulatory bodies, suppliers, communities, and the environment. The company is also committed to empowering shareholders to exercise their rights effectively and fostering an interactive environment that supports open dialogue while implementing strict oversight mechanisms to mitigate conflicts of interest and ensure sound governance.

Amidst ongoing regulatory changes and growing societal expectations, Zain adopts a proactive approach that strengthens governance practices to enhance long-term sustainability and reinforce its relationships with all stakeholders. This makes Zain a model in adopting responsible governance that goes beyond traditional methods toward a more balanced and inclusive management approach.

At Zain, continuous engagement with stakeholders is a fundamental aspect of ensuring business continuity, especially given the ever-evolving demands and expectations of stakeholders. The company is committed to protecting their rights and fostering mutual benefits by maintaining a strong and stable financial position that contributes to job creation and sustainable growth.

As part of its comprehensive governance framework, Zain has established a clear policy for protecting stakeholders' rights, ensuring compliance with relevant laws and regulations while safeguarding these rights from any violations. The Board of Directors oversees the development and periodic

update of this policy to ensure alignment with legislative developments and regulatory directives.

This policy extends to the company, its subsidiaries, the Board of Directors, executive management, and employees, all of whom share a direct responsibility in implementing and ensuring compliance with its requirements. Raising awareness about this policy and ensuring adherence among all company members is a key element of Zain's corporate culture, reinforcing sound governance and protecting the interests of all stakeholders.

Stakeholder categories include shareholders, regulators, customers, employees, the community, suppliers, and third parties such as partners and competitors.

The company safeguards the protection of the rights of stakeholders through the following:

- Dealing with all stakeholders fairly and ensuring that members of the Board, related parties and stakeholders are treated fairly and without discrimination
- Allow stakeholders to access information and data related to their activities to obtain and refer to that information quickly and regularly.
- As the company guarantees the protection of the rights of stakeholders, it also expects all stakeholders to fulfill their obligations governed by contracts, laws and regulations issued by the relevant authorities.

Stakeholder participation and following the company's operations

The major responsibilities of the company's Board towards its stakeholders include:

- Appointment of competent executive management – As executive management, headed by the CEO, is responsible for the day-to-day management of the company's operations and for the implementation of the company's strategy, it is one of the foremost responsibilities of the Board to select a company of personnel that is capable of performing this task competently.

- Effective and efficient supervision of the company's affairs – The company's Board has overall responsibility for the company, including approving and overseeing the implementation of strategic objectives, risk strategy and corporate governance standards. This is in addition to the Board's responsibility for overseeing executive management. The Board administers its supervisory duties directly or through its committees (Board Risk Committee, Board Audit Committee, and Board Nomination & Remuneration Committee). In addition to ensuring that the company's strategic decisions consider a balance of interests among various stakeholders, guaranteeing the achievement of common goals without harming any party.
- Adoption of sound policies – The Board must provide executive management with a clear framework for managing the company's operations. This is achieved by having oversight over the key policies followed within the company, covering such areas as investments, credit and asset and liability management, and other related policies.
- Remaining abreast of the company's conditions and performance – The Board is aware of any developments in the company's internal or external environment. This enables the Board to intervene promptly when the need arises.
- Maintaining proper capitalization of the company – Capital adequacy is one of the primary measures of a company's financial health. Therefore, it is the responsibility of the Board to ensure that the company remains reasonably capitalized, taking into account regulatory requirements and the company's strategic objectives.
- Observing laws, by-laws, and instructions – The company is governed by a set of regulations with which it must comply. It is ultimately the responsibility of the Board to ensure that there are no violations.
- Effective Communication and Transparency – Strengthening open communication channels with stakeholders and ensuring continuous disclosure of material information in a clear and transparent manner to enhance trust and credibility.
- Fostering a Fair and Ethical Work Environment – Ensuring that the company's work environment is based on ethical values and fairness, providing equal opportunities for employees, and preventing any discriminatory or unfair practices.
- Encouraging Social and Environmental Responsibility – Promoting the company's social responsibility initiatives to benefit the

- community and the environment, contributing to sustainable development in line with stakeholders' interests.
- Ensuring Complaints and Grievance Mechanisms – Providing effective formal channels that allow stakeholders to voice their concerns or submit complaints, ensuring they are addressed objectively and transparently.

Corporate governance underwent significant transformations that reinforced the position of stakeholders in the corporate landscape. While traditional models primarily focused on shareholder interests, the modern approach has become more inclusive, recognizing the vital role of employees, customers, suppliers, communities, and the environment in corporate success. In this context, the Kuwait Capital Markets Authority issued Resolutions which strengthens integrity and financial soundness standards for listed companies by imposing stricter requirements on board members and executive management to ensure transparency and adherence to best governance practices.

In response, Zain adopts a proactive approach that reflects its commitment to sound corporate governance, where transparency and accountability are no longer just regulatory requirements but fundamental pillars for building trust between the company and its stakeholders. Zain understands that its success is not solely dependent on financial returns but also on its ability to engage positively with all stakeholders, necessitating fair policies that protect their rights and ensure equal opportunities for all.

To reinforce this commitment, Zain has implemented comprehensive stakeholder engagement strategies, including effective communication channels that allow stakeholders to voice their concerns, participate in regular dialogues, and contribute to corporate decision-making processes. Additionally, the company has established clear mechanisms for reporting violations, ensuring stakeholders are safeguarded against any internal or external pressures that may affect their interests.

Amidst these developments, adopting a stakeholder-oriented governance model is no longer just a legal or ethical obligation but a strategic choice that fosters sustainable growth, strengthens corporate resilience, and enables companies to adapt to rapidly evolving business environments. Through this transformation, Zain is not only setting a more equitable and

responsible governance model but also laying the foundation for long-term success by creating shared value for all stakeholders.

Stakeholder Due Diligence and Regulatory Compliance

Zain has established an independent Compliance function that operates separately from executive and operational activities and reports directly to the Board Risk Committee. This structure ensures effective oversight of regulatory compliance, supports the identification and management of compliance risks, and reinforces Board-level accountability in line with Capital Markets Authority requirements and best governance practices. The Company has adopted an integrated stakeholder due diligence framework aimed at identifying and assessing risks and potential impacts associated with its activities and decisions, including compliance risks, conflicts of interest, human rights, supply chain considerations, and data protection. These considerations are embedded within the enterprise risk management framework, with material issues escalated to the Board of Directors and relevant committees, in line with the requirements of the Capital Markets Authority and applicable laws and regulations in Kuwait. This approach supports sound decision-making and the protection of stakeholders' rights.

Measurement, Disclosure, and Accountability in Line with ESG Best Practices

To enhance transparency and accountability, the Company applies performance indicators and monitoring mechanisms to assess the quality of stakeholder engagement and the effectiveness of responses to feedback and grievances, supported by formal grievance channels that ensure confidentiality and protection against any punitive or unfair practices. The Company is also committed to regular disclosure of material stakeholder-related matters within its reports, in compliance with the disclosure requirements of the Capital Markets Authority.



Stakeholder Engagement

Our Customers

Communication Channels:

- Interactive digital channel
- Customer satisfaction surveys
- Store experience surveys
- Services available tough app, website, retail stores, contact centers
- Digital and alternative channels – inbound customer service agents & telesales
- Direct messaging, social media platforms and various media outlets

Priorities:

- Reliable, accessible, innovative and affordable service
- Awareness about promotional material and other useful info
- Customized services
- Transparency and accuracy of billing
- Data protection and information security
- Efficient complaint resolutions
- Feedback analysis

Our People

Communication Channels:

- Workshops
- Groupwide emails and awareness material
- In-person events
- Annual employee engagement surveys
- Whistleblowing form
- Zainers app

Priorities:

- Job security and satisfaction
- Employee benefits
- Opportunities for development and growth
- Competitive salaries
- Have a relation to company's core values and principles
- Access to international networking opportunities
- Health and safety protection
- Mental health and wellbeing

Our Suppliers

Communication Channels:

- Open direct channels and automated process engagement
- Provide periodic assessments
- Supplier Code of Conduct
- Check against conflict of interests, related party transactions, and sanctions policies
- Efficient onboarding procedures

Priorities:

- Embedding principles of diversity and inclusion
- Incorporating sustainability standards
- Provide timely payments.

Our Community

Communication Channels:

- Social media awareness campaigns
- Support and develop sustainable initiatives and activities
- Establish meaningful partnerships
- Participate in community events, forums and workshops

Priorities:

- Build climate change mitigation and adaptation plans, in addition to biodiversity protection
- Enable an inclusive digital society
- Responsible supply chain management
- Commitment to upholding health and safety standards.
- Establish community outreach programs that support underprivileged communities

Our Investors

Communication Channels:

- Meetings, conferences (in-person and virtual)
- Annual/interim reports and presentations
- Press Releases
- Disclosure of company material info
- Analyst Calls / Webcasts
- IR app/website/emails
- Social Media
- Annual General Meetings (AGM)
- Feedback and surveys

Priorities:

- Financial reporting and integrity
- Communicating the Strategy
- News about operations and activities
- Industry-specific news and updates
- Dividend Policy
- ESG and corporate governance updates
- Regulatory Updates
- Investor Relations Events & Roadshows

Authorities

Communication Channels:

- CMA online portal
- Bursa Kuwait (disclosure portal, emails)
- KCC (Kuwait Clearing Company) emails communications, eAGM
- Inspection visits
- Disclosure forms
- Annual/periodic reports
- Participation in events, workshops, forums
- Meetings (in-person and virtual)
- Website (disclosure archive, reports, articles of associations, policies)
- Topic specific correspondence with regulatory authorities
- AGM

Priorities:

- Compliance with laws and regulations
- Promoting best standards in the industry and the market
- ESG principles
- Disclosure and transparency
- Raising awareness about key topics such as ESG, digital transformation and innovation investment

Performance Management

Rule X: Encourage and Enhance Performance

Board Training and Development Plan

In Kuwait's corporate governance landscape, board training and development play a pivotal role in fostering effective governance practices and enhancing the performance of boards of directors. Recognizing the significance of well-informed and skilled board members, companies are encouraged by regulatory bodies like the Capital Markets Authority (CMA) to prioritize ongoing training initiatives.

Board training at Zain entails equipping directors with the necessary knowledge, skills, and insights to fulfill their duties and contribute meaningfully to the company's strategic direction. Here are some key aspects of board training and development at Zain:

Orientation and Onboarding: New board members undergo orientation programs that provide an understanding of the company's operations, industry dynamics, governance structure, and key challenges. This helps new directors quickly become effective contributors.

Governance Principles and Regulations: Board members are educated on the fundamental principles of corporate governance, including their roles, responsibilities, legal obligations, and compliance requirements under applicable laws and regulations.

Industry-Specific Training: Directors receive training and awareness material that include insights into industry trends, competitive dynamics, and emerging risks.

Risk Management and Compliance: Training programs cover risk assessment, mitigation strategies, and compliance frameworks to ensure members are well-versed in identifying and addressing potential risks.

Ethics and Corporate Social Responsibility: Directors are educated about ethical considerations, corporate social responsibility, and sustainability practices, aligning them with the company's values and societal expectations.

Communication and Stakeholder Engagement: Board training emphasizes effective communication, both within the board and with shareholders, employees, and other stakeholders. This includes building skills in transparent communication and active engagement.

Cybersecurity and Technology: With the increasing digitalization of business, board members receive training on cybersecurity threats, data privacy, and the implications of technological advancements.

Continuing Education: Board members are encouraged to engage in continuous learning through workshops, seminars, conferences, and professional development opportunities to stay updated on industry trends and evolving governance practices.

By investing in board training and development, Zain demonstrates its commitment to maintaining a high standard of governance. Well-trained board members contribute to effective oversight, informed decision-making, risk management, and sustainable growth, ultimately leading to enhanced shareholder value and stakeholder trust.

Board Evaluation

In Kuwait, under the Corporate Governance rules set forth by the Capital Markets Authority (CMA), board evaluation plays a pivotal role in ensuring effective corporate governance practices within companies. The board of directors, as a key governing body, is subject to annual evaluations that encompass a comprehensive assessment of its composition, performance, and adherence to governance principles. Board evaluations at Zain are designed to be rigorous and systematic processes. They involve objective analysis of the board's structure, skills, independence, diversity, and overall effectiveness. These evaluations aim to identify strengths, weaknesses, and areas for improvement in the board's functioning. The Board, its committees and individual members are evaluated annually. The evaluation of the Board includes several topics that affect its performance, added value, and the objectives of the company in general. Among these measures are the following:

- Attendance and key performance indicators following the company's strategy and objectives and relevant laws and regulations

- The Board's commitment to laws and regulations that deal with various topics such as business development, formation of the board's structure, adoption of internal policies and other responsibilities and roles as determined by the regulations of the CMA
- Diversity, equity and inclusion in the composition of the Council
- Environmental, Social and Governance (ESG) Performance Standards
- Coordinating meetings, topics, and agendas by relevant laws
- The items of discussion, their objective and relevance and their impact on the company's performance
- Telecom industry trends and latest developments
- The company's risks and the most critical developments and procedures.
- Communication with stakeholders and the effectiveness of these channels
- Related party transactions and conflicts of interest
- Discussing the reports issued by the regulatory authorities, auditors, or any inspection team and the work plans
- Deviations from the approved budget
- Required training courses
- Acquiring required information in a timely manner

Engaging a third party for board evaluation enhances governance by providing an independent, objective assessment of board effectiveness. It ensures transparency, identifies strengths and weaknesses, and offers actionable recommendations for improvement. A third-party evaluation eliminates internal biases, aligns board performance with best practices, and enhances decision-making dynamics.

The process typically includes defining evaluation criteria, conducting surveys and interviews, benchmarking against industry standards, and providing a comprehensive report with strategic insights.

In Kuwait, regulatory frameworks emphasize board integrity and financial soundness, making external evaluations increasingly relevant. Companies adopting third-party evaluations strengthen accountability, enhance compliance, and improve overall governance, fostering long-term sustainability and stakeholder confidence in their leadership and decision-making processes.

Zain has appointed a third-party firm to conduct an independent board evaluation, ensuring transparency and alignment with best governance practices. This evaluation will assess board effectiveness, identify areas for improvement,

and provide targeted training recommendations to enhance leadership capabilities, strengthen decision-making, and support long-term corporate governance excellence.

Value Creation

Zain's Board of Directors overlooks the company's operations and the executive management's performance. It carries the additional responsibility of supervising the holistic pursuit of our strategic goals, thereby fostering continuing achievements that yield lasting value for both our shareholders and broader stakeholders. The Board's intent is to establish the cornerstones for a promising and sustainable track, aiming to push growth through responsible, comprehensive, and sustainable technological approaches. Our objective is to maintain Zain's reputation for reliability while continually generating value for our stakeholders.

Furthermore, the Board tracks advancements in our digital impact and sustainability policies, ensuring progress towards meeting targets concerning climate and environmental concerns.

Zain has proactively embraced sustainability initiatives to address evolving challenges and meet stakeholder demands, aligning with environmental, social, and governance (ESG) benchmarks. A deliberate concentration on these ESG dimensions drives enhanced financial results, compelling both the Board and Executive Management to stay attuned to industry dynamics and deliver optimal value for shareholders and stakeholders. Moreover, fostering credibility and ethical conduct in business dealings not only draws and retains shareholders but also cultivates heightened customer allegiance. These intangible aspects provide a competitive edge that amplifies the company's long-term valuation. An exceptional ESG performance yields equivalent favorable outcomes, displaying heightened operational capacities, skilled management quality, boosted confidence and execution efficiency, as well as streamlined capital management. These elements collectively reflect the company's proficiency in strategic decision-making, consequently facilitating cautious wealth allocation and attraction. This strategic talent, in turn, steers the company towards proficient, productive, and value-centric leadership. Furthermore, ESG disclosures echo through the company's image, strengthening market value and ultimately delivering increased shareholder value.

Corporate Sustainability

Rule XI: Focus on the Importance of Social Responsibility

A summary of the development of a policy that ensures a balance between each of the company's goals and society's goals.

A summary of the development of a policy that ensures a balance between each of the company's goals and society's goals.

The Board continues to have a strong oversight into Zain's Sustainability strategy to ensure the organization creates positive sustainable value for all, focusing on long-term strategies that encompass financial performance, societal impact, and climate action.

2025 marks the completion of the company's 2020-2025 Corporate Sustainability strategy. This year highlights an important milestone to reflect on the progress made in achieving the strategy's mission to create systemic change that leads to socio-economic and environmental development.

Throughout the year, the company achieved an 'A' score in CDP Climate Change 2025 disclosure cycle. This leadership score reflects Zain's strengthened commitment to climate action, supported by a comprehensive governance structure, enhanced risk management, and clearly defined decarbonization initiatives aligned with global standards.

Zain also initiated the implementation of its Waste Management compliance framework across all operating companies to embed clearly identified internal control mechanisms to track, monitor and ultimately eliminate waste by 2030.

By migrating its sustainability KPIs onto a sustainability data monitoring cloud solution, Zain was able to track, manage and report on ESG metrics effectively. The company also reinforced its commitment to transparency by extending reasonable assurance to its Scope 3 emissions, in addition to the continued assurance of Scope 1 and 2 emissions.

To ensure the proper implementation of the Zain's sustainability strategy across all its operating companies, the company set multiple policies in place that help align, unify, and set clear rules and expectations on how decisions are made which include the following available on the Zain Group Website:

- Corporate Sustainability Policy
- Human Rights Policy Statement
- Code of Conduct
- Supplier Code of Conduct
- Climate Change Policy
- Data Protection and Privacy Policy

The Corporate Sustainability department is responsible for setting the direction and strategic objectives along with the necessary processes and procedures across all aspects of the company and its value chain. It is also accountable for ensuring that the Corporate Sustainability Policy is upheld and effectively implemented by monitoring compliance and providing guidance to relevant stakeholders.

Zain's Corporate Sustainability (CS) Policy is guided by its CS principles that aim to embed socio-economic and environmental considerations into business decisions in addition to managing various internal and external pressures that the organization faces with the aim of creating long-term value for all stakeholders.

The principles defined in CS Policy tackle different aspects that include the following:

- Addressing socio-economic deficits and promoting development
- Alignment with the company strategy
- Climate change
- Stakeholder engagement
- Company alignment with universal principles and global best practices
- Promoting the company brand
- Lobbying for public policy

An overview of the programs and initiatives under Corporate Sustainability

Under Zain’s CS strategy 2020-2025, the company continues to establish programs that help support the achievement of strategic targets. More information can be found in the Sustainability Report and the Corporate Sustainability section of the Annual Report.

Climate Change:

Climate change remains a material risk across the Middle East and North Africa (MENA), where rising temperatures, water scarcity, extreme weather events, and ecosystem degradation increasingly affect communities, infrastructure, and economic stability. Addressing these challenges requires resilient infrastructure, stronger governance, responsible resource management, and sustained multi-stakeholder collaboration.

In 2025, Zain continued to advance its climate action agenda as part of its Corporate Sustainability strategy, maintaining momentum toward its Science Based Targets initiative (SBTi)-approved net-zero commitments. Progress focused on expanding renewable energy solutions, improving energy efficiency across network operations and facilities, strengthening water-risk assessments, and integrating biodiversity and waste-management considerations into operational planning. A key milestone was the launch of Zain’s Climate Transition Plan, providing a phased and practical roadmap to achieve net zero in line with global standards.

Kuwait

- Zain Kuwait has experienced a modest deviation from its projected emissions reduction trajectory. This variance is primarily attributable to the rollout of a new 2.6 GHz layer within the 5G network, which temporarily increased energy demand during the expansion phase. To address this impact, a comprehensive acceleration plan is being implemented, centered on an intensified portfolio of energy efficiency initiatives over the next three to four years. These measures are designed to realign performance with the long-term decarbonization pathway and ensure the achievement of the company’s 2030 emissions reduction targets.
- To mitigate these challenges and enhance power stability, Zain Kuwait connected over 11 sites to the commercial grid, upgraded 121

to efficient DC power solution, installed 80 inverter-based cooling units installed, and implemented 70 units of new battery technology throughout the year.

- Zain Kuwait continued its 27-year collaboration with the Kuwait Dive Team to protect marine ecosystems. Activities included reef monitoring and large-scale marine waste removal. Coral health monitoring was supported in collaboration with CoralWatch, a global citizen science program run by the University of Queensland. During 2025, 180,000+ KG of Marine Waste was removed.

Bahrain

- Zain Bahrain delivered substantial emissions reductions through a series of targeted operational improvements. The operation converted 140 indoor sites to more energy-efficient outdoor configurations, reduced reliance on diesel generators, and expanded grid connectivity to an additional 15 sites. Furthermore, 35 sites were shared with other entities, enabling reductions in active infrastructure, cooling requirements, and overall capacity optimization. Despite structural constraints limiting large-scale renewable energy integration, Zain Bahrain surpassed its annual emissions-reduction targets.
- Through a dedicated plastic waste management campaign, Zain Bahrain successfully recycled 331 KG of plastic since the initiative’s inception.
- Reinforcing its commitment to digitalization and further embedding paper-efficient practices throughout its operations, Zain Bahrain launched its reduction campaign that brings together cross-department stakeholders and a third-party recycling partner to responsibly clear inherited paper waste by ensuring that all disposed of papers are audited and recycled. 100KGs of papers registered in the document registry and recycled.

Iraq

- Zain Iraq surpassed its 2025 annual emissions reduction targets by systematically addressing longstanding challenges associated with aging infrastructure and historical maintenance gaps. In partnership with TASC Towers, the operation deployed 562 battery hybrid solutions, complemented by the installation of an additional 144 solar–diesel hybrid systems by TASC Towers. Collectively, these initiatives delivered a 24.34% reduction in CO₂ emissions relative to the 2020 baseline year.

Jordan

- Zain Jordan successfully maintained alignment with its 2025 emissions reduction target, supported by the implementation of a solar power allocation agreement signed with the local government. This initiative contributed to a cumulative emissions reduction of 86.50%, significantly advancing the operation’s decarbonization performance.
- Through the Refurbished Devices Initiative, which focuses on extending the lifecycle of Home Internet equipment and reducing electronic waste, an end-to-end process was set in place to collect returned devices from shops, transferring them to the central warehouse, restoring them through technical testing and refurbishment, and redistributing them for resale or replacement. To date, the initiative has successfully refurbished 6,670 devices.

Saudi Arabia

- In partnership with Latis, Zain KSA successfully transitioned 262 sites to the commercial power grid, deployed 244 battery-hybrid solutions, and implemented six solar-hybrid systems to enhance energy efficiency and reduce emissions. For sites not yet transitioned to Latis, the company has outlined plans to replace existing shelters with energy-efficient outdoor cabinet configurations, further supporting its emissions reduction objectives.

Sudan

- Amid the ongoing conflict in Sudan, the national electricity network has continued to experience severe challenges stemming from extensive infrastructure damage and persistent service disruptions, significantly affecting energy reliability. As a result, Zain Sudan’s emissions reduction trajectory has been materially impacted, placing performance well behind planned targets. To mitigate these constraints and enhance power stability, the operation connected more than 23 sites to the commercial grid and installed one solar–diesel hybrid system, supporting incremental improvements in energy resilience under highly constrained conditions.

South Sudan

- Zain South Sudan faced severe flooding and prolonged periods of heavy rainfall throughout 2025, which significantly disrupted large portions of its network infrastructure. Despite these challenging conditions, the operation implemented substantial measures to mitigate climate-related impacts and strengthen energy resilience. These actions included transitioning 19 sites to the commercial grid, converting grid-dependent locations to battery-hybrid solutions, and installing 7 solar systems across diesel–generator hybrid sites.

Operating Responsibly

1. Disclosure and Reporting

- Zain monitors the progress of the targets set in its sustainability strategy through its business plans, operational reviews, quarterly meetings, and other stakeholder engagement mechanisms.
- In 2025, the company migrated its sustainability KPIs into a sustainability data monitoring cloud solution to help the company, track, manage and report on ESG metrics effectively.
- Zain also reinforced its commitment to transparency by extending reasonable assurance to its Scope 3 emissions, in addition to the continued assurance of Scope 1 and Scope 2 emissions.

2. Supply Chain Management

Zain adopted a robust supply chain management strategy designed to identify and mitigate sustainability risks while ensuring that all suppliers comply with its ESG and supply chain standards. This approach fosters responsible practices across the value chain and helps minimize reputational and human rights risks.

The process is as follows:

3. Data Privacy

Throughout the year, each of Zain’s operations finalized its plan on data privacy programs and identified the target segment. Sudan could not finalize its plan due to the ongoing civil unrest in the country.

The process is as follows:



- Zain Bahrain, in collaboration with its fintech arm Bede, hosted a financial literacy session for members of the Al Hekma Retired Society. The session introduced participants to the concept of micro-loans and guided them on managing personal finances through digital platforms reaching 80 retirees.
- In 2025, Zain Iraq hosted a series of data privacy awareness sessions targeting university students, reaching a total of 335 participants. The topics include protecting personal information online, understanding data protection regulations, risks associated with data breaches and practical steps to secure digital presence and maintain confidentiality.
- Zain Jordan continued its partnership with AL-Amaal Center through the T-Talk Initiative at the Jerash (Gaza) Refugee Camp, empowering refugee youth through digital and cultural exchange. The program delivered 300 interactive sessions, training 27 youth (23 females, 4 males) and reaching 4,222 beneficiaries.
- The Data privacy awareness program, launched in Zain Kuwait provided three sessions two for security staff and one for cleaning and hospitality staff to strengthen digital inclusion among third-party personnel. The sessions featured translated materials, task-specific content, and local cybersecurity insights, with participants receiving certificates of completion reaching 94 participants.

Inclusion:

Under its inclusion pillar, Zain focuses on the following segments:

Elderly community

- Zain Iraq hosted 30 older adults at its headquarters for a hands-on session on mobile and social media applications to help them stay connected with their families. In parallel, Zain Iraq launched a social media campaign highlighting the challenges faced by older adults. The campaign reached over 1.3 million users, raising public awareness and strengthening understanding of their needs.
- Zain Kuwait conducted cybersecurity awareness sessions for 15 participants, all of whom were parents of Zain employees, as part of the ‘You Are the Blessing’ initiative. The event also featured a dedicated health and wellness talk delivered by a medical expert, providing participants with valuable insights to support their overall wellbeing.
- In South Sudan, the elderly program delivered practical digital literacy training to 140 elderly participants (60 women and 80 men) in remote villages, covering basic mobile functions, internet use, and mobile money applications to help them stay connected and access essential services. To improve digital access, 120 solar power banks were distributed, strengthening awareness of Zain’s products and services while supporting increased customer loyalty and additional sales during community outreach activities. Complementing these efforts, 500 elderly individuals (300 women and 200 men) were registered to receive solar power solutions for Protection of Civilian camps and remote villages, enhancing their ability to charge mobile devices and access essential digital services.

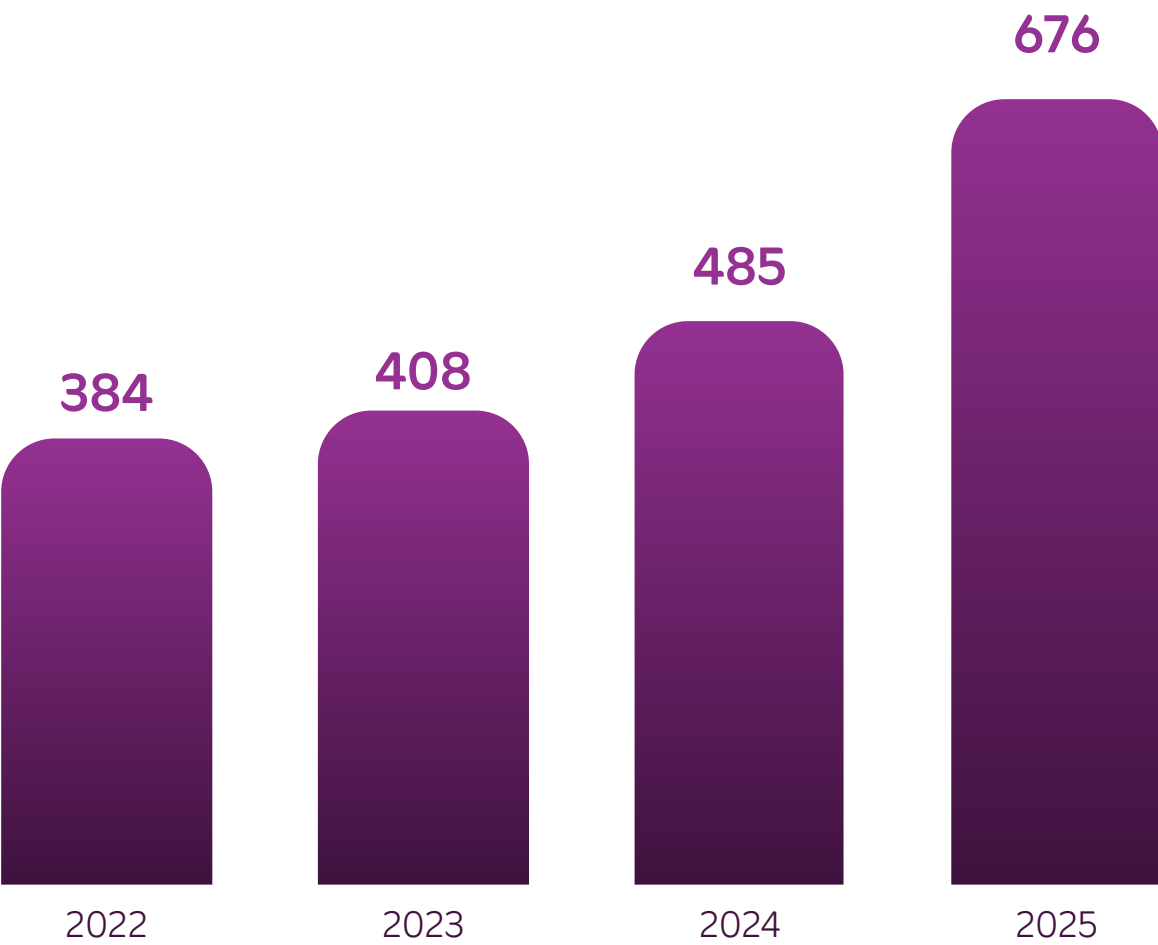
People with disabilities:

- Zain Jordan enabled real time sign language interpretation for deaf customers in Zain’s retail outlets and Jordan International Airport. It also delivered a national Assistive Devices Hackathon, engaging 128 applicants, supporting 30 teams, and producing 9 inclusive prototypes for people with disabilities
- Zain KSA continues to promote its core bundle for PwDs, Lifetime, which provides 50% discount. It counted 840 subscribers in 2025.
- In Sudan, the company expanded its PWD inclusion initiative by creating a verified database of over 23,000 registered PWD mobile numbers, collected through disability unions, online forms, shop registrations, and WhatsApp support. The database enabled 100 free call units provided to all registered individuals on the International Day of Sign Languages.

Women in technology

In 2025, Zain continued to expand and strengthen its flagship WiT program, building on the foundations established in previous years. The program’s core objective remains to introduce recent female graduates to diverse STEM-related career pathways by pairing participants with experienced mentors across Zain’s operations, providing hands-on guidance, exposure, and professional development.

Women in Tech 2022 - 2025



Generation Youth:

Zain recognizes the critical role of youth inclusion in the Middle East and Africa (MEA), where high youth unemployment and widening digital skills gaps persist amid a rapidly growing, young population and an accelerating shift toward digital economies.

Child Online Safety:

Zain is continuing in its Memorandum of Understanding (MoU) with Child Helpline International (CHI), supporting child helplines across its operations. In its third year, this partnership focused on offering support through mobilizing and facilitating child helpline services, alongside physical roadshows.

- In 2025, Zain Kuwait continued supporting the 147 Child Helpline with KNCPP through targeted awareness initiatives, including an animated video and school roadshows engaging 50+ participants from 6 schools, strengthening access to child support services.
- Zain Jordan expanded nationwide awareness of the Child Helpline through an SMS campaign reaching 100,000 individuals, complemented by radio and TV interviews and a social media campaign generating 127,000+ views.
- Zain KSA promoted child protection and online safety through digital and on-ground activities, achieving 65,194 social media impressions and reaching 443 children through 10 awareness sessions focused on bullying and children’s rights.

Digital Literacy:

- Zain Kuwait continued to advance youth digital empowerment through its support of Academy X and Kuwait Codes, two flagship programs delivered in partnership with CODED. Kuwait Codes introduces high school students to programming and emerging technologies through specialized technical tracks, while Academy X, a non-profit initiative, focuses on equipping young women with essential digital, design, and entrepreneurship skills. Together, these initiatives fostered a strong pipeline of digital talent, culminating in the graduation of 1,288 students in 2025.
- In 2025, Zain Iraq recorded 586,504 users on the Zain Kids platform significantly expanding access to digital literacy content for children and families. In parallel, the company supported future workforce readiness by enabling 200 youth to apply for CISCO digital skills courses through the Raqami platform, further reinforcing Zain Iraq’s commitment to empowering young people with essential digital competencies. Zain Iraq also conducted bullying and cyberbullying awareness sessions for primary school students in Basra and Baghdad reaching 670 students in 2025.
- In partnership with the Whitaker Peace and Development Initiative, Zain South Sudan advanced digital inclusion by supporting large-scale ICT capacity-building youth across five states. A total of 1,725 participants (629 women and 1,096 men) were trained in core computer applications including Microsoft Word, Excel, PowerPoint, and internet navigation through Community Learning Centers in Juba, Torit, Yambio, Maridi, and Nimule.

04

Financial Statements

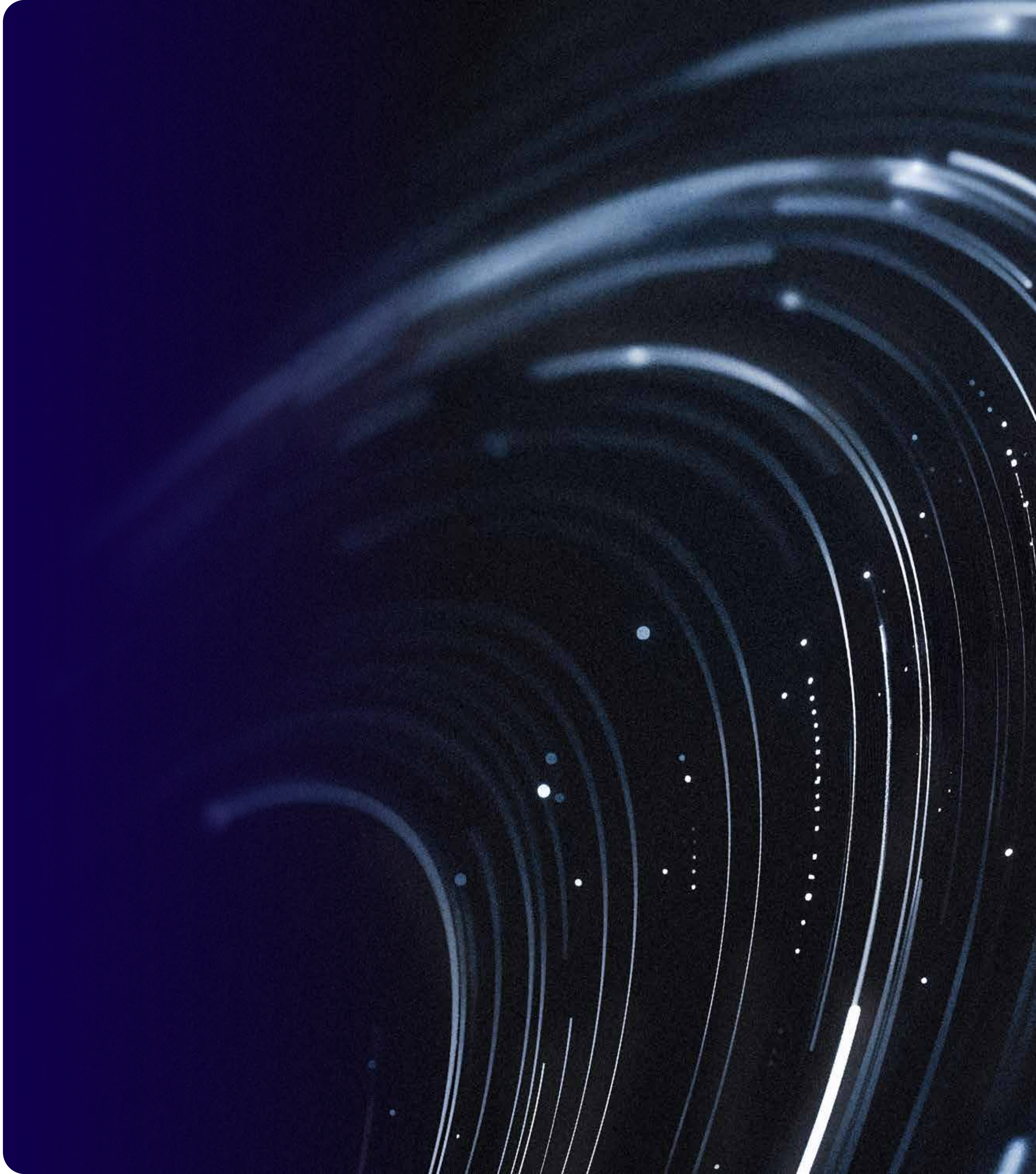
01
Strategic Review

02
Corporate Sustainability

03
Corporate Governance

04
Financial Statements

➔ Independent Auditor’s Report	115
➔ Consolidated Statement of Financial position	118
➔ Consolidated Statement of Profit or Loss	119
➔ Consolidated Statement of Other Comprehensive Income	119
➔ Consolidated Statement of Changes in equity	120
➔ Consolidated Statement of Cash Flows	121
➔ Notes to the Consolidated Financial Statements	122



Independent Auditor’s Report

To the Shareholders of Mobile Telecommunications Company K.S.C.P. and its Subsidiaries
State of Kuwait

Report on the Audit of the Consolidated Financial
Statements

Opinion

We have audited the consolidated financial statements of Mobile Telecommunications Company K.S.C.P. (the “Company”) and its subsidiaries (together “the Group”) which comprise the consolidated statement of financial position as at 31 December 2025, the consolidated statements of profit or loss, other comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (“IFRS Accounting Standards”).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (“ISA”). Our responsibilities under those standards are further described in the *Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with International Ethics Standards Board for Accountants’ International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code), as applicable to audits of the consolidated financial statements of public interest entities and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Revenue recognition

See Notes 2.3.16, 20 and 35 to the consolidated financial statements.

The key audit matter	How the matter was addressed in our audit
Revenue recognition is considered a key audit matter because of: - reliance on multiple, complex information technology (IT) systems and tools used in the initiation, processing and recording of revenue transactions; - variety of customer offerings with multiple pricing and tariff structures, which may frequently change during the course of the year; - the large volume of transactions; and - judgments involved in revenue recognition of multiple element arrangements. Revenue recognition involves the exercise of several key judgments around the identification of performance obligations that the Group has in its contracts with its customers, determination of stand-alone selling prices, allocation of transaction prices to the various performance obligations and the timing of fulfilling those obligations. We also identified a risk of management override of controls through inappropriate manual topside revenue journal entries as revenue is a key performance indicator for measuring management performance.	Our procedures included, amongst others, those described below: • We obtained an understanding of the Group's revenue recognition processes. This included identifying relevant IT systems, interfaces, controls and reports; • We involved our IT audit specialists to test the design, implementation and operating effectiveness of key general and application IT controls embedded within the key IT systems and applications related to revenue recognition; • We tested the reconciliations between the general ledgers and the relevant IT system reports for all significant revenue streams; • We performed substantive analytical procedures on significant revenue streams; • On a sample basis, we tested whether the corresponding revenue has been recognised during the year in accordance with underlying contractual arrangements; • On a sample basis, we evaluated the revenue recognition relating to multiple element arrangements with customers in accordance with the applicable financial reporting framework; • On a sample basis, we tested the supporting evidence for manual journal entries posted to revenue accounts; and • We assessed the adequacy of disclosures presented in the consolidated financial statements in accordance with the applicable financial reporting framework.

Assessment of carrying value of goodwill

See Notes 2.3.8 and 13 to the consolidated financial statements.

The key audit matter	How the matter was addressed in our audit
The Group holds significant investments in telecommunication and related businesses in various geographical locations. The carrying value of goodwill as at 31 December 2025 amounted to KD 538,745 thousand. The carrying amount of the goodwill is assessed for impairment on the occurrence of a triggering event or at least annually in accordance with IAS 36 <i>Impairment of Assets</i> . The impairment testing of goodwill requires management to identify cash-generating units (“CGU”) in accordance with IAS 36. For the CGU which contain goodwill, the determination of recoverable amount, being the higher of fair value less costs of disposal and value in use, requires judgment on the part of management. The testing then requires comparing the carrying value of each CGU to its recoverable amount, which was estimated as the present value of its future projected cash flows. The estimation of the recoverable amount involves significant judgments including key assumptions around the current and future market conditions in the various geographies in which the Group has operations, forecast cash flows and discount rates underpinning the recoverable amount. Therefore, we have considered the impairment assessment of goodwill as a key audit matter.	Our procedures included, amongst others, those described below: • We obtained an understanding of the Group's impairment assessment process. This included identifying and evaluating the design and implementation of key controls relevant to the impairment assessment process; • With respect to the recoverable amount, we challenged the Group's methodology in relation to the key assumptions in the cash flows associated with the respective CGUs; • We engaged our valuation specialists to evaluate the reasonableness of the key assumptions and inputs in the valuation, including the CGUs’ respective cash flow projections, discount rate and terminal growth rate used in the impairment assessment models; • We tested the mathematical accuracy of the respective impairment assessment models; • We reconciled the cash flows used in the valuation workings with the business plans approved by the Group or the respective Board of Directors reflecting management’s best estimate as at 31 December 2025; • We performed a retrospective review of the estimates used in cash flow projections by performing a comparison of historical projections with actual results to assess their reasonability; • We evaluated whether any impairment should be recognized during the year as a result of the impairment assessment; • We performed sensitivity analyses around the key assumptions; and • We assessed the adequacy of disclosures presented in the consolidated financial statements in accordance with the applicable financial reporting framework.

Capitalization of Property and Equipment (“PPE”)

See Notes 2.3.7 and 12 to the consolidated financial statements.

The key audit matter	How the matter was addressed in our audit
The Group has a substantial capital expenditure plan and incurs significant annual expenditures related to the development and maintenance of infrastructure assets and network related equipment. Costs associated with the upgrading or enhancement of the network are treated as capital expenditures, while expenditures incurred to maintain the network’s operating capacity are expensed in the same year in which they are incurred. Determining whether costs meet the capitalization criteria prescribed by IAS 16 Property, Plant and Equipment involves management applying significant judgment regarding the classification, timing and nature of expenditures capitalized. This includes the evaluation of whether expenditures enhance the asset’s performance or extend its useful life or represent repairs and maintenance that should be expensed. We have determined this to be a key audit matter, due to the magnitude of additions during the year and the level of judgment involved in distinguishing capital costs from operating expenses.	Our audit procedures in this area included, amongst others: • We obtained an understanding of the Group’s capital expenditure process, including identifying and evaluating the design and implementation of key IT systems and controls relevant to the judgments associated with the capitalisation process; • We assessed the appropriateness of the Group’s capitalization policy and key judgments for compliance with IAS 16 <i>Property, Plant and Equipment</i>; • On a sample basis, we performed test of details on costs capitalized during the year including examining supporting documentation and evaluating management’s assessment of whether the costs met the capitalisation criteria under relevant IFRS Accounting Standards; and • We assessed the adequacy and completeness of disclosures regarding the Group’s PPE capitalization policy, key judgments applied, including disclosures relating to useful lives and significant estimation uncertainty, where applicable, and material related balances in the consolidated financial statements.

Application of IAS 29 Financial Reporting in Hyperinflationary Economies on the Group’s operations in Republic of Sudan

See Notes 2.1, 34 and 35 to the consolidated financial statements.

The key audit matter	How the matter was addressed in our audit
The Group has applied IAS 29 <i>Financial Reporting in Hyperinflationary Economies</i> (“IAS 29”) to its operations in the Republic of Sudan, which management has determined to be a hyperinflationary economy, in its consolidated financial statements as at and for the year ended 31 December 2025, with retrospective application from 2015. As a result, the financial information of the Group’s operation in the Republic of Sudan included in the consolidated financial statements has been restated to reflect the current purchasing power as at the reporting date. Accordingly, transactions for the years 2006 - 2024 (“prior periods”), comparative balances for the year ended 31 December 2024, and non-monetary balances at 1 January 2024 and 31 December 2024 were restated using relevant price indices as at 31 December 2025. The application of IAS 29 had a material impact on the consolidated financial statements and involves significant judgments and complexity, particularly in relation to the accuracy and completeness of historical financial information and the appropriateness of price indices applied. We have determined this to be a key audit matter, due to the extensive audit procedures required to assess the reasonableness of the Group’s application of IAS 29 to its operations in the Republic of Sudan since 2015.	Our procedures included, amongst others, those described below: • We obtained an understanding of management’s assessment that the Republic of Sudan operates in a hyperinflationary economy, including assessing whether the indicators set out in IAS 29 were met; • We evaluated the design and implementation of management controls associated with the application of IAS 29 on operations in the Republic of Sudan; • We evaluated the methodology applied by management in calculating the periodic impact of IAS 29 to the Group’s financial statements and assessed whether it was consistent with the requirements of IAS 29; • We assessed the completeness and accuracy of the historical financial data used by management in the IAS 29 computation; • We assessed the appropriateness of the general price indices applied by management by comparing them to publicly available independent sources; • We performed procedures to re-compute the effects of IAS 29 on non-monetary balances and compared to management’s analysis; • We tested the general mathematical accuracy of the Group’s IAS 29 computation; • We assessed the translation of the restated balances into the Group’s presentation currency in accordance with IAS 21 <i>The Effects of Changes in Foreign Exchange Rates</i>; and • We assessed the adequacy of the related disclosures presented in the consolidated financial statements in accordance with the applicable financial reporting framework.

Emphasis of matter

We draw attention to note 2.1 of the consolidated financial statements, which describes the management’s assessment of the ongoing impact of the political uncertainty in the Republic of Sudan on the Group’s operations and financial performance and related uncertainties. Our opinion is not modified in respect of this matter.

Other Information

Management is responsible for the other information. The other information comprises the information included in the Group’s annual report but does not include the consolidated financial statements and our auditors’ report thereon. Prior to the date of this auditors’ report, we obtained the Board of Directors report which forms part of the annual report and the remaining sections of the annual report are expected to be made available to us after that date.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we have obtained prior to the date of this auditors’ report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group’s financial reporting process.

Auditors’ Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors’ report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISA, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group’s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management’s use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors’ report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors’ report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit

evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the Group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated to those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors’ report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

We further report that we have obtained the information and explanations that we required for the purpose of our audit and the consolidated financial statements include the information required by the Companies Law No. 1 of 2016 as amended, and its Executive Regulations and the Company’s Memorandum of Incorporation and Articles of Association, as amended. In our opinion, proper books of account have been kept by the Company, an inventory count was carried out in accordance with recognized procedures and the accounting information given in the Board of Directors’ report agrees with the books of accounts of the Company. We have not become aware of any violations of the provisions of the Companies Law No. 1 of 2016, as amended, and its Executive Regulations, or of the Company’s Memorandum of Incorporation and Articles of Association, as amended, during the year ended 31 December 2025 that might have had a material effect on the business of the Group or on its consolidated financial position.

We further report that during the course of our audit, we have not become aware of any violations of the provisions of Law No. 7 of 2010, as amended, concerning the Capital Markets Authority, and its related regulations during the year ended 31 December 2025 that might have had a material effect on the business of the Company or on its financial position.



License No 130
of KPMG AL-Qenae & Partners
Member firm of KPMG International

Kuwait: 17 February 2026

Consolidated Statement of Financial position
as at 31 December 2025

		31 December 2025	31 December 2024 (Restated)	1 January 2024 (Restated)
	Note	KD '000	KD '000	KD '000
ASSETS				
Current assets				
Cash and cash equivalents	4	310,872	195,930	313,547
Bank balances held in customers' account	5	41,745	15,928	12,967
Trade and other receivables	6	1,168,637	1,028,891	893,252
Contract assets	20.2	98,357	86,076	76,094
Inventories	7	58,034	78,322	54,945
Investment securities at FVTPL	8	85,058	51,504	35,130
		1,762,703	1,456,651	1,385,935
Assets classified as held for sale	9	322,977	95,604	4,024
		2,085,680	1,552,255	1,389,959
Non-current assets				
Contract assets	20.2	84,476	69,870	54,017
Investment securities at FVOCI	8	12,833	13,748	11,698
Investments in associates and joint venture	10	120,732	207,818	206,472
Other non-current assets	12	102,290	112,225	59,685
Right of use of assets	11	213,470	172,979	128,191
Property and equipment	12	1,369,986	1,176,529	1,109,050
Intangible assets and goodwill	13	1,924,772	1,958,685	2,035,222
		3,828,559	3,711,854	3,604,335
Total Assets		5,914,239	5,264,109	4,994,294
LIABILITIES AND EQUITY				
Current liabilities				
Trade and other payables	14	1,421,910	1,163,209	1,089,330
Contract liabilities	20.2	53,207	54,148	59,108
Income tax payables	15	27,733	18,329	19,118
Bank borrowings	16	277,157	644,610	169,881
Lease liabilities	17	40,194	28,230	28,862
		1,820,201	1,908,526	1,366,299
Liabilities classified as held for sale	9	80,883	32,944	1,010
		1,901,084	1,941,470	1,367,309
Non-current liabilities				
Bank borrowings	16	1,610,938	845,742	1,141,657
Lease liabilities	17	213,872	184,086	147,039
Contract liabilities	20.2	26,738	6,745	4,275
Other non-current liabilities	18	198,204	324,175	375,181
		2,049,752	1,360,748	1,668,152
Equity				
Attributable to the owners of the Company				
Share capital	19	432,706	432,706	432,706
Share premium		1,261,937	1,707,164	1,707,164
Reserves	19	(479,948)	(912,398)	(895,493)
		1,214,695	1,227,472	1,244,377
Non-controlling interests	27	748,708	734,419	714,456
Total equity		1,963,403	1,961,891	1,958,833
Total Liabilities and Equity		5,914,239	5,264,109	4,994,294

The accompanying notes are an integral part of these consolidated financial statements.


Osamah Othman Alfuraih
Chairman


Bader Nasser Al Kharafi
Vice Chairman & Chief Executive Officer

Consolidated Statement of Profit or Loss
for the year ended 31 December 2025

		2025	2024 (Restated)
	Note	KD '000	KD '000
Continuing operations			
Revenue	20.1	2,282,991	1,997,953
Cost of sales*	21.1	(798,240)	(651,282)
Operating and administrative expenses	21.2	(660,923)	(593,752)
Expected credit loss on financial assets (ECL)		(43,942)	(50,445)
Depreciation, amortization and impairment	11, 12, 13, 2.1	(353,880)	(403,972)
Interest income		8,868	8,174
Investment income	22	30,148	8,319
Share of results of associates and joint venture	10	30,349	2,740
Other expenses	29	(46,951)	(957)
Gain on sale and lease back transaction		-	1,727
Gain on business combination	9.2	4,978	23,457
Finance costs	23	(125,957)	(126,037)
Foreign exchange (loss) / gain		(5,136)	16,391
Net monetary gain / (loss)	34	4,412	(51,489)
Profit before taxation and Board of Directors' remuneration		326,717	180,827
Taxation	24	(42,551)	(20,459)
Board of Directors' remuneration		(653)	(541)
Profit for the year from continuing operations		283,513	159,827
Discontinued operations			
Profit for the year from discontinued operations	9.2	-	713
Profit for the year		283,513	160,540
Profit attributable to:			
Owners of the Company		238,526	117,270
Non-controlling interests		44,987	43,270
		283,513	160,540
Earnings per share (EPS)			
Basic and diluted – Fils	25		
Non-controlling interests		55	27
From discontinued operations		-	0.16

* Cost of sales comprises of access charges, trading cost, dealer commission and regulatory revenue sharing.

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated Statement of Other Comprehensive Income
for the year ended 31 December 2025

	2025	2024 (Restated)
	KD '000	KD '000
Profit for the year	283,513	160,540
Other comprehensive income		
<i>Items that are or may be reclassified subsequently to profit or loss:</i>		
Foreign exchange differences on translating foreign operations including the impact of hyperinflation adjustments	5,458	20,781
	5,458	20,781
Other reserves	(2,833)	(3,855)
	2,625	16,926
<i>Items that will not be reclassified subsequently to profit or loss:</i>		
Fair value (loss) / gain on investments in equity instruments designated as at FVOCI	(2,089)	76
Other reserves	3,090	1,271
	1,001	1,347
Other comprehensive income for the year	3,626	18,273
Total comprehensive income for the year	287,139	178,813
Total comprehensive income attributable to:		
Owners of the Company	247,164	134,542
Non-controlling interests	39,975	44,271
	287,139	178,813

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated Statement of Changes in equity
for the year ended 31 December 2025

	Equity attributable to owners of the Company			Non -controlling interests	Total Equity
	Share capital	Share premium	Reserves (note 19)		
	KD '000	KD '000	KD '000	KD '000	KD '000
Balance at 1 January 2025 (restated)	432,706	1,707,164	(912,398)	734,419	1,961,891
Profit for the year	-	-	238,526	44,987	283,513
Other comprehensive income / (loss) for the year	-	-	8,638	(5,012)	3,626
Total comprehensive income for the year	-	-	247,164	39,975	287,139
Transactions with shareholders of the Company, recognized directly in equity:					
Non-controlling interest arising on the acquisition (note 3)	-	-	-	7,607	7,607
Cash dividends (2024) and interim dividends (2025) (note 19)	-	-	(259,623)	-	(259,623)
Cash dividends to non-controlling interest of subsidiaries (2024)	-	-	-	(48,446)	(48,446)
Acquisition of a subsidiary	-	-	-	15,153	15,153
Purchase of non-controlling interest	-	-	(318)	-	(318)
Equity restructuring (note 19)	-	(445,227)	445,227	-	-
Balance at 31 December 2025	432,706	1,261,937	(479,948)	748,708	1,963,403
Balance at 1 January 2024 (as reported)	432,706	1,707,164	(893,919)	714,284	1,960,235
Impact of hyperinflation adjustments (note 34)	-	-	(1,574)	172	(1,402)
Balance at 1 January 2024 (restated)	432,706	1,707,164	(895,493)	714,456	1,958,833
Profit for the year (restated)	-	-	117,270	43,270	160,540
Other comprehensive income for the year (restated)	-	-	17,272	1,001	18,273
Total comprehensive income for the year (restated)	-	-	134,542	44,271	178,813
Transactions with shareholders of the Company, recognized directly in equity:					
Non-controlling interest arising on the acquisition (note 3)	-	-	-	310	310
Cash dividends (2023) and interim dividends (2024) (note 19)	-	-	(151,447)	-	(151,447)
Cash dividends to non-controlling interest of subsidiaries (2023)	-	-	-	(24,618)	(24,618)
Balance at 31 December 2024 (restated)	432,706	1,707,164	(912,398)	734,419	1,961,891
The accompanying notes are an integral part of these consolidated financial statements.					

Consolidated Statement of Cash Flows
for the year ended 31 December 2025

		2025	2024 (Restated)
	Note(s)	KD '000	KD '000
Cash flows from operating activities			
Profit before taxation and Board of Directors' remuneration from continuing operations		326,717	180,827
Profit for the year from discontinued operations	9.2	-	713
		326,717	181,540
Adjustments for:			
Depreciation, amortization and impairment	11,12,13, 2.1	353,880	403,972
ECL on financial assets		43,942	50,445
Interest income		(8,868)	(8,174)
Investment income	22	(30,148)	(8,319)
Share of results of associates and joint venture	10	(30,349)	(2,740)
Gain on sale and lease back transaction	9	-	(1,727)
Finance costs	23	125,957	126,037
Foreign currency loss/ (gain)		5,136	(16,391)
Gain on Business Combination	9.2	(4,978)	(23,457)
Gain on sale of property and equipment		(1,200)	(699)
Net monetary (gain) / loss	34	(4,412)	51,489
Operating cash flows before working capital changes		775,677	751,976
Decrease / (increase) in bank balances held in customers' account	5	6,381	(2,909)
Increase in trade and other receivables and contract assets		(199,650)	(207,001)
Decrease / (increase) in inventories		20,033	(22,749)
Increase / (decrease) in trade and other payables		42,818	(33,844)
<i>Cash generated from operations</i>		645,259	485,473
<i>Payments:</i>			
Income tax		(13,567)	(12,809)
KFAS		(2,152)	(2,232)
NLST and Zakat		(7,434)	(12,150)
<i>Net. Cash from operating activities</i>		622,106	458,282
Cash flows from investing activities			
Deposits maturing after three months, cash at banks under lien and government certificates of deposits	4	(22,807)	(1,193)
Proceeds from sale of investment securities		206	1,771
Investments in securities		(4,875)	(11,827)
Acquisition of subsidiaries, net of cash acquired	3	(9,203)	(46,951)
Investment in associate and joint venture		(220)	-
Acquisition of property and equipment (gross)		(222,892)	(175,765)
Proceeds from disposal of property and equipment		14,506	5,939
Acquisition of intangible assets (net)		(50,831)	(37,394)
Proceeds from sale of telecom assets (sale and lease back)	9	-	6,069
Interest received		4,625	3,424
Dividends received		117	108
<i>Net cash used in investing activities</i>		(291,374)	(255,819)
Cash flows from financing activities			
Contribution from minority shareholders in the share capital of a subsidiary		1,876	-
Proceeds from bank borrowings	16	848,266	437,431
Repayment of bank borrowings	16	(479,447)	(328,936)
Repayment of government payables		(163,643)	(45,119)
Repayment of lease liabilities		(47,624)	(59,379)
Dividends paid to Company's shareholders		(258,888)	(160,587)
Dividends paid to minority shareholders of subsidiaries		(44,914)	(24,303)
Finance costs paid		(104,434)	(107,487)
<i>Net cash used in financing activities</i>		(248,808)	(288,380)
Net increase / (decrease) in cash and cash equivalents		81,924	(85,917)
Effects of foreign currency translation		(3,344)	(32,893)
Cash and cash equivalents at beginning of year		193,639	312,449
Cash and cash equivalents at end of year	4	272,219	193,639
The accompanying notes are an integral part of these consolidated financial statements.			

Notes to the Consolidated Financial Statements

for the year ended 31 December 2025

1. Incorporation and activities

Mobile Telecommunications Company K.S.C.P. (the “Company”) is a Kuwaiti shareholding company incorporated in 1983. Its shares are traded on the Kuwait Stock Exchange. The registered office of the Company is at P.O. Box 22244, 13083 Safat, State of Kuwait.

The Company and its subsidiaries (the “Group”) along with associates and joint venture provide mobile telecommunication services in Kuwait and 7 other countries (31 December 2024 - Kuwait and 7 other countries) under licenses from the governments of the countries in which they operate; purchase, deliver, install, manage, and maintain mobile telephone systems; and invests surplus funds in investment securities.

The Company is a subsidiary of Oman Telecommunications Company SAOG, Oman (“Parent Company”).

These consolidated financial statements were authorized and approved for issue by the Board of Directors of the Company on 17 February 2026 and are subject to approval of the shareholders at their forthcoming Annual General Meeting.

2. Basis of preparation and material accounting policy information

2.1 Basis of preparation

These consolidated financial statements have been prepared in conformity with International Financial Reporting Standards (IFRS Accounting Standards) issued by the International Accounting Standards Board (IASB) and interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC). These consolidated financial statements are prepared under the historical cost basis of measurement adjusted for the effects of inflation where entities operate in hyperinflationary economies and modified by the revaluation at fair value of financial assets held as “at fair value through profit or loss”, “at fair value through other comprehensive income” and “derivative financial instruments”. These consolidated financial statements have been presented in Kuwaiti Dinars (KD), rounded to the nearest thousand.

The preparation of consolidated financial statements in conformity with IFRS Accounting Standards requires management to make estimates and assumptions that may affect the reported amounts of assets and liabilities and disclosure of contingent assets and contingent liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. It also requires management to exercise its judgment in the process of applying the accounting policies. The areas involving a high degree of judgment or

complexity or areas where assumptions and estimates are significant to these consolidated financial statements are disclosed in note 35.

Reporting on Hyperinflationary economies

Republic of South Sudan (“South Sudan”)

The economy of South Sudan became hyperinflationary in 2016. Accordingly, the results, cash flows and financial position of the Group’s subsidiary in South Sudan have been expressed in terms of the measuring unit current at the reporting date in accordance with IAS 29: Financial Reporting in Hyperinflationary Economies.

Republic of Sudan (“Sudan”)

In 2015, the Group noted that the economy of Sudan, where the Group has subsidiaries, may be hyperinflationary from the beginning of 2015. This was based on the general price index showing the cumulative three-year rate of inflation exceeding 100% at that time. However, International Accounting Standard, IAS 29: Financial Reporting in Hyperinflationary Economies, does not establish an absolute rate at which hyperinflation is deemed to arise and states that it is a matter of judgment when restatement of financial statements in accordance with this Standard becomes necessary. In addition, the Group noted that in the 2014 International Monetary Fund (IMF) Sudan country report, the cumulative projected three year inflation rate outlook for Sudan in 2016 to be around 57% and thus, applying IAS 29 in 2015, could have entailed going in and out of hyperinflation within a short period which was confirmed when Sudan went out of hyperinflation in 2016. Therefore, the Group did not account for its operations in Sudan using IAS 29. Sudan has been again declared as hyperinflationary in 2018.

Based on the above matters, during the year, the Group reassessed the situation in Sudan and concluded that the economy of Sudan has been hyperinflationary from 1 January 2015 (cumulative three-year inflation exceeding 100% since 2015). Accordingly, the Group, has decided to apply IAS 29 retrospectively from the beginning of 2015 for its subsidiaries in Sudan. The Group therefore restated comparative information as detailed in note 36.

The methods used to measure the adjustments made to the accounts of Group’s entities that operate in the hyperinflationary economies (Sudan and South Sudan) are discussed further in the accounting policies and in the respective notes.

Political uncertainty in Sudan

A violent power struggle erupted on 15 April 2023, in Khartoum, the capital of Sudan, involving the two primary factions of the ruling military regime. This conflict has directly affected the Group’s operations and its telecommunication assets, as certain areas in Sudan continue to experience high levels of hostility or temporary control by opposing forces. Given the

Group’s extensive presence and service provision across Sudan, these events have had an adverse impact on the country’s economy and consequently, on the Group’s business and operational outcomes.

As of the issuance date of these consolidated financial statements, the Group has not incurred any significant damage to crucial assets that would hinder its ability to sustain operations.

Since 15 April 2023, continuous monitoring of network and base station equipment has been in place, particularly in areas experiencing significant downtime. Various actions, such as reallocation of network traffic, capacity expansion, and other measures aimed at restoring network coverage and ensuring satisfactory network performance, are being implemented. Zain Sudan is actively involved in performing essential network maintenance, repairs and optimizations utilizing both its current equipment and external resources.

The Group has taken appropriate actions to ensure the continuity of communication services and operations. The management has prepared and reviewed the updated financial forecasts for the year, taking into consideration most likely and possible downside scenarios for the ongoing business impacts of the war. These forecasts were based on the following key assumptions:

- there will be no substantial increase in the intensity of hostilities, thereby not adversely impacting the number of active sites significantly;
- Zain Sudan will have the capability to conduct maintenance and repair tasks in the affected territories of Sudan, ensuring a satisfactory level of network performance in regions where it is feasible while considering the physical security of technical specialists;
- there will be no significant fluctuations in the fuel rate, foreign exchange rates and other major costs during the course of the conflict;
- Zain Sudan will be able to ensure the uninterrupted functioning of its crucial IT infrastructure, aligning with management’s implemented measures and incident response and disaster recovery plans;
- the generated revenue from service and product sales will be sufficient for Zain Sudan to meet both operating expenses and essential capital investments.

Based on these forecasts, considering possible adverse scenarios, management reasonably expects that the Group possesses adequate resources to effectively handle its operations in Sudan. Management will maintain ongoing monitoring of the potential repercussions and will proactively implement all available measures to minimize any adverse consequences.

Zain Sudan currently holds agreements with suppliers of network equipment and transportation routes for its delivery that are accessible in all regions of Sudan, except for North and South Darfur, South Kordofan

and some parts of North Kordofan, which are facing the most significant impact from the ongoing hostilities.

If a worst-case scenario unfolds with widespread hostilities across Sudan, it can be anticipated that the Group's operations in Sudan may encounter disruptions for an indeterminate duration. This represents an uncertainty that is beyond the control of the Group.

After evaluating the revised forecasts, management has examined Zain Sudan's capability to operate as a going concern at the time of releasing these consolidated financial statements. As a result, it has been determined that there are no significant uncertainties that could impede Zain Sudan's infrastructure and operations, thereby casting significant doubt on its ability to continue as a going concern. Consequently, Zain Sudan is expected to be able to realize its assets and fulfill its obligations in the ordinary course of business. Accordingly, the management of Zain Sudan has concluded that it is appropriate to prepare the consolidated financial statements on a going concern basis.

Going concern

The directors have, at the time of approving the financial statements, a reasonable expectation that the Group have adequate resources to continue in operational existence for the foreseeable future. Thus they continue to adopt the going concern basis of accounting in preparing the financial statements.

2.2 New and revised IFRS Accounting standards

The accounting policies used in the preparation of these consolidated financial statements are consistent with those used in the previous year except for the following new and amended IASB Standards during the year.

2.2.1 New and amended IFRS Accounting Standards that are effective for the current year

The Group has applied the following new and revised IFRS Accounting Standards that have been issued and effective:

Amendments to IAS 21 – Lack of exchangeability

For annual reporting periods beginning on or after 1 January 2025, Lack of Exchangeability – Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates specifies how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of an entity's financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows. The amendments had no material impact on the Group's consolidated financial statements.

2.2.2 IFRS Accounting Standards issued but not effective

At the date of authorization of these financial statements, the Group has not applied the following new and revised IFRS Standards that have been issued but are not yet effective:

Amendments to IFRS 9 and IFRS 7 - Classification and Measurement of Financial Instruments

On 30 May 2024, the IASB issued Amendments to IFRS 9 and IFRS 7, Amendments to the Classification and Measurement of Financial Instruments (the Amendments). The Amendments include:

- A clarification that a financial liability is derecognised on the 'settlement date' and introduce an accounting policy choice (if specific conditions are met) to derecognise financial liabilities settled using an electronic payment system before the settlement date
- Additional guidance on how the contractual cash flows for financial assets with environmental, social and corporate governance (ESG) and similar features should be assessed
- Clarifications on what constitute 'non-recourse features' and what are the characteristics of contractually linked instruments
- The introduction of disclosures for financial instruments with contingent features and additional disclosure requirements for equity instruments classified at fair value through other comprehensive income (OCI)

The Amendments are effective for annual periods starting on or after 1 January 2026. Early adoption is permitted, with an option to early adopt the amendments for classification of financial assets and related disclosures only. The Group is currently not intending to early adopt the Amendments.

IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18 Presentation and Disclosure in Financial Statements, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

It also requires disclosure of newly defined management-defined performance measures, which are subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes.

Narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining

cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards. IFRS 18, and the amendments to the other standards, are effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed.

The Group is currently working to identify all impacts the amendments will have on the primary consolidated financial statements and notes to the consolidated financial statements.

IFRS 19 Subsidiaries without Public Accountability: Disclosures

In May 2024, the IASB issued IFRS 19, which allows eligible entities to elect to apply its reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS accounting standards. To be eligible, at the end of the reporting period, an entity must be a subsidiary as defined in IFRS 10, cannot have public accountability and must have a parent (ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with IFRS accounting standards. IFRS 19 will become effective for reporting periods beginning on or after 1 January 2027, with early application permitted.

The management does not expect the adoption of the Standards and Interpretations listed above except IFRS 18 to have a material impact on the consolidated financial statements of the Group in future periods.

At the date of authorization of these financial statements, the following new and revised IFRS Standards have also been issued but are not yet effective where the management does not expect the Standards and Interpretations to have a material impact on the consolidated financial statements of the Group in future periods:

- Contracts referencing nature dependent electricity (1 Jan 26)
- Annual improvements to IFRS Accounting Standards - Volume 11 (1 Jan 26)
- Sale or Contribution of assets between an Investor and its associate or joint venture - Amendments to IFRS 10 and IAS 28 (To be determined)

2.3 Material accounting policy information

The Group has consistently applied the following material accounting policies to all periods presented in these consolidated financial statements.

2.3.1 Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values

of assets transferred by the Group, liabilities incurred by the Group to the former owners of the acquiree and the equity interest issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in the consolidated statement of profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and assets or liabilities related to employee benefit arrangements are recognized and measured in accordance with IAS 12 and IAS 19 respectively;
- liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the Group entered into to replace share-based payment arrangements of the acquiree are measured in accordance with IFRS 2 at the acquisition date (see below); and
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 are measured in accordance with that Standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed. If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in the consolidated statement of profit or loss as a bargain purchase gain.

When the consideration transferred by the Group in a business combination includes a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Changes in fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on how the contingent consideration is classified. Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Other contingent consideration is remeasured to fair value at

subsequent reporting dates with changes in fair value recognised in the consolidated statement of profit or loss.

When a business combination is achieved in stages, the Group's previously held interests (including joint operations) in the acquired entity are remeasured to its acquisition-date fair value and the resulting gain or loss, if any, is recognised in the consolidated statement of profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to the consolidated statement of profit or loss, where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognised as of that date.

2.3.2 Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and entities controlled by the Group made up to 31 December each year. Control is achieved when the Group:

- has the power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affects its returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

When the Group has less than a majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Group considers all relevant facts and circumstances in assessing whether or not the Group's voting rights in an investee are sufficient to give it power, including:

- the size of the Group's holding of voting rights relative to the size and dispersion of holdings of the other vote holders;
- potential voting rights held by the Group, other vote holders or other parties;
- rights arising from other contractual arrangements; and
- any additional facts and circumstances that indicate that the Group has, or does not have, the current ability to direct the relevant activities

at the time that decisions need to be made, including voting patterns at previous shareholders' meetings.

The Group does not consolidate an investee even if the Group holds a majority of voting rights (more than 50%) of an investee, if facts and circumstances indicate that the Group does not have control over the investee after assessing the elements of control mentioned above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Specifically, the results of subsidiaries acquired or disposed of during the year are included in the consolidated statement of profit or loss from the date the Group gains control until the date when the Group ceases to control the subsidiary.

Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with the Group's accounting policies.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between the members of the Group are eliminated on consolidation.

Non-controlling interests in subsidiaries are identified separately from the Group's equity therein. Those interests of non-controlling shareholders that are present ownership interests entitling their holders to a proportionate share of net assets upon liquidation may initially be measured at fair value or at the non-controlling interests' proportionate share of the fair value of the acquiree's identifiable net assets. The choice of measurement is made on an acquisition-by-acquisition basis. Other non-controlling interests are initially measured at fair value. Subsequent to acquisition, the carrying amount of non-controlling interests is the amount of those interests at initial recognition plus the non-controlling interests' share of subsequent changes in equity.

Profit or loss and each component of other comprehensive income are attributed to the owners of the Group and to the non-controlling interests. Total comprehensive income of the subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Changes in the Group's interests in subsidiaries that do not result in a loss of control are accounted for as equity transactions. The carrying amount of the Group's interests and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the owners of the Company.

When the Group loses control of a subsidiary, the gain or loss on disposal recognised in the consolidated statement of profit or loss is calculated as the

difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), less liabilities of the subsidiary and any non-controlling interests. All amounts previously recognised in other comprehensive income in relation to that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e. reclassified to the consolidated statement of profit or loss or transferred to another category of equity as required/permitted by applicable IFRS Standards). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under IFRS 9 when applicable, or the cost on initial recognition of an investment in an associate or a joint venture.

2.3.3 Financial instruments

Financial assets and financial liabilities are recognised in the Group’s statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value on trade date. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in the consolidated statement of profit or loss.

Financial assets

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

All recognised financial assets are measured subsequently in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification of financial assets

(i) Debt instruments classified at amortised cost

Debt instruments that meet the following conditions are measured subsequently at amortised cost:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates

to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Amortised cost and effective interest rate method

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period.

For financial instruments other than purchased or originated credit-impaired financial assets (i.e. assets that are credit-impaired on initial recognition), the effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition. For purchased or originated credit-impaired financial assets, a credit-adjusted effective interest rate is calculated by discounting the estimated future cash flows, including expected credit losses, to the amortised cost of the debt instrument on initial recognition.

The amortised cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance.

Interest income is recognised using the effective interest method for debt instruments measured subsequently at amortised cost and at FVOCI. For financial instruments other than purchased or originated credit-impaired financial assets, interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired (see below). For financial assets that have subsequently become credit-impaired, interest income is recognised by applying the effective interest rate to the amortised cost of the financial asset. If, in subsequent reporting periods, the credit risk on the credit-impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognised by applying the effective interest rate to the gross carrying amount of the financial asset.

For purchased or originated credit-impaired financial assets, the Group recognises interest income by applying the credit-adjusted effective interest rate to the amortised cost of the financial asset from initial recognition. The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit-impaired.

Interest income is recognised in the consolidated statement of profit or loss and is included in the "interest income" line item.

(ii) Equity instruments designated as at FVOCI

On initial recognition, the Group may make an irrevocable election (on an instrument-by-instrument basis) to designate investments in equity instruments as at FVOCI. Designation at FVOCI is not permitted if the equity investment is held for trading or if it is contingent consideration recognised by an acquirer in a business combination.

Investments in equity instruments at FVOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the investment fair valuation reserve. The cumulative gain or loss will not be reclassified to the consolidated statement of profit or loss on disposal of the equity investments and will continue to accumulate within equity.

Dividends on these investments in equity instruments are recognised in the consolidated statement of profit or loss in accordance with IFRS 9, unless the dividends clearly represent a recovery of part of the cost of the investment. Dividends are included in the ‘investment income’ line item in the consolidated statement of profit or loss.

(iii) Financial assets at FVTPL

Financial assets that do not meet the criteria for being measured at amortised cost or FVOCI are measured at FVTPL. Specifically:

- Investments in equity instruments are classified as at FVTPL, unless the Group designates an equity investment that is neither held for trading nor a contingent consideration arising from a business combination as at FVOCI on initial recognition.
- Debt instruments that do not meet the amortised cost criteria or the FVOCI criteria are classified as at FVTPL. In addition, debt instruments that meet either the amortised cost criteria or the FVOCI criteria may be designated as at FVTPL upon initial recognition if such designation eliminates or significantly reduces a measurement or recognition inconsistency (‘accounting mismatch’) that would arise from measuring assets or liabilities or recognising the gains and losses on them on different bases. The Group has not designated any debt instruments as at FVTPL.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any fair value gains or losses recognised in the consolidated statement of profit or loss.

Impairment of financial assets

The Group recognises a loss allowance for expected credit losses on investments in debt instruments that are measured at amortised cost or at FVOCI, trade receivables, contract assets, as well as on financial guarantee contracts. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

The Group always recognises lifetime ECL for trade receivables and contract assets. The expected credit losses on these financial assets are estimated using a provision matrix based on the Group's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

For all other financial instruments, the Group recognises lifetime ECL when there has been a significant increase in credit risk since initial recognition. However, if the credit risk on the financial instrument has not increased significantly since initial recognition, the Group measures the loss allowance for that financial instrument at an amount equal to 12-month ECL. The assessment of whether lifetime ECL should be recognised is based on significant increases in the likelihood or risk of a default occurring since initial recognition instead of on evidence of a financial asset being credit-impaired at the reporting date.

Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

(i) Significant increase in credit risk

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort.

For financial guarantee contracts, the date that the Group becomes a party to the irrevocable commitment is considered to be the date of initial recognition for the purposes of assessing the financial instrument for impairment. In assessing whether there has been a significant increase in the credit risk since initial recognition of a financial guarantee contracts, the

Group considers the changes in the risk that the specified debtor will default on the contract.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

The Group assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. A financial instrument is determined to have low credit risk if:

- (1) The financial instrument has a low risk of default,
- (2) The borrower has a strong capacity to meet its contractual cash flow obligations in the near term, and
- (3) Adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

(ii) Definition of default

The Group considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Group in full, there is sufficient doubt about the ultimate collectability; or the customer is past due for more than 90 days.

(iii) Credit-impaired financial assets

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract, such as a default or past due event (see (ii) above);
- the lender(s) of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for that financial asset because of financial difficulties.

(iv) Write-off policy

The Group writes off a financial asset when there is information indicating

that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery.

(v) Measurement and recognition of expected credit losses

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information as described above. As for the exposure at default, for financial assets, this is represented by the assets' gross carrying amount at the reporting date; for financial guarantee contracts, the exposure includes the amount drawn down as at the reporting date, together with any additional amounts expected to be drawn down in the future by default date determined based on historical trend, the Group's understanding of the specific future financing needs of the debtors, and other relevant forward-looking information.

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Group in accordance with the contract and all the cash flows that the Group expects to receive, discounted at the original effective interest rate.

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset measured at amortised cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised in the consolidated statement of profit or loss. In addition, on derecognition of an investment in a debt instrument classified as at FVOCI, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to the consolidated statement of profit or loss. In contrast, on derecognition of an investment in equity instrument which the Group has elected on initial recognition to measure at FVOCI, the cumulative gain or loss previously accumulated in the investments revaluation reserve is not reclassified to the consolidated statement of profit or loss, but will continue to accumulate within equity.

Financial liabilities

Financial liabilities measured subsequently at amortised cost.

Financial liabilities are measured subsequently at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortised cost of a financial liability.

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in the consolidated statement of profit or loss. Other financial liabilities are subsequently measured at amortised cost under the effective interest method. Interest expense and foreign exchange gains and losses are recognised in the consolidated statement of profit or loss. Any gain or loss on derecognition is also recognised in the consolidated statement of profit or loss.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the consolidated statement of profit or loss.

Financial guarantee contract liabilities

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contract liabilities are measured initially at their fair values and, if not designated as at FVTPL and do not arise from a transfer of an asset, are measured subsequently at the higher of:

- The amount of the loss allowance determined in accordance with IFRS 9 (see financial assets above)
- The amount recognised initially less, where appropriate, cumulative

amortisation recognised in accordance with the revenue recognition policies.

Derivative financial instruments and hedging activities

The Group enters into derivative financial instruments to manage its exposure to interest rate. Derivatives are recognised initially at fair value at the date a derivative contract is entered into and are subsequently remeasured to their fair value at each reporting date. The resulting gain or loss is recognised in the consolidated statement of profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in the consolidated statement of profit or loss depends on the nature of the hedge relationship.

A derivative with a positive fair value is recognised as a financial asset whereas a derivative with a negative fair value is recognised as a financial liability. Derivatives are not offset in the financial statements unless the Group has both a legally enforceable right and intention to offset.

Hedge accounting

For hedge accounting, the Group designates derivatives as either hedges of the fair value of recognized assets or liabilities or a firm commitment (fair value hedge); or hedges of a particular risk associated with a recognized asset or liability or a highly probable forecast transaction (cash flow hedge) or hedges of a net investment in a foreign operation (net investment hedge).

At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the Group documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- there is an economic relationship between the hedged item and the hedging instrument;
- the effect of credit risk does not dominate the value changes that result from that economic relationship; and
- the hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the Group actually uses to hedge that quantity of hedged item.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio but the risk management objective for that designated hedging relationship remains the same, the Group

adjusts the hedge ratio of the hedging relationship (i.e. rebalances the hedge) so that it meets the qualifying criteria again.

Fair value hedges

The fair value change on qualifying hedging instruments is recognised in the consolidated statement of profit or loss except when the hedging instrument hedges an equity instrument designated at FVOCI in which case it is recognised in other comprehensive income. The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in the consolidated statement of profit or loss. For debt instruments measured at FVOCI, the carrying amount is not adjusted as it is already at fair value, but the hedging gain or loss is recognised in the consolidated statement of profit or loss instead of other comprehensive income. When the hedged item is an equity instrument designated at FVOCI, the hedging gain or loss remains in other comprehensive income to match that of the hedging instrument. Where hedging gains or losses are recognised in the consolidated statement of profit or loss, they are recognised in the same line as the hedged item.

The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk is amortised to the consolidated statement of profit or loss from that date.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognised in the consolidated statement of other comprehensive income and accumulated under the heading of cash flow hedging reserve, limited to the cumulative change in fair value of the hedged item from inception of the hedge. The gain or loss relating to the ineffective portion is recognised immediately in the consolidated statement of profit or loss, and is included in the 'other gains and losses' line item.

Amounts previously recognised in other comprehensive income and accumulated in equity are reclassified to the consolidated statement of profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognised hedged item. However, when the hedged forecast transaction results in the recognition of a non-financial asset or a non-financial liability, the gains and losses previously recognised in other comprehensive income and accumulated in equity are removed from equity and included in the initial measurement of the cost of the non-financial asset or non-financial liability. This transfer does not affect

other comprehensive income. Furthermore, if the Group expects that some or all of the loss accumulated in the cash flow hedging reserve will not be recovered in the future, that amount is immediately reclassified to the consolidated statement of profit or loss.

The Group discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. Any gain or loss recognised in the consolidated statement of other comprehensive income and accumulated in cash flow hedge reserve at that time remains in equity and is reclassified to the consolidated statement of profit or loss when the forecast transaction occurs. When a forecast transaction is no longer expected to occur, the gain or loss accumulated in cash flow hedge reserve is reclassified immediately to the consolidated statement of profit or loss.

Hedges of net investments in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain or loss on the foreign currency forward contracts relating to the effective portion of the hedge is recognised in the consolidated statement of other comprehensive income and accumulated in the foreign currency translation reserve. The gain or loss relating to the ineffective portion is recognised immediately in the consolidated statement of profit or loss, and is included in the ‘other expenses and income’ line item. Gains and losses on the hedging instrument accumulated in the foreign currency translation reserve are reclassified to the consolidated statement of profit or loss on the disposal or partial disposal of the foreign operation.

Offsetting financial assets and financial liabilities

Financial assets and financial liabilities are offset and reported on a net basis in the accompanying consolidated statement of financial position when a legally enforceable right to set off such amounts exists and when the Group intends to settle on a net basis or to realise the assets and settle the liabilities simultaneously.

2.3.4 Cash and cash equivalents

Cash on hand, demand and time deposits with banks whose original maturities do not exceed three months, net of outstanding balance overdraft, are classified as cash and cash equivalents in the consolidated statement of cash flows.

2.3.5 Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. Cost is calculated using the weighted average cost method. Net realisable value represents the estimated selling

price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

2.3.6 Investments in associates and joint ventures

An associate is an entity over which the Group has significant influence and that is neither a subsidiary nor an interest in a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The results and assets and liabilities of associates or joint ventures are incorporated in these financial statements using the equity method of accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with IFRS 5.

Under the equity method, an investment in an associate or a joint venture is recognised initially in the consolidated statement of financial position at cost and adjusted thereafter to recognise the Group’s share of the profit or loss and other comprehensive income of the associate or joint venture. When the Group’s share of losses of an associate or a joint venture exceeds the Group’s interest in that associate or joint venture (which includes any long-term interests that, in substance, form part of the Group’s net investment in the associate or joint venture), the Group discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate or joint venture.

An investment in an associate or a joint venture is accounted for using the equity method from the date on which the investee becomes an associate or a joint venture. On acquisition of the investment in an associate or a joint venture, any excess of the cost of the investment over the Group’s share of the net fair value of the identifiable assets and liabilities of the investee is recognised as goodwill, which is included within the carrying amount of the investment. Any excess of the Group’s share of the net fair value of the identifiable assets and liabilities over the cost of the investment, after reassessment, is recognised immediately in the consolidated statement of profit or loss in the period in which the investment is acquired.

The requirements of IAS 36 are applied to determine whether it is necessary to recognise any impairment loss with respect to the Group’s investment in an associate or a joint venture. When necessary, the entire carrying amount of the investment (including goodwill) is tested for impairment in accordance with IAS 36 as a single asset by comparing its recoverable

amount (higher of value in use and fair value less costs of disposal) with its carrying amount. Any impairment loss recognised is not allocated to any asset, including goodwill that forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognised in accordance with IAS 36 to the extent that the recoverable amount of the investment subsequently increases.

The Group discontinues the use of the equity method from the date when the investment ceases to be an associate or a joint venture. When the Group retains an interest in the former associate or a joint venture and the retained interest is a financial asset, the Group measures the retained interest at fair value at that date and the fair value is regarded as its fair value on initial recognition in accordance with IFRS 9. The difference between the carrying amount of the associate or a joint venture at the date the equity method was discontinued, and the fair value of any retained interest and any proceeds from disposing of a part interest in the associate or a joint venture is included in the determination of the gain or loss on disposal of the associate or joint venture. In addition, the Group accounts for all amounts previously recognised in the consolidated statement of other comprehensive income in relation to that associate on the same basis as would be required if that associate had directly disposed of the related assets or liabilities. Therefore, if a gain or loss previously recognised in other comprehensive income by that associate or joint venture would be reclassified to the consolidated statement of profit or loss on the disposal of the related assets or liabilities, the Group reclassifies the gain or loss from equity to the consolidated statement of profit or loss (as a reclassification adjustment) when the associate or joint venture is disposed of.

When the Group reduces its ownership interest in an associate or a joint venture but the Group continues to use the equity method, the Group reclassifies to the consolidated statement of profit or loss the proportion of the gain or loss that had previously been recognised in other comprehensive income relating to that reduction in ownership interest if that gain or loss would be reclassified to the consolidated statement of profit or loss on the disposal of the related assets or liabilities.

When a Group entity transacts with an associate or a joint venture of the Group, profits and losses resulting from the transactions with the associate or joint venture are recognized in the Group’s financial statements only to the extent of interests in the associate or joint venture that are not related to the Group. The Group has elected to apply this accounting policy in situation where it ceases to have control of a subsidiary as a result of selling its controlling interest to an existing associate or joint venture.

The Group applies IFRS 9, including the impairment requirements, to long-term interests in an associate or joint venture to which the equity method is not applied and which form part of the net investment in the investee. Furthermore, in applying IFRS 9 to long-term interests, the Group does not take into account adjustments to their carrying amount required by IAS 28

(i.e. adjustments to the carrying amount of long-term interests arising from the allocation of losses of the investee or assessment of impairment in accordance with IAS 28).

2.3.7 Property and equipment

Property and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. Freehold land is not depreciated.

Cost includes the purchase price plus expenses directly attributable to the asset in order to bring it to the location and condition to be used in the intended manner.

Property and equipment are depreciated on a straight-line basis over their estimated economic useful lives, which are as follows:

	Years
Buildings	50
Leasehold improvements	3 – 8
Cellular and other equipment	3 – 20
Furniture and fixtures	3 – 5

Capital work-in-progress is transferred to the related property and equipment when the construction or installation and related activities necessary to prepare the property and equipment for their intended use have been completed, and the property and equipment are ready for operational use.

These assets are reviewed periodically for impairment. If there is an indication that the carrying value of an asset is greater than its recoverable amount, the asset is written down to its recoverable amount and the resultant impairment loss is taken to the consolidated statement of profit or loss. The residual value, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

Assets in hyper inflationary economies are restated by applying the change in the consumer price index (CPI) from the date of acquisition to the current reporting date. Depreciation on these assets are based on the restated amounts.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the consolidated statement of profit or loss.

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Group.

2.3.8 Intangible assets and goodwill

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives which are disclosed in note 13. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Intangible assets acquired in a business combination

Intangible assets acquired in a business combination and recognised separately from goodwill are recognized initially at their fair value at the acquisition date (which is regarded as their cost).

Subsequent to initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Reacquired rights

These represents rights which were previously granted to the acquiree to use one or more of the recognized or unrecognized assets of the acquirer, but reacquired as part of a business combination. These reacquired rights are measured on the basis of the remaining contractual term of the related contract regardless of whether market participants would consider potential contractual renewals of the contract or other binding arrangement in determining its fair value.

A reacquired right is an identifiable intangible asset and is recognized separately from goodwill and are amortised over the remaining contractual period in which the right was granted.

IRUs

IRU are the rights to use a portion of the capacity of a terrestrial or submarine transmission cable granted for a fixed period. IRUs are recognized at cost as an asset when the Group has the specific indefeasible right to use an identified portion of the underlying asset, generally optical fibers and the duration of the right is for the major part of the underlying asset’s economic life. They are amortised on a straight line basis over the shorter of the expected period of use and the life of the contract which ranges between 10 to 20 years.

De-recognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in the consolidated statement of profit or loss when the asset is derecognised.

Goodwill

Goodwill is initially recognised and measured as set out in [note 2.3.1](#) above.

Goodwill is not amortised but is reviewed for impairment at least annually. For the purpose of impairment testing, goodwill is allocated to each of the Group’s cash-generating units (or groups of cash-generating units) expected to benefit from the synergies of the combination. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

The recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risk specific to the asset for which the estimates of future cash flows have not been adjusted. The Group prepares formal four to five year plans for its businesses. These plans are used for the value in use calculation. Long range growth rates are used for cash flows into perpetuity beyond the four to five year period.

On disposal of a cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

The Group’s policy for goodwill arising on the acquisition of an associate is described in [note 2.3.6](#) above.

2.3.9 Impairment of property, plant and equipment right-of-use of assets and intangible assets excluding goodwill

At each reporting date, the Group reviews the carrying amounts of its property, plant and equipment, right-of-use of assets and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment

loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with an indefinite useful life are tested for impairment at least annually and whenever there is an indication at the end of a reporting period that the asset may be impaired.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the consolidated statement of profit or loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in the consolidated statement of profit or loss to the extent that it eliminates the impairment loss which has been recognised for the asset in prior years.

2.3.10 Non-current assets held for sale

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

When the Group is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless

of whether the Group will retain a non-controlling interest in its former subsidiary after the sale.

When the Group is committed to a sale plan involving disposal of an investment in an associate or, a portion of an investment in an associate, the investment, or the portion of the investment in the associate, that will be disposed of is classified as held for sale when the criteria described above are met. The Group then ceases to apply the equity method in relation to the portion that is classified as held for sale. Any retained portion of an investment in an associate that has not been classified as held for sale continues to be accounted for using the equity method.

A discontinued operation is a component of the entity that has been disposed of or is classified as held for sale and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale. The results of discontinued operations are presented separately in the consolidated statement of profit or loss.

2.3.11 Fair value measurement

Fair values

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the

use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For financial instruments quoted in an active market, fair value is determined by reference to quoted market prices. Bid prices are used for assets and offer prices are used for liabilities.

For unquoted financial instruments, fair value is determined by reference to the market value of a similar investment, discounted cash flows, other appropriate valuation models or brokers' quotes.

For financial instruments carried at amortized cost, the fair value is estimated by discounting future cash flows at the current market rate of return for similar financial instruments.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group determines classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

2.3.12 Taxation

The income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the consolidated statement of profit or loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is

calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Group supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. In addition, a deferred tax liability is not recognised if the temporary difference arises from the initial recognition of goodwill.

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries and associates, and interests in joint ventures, except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised based on tax laws and rates that have been enacted or substantively enacted at the reporting date.

The measurement of deferred tax liabilities and assets reflects the tax

consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Group intends to settle its current tax assets and liabilities on a net basis.

Current tax and deferred tax for the year

Current and deferred tax are recognised in the consolidated statement of profit or loss, except when they relate to items that are recognised in the consolidated statement of other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognized in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

Zakat

Contribution towards Zakat is computed at 1% of the net profit in accordance with the requirements of Law No. 46 of 2006 and Ministry of Finance resolution No. 58 of 2007 and charged to the consolidated statement of profit and loss.

National Labour Support Tax (“NLST”)

Contribution towards NLST is computed at 2.5% of the net profit in accordance with the requirements of Law No. 19 of 2000 and Minister of Finance resolution No. 24 of 2006 and recognised in the consolidated statement of profit and loss.

Kuwait Foundation for Advancement of Sciences (“KFAS”)

The Group calculates the contribution to KFAS at 1% of profit for the year in accordance with the modified calculation based on the Foundation’s Board of Directors resolution, which states that the transfer to statutory reserve should be excluded from profit for the year when determining the contribution.

International Tax Reform – Pillar Two Model Rules

Income taxes arising from tax law enacted to implement the Pillar II (Minimum tax) model rules published by the OECD Base Erosion and Profit Shifting sets out a top-up tax liability calculation based on the principles in the Pillar II model rules which describes tax law that implements qualified

domestic minimum top-up taxes. IASB have issued a series of amendments to IAS 12 “Income Taxes”. In periods in which Pillar Two legislation is enacted or substantively enacted but not yet in effect, the Group shall disclose known or reasonably estimable information that helps users of financial statements understand the entity’s exposure to Pillar Two income taxes arising from that legislation. In accordance with the provisions of these amendments, the Group applies the mandatory and temporary exception not to recognise deferred taxes associated with this additional taxation. Refer note 24 for further information.

2.3.13 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Onerous contracts

Present obligations arising under onerous contracts are recognised and measured as provisions. An onerous contract is considered to exist where the Group has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.

2.3.14 Post-employment benefits

The Group is liable to make defined contributions to State Plans and lump sum payments under defined benefit plans to employees at cessation of employment, in accordance with the laws of the place where they are deemed to be employed. The defined benefit plan is unfunded and is computed as the amount payable to employees as a result of involuntary termination on the consolidated statement of financial position date. This basis is considered to be a reliable approximation of the present value of the final obligation.

2.3.15 Leases

The Group as lessee

The Group assesses whether contract is or contains a lease, at inception of the contract. The Group recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. For these leases, the Group recognises the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the Group uses its incremental borrowing rate.

Lease payments included in the measurement of the lease liability comprise:

- fixed lease payments (including in-substance fixed payments), less any lease incentives;
- variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- the amount expected to be payable by the lessee under residual value guarantees;
- the exercise price of purchase options, if the lessee is reasonably certain to exercise the options; and
- payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease

The lease liability is presented as a separate line item in the consolidated statement of financial position.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The Group remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- the lease term has changed or there is a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.
- the lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which cases the lease liability is remeasured by discounting the

revised lease payments using the initial discount rate (unless the lease payments change is due to a change in a floating interest rate, in which case a revise discount rate is used).

- a lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.

The Group did not make any such adjustments during the periods presented.

The right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day, less any lease incentives received and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses

The right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. If a lease transfers ownership of the underlying asset or the cost of the right-of-use of asset reflects that the Group expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset. The depreciation starts at the commencement date of the lease.

The right-of-use of assets are presented as a separate line in the statement of financial position.

The Group applies IAS 36 to determine whether a right-of-use asset is impaired and accounts for an identified impairment loss as described in the 2.3.9 'Impairment of property, plant and equipment right-of-use of assets and intangible assets excluding goodwill' policy.

Variable rents that do not depend on an index or rate are not included in the measurement of the lease liability and the right-of-use asset. The related payments are recognised as an expense in the period in which the event or condition that triggers those payments occurs.

As a practical expedient, IFRS16 permits a lessee not to separate non-lease components, and instead account for any lease and associated non-lease components as a single arrangement. The Group has used this practical expedient. For a contracts that contain a lease component and one or more additional lease or non-lease components, the Group allocates the consideration in the contract to each lease component on the basis of the relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components.

Sale and leaseback

The Group enters into sale and leaseback transactions whereby it sells certain assets to a third-party and immediately leases them back. Where

sale proceeds received are judged to reflect the fair value, any gain or loss arising on disposal is recognised in the consolidated statement of profit or loss, to the extent that it relates to the rights that have been transferred. Gains and losses that relate to the rights that have been retained are included in the carrying amount of the right of use asset recognised at commencement of the lease. Where sale proceeds received are not at the fair value, any below market terms are recognised as a prepayment of lease payments, and above market terms are recognised as additional financing provided by the lessor.

The Group as lessor

Leases for which the Group is a lessor are classified as finance or operating leases. Whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee, the contract is classified as a finance lease. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight-line basis over the lease term.

Amounts due from lessees under finance leases are recognised as receivables at the amount of the Group's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the Group's net investment outstanding in respect of the leases.

Subsequent to initial recognition, the Group regularly reviews the estimated unguaranteed residual value and applies the impairment requirements of IFRS 9, recognising an allowance for expected credit losses on the lease receivables.

When a contract includes lease and non-lease components, the Group applies IFRS 15 to allocate consideration under the contract to each component.

2.3.16 Revenue

Revenues from operations consist of recurring revenues, such as billings to customers for monthly subscription fees, roaming, leased line and airtime usage fees, and non-recurring revenues, such as one-time connection fees, and telephone equipment and accessory sales.

Handsets and telecommunication services

Revenue from mobile telecommunication services provided to postpaid and prepaid customers is recognized as services are transferred. When the customer performs first, for example, by prepaying its promised

consideration, the Group has a contract liability. If the Group performs first by satisfying a performance obligation, the Group has a contract asset. Consideration received from the sale of prepaid credit is recognized as contract liability until such time the customer uses the services when it is recognized as revenue.

The Group provides subsidized handsets to its customers along with mobile telecommunication services. The contract’s transaction price is allocated to each performance obligation based on their relative stand-alone selling price. This results in reallocation of a portion of revenue from trading revenue to service revenue and correspondingly creation of a contract assets. Contract asset represents receivable from customers that has not yet legally come into existence. The standalone selling prices are determined based on observable prices. Revenue from device sales is recognized when the device is delivered to the customer. This usually occurs when a customer signs the contract. For devices sold separately, customer pays in full at the point of sale. Revenue from voice, messaging, internet services etc. are included in the bundled package and are recognized as the services are rendered during the period of the contract.

Value added services - Principal vs. agent

Revenue from value added services (VAS) sharing arrangements depend on the analysis of the facts and circumstances surrounding these transactions. Revenue from VAS is recognized when the Group performs the related service and, depending on the Group’s control or lack of control on the services transferred to the customer, is recognized either at the gross amount billed to the customer or the amount receivable by the Group as commission for facilitating the service.

Significant financing component

If a customer can pay for purchased equipment or services over a period, IFRS 15 requires judgement to determine if the contract includes a significant financing component. If it does, then the transaction price is adjusted to reflect the time value of money.

Commissions and other contract costs

Certain incremental costs incurred in acquiring a contract with a customer is deferred on the consolidated statement of financial position and amortised as revenue is recognised under the related contract; this will generally lead to the later recognition of charges for some commissions payable to third party distributors and employees.

Intermediaries are given incentives by the Group to acquire new customers and upgrade existing customers. Activation commission and renewal commission paid on post-paid connections are amortized over the period of the contract. In case of prepaid customers, commission costs are

expensed when incurred. However, the Group may choose to expense such commission costs if the amortization period of the resulting asset is one year or less or if it is not significant.

Customer loyalty programs

The Group operate a customer loyalty program that provides a variety of benefits for customers. The Group allocates the consideration received between products and services in a bundle including loyalty points as separate performance obligation based on their stand-alone selling prices, and the corresponding revenue is recognized as the performance obligations are fulfilled.

Installation and maintenance contracts

The Group also enters into installation and maintenance contracts where the revenue is recognised over time based on the cost-to-completion method. The related costs are recognised in the consolidated statement of profit or loss when they are incurred. Advances received are included in contract liabilities.

Interest income is recognized on a time proportion basis using the effective yield method and dividend income is recognized when the right to receive payment is established.

The ‘effective interest rate’ is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument to the gross carrying amount of the financial asset.

In calculating interest income, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired). However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

Contract assets and liabilities

The Group records a contract asset when the goods and services have been provided to the customer however, the Group’s right related to consideration for the performance obligation is conditional on satisfying other performance obligations within the contract. Contract assets primarily relate to the Group’s rights to consideration for provision of goods and services in the future. The Group records a contract liability when the payments have been received from the customer in advance of providing goods and services. The Group accounts for contract assets and liabilities on a contract-by-contract basis, with each contract presented as either a net contract asset or a net contract liability accordingly.

2.3.17 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in the consolidated statement of profit or loss in the period in which they are incurred.

2.3.18 Foreign currencies

In preparing the financial statements of the Group entities, transactions in currencies other than the entity’s functional currency (foreign currencies) are recognised at the rates of exchange prevailing on the dates of the transactions. At each reporting date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences are recognised in the consolidated statement of profit or loss in the period in which they arise except for:

- exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings;
- exchange differences on transactions entered into to hedge certain foreign currency risks; and
- exchange differences on monetary items receivable from or payable to a foreign operation for which settlement is neither planned nor likely to occur in the foreseeable future (therefore forming part of the net investment in the foreign operation), which are recognised initially in other comprehensive income and reclassified from equity to the consolidated statement of profit or loss on disposal or partial disposal of the net investment.

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group’s foreign operations which are not accounted for as entities operating in hyperinflationary economies and that have a functional currency different from the presentation currency of the Group are translated at exchange rates prevailing on the reporting date. Income and expense items are translated at the average exchange rates for the

period, unless exchange rates fluctuate significantly during that period, in which case the exchange rates at the date of transactions are used. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in a foreign exchange translation reserve (attributed to non-controlling interests as appropriate).

The results, cash flows and financial position of the Group’s foreign operations, which are accounted for as entities operating in hyperinflationary economies and that have functional currencies different from the presentation currency of the Group are translated into the presentation currency of its immediate parent at rates of exchange ruling at the reporting date. As the presentation currency of the Group is that of a non-hyperinflationary economy, comparative amounts are not adjusted for changes in the price level or exchange rates in the current year in accordance with IAS 21: the Effects of Changes in Foreign Exchange Rates (refer note 34).

On the disposal of a foreign operation (i.e. a disposal of the Group’s entire interest in a foreign operation, or a disposal involving loss of control over a subsidiary that includes a foreign operation or a partial disposal of an interest in a joint arrangement or an associate that includes a foreign operation of which the retained interest becomes a financial asset), all of the exchange differences accumulated in a foreign exchange translation reserve in respect of that operation attributable to the owners of the Company are reclassified to the consolidated statement of profit or loss.

In addition, in relation to a partial disposal of a subsidiary that includes a foreign operation that does not result in the Group losing control over the subsidiary, the proportionate share of accumulated exchange differences are re-attributed to non-controlling interests and are not recognised in the consolidated statement of profit or loss. For all other partial disposals (i.e. partial disposals of associates or joint arrangements that do not result in the Group losing significant influence or joint control), the proportionate share of the accumulated exchange differences is reclassified to the consolidated statement of profit or loss.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate. Exchange differences arising are recognised in other comprehensive income.

2.3.19 Financial reporting in hyperinflationary economies
The financial statements of subsidiaries whose functional currencies are the currencies of hyperinflationary economies are adjusted in terms of the measuring unit current at the end of the reporting period.

In the first period of application, the adjustments determined at the beginning of the period are recognized directly in equity as an adjustment to opening retained earnings. In subsequent periods, the prior period

adjustments related to components of owners' equity and differences arising on translation of comparative amounts are accounted for in the consolidated statement of other comprehensive income.

Items in the consolidated statement of financial position not already expressed in terms of the measuring unit current at the reporting period, such as non-monetary items carried at cost or cost less depreciation, are restated by applying a general price index. The restated cost, or cost less depreciation, of each item is determined by applying to its historical cost and accumulated depreciation the change in a general price index from the date of acquisition to the end of the reporting period. An impairment loss is recognized in the consolidated statement of profit or loss if the restated amount of a nonmonetary item exceeds its estimated recoverable amount.

At the beginning of the first period of application, the components of owners' equity, except retained earnings, are restated by applying a general price index from the dates the components were contributed or otherwise arose. Restated retained earnings are derived from all other amounts in the restated consolidated statement of financial position. At the end of the first period and in subsequent periods, all components of owners' equity are restated by applying a general price index from the beginning of the period or the date of contribution, if later.

All items recognized in the consolidated statement of profit or loss are restated by applying the change in the general price index from the dates when the items of income and expenses were initially earned or incurred.

Gains or losses on the net monetary position are recognized in the consolidated statement of profit or loss.

All items in the consolidated statement of cash flows are expressed in terms of the general price index at the end of the reporting period.

2.3.20 Contingencies
Contingent assets are not recognized as an asset until realisation becomes virtually certain. Contingent liabilities, other than those arising on acquisition of subsidiaries, are not recognized as a liability unless as a result of past events it is probable that an outflow of economic resources will be required to settle a present, legal or constructive obligation; and the amount can be reliably estimated. Contingent liabilities arising in a business combination are recognized if their fair value can be measured reliably.

2.3.21 Government Grants
Government grants are not recognized until there is reasonable assurance that the Group will comply with the conditions attaching to them and that the grants will be received. Government grants related to the property and equipment are recorded as a deduction from the cost of the assets in arriving at the respective carrying amount. Any advance amount received

is recorded as deferred grant and adjusted against recorded capital expenditure on assets. An excess realized is recorded as other income.

3. Subsidiaries

The principal subsidiaries of the Group are:

Subsidiary	Country of incorporation	Percentage of ownership	
		2025	2024
Zain International B.V. (“ZIBV”)	Netherlands	100%	100%
Pella Investment Company (“Pella”)	Jordan	96.516%	96.516%
Zain Bahrain B.S.C (“MTCB”)	Bahrain	65.11%	65.11%
Sudanese Mobile Telephone (Zain) Company Limited (“Zain Sudan”)	Sudan	100%	100%
South Sudanese Mobile Telephone Company Limited (“Zain South Sudan”)	South Sudan	100%	100%
Al Khatem Telecoms Company (“Al Khatem”)	Iraq	76%	76%
Atheer Telecom Iraq Limited (“Atheer”)	Cayman Islands	76%	76%
Mobile Telecommunications Company Saudi Arabia (“SMTC”)	Kingdom of Saudi Arabia	37.045%	37.045%
ZainTech Solutions FZ-LLC (“Zain Tech”)	UAE	100%	100%
Zain Fintech Holding W.L.L (“Zain Fintech”)	Bahrain	100%	100%
Zain Ventures Holding Company W.L.L (“Zain Venture”)	Bahrain	100%	100%
IHS Netherlands GCC B.V. (“IHS”)	Netherlands	100%	100%
Iraq Wallet for Financial Payment Via Mobile Phone and Internet Services Company - Limited Liability Company (“Zain Cash Iraq”)	Iraq	50.95%	-
TASC Towers Holding Limited (“TASC”)	UAE	99.64%	-

Pella owns 100% of Jordan Mobile Telecommunications Services Co. JSC – “JMTC” and 99.1% of Al Mouakhaa Lil Kadamat Al-Logistya Wal Al-Itisalat (“Mada Jordan”). Al Khatem owns 100% of Atheer. Zain Tech owns 100% of BIOS, STS and Adfolks (31 December 2024: 65% of Adfolks).

JMTC, MTCB, Zain Sudan, Zain South Sudan, Atheer and SMTC operate the cellular mobile telecommunications network in Jordan, Bahrain, Sudan, South Sudan, Iraq and the Kingdom of Saudi Arabia (KSA) respectively. Mada Jordan provides WiMAX services in Jordan. Zain Tech provides network consultancy and cloud solutions in MENA region. Zain Venture is engaged in activities of holding companies. Zain Fintech is engaged in activities of holding companies. IHS and TASC provide tower infrastructure services.

SMTC

In July 2018, the Group concluded that it is able to control SMTC through its majority representation on the board of directors and accordingly considered it as a subsidiary effective from that period.

Acquisition of Subsidiaries

Zain Cash Iraq

During 2025, the Group obtained 50.95% equity interest of Iraq Wallet for Financial Payment Via Mobile Phone and Internet Services Company - Limited Liability Company (“Zain Cash Iraq”) for a purchase consideration of US\$ 25.25 million (KD 7.769 million). The net cash inflow on acquisition amounts to US\$ 6.721 million (KD 2.053 million) as the payment was made in previous years. The recognized amount of net assets of Zain Cash Iraq as at the date of acquisition was US\$ 16.366 million (KD 4.997 million), resulting in a provisional goodwill of US\$ 16.912 million (KD 5.163 million). Subsequently, the Group finalized the Purchase Price Allocation (“PPA”) exercise of Zain Cash Iraq, and accordingly the consolidated financial statements have been adjusted to reflect the PPA adjustment to the provisional amounts. The adjustments resulted in an increase in ‘License’ by US\$ 17.163 million (KD 5.240 million), increase in ‘Customer relationship’ by US\$ 0.347 million (KD 0.106 million), increase in ‘non-controlling interest’ by US\$ 8.589 million (KD 2.622 million) and decrease in Goodwill by US\$ 8.921 million (KD 2.724 million) in the Group’s consolidated financial statements as at the acquisition date. Zain Cash Iraq is a limited liability company incorporated in Iraq engaged in providing its customers with electronic wallets.

Specialized Technical Services Company BVI

In March 2024, the Group, through Zain Tech, acquired 100% equity interest of Specialized Technical Services Company BVI (“STS”) for a purchase consideration of US\$ 25.759 million (KD 7.924 million) of which an amount of US\$ 16.697 million (KD 5.139 million) was paid during

2024. The net cash outflow (net of cash and cash equivalents acquired) on acquisition amounts to US\$ 10.067 million (KD 3.095 million). The recognized amount of net assets of STS as at the date of acquisition was US\$ 13.600 million (KD 4.183 million), resulting in a provisional goodwill of US\$ 12.159 million (KD 3.740 million). During 2025, the Group finalized the Purchase Price Allocation (“PPA”) exercise of STS and the cumulative impact of these PPA related adjustments was not material to the consolidated financial statements of the Group. STS is a company incorporated in British Virgin Islands engaged in providing digital transformation solutions in Jordan, KSA and other countries.

Financial support to Group companies

The Group is committed to provide working capital and other financial support to certain subsidiaries including Pella and Atheer whose working capitals are in deficit. Based on business plans, the Group does not expect these conditions will have a material adverse impact on the operations of these Group companies.

4. Cash and cash equivalents

Cash and cash equivalents include the following:

	2025	2024
	KD '000	KD '000
Cash on hand and at banks	182,176	178,931
Short-term deposits with banks	140,206	41,444
Government certificates of deposits held by subsidiaries	2	2
	322,384	220,377
Expected credit loss	(11,512)	(24,447)
Cash and cash equivalents in the consolidated statement of financial position	310,872	195,930
Cash at banks under lien	(25,096)	(2,289)
Bank Overdrafts	(13,555)	-
Government certificates of deposits with maturities exceeding three months held by subsidiaries	(2)	(2)
Cash and cash equivalents in the consolidated statement of cash flows	272,219	193,639

*Cash at banks under lien mainly includes bank deposits held under lien by banks for letters of credit (LOC) issued by a Subsidiary in Sudan in favor of a vendor.

5. Bank balances held in customers’ account

Bank balances held in customers’ Account as part of electronic payment services provided by the Group are presented separately from cash and cash equivalents in the statement of financial position of the Group. The regulations in respective locations require that these balances with banks are held in a manner to ensure that these balances are not co-mingled with the Group’s cash and cash equivalents.

6. Trade and other receivables

	2025	2024
	KD '000	KD '000
Trade receivables:		
Customers	611,841	505,314
Distributors	17,878	24,971
Other operators (interconnect)	56,792	62,867
Roaming partners	25,119	19,386
ECL	(178,098)	(157,094)
	533,532	455,444
Other receivables:		
Accrued income	11,994	9,129
Staff	1,957	1,618
Deposits and other receivables	326,249	258,037
Prepayments and advances	141,436	152,638
Others (refer note below)	157,963	158,118
ECL	(4,494)	(6,093)
	635,105	573,447
	1,168,637	1,028,891

In 2011, the Group paid US\$ 473 million (equivalent to KD 145.655 million) to settle the guarantees provided by the Company to lending banks for loans to a founding shareholder of SMTC. The Group has been pursuing legal action for its recovery and in November 2016 the London Arbitration Court upheld the Group’s right to recover the US\$ 473 million paid in addition to interest and costs. The Company has initiated the legal procedures necessary to enforce the arbitration award in and outside KSA. In 2010, the Group paid US\$ 40 million (equivalent to KD 12.308 million) to settle guarantees provided by the Company to lending bank for loans to a founding shareholder of SMTC. In 2013, the Group won a legal action for

the recovery of that amount and is currently pursuing further legal action for its implementation.

The carrying amounts of the Group’s trade and other receivables are denominated in the following currencies:

	2025	2024
	KD '000	KD '000
Kuwaiti Dinar	70,122	85,056
US Dollar	315,812	266,003
Bahraini Dinar	11,525	11,657
Sudanese Pound	8,327	7,309
Jordanian Dinar	40,152	38,198
Iraqi Dinar	160,994	102,426
Saudi Riyals	541,166	484,732
Others	20,539	33,510
	1,168,637	1,028,891

7. Inventories

	2025	2024 (Restated)
	KD '000	KD '000
Handsets and accessories	63,113	83,638
Provision for obsolescence	(5,079)	(5,316)
	58,034	78,322

8. Investment securities

	2025	2024
	KD '000	KD '000
Current investments At fair value through profit or loss		
Unquoted equities	24,190	14,890
Funds - mandatorily at FVTPL	4,131	3,360
Other funds - designated at inception	56,737	33,254
	85,058	51,504
Non-current investments At fair value through other comprehensive income		
Quoted equities- designated at inception	3,530	3,174
Funds- designated at inception	3,138	2,891
Unquoted equities - designated at inception	6,165	7,683
	12,833	13,748

Investment securities are denominated in the following currencies:

	2025	2024
	KD '000	KD '000
Kuwaiti Dinar	7,638	6,455
US Dollar	88,606	57,479
Other currencies	1,647	1,318
	97,891	65,252

9. Assets and liabilities classified as held for sale and discontinued operations

9.1 Assets and liabilities classified as held for sale

Iraq

The Group has classified certain network equipment amounting to US\$ 72.57 million (KD 22.330 million) as held for sale during the year ended 31 December 2025, on the basis that management is committed to a plan to sell this network equipment and the transaction is expected to be completed within one year. As of 31 December 2025, network equipment worth US\$ 38.30 million (KD 11.785 million) was transferred to the vendor.

9.2 Discontinued operations

IHS

In December 2024, IHS became a wholly owned subsidiary of the Group (previously accounted for as an associate with a 30% interest) and was classified as held for sale upon acquisition. As at 31 December 2025, the disposal process remained ongoing and the Group continues to actively pursue the sale, which is considered highly probable. Accordingly, IHS continues to be classified as held for sale as at 31 December 2025.

The related assets and liabilities are presented below:

	2025	2024
	KD '000	KD '000
Fair value less cost to sell	62,660	62,660
Total liabilities of IHS	25,274	32,944
Total assets of IHS	87,934	95,604

IHS is engaged in the business of tower infrastructure services in Kuwait.

In 2024, the net cash outflow on acquisition of IHS amounted to US\$ 139.800 million (KD 42.891 million). The Group remeasured its previously held equity interest at fair value and recognized a gain of US\$ 55.406 million (KD 16.981 million) in 2024 along with gain from eliminations of intercompany balances from existing lease relationships amounting to US\$ 21.109 million (KD 6.476 million).

TASC

In Q4 2025, TASC Board approved the appointment of a Group representative as Chief Executive Officer. In addition, the Group increased its ownership interest in TASC from 92.87% to 99.64% for a purchase consideration of US\$30.875 million (KD 9.476 million). Based on these developments, the Group concluded that it obtained control over TASC and, accordingly, accounted for TASC as a subsidiary of the Group.

Details of TASC acquisition (representing a subsidiary acquired exclusively with a view to resale) are as follows:

	KD '000
Consideration transferred in cash	9,476
Acquisition date fair value of the previously held equity interest	130,280
Total purchase consideration	139,756

The related assets and liabilities are presented below:

	2025
	KD '000
Fair value less cost to sell	139,756
Non-controlling interest	15,154
Total liabilities of TASC	69,588
Total assets of TASC	224,498

The net cash outflow on acquisition of the above subsidiary amounted to US\$ 30.875 million (KD 9.476 million).

The acquisition date fair value of the Group’s previously held voting equity interest in TASC, was estimated at US\$ 423.320 million (KD 130.280 million). Since the business combination was achieved in stages, the Group remeasured the previously held equity holding at fair value and recognized the resultant gain of US\$ 16.222 million (KD 4.978 million) in the consolidated statement of profit or loss.

In December 2023, the Group entered into definitive agreements with Ooredoo Group Q.P.S.C (“Ooredoo”) to combine both parties’ passive infrastructure (tower) assets through a cash-and-share transaction. Under the proposed structure, the Group and Ooredoo will each contribute assets and cash to a newly formed tower company and are expected to retain an equal equity interest in this company. The transaction (including initial market closings) is in progress and is expected to be completed in the first half of 2026.

TASC and IHS are expected to be included in the transaction as part of the Group’s tower assets. Accordingly, the Group intends to dilute its ownership interests in TASC and IHS within 12 months and continues to actively engage with potential buyers. On this basis, TASC and IHS are classified as held for sale.

10. Investments in associates and joint venture

10.1 Investments in associates

TASC

In Q4 2025, the Group concluded that it obtained control over TASC and, accordingly, accounted for TASC as a subsidiary of the Group classified as held for sale (previously an associate of the Group) (refer [note 9.2](#)).

Summarised financial information in respect of TASC as at 31 December 2024 (an associate) is set out below.

	2024
	KD '000
Current assets	19,444
Non-current Assets	152,434
Current liabilities	33,222
Non-current liabilities	39,037
Equity attributable to owners of the Parent Company	84,814
Non-controlling interest	14,805
Revenue	47,354
Total comprehensive loss	(1,642)

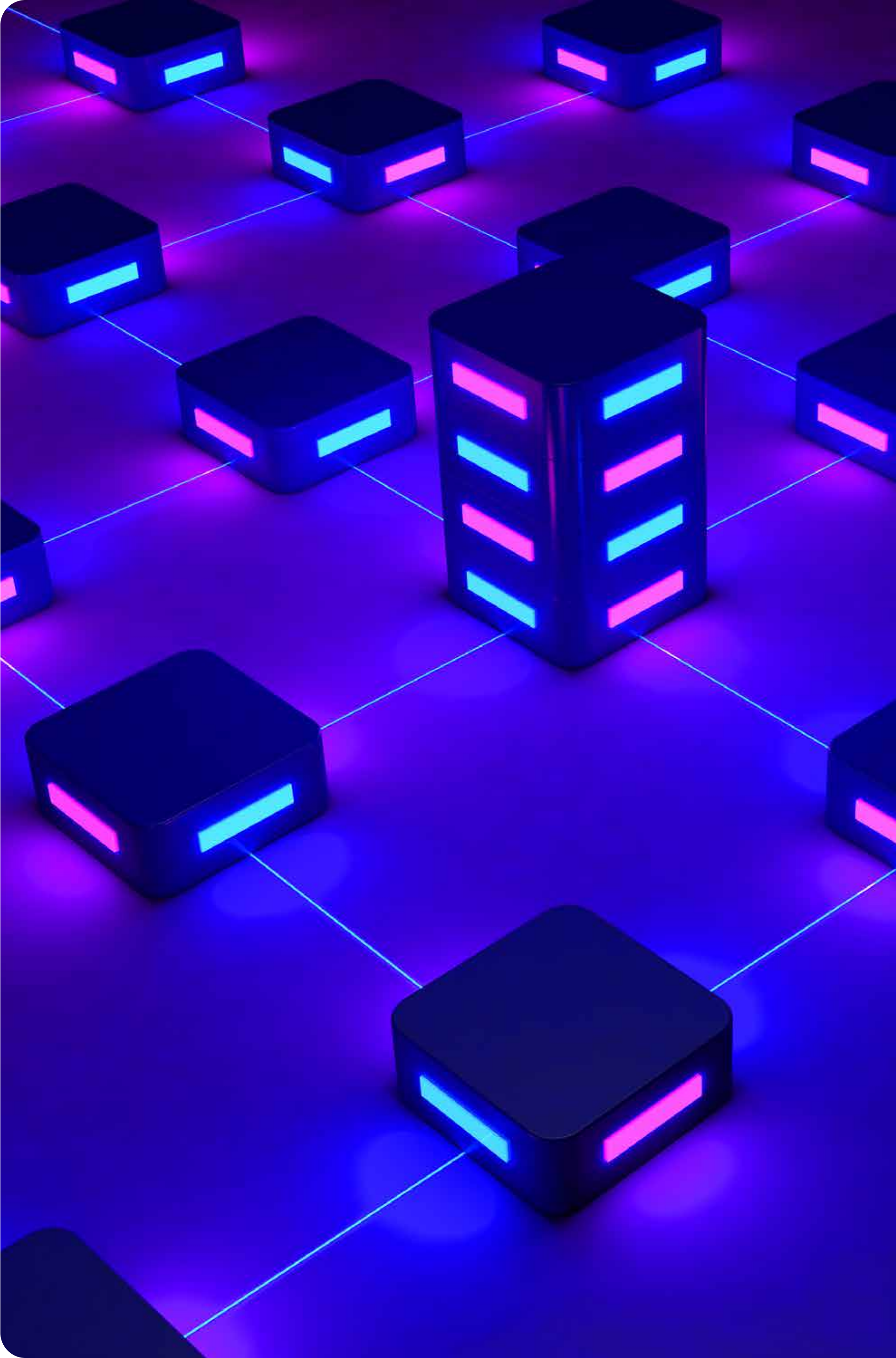
Reconciliation of the above summarised financial information to the carrying amount of the interest in TASC as at 31 December 2024 is as follows:

	2024
	KD '000
Net assets of associate	84,814
Group’s interest	92.87%
Proportion of the group’s ownership interest in the associate	78,767
Goodwill	37,603
Carrying amount of the group’s interest in the associate	116,370

10.2 Investment in a joint venture

	2025		2024	
	%	KD '000	%	KD '000
Zain Al Ajial S.A. (“Zain Ajial”)	50	119,216	50	90,481
		119,216		90,481

The Group has an interest in Zain Al Ajial S.A., a joint venture that owns 31% of the equity shares in Wana Corporate (a Moroccan joint stock company that is specialized in the telecom sector in that country). This underlying investment is accounted for at fair value through profit or loss in the joint venture. This investment materially represents the total assets of the joint venture. The investment is accounted for using the equity method. During the year ended 31 December 2025, the Group’s share of results amounting to KD 28.735 million represents the Group’s share of fair valuation gain related to Wana Corporate in the books of Zain Ajial.



11. Right of use of assets

The recognized right-of-use assets relate to the following types of assets:

31 December 2025

	Land and building	Cellular and other equipment	Total
	KD '000	KD '000	KD '000
Balance as of 31 December 2024 (restated)	126,148	46,831	172,979
Add: Acquisition of subsidiaries	110	-	110
Add: Additions	55,073	32,476	87,549
Less: Amortisation	(33,212)	(13,083)	(46,295)
Less: Retirements and modifications	(3,324)	3,685	361
Exchange adjustments	(2,044)	(489)	(2,533)
Impact of hyperinflation adjustments (note 34)	1,299	-	1,299
Closing balance as at 31 December 2025	144,050	69,420	213,470

31 December 2024

	Land and building	Cellular and other equipment	Total
	KD '000	KD '000	KD '000
Balance as 31 December 2023 (as reported)	87,165	41,026	128,191
Cumulative impact of hyperinflation and related exchange adjustments (note 34)	13,515	-	13,515
Additional Impairment arising from application of IAS 29	(13,515)	-	(13,515)
Balance as of 1 January 2024 (restated)	87,165	41,026	128,191
Add: Acquisition of subsidiaries	631	-	631
Add: Additions	55,149	11,720	66,869
Less: Amortisation	(29,983)	(11,512)	(41,495)
Less: Retirements and modifications	11,549	5,391	16,940
Transfers from assets classified as held for sale	3,178	-	3,178
Impairment	(60)	-	(60)
Exchange adjustments	(2,182)	206	(1,976)
Impact of hyperinflation adjustments (note 34)	2,060	-	2,060
Additional impairment arising from application of IAS 29	(1,359)	-	(1,359)
Closing balance as at 31 December 2024 (restated)	126,148	46,831	172,979

The total amount recorded in consolidated statement of profit or loss for right of use assets in the year 2024 includes a reversal of SAR 30 million (KD 2.456 million) with respect to site rent.

Land and building comprise mainly of telecommunication sites on lease. Cellular and other equipment majorly comprises of telecommunications equipment.

The Group does not have any lease contracts with variable lease payments which are not included in the measurement of the lease liabilities.

The Group's leasing activities and how these are accounted for:

The Group mostly leases indoor and outdoor spaces for installation of its telecommunications sites. Rental contracts are typically made for fixed periods of 1 to 20 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.



12. Property and equipment

	Land and buildings and leasehold improvements	Cellular and other equipment	Projects in progress	Total
	KD '000	KD '000	KD '000	KD '000
Cost				
As at 31 December 2023 (as reported)	108,297	3,082,996	223,190	3,414,483
Cumulative impact of hyperinflation and related exchange adjustments (note 34)	169,421	1,223,917	28,837	1,422,175
Additional impairment arising from application of IAS 29	(169,421)	(1,223,917)	(28,837)	(1,422,175)
As at 1 January 2024 (restated)	108,297	3,082,996	223,190	3,414,483
Acquisition of subsidiaries (note 3)	-	2,427	-	2,427
Additions	906	51,406	248,889	301,201
Transfers/reclassification	907	160,081	(161,412)	(424)
Transfer from assets classified as held for sale	-	2,977	-	2,977
Disposals/ write off	(75)	(16,633)	(187)	(16,895)
Impact of hyperinflation adjustments (note 34)	1,301	18,398	29,405	49,104
Additional impairment arising from application of IAS 29	(1,342)	(25,414)	(29,405)	(56,161)
Exchange adjustments	(1,069)	(10,164)	(21,251)	(32,484)
As at 31 December 2024 (restated)	108,925	3,266,074	289,229	3,664,228
Acquisition of subsidiaries (note 3)	-	1,089	562	1,651
Additions	599	52,213	325,350	378,162
Transfers/reclassification	5,555	185,645	(191,200)	-
Transfer to intangible assets	-	-	(1,380)	(1,380)
Transfer to non-current assets held for sale	-	(80,520)	-	(80,520)
Impairment	-	-	(5,118)	(5,118)
Impact of hyperinflation adjustments (note 34)	135	16,401	17,430	33,966
Disposals/ write off	(130)	(26,373)	-	(26,503)
Exchange adjustments	(370)	(15,290)	(4,435)	(20,095)
As at 31 December 2025	114,714	3,399,239	430,438	3,944,391

	Land and buildings and leasehold improvements	Cellular and other equipment	Projects in progress	Total
	KD '000	KD '000	KD '000	KD '000
Accumulated depreciation and impairment				
As at 31 December 2023 (as reported)	53,167	2,242,660	9,606	2,305,433
Cumulative impact of hyperinflation and related exchange adjustments (note 34)	14,276	1,048,353	-	1,062,629
Additional impairment on application of IAS 29	(14,276)	(1,048,353)	-	(1,062,629)
As at 1 January 2024 (restated)	53,167	2,242,660	9,606	2,305,433
Acquisition of subsidiaries (note 3)	-	1,786	-	1,786
Charge for the year	2,453	189,802	-	192,255
Disposals	(72)	(11,583)	-	(11,655)
Transfer from assets classified as held for sale	-	2,122	-	2,122
Impairment	586	6,186	2,888	9,660
Impact of hyperinflation adjustments (note 34)	86	5,664	-	5,750
Additional impairment arising from application of IAS 29	(127)	(12,680)	-	(12,807)
Exchange adjustments	17	888	(5,750)	(4,845)
As at 31 December 2024 (restated)	56,110	2,424,845	6,744	2,487,699
Acquisition of subsidiaries (note 3)	15	523	-	538
Charge for the year	2,615	185,368	-	187,983
Disposals	(121)	(24,861)	-	(24,982)
Transfer to assets classified as held for sale	-	(58,241)	-	(58,241)
Impact of hyperinflation adjustments (note 34)	(29)	(5,112)	(92)	(5,233)
Exchange adjustments	(345)	(11,875)	(1,139)	(13,359)
As at 31 December 2025	58,245	2,510,647	5,513	2,574,405
Net book value				
As at 31 December 2025	56,469	888,592	424,925	1,369,986
As at 31 December 2024	52,815	841,229	282,485	1,176,529

Cellular and other equipment majorly comprises of telecommunications equipment.

Advances of KD 92.930 million (2024: KD 97.090 million) paid for projects in progress are included under Other non-current assets in the statement of financial position.

During the year, property and equipment amounting to US\$ 16.63 million (KD 5.118 million) in South Sudan were impaired as the recoverable value is lower than the carrying value (refer note 13 for key assumptions used).

13. Intangible assets and goodwill

	Goodwill	Licences and spectrum fees	Others	CWIP	Total
	KD '000	KD '000	KD '000	KD '000	KD '000
Cost					
As at 31 December 2023 (as reported)	545,750	2,920,055	312,048	10,026	3,787,879
Cumulative impact of hyperinflation and related exchange adjustments (note 34)	(1,402)	150,114	22,226	-	170,938
Additional impairment arising from application of IAS 29	-	(150,114)	(22,226)	-	(172,340)
As at 1 January 2024 (restated)	544,348	2,920,055	312,048	10,026	3,786,477
Acquisition of subsidiaries (note 3)	3,943	77	-	-	4,020
Adjustment for purchase price allocation (note 3)	(1,556)	1,866	-	-	310
Additions	-	11,380	12,764	2,143	26,287
Transfers/reclassification	-	-	424	-	424
Write off/ disposal	-	(6,572)	(1)	-	(6,573)
Impairment (restated)	-	-	(615)	-	(615)
Impact of hyperinflation adjustments (note 34)	817	6,454	403	-	7,674
Additional impairment on application of IAS 29	-	(6,454)	(403)	-	(6,857)
Exchange adjustments	385	6,333	187	37	6,942
As at 31 December 2024 (restated)	547,937	2,933,139	324,807	12,206	3,818,089
Acquisition of subsidiaries (note 3)	7,317	2	3,470	-	10,789
Adjustment for purchase price allocation (note 3)	(3,991)	5,281	106	-	1,396
Additions	-	45,965	28,304	3,404	77,673
Transfers/ reclassifications	-	-	1,380	-	1,380
Write off/ disposal	-	-	(6,432)	-	(6,432)
Impact of hyperinflation adjustments (note 34)	-	2,191	131	-	2,322
Exchange adjustments	(576)	(20,272)	80	(19)	(20,787)
As at 31 December 2025	550,687	2,966,306	351,846	15,591	3,884,430

	Goodwill	Licences and spectrum fees	Others	CWIP	Total
	KD '000	KD '000	KD '000	KD '000	KD '000
Accumulated amortization and impairment					
As at 31 December 2023 (as reported)	11,942	1,558,673	180,640	-	1,751,255
Cumulative impact of hyperinflation and related exchange adjustments (note 34)	-	95,487	13,906	-	109,393
Additional impairment on application of IAS 29	-	(95,487)	(13,906)	-	(109,393)
As at 1 January 2024 (restated)	11,942	1,558,673	180,640	-	1,751,255
Acquisition of subsidiaries (note 3)	-	18	-	-	18
Charge for the year	-	91,785	17,725	-	109,510
Write off/ disposal	-	(6,405)	(1)	-	(6,406)
Impairment	-	136	8	-	144
Impact of hyperinflation adjustments (note 34)	-	1,604	128	-	1,732
Additional impairment on application of IAS 29	-	(1,604)	(128)	-	(1,732)
Exchange adjustments	-	5,012	(129)	-	4,883
As at 31 December 2024	11,942	1,649,219	198,243	-	1,859,404
Acquisition of subsidiaries (note 3)	-	-	1,598	-	1,598
Charge for the year	-	90,074	24,410	-	114,484
Write off/ disposal	-	-	(6,409)	-	(6,409)
Impact of hyperinflation adjustments (note 34)	-	635	48	-	683
Exchange adjustments	-	(9,622)	(480)	-	(10,102)
As at 31 December 2025	11,942	1,730,306	217,410	-	1,959,658
Net book value					
As at 31 December 2025	538,745	1,236,000	134,436	15,591	1,924,772
As at 31 December 2024	535,995	1,283,920	126,564	12,206	1,958,685

Others mainly consist of IRUs and software licenses.

Goodwill has been allocated to the following Cash Generating Unit (CGU) which is expected to benefit from the synergies of the business combination. It is also the lowest level at which goodwill is monitored for impairment purposes. Goodwill and the CGU to which it has been allocated are as follows:

	2025	2024
	KD '000	KD '000
Pella	79,517	79,517
Atheer	423,525	423,938
SMTC (including subsidiaries)	17,157	15,183
ZainTECH (including subsidiaries) *	15,756	17,023
Others **	2,790	334
	538,745	535,995

*This includes goodwill arising from acquisition of BIOS, STS and Adfolks.

** This includes goodwill arising from acquisition of Zain Cash Iraq (note 3).

Impairment testing

The Group determines whether goodwill or intangible assets with indefinite useful lives are impaired, at least on an annual basis. This requires an estimation of the recoverable amount of the CGUs to which these items are allocated. The recoverable amount is determined based on value-in-use calculations or fair value less cost to sell if that is higher.

The Group determines the recoverable amounts of all CGUs based on value in use.

Group management used the following approach to determine values to be assigned to the following key assumptions, in the value in use calculations:

Key assumption	Basis used to determine value to be assigned to key assumption
Growth rate	Increase in competition expected but no significant change in market share of any CGU as a result of ongoing service quality improvements and expected growth from technology and license upgrades. The growth rates are consistent with forecasts included in industry and country reports. Compounded annual growth in revenue of up to 19.4% (2024: 20.2%) for Zain Sudan, 8.0% (2024: 11.9%) for Atheer, 2.6% (2024: 3%) for Pella and 5.4% (2024: 3.9%) for SMTC and 26.1% for Zain South Sudan during the projected five-year period. Value assigned reflects past experience and changes in economic environment. Cash flows beyond the five-year period have been extrapolated using a growth rate of upto 4% (2024: 3%) for Zain Sudan, 4% (2024: 4%) for Atheer, 4% (2024: 4%) for Pella 4% (2024: 4%) for SMTC and 3% for Zain South Sudan. This growth rate does not exceed the long-term average growth rate of the market in which the CGU operate.
Capital expenditure	The cash flow forecasts for capital expenditure are based on experience and include the ongoing capital expenditure required to continue rolling out networks to deliver target voice and data products and services and meeting license obligations. Capital expenditure includes cash outflows for the purchase of property, plant and equipment and other intangible assets.
Discount rate	Discount rates of 59.7% (2024: 62%) for Zain Sudan, 14.8% (2024: 15.2%) for Atheer, 11.2% (2024: 10.5%) for Pella, 8.4% (2024: 8.5%) for SMTC and 51.2% for Zain South Sudan. Discount rates reflect specific risks relating to the relevant CGU.
The Group has performed a sensitivity analysis by varying these input factors by a reasonably possible margin and assessing whether the change in input factors results in any of the goodwill allocated to appropriate cash generating units being impaired.	
On application of IAS 29, the group completely impaired its carrying value of goodwill that was allocated to Zain Sudan.	
These calculations are based on cash flow projections derived from management-approved financial budgets covering a five-year period. The recoverable amounts of all CGUs for 2025, other than Zain South Sudan (refer note 12), exceeded their respective carrying amounts.	

License and spectrum

	End of amortisation period	2025	2024 (restated)
		KD '000	KD '000
License – SMTC	2047	886,500	936,825
License – Atheer	2030	79,976	96,439
License – Pella	2026 to 2036	128,215	134,219
Spectrum – SMTC	2032 to 2039	112,454	92,409
Spectrum – Atheer	2027	11,636	9,861
Others		17,219	14,167
		1,236,000	1,283,920

Atheer

This includes the fee paid for the initial license in 2007, its renewal in 2020, 3G license in 2015 and for the 4G license in 2020.

Pella

This includes the fees of JD 156.375 million (KD 67.930 million) paid in 2021, to renew the new dynamic Telecom license from Telecom Regulatory Commission (“TRC”) for a period of 15 years.

14. Trade and other payables

	2025	2024
	KD '000	KD '000
Trade payables and accruals	1,159,172	905,679
Due to roaming partners	19,906	17,195
Due to other operators (interconnect)	6,822	6,375
Dues to regulatory authorities (refer below)	48,680	81,325
Taxes payable	73,342	75,870
Dividend payable	21,086	16,038
Directors’ remuneration	653	541
Other payables	92,249	60,186
	1,421,910	1,163,209

Due to regulatory authorities include amount of SAR 168.143 million (KD 13.694 million) (2024: KD 69.803 million) payable by SMTC to Ministry of Finance.

15. Income tax payables

	2025	2024
	KD '000	KD '000
Atheer – Iraq	6,120	6,366
Pella – Jordan	6,951	5,547
Kuwait	99	-
Sudan	9,322	3,136
Other	5,241	3,280
	27,733	18,329

16. Bank borrowings

	2025	2024
	KD '000	KD '000
Company		
Short term loans	52,751	40,040
Long term loans	829,674	661,771
	882,425	701,811
SMTC		
Short term loans	13,845	41,080
Long term loans	683,484	473,626
	697,329	514,706
Pella		
Short term loans	8,884	6,516
Long term loans	81,287	80,077
	90,171	86,593
Atheer		
Bank overdrafts	13,555	-
Long term loans	200,405	185,108
	213,960	185,108
Others		
Short term loans	710	155
Long term loans	3,500	1,979
	4,210	2,134
	1,888,095	1,490,352

Reconciliation of movements of bank borrowings to cash flows from financing activities:

	2025	2024
	KD '000	KD '000
Opening balance	1,490,352	1,311,538
Proceeds from bank borrowings	848,266	437,431
Repayment of bank borrowings	(479,447)	(328,936)
Net proceeds from bank overdraft	13,555	-
Increase from capex vendor financing facility – “CAPEX facility” (non- cash item)	21,562	60,205
On acquisition of a subsidiary	-	2,314
Effect of change in foreign exchange rates	(6,193)	7,800
	1,888,095	1,490,352

The current and non-current amounts are as follows:

	2025	2024
	KD '000	KD '000
Current liabilities	277,157	644,610
Non-current liabilities	1,610,938	845,742
	1,888,095	1,490,352

The carrying amounts of the Group’s bank borrowings are denominated in the following currencies equivalent to Kuwaiti Dinar:

	2025	2024
	KD '000	KD '000
US Dollar	393,778	456,915
Kuwaiti Dinar	773,252	587,337
Saudi Riyals	697,329	437,605
Jordanian Dinar	13,702	8,495
Others	10,034	-
	1,888,095	1,490,352

The average effective interest rate as at 31 December 2025 was 5.58% (31 December 2024 – 6.56%) per annum.

As on 31 December 2025, the Group is compliant with the principal covenant ratios, which include:

- consolidated net borrowings to adjusted consolidated Earnings Before Interest Tax Depreciation and Amortization (EBITDA);
- adjusted consolidated EBITDA to adjusted consolidated net interest payable;
- consolidated net borrowings to consolidated net worth (equity).

Also, the Group expects to comply with the covenants during 12 months after the reporting date.

Company

During the year, the Company has:

- drawn down loans amounting to KD 195.750 million from loan facilities (31 December 2024 - KD 351.280 million). This includes:
 - KD 90 million of revolving credit facility amounting to KD 420 million
 - KD 30 million of revolving credit facility amounting to KD 30 million
 - KD 20 million of revolving credit facility amounting to KD 100 million.
 - KD 18 million of long-term facility amounting to KD 93 million
 - KD 15 million of long-term facility amounting to KD 55 million
 - KD 12.750 million of revolving credit facility amounting to KD 12.750 million.
- repaid loans amounting to KD 15.417 million (31 December 2024 – KD 237.161 million). This includes
 - KD 10 million of a revolving credit facility amounting to KD 100 million.

The above facilities carry a fixed margin over three-month CME term Secured Overnight Financing Rate (CME term SOFR) or over the Central Bank Discount rate.

SMTC

Term loans include:

- (1) During the year, SMTC obtained a new Islamic Shariah compliant facility amounting to SAR 1,934 million (KD 157.505 million) repayable in a single bullet payment upon its maturity on 17 February 2030. The facility obtained is on commercial term, where the profit is payable on quarterly basis based on fixed margin and three months SAIBOR. This facility was utilized by SMTC to repay in full the amount payable to Ministry of Finance – KSA.

- (2) In 2024, SMTC availed facilities of SAR 1,125 million (KD 91.620 million) to fund for the CAPEX payment against several projects and SAR 500 million (KD 40.720 million) for receivables discounting. SMTC have availed SAR 1,012.210 million (KD 82.434 million) (31 December 2024: SAR 736 million equivalent to KD 60.470 million) of the CAPEX facility as at the reporting period. The interest amounting to SAR 59.310 million (KD 4.831 million) (31 December 2024: SAR 21.270 million equivalent to KD 1.748 million) has been capitalized by SMTC during period, based on effective interest rate of the loan. During the year, SMTC has fully paid the receivables discounting banking facility amounting to SAR 500 million (KD 40.720 million).
- (3) During the year, a subsidiary of SMTC availed working capital Murabaha facility of SAR 200 million (KD 16.288 million) to fund for the short-term expenditure and be repayable within twelve months. The subsidiary of SMTC have availed SAR 170 million (KD 13.845 million) from this facility as at the reporting period.
- (4) During the year, SMTC signed SAR 5,500 million (KD 447.920 million) syndicated Murabaha facility with commercial banks at three months SAIBOR plus margin. The proceeds of the loan have been used to pay existing Murabaha facility as mentioned below and receivables discounting banking facility, both maturing on 30 September 2025, amounting to SAR 4,700.800 million (KD 382.833 million) and SAR 500 million (KD 40.720 million). Unused facility amounting to SAR 300 million (KD 24.432 million) is withdrawn for CAPEX payment in line with SMTC’s CAPEX needs. The loan is repayable after one year grace period and in accordance with the terms of the agreement.
- (5) During the year, SMTC closed and paid the long-term facility amounting to SAR 4,700.800 million (KD 382.833 million) in full and total unused working capital facility against Murabaha Finance Agreement amounting to SAR 1,000 million (KD 81.440 million) has been cancelled.

Pella

Long-term loans mainly include:

- (1) US\$ 160 million (KD 49.232 million) (31 December 2024 – US\$ 160 million equivalent to KD 49.280 million) term loan from a commercial bank which is repayable by 1 October 2030.
- (2) US\$ 100 million (KD 30.770 million) (31 December 2024 – US\$ 100 million equivalent to KD 30.800 million) term loan from a commercial bank which is repayable by 31 August 2030.

Atheer

Long-term loans include:

- (1) US\$ 105 million (KD 32.309 million) (31 December 2024 – US\$ 105

- million equivalent to KD 32.340 million) term loan from a commercial bank which is repayable by 30 June 2026.
- (2) US\$ 131 million (KD 40.309 million) (31 December 2024 – US\$ 71 million equivalent to KD 21.868 million) revolving credit facilities from a commercial bank which is repayable by 17 December 2027. This includes converted term loan amounting to US\$ 50 million (KD 15.385 million).
- (3) US\$ 100 million (KD 30.770 million) (31 December 2024 – US\$ 100 million equivalent to KD 30.800 million) term loan from a commercial bank which is repayable by 30 July 2026.
- (4) US\$ 60 million (KD 18.462 million) (31 December 2024 – US\$ 50 million equivalent to KD 15.400 million) term loan from a commercial bank which is repayable by 24 April 2027.
- (5) US\$ 125 million (KD 38.463 million) (31 December 2024 – US\$ 125 million equivalent to KD 38.500 million) term loan from a commercial bank which is repayable by 01 May 2029.
- (6) US\$ 100 million (KD 30.770 million) (31 December 2024 – US\$ 100 million equivalent to KD 30.800 million) term loan from a commercial bank which is repayable by 19 August 2027.
- (7) IQD 40 billion (KD 9.324 million) (31 December 2024 - nil) term loan from a commercial bank which is repayable by 08 April 2027. The facility is guaranteed by the Immediate Parent of Atheer and carry a fixed interest rate.

These facilities are guaranteed by the Company except point no.7 mentioned above and carry a floating interest rate of a fixed margin over three-month SOFR.

17. Lease liabilities

	2025	2024
	KD '000	KD '000
Balance as of 1 January	212,316	175,901
Acquisition of subsidiaries	140	678
Additions	86,172	67,129
Accretion of interest	17,676	14,383
Payments	(47,624)	(59,379)
Retirements and modifications	916	14,576
Transfers (to) / from liabilities classified as held for sale	(12,434)	636
Exchange adjustments	(3,096)	(1,608)
Closing balance as at 31 December	254,066	212,316
Current	40,194	28,230
Non-current	213,872	184,086
	254,066	212,316

Maturity analysis of lease liability is given in note 30 to the consolidated financial statements.

The weighted average lessee’s incremental borrowing rate applied to the lease liabilities was in the range of 4% to 21% (2024: 3% to 21%).

The carrying amounts of the lease liabilities are denominated in the following currencies:

	2025	2024
	KD '000	KD '000
Saudi Riyals	147,690	122,336
US Dollar	9,984	12,029
Jordanian Dinar	12,661	12,886
Bahraini Dinar	17,121	17,472
Kuwaiti Dinar	15,993	13,559
Others	50,617	34,034
	254,066	212,316

18. Other non-current liabilities

	2025	2024
	KD '000	KD '000
Payable to Ministry of Finance – KSA (refer below)	-	123,055
Due for acquisition of spectrum	137,418	143,654
Customer deposits	2,593	2,596
Post-employment benefits	58,193	54,870
	198,204	324,175

During 2025, SMTC fully settled its outstanding payable to Ministry of Finance, KSA related to the liability maturing in June 2027. In 2024, the current portion of these payables were recorded under trade and other payables amounting to SAR 447.698 million (KD 36.783 million).

19. Share capital and reserves

Share capital (par value of KD 0.100 per share)

	2025		2024	
	No. of shares	KD '000	No. of shares	KD '000
Authorised, Issued and fully paid up (in cash and bonus shares)	4,327,058,909	432,706	4,327,058,909	432,706

Reserves

	Legal reserve	Foreign currency translation reserve	Investment fair valuation reserve	Other reserves	Retained earnings	Total reserves
	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000
Balance at 1 January 2025 (restated)	216,354	(692,995)	(13,994)	2,050	(423,813)	(912,398)
Profit for the year	-	-	-	-	238,526	238,526
Other comprehensive income / (loss) for the year	-	10,965	(2,089)	(238)	-	8,638
Total comprehensive income / (loss) for the year	-	10,965	(2,089)	(238)	238,526	247,164
Transactions with shareholders of the Company, recognized directly in equity:						
Cash dividends (2024) and interim dividends (2025) (note 19)	-	-	-	-	(259,623)	(259,623)
Purchase of non-controlling interest	-	-	-	-	(318)	(318)
Equity restructuring	(1)	-	-	-	445,228	445,227
Balance at 31 December 2025	216,353	(682,030)	(16,083)	1,812	-	(479,948)
Balance at 1 January 2024 (as reported)	216,354	(1,556,226)	(14,070)	2,998	457,025	(893,919)
Impact of hyperinflation adjustments (note 34)	-	845,087	-	-	(846,661)	(1,574)
Balance at 1 January 2024 (restated)	216,354	(711,139)	(14,070)	2,998	(389,636)	(895,493)
Profit for the year (restated)	-	-	-	-	117,270	117,270
Other comprehensive income / (loss) for the year (restated)	-	18,144	76	(948)	-	17,272
Total comprehensive income / (loss) for the year (restated)	-	18,144	76	(948)	117,270	134,542
Transactions with shareholders of the Company, recognized directly in equity:						
Cash dividends (2023) and interim dividends (2024) (note 19)	-	-	-	-	(151,447)	(151,447)
Balance at 31 December 2024 (restated)	216,354	(692,995)	(13,994)	2,050	(423,813)	(912,398)

Legal reserve

In accordance with the Companies Law and the Company’s Articles of Association, 10% of the profit for the year has to be appropriated towards legal reserve until such time it reaches a minimum of 50% of the share capital (the “threshold”). The Company has not made any transfers to legal reserve during the year as it has reached the threshold. This reserve can be utilized only for distribution of a maximum dividend of 5% in years when retained earnings are inadequate for this purpose.

Voluntary reserve

The Company’s Articles of Association provide for the Board of Directors

to propose appropriations to voluntary reserve up to a maximum of 50% of its share capital. During the year, the Board of Directors did not propose any transfer (2024 - Nil).

Foreign currency translation reserve

Foreign currency translation reserve mainly represents foreign exchange translation losses arising from Zain Sudan and Zain South Sudan.

Other reserves

Other reserves mainly include hedge reserves gain amounting to Nil (2024- KD 1.373 million).

Dividend

	2025	2024
	Fils	Fils
Interim dividend	35	10
Proposed dividend	-	25
Total dividend	35	35

Dividend – 2024

The annual general meeting of shareholders for the year ended 31 December 2024 held on 16 April 2025 approved distribution of a cash dividend of 25 fils per share to the registered shareholders, for the second half of the year 2024, after obtaining necessary regulatory approvals. This is in addition to the interim dividend of 10 fils distributed earlier in 2024 totaling 35 fils per share for the year 2024 (31 December 2023 – 35 fils per share).

Dividend - 2025

The Board of Directors, in their meeting held on 12 August 2025, declared distribution of 10 fils per share as interim dividend in cash.

Furthermore, the Board of Directors in their meeting held on 28 October 2025 declared distribution of a second interim cash dividend of 25 fils per share. This is in addition to the first interim dividend of 10 fils per share.

Equity Restructuring

During the year, the Group applied International Accounting Standard (IAS) 29, "Financial Reporting in Hyperinflationary Economies," to its operations in Sudan, effective from 1 January 2015. Refer note 34 for further information. The cumulative impact resulted in accumulated losses within retained earnings.

The Extraordinary General Assembly held on 4 December 2025 authorised the Board of Directors to utilise voluntary and statutory reserves, as well as share premium, to offset any accumulated losses arising from the application of IAS 29 for the financial year ending 31 December 2025.

In accordance with this resolution, the Board of Directors approved a transfer from the share premium account to eliminate the deficit in retained earnings. The restructuring is detailed as follows:

31 December 2025	
KD '000	
Accumulated Losses in retained earnings before restructuring	(445,228)
Offset against legal reserve	1
Offset against share premium	445,227
Balance after restructuring	-

20. Revenue

20.1 Disaggregated revenue information

The total revenue disaggregated by major service lines is:

	2025	2024 (Restated)
	KD '000	KD '000
Airtime, data, subscription and other services –Over time	1,982,703	1,745,000
Trading income - Point in time	300,288	252,953
	2,282,991	1,997,953

The total revenue disaggregated by primary geographical market and timing of revenue recognition is disclosed in note 26.

The Group has recognized the following contract assets and liabilities related to contract with customers;

20.2 Contract balances

Contract assets

	2025	2024
	KD '000	KD '000
Assets relating to sale of handsets		
Current and non-current	184,162	157,464
Loss allowance	(1,329)	(1,518)
	182,833	155,946

Contract Liabilities

	2025	2024
	KD '000	KD '000
Deferred revenue - prepaid customers (current)	53,207	54,148
Deferred revenue – government grants (non-current)	26,738	6,745
	79,945	60,893

21. Cost of sales and operating and administrative expenses

21.1 Cost of sales

Cost of sales comprises of access charges, trading cost, dealer commission and regulatory revenue sharing. Cost of sales do not include repairs and maintenance, license and spectrum cost, staff costs, depreciation and amortization and other directly attributable costs.

21.2 Operating and administrative expenses

Operating and administrative expenses also includes staff costs of KD 189.130 million (2024 (restated): KD 177.457 million).

22. Investment income

	2025	2024
	KD '000	KD '000
Gain from investment securities at mandatorily at FVTPL	772	330
Gain from investment securities designated at inception as FVTPL	29,259	7,881
Dividend income	117	108
	30,148	8,319

23. Finance cost

Finance cost consists of:

	2025	2024 (Restated)
	KD '000	KD '000
Interest on bank borrowings	93,599	84,776
Finance cost on lease liabilities*	17,752	14,418
Interest relating to license and spectrum payable	11,098	9,768
Interest amount payable to Ministry of Finance (KSA)	1,385	12,996
Others	2,123	4,079
	125,957	126,037

* Includes impact of application of IAS 29 in Sudan

24. Taxation

	2025	2024 (Restated)
	KD '000	KD '000
Contribution to Kuwait foundation for Advancement of Sciences (KFAS)	2,416	2,153
National Labour Support Tax (NLST)	-	1,520
Zakat ⁽¹⁾	7,046	(1,026) ⁽²⁾
Domestic minimum top-up tax (DMTT)	5,545	-
Taxation related to subsidiaries	27,544	17,812
	42,551	20,459

(1) Zakat for the current period represents Zakat expenses of overseas subsidiaries.

(2) This amount is stated after recognizing Zakat expense of SAR 33.890 million (KD 2.790 million) recorded in 2024 by Zain KSA, along with a reversal of excess provisions from prior years arising from regulatory changes in KSA. In March 2024, the Zakat, Tax and Customs Authority (ZATCA), KSA announced the issuance of a new regulation replacing the existing regulation. SMTC reassessed the provision and consequently reversed excess provision charged in prior years, amounting to SAR 75.770 million (KD 6.239 million).

The Group is within the scope of the Organization for Economic Co-operation and Development (OECD) Inclusive Framework on Base Erosion and Profit Shifting (BEPS) Pillar Two model rules, which require multinational enterprise (MNE) groups with consolidated revenues exceeding EUR 750 million to be subject to a minimum effective tax rate of 15% in each jurisdiction in which they operate.

The Group operates in various jurisdictions, out of those, from the material jurisdictions, only Kuwait, Bahrain, UAE and Netherlands have enacted the Pillar Two legislation. Further Netherlands has also adopted Income Inclusion Rule (IIR) and the Undertaxed Profits Rule (UTPR). Other jurisdictions are still in process of evaluating the implementation of the Pillar Two legislation.

On 31 December 2024, the State of Kuwait enacted Law No. 157 of 2024 (the Law) introducing a Domestic Minimum Top-Up Tax (DMTT) effective from 1 January 2025. The Law provides that a top-up tax shall be payable on the taxable income at a rate equal to the difference between 15% and the effective tax rate of all constituent entities of the MNE group operating within Kuwait. The taxable income and effective tax rate are computed in accordance with the executive regulations issued through Ministerial

Resolution No. 55 of 2025. The Law effectively replaces the existing National Labour Support Tax (NLST) and Zakat tax regimes in Kuwait for MNEs within the scope of this Law.

25. Earnings per share

Basic and diluted earnings per share based on weighted average number of shares outstanding during the year are as follows:

	2025	2024 (Restated)
	KD '000	KD '000
Profit for the year attributable to shareholders of the Company:		
From continuing operations	238,526	116,557
From discontinued operations	-	713
	Shares	Shares
Weighted average number of shares in issue outstanding during the year	4,327,058,909	4,327,058,909
	Fils	Fils
Basic and diluted earnings per share		
From continuing operations	55	27
From discontinued operations	-	0.16

26. Segmental information

The Company and its subsidiaries operate in a single business segment, telecommunications and related services. Apart from its operations in Kuwait, the Company also operates through its foreign subsidiaries in Jordan, Sudan, Iraq, Bahrain, KSA, Lebanon and South Sudan. This forms the basis of the geographical segments.

Based on the disclosure criterion, the Group has identified its telecommunications operations in Kuwait, Jordan, Sudan, Iraq, Bahrain and KSA as the basis for disclosing the segment information.

	31 December 2025							
	Kuwait	Jordan	Sudan	Iraq	Bahrain	KSA	Others	Total
	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000
Segment revenues – airtime, data, subscriptions and other services (Point over time)	256,832	167,905	198,394	380,195	53,037	776,221	150,119	1,982,703
Segment revenues - trading income (Point in time)	129,494	14,518	4,988	15,976	14,011	121,272	29	300,288
Net profit before interest and tax	84,792	40,667	103,423	77,504	5,848	103,645	(10,572)	405,307
Interest income	3,346	172	1,463	417	290	1,206	3,046	9,940
Finance costs	(1,132)	(10,916)	(1,131)	(22,408)	(1,269)	(55,563)	(1,146)	(93,565)
Income tax expenses	(191)	(7,075)	(14,422)	(9,489)	-	-	(938)	(32,115)
	86,815	22,848	89,333	46,024	4,869	49,288	(9,610)	289,567
Unallocated items:								
Investment income								30,148
Share of results of associates and joint venture								30,089
Others (including unallocated interest income, income tax and finance costs net of elimination)								(66,291)
Profit for the year								283,513
Segment assets including allocated goodwill	624,956	426,004	182,682	1,134,996	103,980	2,263,891	480,174	5,216,683
ROU asset	27,193	10,021	3,558	37,204	16,631	114,066	4,797	213,470
Unallocated items:								
Investment securities at FVTPL								85,058
Investment securities at FVOCI								11,949
Investment in associates and joint venture								119,660
Others (net of eliminations)								267,419
Consolidated assets								5,914,239
Segment liabilities	359,532	136,339	78,767	300,972	29,427	615,160	457,580	1,977,777
Lease liabilities (current & non-current)	24,801	12,439	2,072	44,936	17,121	147,690	5,007	254,066
Bank borrowings	-	90,171	-	213,960	-	697,329	4,210	1,005,670
	384,333	238,949	80,839	559,868	46,548	1,460,179	466,797	3,237,513
Unallocated items:								
Bank borrowings								882,425
Others (net of eliminations)								(169,102)
Consolidated liabilities								3,950,836
Net consolidated assets								1,963,403
Capital expenditure incurred during the year	83,956	27,107	30,225	170,432	10,953	109,893	21,152	453,718
Unallocated (net of eliminations)								2,117
Total capital expenditure								455,835
Depreciation and impairment of property and equipment and amortization of intangible assets	43,846	27,962	5,253	58,850	9,700	151,352	11,355	308,318
Amortization of ROU assets	9,195	1,533	1,079	4,472	3,800	25,222	957	46,258
Unallocated (net of elimination)								(696)
Total depreciation, amortization and impairment								353,880

	31 December 2024							
	Kuwait*	Jordan	Sudan(Restated)	Iraq	Bahrain	KSA	Others	Total (Restated)
	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000
Segment revenues – airtime, data, subscriptions and other services (Over time)	244,773	159,831	101,903	329,556	50,493	751,994	106,450	1,745,000
Segment revenues - trading income (Point in time)	128,416	10,870	3,866	1,660	12,356	95,704	81	252,953
Net profit before interest and tax	108,659	42,084	(49,275)	69,062	5,505	104,491	(10,184)	270,342
Interest income	2,605	330	1,168	756	325	2,642	221	8,047
Gain on sale and lease back transaction	-	-	-	-	-	1,727	-	1,727
Finance costs	(1,042)	(10,818)	(1,471)	(23,844)	(1,012)	(60,104)	(674)	(98,965)
Income tax expenses	-	(7,498)	(3,367)	(6,099)	-	-	63	(16,901)
	110,222	24,098	(52,945)	39,875	4,818	48,756	(10,574)	164,250
Unallocated items:								
Investment income								8,319
Share of results of associates and joint venture								2,306
Others (including unallocated interest income, income tax and finance costs net of elimination)								(14,335)
Profit for the year								160,540
Segment assets including allocated goodwill	553,209	420,870	74,106	1,062,239	98,743	2,260,460	212,270	4,681,897
ROU asset	27,578	10,344	1,049	24,232	17,199	90,224	2,353	172,979
Unallocated items:								
Investment securities at FVTPL								51,504
Investment securities at FVOCI								12,850
Investment in associates and joint venture								207,073
Others (net of eliminations)								137,806
Consolidated assets								5,264,109
Segment liabilities	253,337	145,776	40,078	202,675	26,474	799,671	224,626	1,692,637
Lease liabilities (current & non-current)	24,097	12,643	1,229	32,246	17,472	122,336	2,293	212,316
Bank borrowings	-	86,593	-	185,108	-	514,707	2,133	788,541
	277,434	245,012	41,307	420,029	43,946	1,436,714	229,052	2,693,494
Unallocated items:								
Bank borrowings								701,811
Others (net of eliminations)								(93,087)
Consolidated liabilities								3,302,218
Consolidated net assets								1,961,891
Capital expenditure incurred during the year	38,655	27,733	42,002	74,762	10,065	121,250	11,472	325,939
Unallocated (net of eliminations)								1,549
Total capital expenditure								327,488
Depreciation and impairment of property and equipment and amortization of intangible assets	43,577	25,413	60,357	61,242	11,104	153,040	6,368	361,101
Amortization of ROU assets	7,360	1,430	1,374	3,449	3,649	21,251	526	39,039
Unallocated (net of elimination)								3,832
Total depreciation, amortization and impairment								403,972

*Figure disclosed under Kuwait includes gain on business combination and results from discontinued operations as disclosed in note 9.2

27. Subsidiaries with significant non-controlling interests

The summarized financial information for the Group’s subsidiaries that have significant non-controlling interests is set out below.

	SMTC		Al Khatem, Iraq		Zain Bahrain	
	2025	2024	2025	2024	2025	2024
	KD '000	KD '000	KD '000	KD '000	KD '000	KD '000
Non-controlling interest %	62.955%	62.955%	24.000%	24.000%	34.890%	34.890%
Current assets	663,100	600,826	228,254	244,092	33,133	30,529
Non-current assets	1,678,570	1,710,783	842,329	740,663	87,479	85,413
Current liabilities	(518,411)	(1,050,175)	(378,883)	(278,546)	(31,630)	(28,687)
Non-current liabilities	(937,521)	(381,760)	(180,985)	(141,483)	(14,917)	(15,259)
Non-controlling interests	(459)	-	-	-	(969)	(1,036)
Equity attributable to:						
- Owners of the Company	327,952	325,875	388,138	429,186	47,593	46,202
- Non-controlling interests	557,786	553,799	122,577	135,540	26,472	25,794
Revenue	897,493	847,698	396,171	331,216	67,048	62,849
Profit for the year	49,288	48,756	46,024	39,875	4,869	4,818
Other comprehensive income	259	(2,584)	-	-	-	-
Total comprehensive income	49,547	46,172	46,024	39,875	4,869	4,818
Total comprehensive income attributable to:						
- Owners of the Company	18,029	17,104	34,978	30,304	3,170	3,137
- Non-controlling interests	31,518	29,068	11,046	9,571	1,699	1,681
	49,547	46,172	46,024	39,875	4,869	4,818
Cash dividend paid to non-controlling Interests	(23,298)	(22,968)	(20,273)	-	(930)	(933)
Net cash flow from operating activities	144,970	131,126	127,130	122,728	17,672	14,654
Net cash flow used in investing activities	(40,199)	(51,716)	(85,209)	(43,600)	(6,992)	(9,724)
Net cash flow used in financing activities	(96,060)	(88,034)	(79,453)	(57,712)	(5,984)	(6,090)
Effects of exchange rate changes on cash and cash equivalents	(236)	269	(256)	151	47	28
Net increase / (decrease) in cash Flows	8,711	(8,624)	(37,532)	21,416	4,695	(1,160)

28. Related party transactions

The Group has entered into transactions with related parties on terms approved by management. Transactions and balances with related parties (in addition to those disclosed in other notes) are as follows:

	2025	2024
	KD '000	KD '000
Transactions		
Revenue from Parent Company	18,109	11,952
Cost of sales from Parent Company	77,069	21,398
Operating expenses from Parent Company	3,057	4,489
Services rendered by associates	-	35,233
Key management compensation		
Salaries and other short term employee benefits (excluding BOD remuneration)	3,123	3,186
Post-employment benefits	806	739
Balances		
Trade receivables (from parent company)	20,706	4,477
Trade and other receivables (from associates)	-	30,571
Other non-current assets (from associates)	-	12,692
Trade payables (to parent company)	44,020	13,609
Trade payables (to associates)	-	21,718

The group has entered into transactions with Kuwait government in the ordinary course of business.

29. Commitments and contingencies

	2025	2024
	KD '000	KD '000
Capital commitments	303,921	342,313
Uncalled share capital of investee companies	610	657
Letters of guarantee and credit	59,795	59,909

Atheer - Iraq

- (a) On 10 September 2023, the Communication and Media Commission of Iraq (“CMC”) imposed a fine of US\$ 75 million (KD 23.100 million) on Atheer for failing to meet 4G QoS (‘Quality of Service’) KPIs for the year 2022. Atheer believes that there is an error in the fine calculation regarding coverage obligation. On 9 October 2023, Atheer challenged the decision before the Appeals Board. On 13 June 2024, the Appeals Board issued a decision in favor of CMC. On 7th July 2024, Atheer submitted a petition to the Board of Commissioners (the legislative body of the CMC), articulating that the petition stems from a fundamental error, requesting them to cancel the fine. On 19 August 2024, the CMC rejected the petition and issued a demand to pay the fine amount. On 27 August 2024, the Atheer's attorneys filed another appeal, urging the Appeals Board to correct its decision on the grounds that it is fundamentally flawed as explained above.

In August 2024, a new fine amounting to US\$ 1 million (KD 0.308 million) was imposed by CMC for failing to meet 4G QoS KPIs for the second half of the year 2023. This amount is significantly lower as compared to the fine levied for year 2022 and first half of year 2023. Furthermore, a new QoS regulation is expected to be issued, which may support Atheer’s case in challenging the fine.

During the year ended 31 December 2025, the Appeals Board issued final and binding decisions on US\$ 66.8 million (KD 20.554 million) out of the total US\$ 75 million (KD 23.078 million) fine, reducing that portion to US\$ 2.310 million (KD 0.711 million). These final outcomes reflect both the correction of material calculation errors and the application of the updated regulatory criteria. The decisions issued by the CMC Appeals Board are definitive, irrevocable, and carry full legal force. The remaining fine of US\$ 8.200 million (KD 2.523 million) is currently under review by the Appeal Court, following a similar process and based on the new QoS regulations. Atheer believes that this remaining fine amount is expected to be reduced to approximately US\$ 1 million (KD 0.308 million).

- (b) Newroz Telecom, based in the Kurdistan region, has initiated a

preliminary lawsuit in the first instance court against Atheer and Huawei. The claim is predicated on allegations that the unlicensed installation of 4G equipment has caused harm to Newroz Telecom's infrastructure requesting US\$ 50 million (KD 15.400 million) from Atheer and Huawei jointly. Atheer operates under a national license issued by the CMC, the competent federal authority. The CMC is anticipated to issue a statement to the court affirming Atheer's lawful nationwide authorization to provide 4G services, as well as confirming that Huawei holds the necessary credentials as an authorized vendor for the equipment supplied. Atheer has submitted both formal and substantive defenses and is currently awaiting the plaintiff's responses. The court has notified the plaintiff to reply to Atheer’s statements. Based on the Atheer's attorneys report, the Group believes that Atheer has strong legal grounds and compelling arguments to successfully challenge and revoke the opposing claim.

Pella - Jordan

Pella is a defendant in multiple lawsuits amounting to KD 7.581 million (31 December 2024 – KD 7.606 million). Based on the report of its attorneys, the Group is of the view that the outcome of these proceedings will be favorable for Pella.

SMTC

- (a) SMTC received withholding tax (“WHT”) assessments from Zakat, Tax and Customs Authority (“ZATCA”) for an additional amount of SAR 100 million (KD 8.144 million) for certain withholding tax items for the years from 2015 to 2021. SMTC has appealed these assessments against the relevant committees. SMTC believes that the outcome of those appeals will be in its favor with no material financial impact.
- (b) SMTC was also subjected to WHT, for the years from 2012 to 2021, on International Interconnect traffic from ZATCA for payments made to International Operators and SMTC has received WHT assessment from ZATCA with respect to this. For the assessments received from ZATCA, SMTC has rejected these claims and appealed at various judiciary bodies against these assessments. In the process of appealing against these claims, SMTC had paid an amount of SAR 8.37 million (KD 0.688 million) and created a provision of SAR 148.18 million (KD 12.174 million).

However, during the year ended 31 December 2024, SMTC received communication from ZATCA that the dues for WHT on International traffic will be borne by the Government. Accordingly, SMTC has reversed the provision of SAR 148.18 million (KD 12.174 million) during the previous year. The amount paid of SAR 8.37 million (KD 0.688 million) will be settled by SMTC with dues payable to ZATCA for other ongoing assessments. There is no change in the status during the year ended 31 December 2025.

Kuwait

In 2023, following the favorable judgments issued by the Court of First Instance and the Court of Appeal, the Group received KD 24.680 million from the telecommunications regulator in Kuwait in respect of the regulatory tariff (number range) legal case and recognized the amount in the consolidated statement of profit or loss for the year ended 31 December 2023. On 13 January 2026, the Court of Cassation annulled the judgment under appeal on the basis that the Commercial Circuit lacked jurisdiction and referred the matter to the competent Administrative Circuit for determination. Accordingly, the Group recognized appropriate provisions as at 31 December 2025 to reflect this development. The proceedings remain ongoing, and the outcome cannot be determined at this stage.

In addition, legal proceedings have been initiated by and against the Group in some jurisdictions. On the basis of information currently available and the advice of the legal advisors, Group management is of the opinion that the outcome of these proceedings is unlikely to have a material adverse effect on the consolidated financial position or the consolidated performance of the Group.

30. Financial risk management

The Group’s financial assets have been categorized as follows:

	Amortized costs	At FVTPL	At FVOCI
	KD '000	KD '000	KD '000
31 December 2025			
Bank and cash balances	310,872	-	-
Bank balances held in customers’ account	41,745	-	-
Trade and other receivables	1,027,201	-	-
Investment securities	-	85,058	12,833
	1,379,818	85,058	12,833
31 December 2024			
Bank and cash balances	195,930	-	-
Bank balances held in customers’ account	15,928	-	-
Trade and other receivables	876,253	-	-
Investment securities	-	51,504	13,748
Other assets	11,570	-	-
	1,099,681	51,504	13,748

All financial liabilities are categorized at amortized cost.

Financial risk factors

The Group’s use of financial instruments exposes it to a variety of financial risks such as market risk, credit risk and liquidity risk. The Group continuously reviews its risk exposures and takes measures to limit it to acceptable levels. The Board of Directors has the overall responsibility for the establishment and oversight of the Group’s risk management framework and developing and monitoring the risk management policies in close co-operation with the Group’s operating units. The Group’s risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and Group’s activities. The Group through its training, management standards and procedures aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations. The Group’s Board Committee oversees how management monitors compliance with the risk management policies and procedures and reviews adequacy of the risk management framework in relation to the risks faced by the Group. The Board Committee is assisted in its oversight role by the Internal audit and the Group risk management department. The significant risks that the Group is exposed to are discussed below:

(a) Market risk

Market risk is the risk that changes in market prices - e.g. foreign exchange rates, interest rates and equity prices - will affect the Group’s income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

(i) Foreign exchange risk

Foreign currency risk is the risk that the fair values or future cash flows of a financial instrument will fluctuate due to changes in foreign exchange rates. The Group is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US Dollar. Foreign exchange risk arises from future commercial transactions, recognised assets, recognised liabilities and net investments in foreign operations.

Group management has set up a policy that requires Group companies to manage their foreign exchange risk against their functional currency. Foreign exchange risk arises when future commercial transactions or recognised assets or liabilities are denominated in a currency that is not the entity’s functional currency.

The Group is primarily exposed to foreign currency risk as a result of foreign exchange gains/losses on translation of foreign currency denominated assets and liabilities such as trade and other receivables, trade and other payables and bank borrowings. The impact on the post tax consolidated

profit arising from a 10% weakening/strengthening of the functional currency against the major currencies to which the Group is exposed is given below:

Currency	2025	2024
	KD ‘000	KD ‘000
US Dollar	4,377	10,687
Euro	202	33
Other	2,254	4,735

(ii) Equity price risk

This is the risk that the value of financial instruments will fluctuate as a result of changes in market prices, whether these changes are caused by factors specific to individual instrument or its issuer or factors affecting all instruments, traded in the market. The Group is exposed to equity securities price risk because of investments held by the Group and classified in the consolidated statement of financial position as FVOCI and FVTPL. The Group is not exposed to commodity price risk. To manage its price risk arising from investments in equity securities, the Group diversifies its portfolio. Diversification of the portfolio is done in accordance with the limits set by the Group.

The effect on the consolidated profit as a result of changes in fair value of equity instruments classified as ‘at fair value through profit or loss’ and the effect on equity of equity instruments classified as ‘fair value through other comprehensive income’ arising from a 5% increase/ decrease in equity market index, with all other variables held constant is as follows:

	2025		2024	
Market indices	Impact on net profit	Effect on equity	Impact on net profit	Effect on Equity
	KD ‘000	KD ‘000	KD ‘000	KD ‘000
Kuwait Stock Exchange	±207	±176	±168	±159

(iii) Cash flow and fair value interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Group’s interest rate risk arises from short-term bank deposits and bank borrowings carried at amortized cost. Borrowings issued at variable rates expose the Group to cash flow interest rate risk. The Group’s borrowings at variable rates are denominated mainly in US Dollars.

The Group analyses its interest rate exposure on a dynamic basis. Various scenarios are simulated taking into consideration refinancing, renewal of existing positions and alternative financing. Based on these scenarios, the Group calculates the impact on consolidated statement of profit or loss of a defined interest rate shift. For each simulation, the same interest rate shift is used for all currencies. The scenarios are run only for liabilities that represent the major interest-bearing positions. The Group manages interest rate risk by monitoring interest rate movements and by using Interest Rate Swaps to hedge interest rate risk exposures. Hedging activities are evaluated regularly to align with interest rate views and defined risk appetite, ensuring the most cost-effective hedging strategies are applied.

At 31 December 2025, if interest rates at that date had been 50 basis points higher/lower with all other variables held constant, consolidated profit for the year would have been lower/higher by KD 8.739 million (2024: KD 7.245 million).

(b) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation causing the other party to incur a financial loss. Financial assets, which potentially subject the Group to credit risk, consist principally of fixed and short notice bank deposits, trade and other receivables, contract assets and due from associates.

The Group manages the credit risk on bank balances by placing fixed and short term bank deposits with high credit rating financial institutions. Credit risk with respect to trade receivables and contract assets is limited due to dispersion across large number of customers. Group manages credit risk of customers by continuously monitoring and using experienced collection agencies to recover past due outstanding amounts. Credit risk of distributors, roaming and interconnect operators, due from associates and others including third parties on whose behalf financial guarantees are issued by the Group is managed by periodic evaluation of their credit worthiness or obtaining bank guarantees in certain cases.

Expected credit loss (ECL) measurement

IFRS 9 outlines a ‘three-stage’ model for impairment based on changes in credit quality since initial recognition wherein if a financial instrument that is not credit-impaired on initial recognition is classified in Stage 1. If a significant increase in credit risk (‘SICR’) since initial recognition is identified, the financial instrument is moved to Stage 2 but is not yet deemed to be credit-impaired and if the financial instrument is credit-impaired, the financial instrument is then moved to Stage 3.

Significant increase in credit risk

When determining whether the risk of default has increased significantly since initial recognition, the Group considers quantitative, qualitative information and backstop indicators and analysis based on the Group’s historical experience and expert credit risk assessment, including forward-looking information. For customer, distributors, roaming and interconnect trade receivables significant increase in credit risk criteria does not apply since the group is using simplified approach which requires use of lifetime expected loss provision.

For bank and cash balances, the Group uses the low credit risk exemption as permitted by IFRS 9 based on the external rating agency credit grades, except bank balances in Lebanon. If the financial instrument is rated below BBB- (sub investment grade) on the reporting date, the Group considers it as significant increase in credit risk.

Financial instrument is determined to have low credit risk if:

- The financial instrument has a low risk of default,
- The debtor has a strong capacity to meet its contractual cash flow obligations in the near term, and
- Adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

The Group considers a financial asset to have low credit risk when the asset has external credit rating of ‘investment grade’ in accordance with the globally understood definition or if an external rating is not available, the asset has an internal rating of ‘performing’. Performing means that the counterparty has a strong financial position and there is no past due amounts.

Credit impaired assets

The Group considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Group in full, there is sufficient doubt about the ultimate collectability; or the customer is past due for more than 90 days.

Incorporation of forward looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. The Group has performed historical analysis and identified Gross Domestic Product (GDP) of each geography in which they operate as the key economic variables impacting credit risk and ECL for each portfolio. Relevant macro-economic adjustments are applied to capture variations

from economic scenarios. These reflect reasonable and supportable forecasts of future macro-economic conditions that are not captured within the base ECL calculations. Incorporating forward-looking information increases the degree of judgement required as to how changes in GDP will affect ECLs. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The following table contains an analysis of the maximum credit risk exposure of financial instruments for which an ECL allowance is recognized:

Market indices	ECL staging				
	Stage 1	Stage 2	Stage 3	Simplified approach	
	KD ‘000	KD ‘000	KD ‘000	KD ‘000	KD ‘000
	12-month	Lifetime	Lifetime	Lifetime	Total
At 31 December 2025					
Bank and cash balances	244,981	66,702	10,405	-	322,088
Bank balances held in customers’ account	23,414	18,860	-	-	42,274
Less: ECL	(690)	(1,115)	(10,314)	-	(12,119)
	267,705	84,447	91	-	352,243
Customers	-	-	-	611,841	611,841
Distributors	-	-	-	17,878	17,878
Contract assets	-	-	-	184,162	184,162
Less: ECL	-	-	-	(177,226)	(177,226)
	-	-	-	636,655	636,655
Roaming partners	-	-	-	25,119	25,119
Other operators (interconnect)	-	-	-	56,792	56,792
Less: ECL	-	-	-	(2,201)	(2,201)
	-	-	-	79,710	79,710
Other receivables	-	321,418	-	-	321,418
Less: ECL	-	(4,494)	-	-	(4,494)
	-	316,924	-	-	316,924
At 31 December 2024					
Bank and cash balances	131,407	62,692	25,905	-	220,004
Bank balances held in customers’ account	40	15,888	-	-	15,928
Less: ECL	(151)	(1,063)	(23,233)	-	(24,447)
	131,296	77,517	2,672	-	211,485
Customers	-	-	-	505,314	505,314
Distributors	-	-	-	24,971	24,971
Contract assets	-	-	-	157,464	157,464
Less: ECL	-	-	-	(156,508)	(156,508)
	-	-	-	531,241	531,241
Roaming partners	-	-	-	19,386	19,386
Other operators (interconnect)	-	-	-	62,867	62,867
Less: ECL	-	-	-	(2,104)	(2,104)
	-	-	-	80,149	80,149
Other receivables	-	242,944	-	-	242,944
Less: ECL	-	(6,093)	-	-	(6,093)
	-	236,851	-	-	236,851

ECL allowance of trade and other receivables are assessed as follows:

	2025	2024
	KD '000	KD '000
Collectively assessed	177,226	156,508
Individually assessed	6,695	8,197
	183,921	164,705

The following table shows the movement in the loss allowance that has been recognized for trade and other receivables and contract assets:

	Collectively assessed	Individually assessed	Total
	KD '000	KD '000	KD '000
1 January 2024	170,652	10,216	180,868
On business combination	(764)	(44)	(808)
Recoveries	3,731	-	3,731
Amounts written off	(67,662)	(2,570)	(70,232)
Foreign exchange gains and losses	(335)	(134)	(469)
Net increase in loss allowance	50,886	729	51,615
31 December 2024	156,508	8,197	164,705

1 January 2025	156,508	8,197	164,705
On business combination	466	17	483
Recoveries	210	314	524
Amounts written off	(22,146)	(978)	(23,124)
Foreign exchange gains and losses	(1,086)	(49)	(1,135)
Net increase in loss allowance	43,274	(806)	42,468
31 December 2025	177,226	6,695	183,921

For customer, distributor and contract assets the Group uses a provision matrix based on the historic default rates observed and adjusted for forward looking factors to measure ECL as given below.

	31 December 2025			31 December 2024		
Aging brackets of postpaid trade receivables	Estimated total gross carrying amount at default	Expected credit loss rate	Lifetime ECL	Estimated total gross carrying amount at default	Expected credit loss rate	Lifetime ECL
	KD '000	%	KD '000	KD '000	%	KD '000
Not due /< 30 days	358,341	1%	4,435	309,835	1%	2,525
31 – 60 days	47,088	3%	1,335	35,219	6%	1,952
61 – 90 days	32,998	3%	976	26,440	8%	2,210
91 – 180 days	52,185	8%	4,123	41,906	9%	3,691
> 181 days	323,269	51%	166,357	274,349	53%	146,130
	813,881		177,226	687,749		156,508

Credit quality of roaming, interconnect and other balances:

	2025	2024
	KD '000	KD '000
Credit quality – Performing	401,690	323,688
Impaired	1,639	1,509
ECL	(6,695)	(8,197)
	396,634	317,000

The net increase in the loss allowance during the year is mainly attributed to the increase in gross exposures at default, which are past due for more than 90 days.

The Group writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery.

(c) Liquidity risk

Liquidity risk is the risk that the Group may not be able to meet its funding requirements. The Group manages this risk by maintaining sufficient cash and marketable securities, availability of funding from committed credit facilities and its ability to close out market positions on short notice. The Company’s Board of Directors increases capital or borrowings based on ongoing review of funding requirements.

The Group has committed to provide working capital and other financial support to some of its affiliates (refer note 3). Other than the total cash and cash equivalents of KD 66.008 million (2024 - KD 21.232 million) equivalent held in Sudan, South Sudan and Lebanon, all other cash and cash equivalents are maintained in freely convertible currencies.

The table below analyses the Group’s financial liabilities into relevant maturity groupings based on the remaining period at the consolidated statement of financial position to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
	KD '000	KD '000	KD '000	KD '000

At 31 December 2025				
Bank borrowings	351,309	311,597	1,438,148	71,001
Trade and other payables	1,204,315	-	-	-
Other non-current liabilities				
Spectrum and license fees payable	43,955	24,379	60,697	108,508
Other	58,309	-	-	1,338
Lease liabilities	54,358	46,374	118,748	134,866

At 31 December 2024				
Bank borrowings	715,455	255,084	668,066	20,916
Trade and other payables	936,374	-	-	-
Other non-current liabilities				
Payable to Ministry of Finance – Saudi Arabia	38,298	62,913	66,361	-
Spectrum and license fees payable	17,640	43,079	71,597	46,238
Other	54,474	-	-	1,645
Lease liabilities	43,011	42,381	102,399	134,004

31. Derivative financial instruments

On 22 September 2020, SMTC entered into profit rate swaps, which matures in 2025. The maturity of the profit rate swap has been extended till the extended maturity of the refinanced loan. The average contracted fixed interest rate ranges from 2% to 3%. During the year, SMTC settled the loan resulting in the maturity of the profit rate swaps.

	Notional amounts by term to maturity		
	Positive fair value	Negative fair value	Notional amount
	KD '000	KD '000	KD '000

At 31 December 2025:

Derivatives held for hedging:

Cash flow hedges - Receive 3-month SAIBOR, pay fixed profit rate

Profit rate swaps (maturing after one year)	-	-	-
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At 31 December 2024:

Derivatives held for hedging:

Cash flow hedges - Receive 3-month SAIBOR/ SOFR, pay fixed profit rate

Profit rate swaps (maturing after one year)	2,342	-	157,747
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Profit rate swaps are contractual agreements between two parties to exchange interest based on notional value in a single currency for a fixed period of time. The Group uses profit rate swaps to hedge changes in interest rate risk arising from floating rate borrowings.

32. Capital risk management

The Group’s objectives when managing capital are to safeguard the Group’s ability to continue as a going concern in order to provide return on investment to shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital. In managing capital, the Group considers the financial covenants in various loan agreements that require the Group to maintain specific levels of debt-equity and leverage ratios.

In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity, as shown in the consolidated statement of financial position, plus net debt.

The gearing ratios at the consolidated statement of financial position dates were as follows:

	2025	2024 (Restated)
	KD '000	KD '000
Total borrowings including Lease liabilities (refer note 16 and 17)	2,142,161	1,702,668
Less: Cash and cash equivalents (refer note 4)	(310,872)	(195,930)
Net debt	1,831,289	1,506,738
Total equity	1,963,403	1,961,891
Total capital	3,794,692	3,468,629
Gearing ratio	48%	43%

33. Fair value of financial instruments

The fair value hierarchy of the Group’s financial instruments is as follows.

31 December 2025

	Level 1	Level 2	Level 3	Total
	KD '000	KD '000	KD '000	KD '000

Financial assets at fair value:

Investments at FVTPL	-	9,506	75,552	85,058
Investments at FVOCI	3,530	3,138	6,165	12,833
Total assets	3,530	12,644	81,717	97,891

31 December 2024

	Level 1	Level 2	Level 3	Total
	KD '000	KD '000	KD '000	KD '000

Financial assets at fair value:

Investments at FVTPL	-	8,368	43,136	51,504
Investments at FVOCI	3,174	2,891	7,683	13,748
Total assets	3,174	11,259	50,819	65,252

The fair value of financial assets classified as level 3 are, in certain circumstances, measured using valuation techniques that incorporate assumptions that are not evidenced by the prices from observable current market transactions in the same instrument and are not based on observable market data. The Group employs valuation techniques, depending on the instrument type and available market data. For example, in the absence of active market, an investment’s fair value is estimated on the basis of an analysis of the investee’s financial position and results, risk profile and other factors. Favorable and unfavorable changes in the value of financial assets are determined on the basis of changes in the value of the instruments as a result of varying the levels of the unobservable parameters, quantification of which is judgmental. Most of the Level 3 investment valuations are obtained from third party Fund Managers.

The increase in level 3 investments mainly represents new investments during the year and increase in fair value of investments.

Fair values of the financial instruments carried at amortized cost approximate their carrying value.

During the year, there were no transfers between any of the fair value hierarchy levels.

34. Hyperinflation –Sudan and South Sudan

Net monetary gain / (loss)

The Republic of South Sudan economy had become hyperinflationary in 2016. During the year, the Group also applied hyperinflation accounting (IAS 29) in Sudan since 2015. Accordingly, the results, cash flows and financial position of the Group’s subsidiary in Sudan and South Sudan have been expressed in terms of the measuring unit current at the reporting date in accordance with IAS 29. The effect on the net monetary position is included in the consolidated statement of profit or loss as 'net monetary gain / (loss)'. The adjustment has been calculated by means of conversion factors derived from the Consumer Price Index (CPI) obtained from the Central Bank of Sudan.

The conversion factors used to adjust the financial statements of the subsidiaries in hyperinflationary economies are as follows:

Sudan:

	Index	Conversion Factor (2025)	Conversion Factor (2024)	Conversion Factor (2023)
31 December 2014	468.75	1,393.15	800.66	278.17
31 December 2015	527.72	1,237.47	711.19	247.08
31 December 2016	688.51	948.48	545.11	189.38
31 December 2017	862.02	757.57	435.38	151.26
31 December 2018	1,490.77	438.06	251.76	87.47
31 December 2019	2,340.66	279.00	160.34	55.71
31 December 2020	8,644.06	75.55	43.42	15.08
31 December 2021	36,149.45	18.07	10.38	3.61
31 December 2022	67,707.91	9.64	5.54	1.93
31 December 2023	130,391.10	5.01	2.88	1
31 December 2024	375,310.50	1.74	1	
31 December 2025	653,040.27	1		

South Sudan:

	Index	Conversion Factor (2025)	Conversion Factor (2024)
31 December 2017	4,502.21	14.08	11.28
31 December 2018	6,305.98	10.05	8.05
31 December 2019	10,656.52	5.95	4.77
31 December 2020	16,840.60	3.76	3.02
31 December 2021	19,066.61	3.32	2.66
31 December 2022	13,622.24	4.65	3.73
31 December 2023	14,400.00	4.40	3.53
31 December 2024	50,782.65	1.25	1.00
31 December 2025	63,395.40	1.00	

The IAS 29 adjustment is affected as follows:

- (a) Financial statements prepared in the currency of a hyperinflationary economy are stated after applying the measuring unit current at statement of financial position date applicable for each of the respective years. Monetary assets and liabilities are not restated because they are already expressed in terms of the monetary unit current at the statement of financial position date. Monetary items are money held and items to be recovered or paid in money;
- (b) Non-monetary assets and liabilities that are not carried at amounts current at the statement of financial position date and components of shareholders' equity are restated by applying the relevant conversion factors;
- (c) All items in the income statement are adjusted by applying the relevant average or year-end conversion factors; and
- (d) The effect on the net monetary position of the Group is included in the consolidated statement of profit or loss as 'Net monetary (loss) / gain'.

For the consolidation of foreign operations operating in hyperinflationary economies refer note 2.3.18.

35. Significant accounting judgments and estimates

In accordance with the accounting policies contained in IFRS and adopted by the Group, management makes the following judgments and estimations that may significantly affect amounts reported in these consolidated financial statements.

Judgments

Business combinations

To allocate the cost of a business combination management exercises significant judgment to determine identifiable assets, liabilities and contingent liabilities whose fair value can be reliably measured, to determine provisional values on initial accounting and final values of a business combination and to determine the amount of goodwill and the Cash Generating Unit to which it should be allocated.

Consolidation of entities in which the Group holds less than a majority of voting right (de facto control)

The Group considers that it controls SMTC though it owns less than 50% of the voting rights. In assessing whether the Group has de-facto control, the management exercised significant judgment which takes into account many factors such as it being the single largest shareholder in SMTC, its majority representation in the Board, voting patterns of other dominant shareholders etc. If the Group had concluded that the ownership interest was insufficient to give the Group control in SMTC, it would instead have been classified as an associate and the Group would have accounted for it using the equity method of accounting.

Judgment on Equity Accounting for Investment (Shareholding >50%)

Until TASC became a subsidiary of the Group, the Group held more than 50% of the shares in TASC. Under IFRS 10, an entity is required to consolidate an investee when it has control. However, after assessing relevant factors such as governance structures, shareholder agreements, regulatory restrictions, and substantive rights of other shareholders, the Group had determined that it did not have unilateral control over TASC. Accordingly, in compliance with IAS 28, the investment was accounted for using the equity method, as the Group exercised significant influence rather than control. During 2025, TASC became a subsidiary of the Group. Refer to Notes 3 and 9.2.

Identifying performance obligations in a bundled sale of equipment and installation services

The Group provides telecommunications services that are either sold separately or bundled together with the sale of equipment (handsets) to a customer. The Group uses judgement in determining whether equipment and services are capable of being distinct. The fact that the Group regularly sells both equipment and services on a stand-alone basis indicates that the customer can benefit from both products on their own. Consequently, the Group allocated a portion of the transaction price to the equipment and the services based on relative stand-alone selling prices.

Principal versus agent considerations

Revenue from value added services (VAS) sharing arrangements depend on the analysis of the facts and circumstances surrounding these transactions. The determination of whether the Group is acting as an agent or principal in these transactions require significant judgement and depends on the following factors:

- The Group is primarily responsible for fulfilling the promise to provide the service.
- Whether the Group has inventory risk
- Whether the Group has discretion in establishing the price

Consideration of significant financing component in a contract

The Group sells bundled services on a monthly payment scheme over a period of one to three years.

In concluding whether there is a significant financing component in a contract requires significant judgements and is dependent on the length of time between the customers payment and the transfer of equipment to the customer, as well as the prevailing interest rates in the market. The Group has concluded that there is no significant financing component in its contract with customers after such assessment.

Assets held for sale

The Group has announced its decision to sell some of the telecom tower as-sets in Kuwait, Iraq and Jordan (including IHS and TASC). Part of these tele-com towers were sold during the year and the remaining towers are recorded under "assets and liabilities classified as held for sale". This is considered to have met the criteria as held for sale for the following reasons:

- (a) These assets are available for immediate sale and can be sold to the buyer in its current condition
- (b) The actions to complete the sale were initiated and expected to be completed within one year from the date of initial classification
- (c) A potential buyer has been identified and negotiations as at the reporting date are at an advance stage

These assets continued to be classified as non-current assets held for sale as the Group is committed to its plan to sell the assets and the delay was caused due to events and circumstances beyond the Group's control.

Classification of equity investments

On acquisition of an equity investment security, the Group decides whether it should be classified as fair value through profit or loss or fair value through other comprehensive income.

Contingent liabilities

Contingent liabilities are potential liabilities that arise from past events whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity. Provisions for liabilities are recorded when a loss is considered probable and can be reasonably estimated. The determination of whether or not a provision should be recorded for any potential liabilities or litigation is based on management’s judgment.

Hyperinflation

The Group exercises significant judgement in determining the onset of hyperinflation in countries in which it operates and whether the functional currency of its subsidiaries, associates or joint venture is the currency of a hyperinflationary economy.

Various characteristics of the economic environment of each country are taken into account. These characteristics include, but are not limited to, whether:

- the general population prefers to keep its wealth in non-monetary assets or in a relatively stable foreign currency;
- prices are quoted in a relatively stable foreign currency;
- sales or purchase prices take expected losses of purchasing power during a short credit period into account;
- interest rates, wages and prices are linked to a price index; and
- the cumulative inflation rate over three years is approaching, or exceeds, 100%.

Management exercises judgement as to when a restatement of the financial statements of a Group entity becomes necessary.

Determining the lease term

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension and termination options are included in a number of leases across the Group. These terms are used to maximise operational flexibility in terms of managing contracts. Extension options (or periods after termination options) are only included in the lease term if the lessee is reasonably certain to extend (or not to terminate) the lease. The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

Discounting of lease payments

The lease payments are discounted using the Company’s incremental

borrowing rate (“IBR”). Management has applied judgments and estimates to determine the IBR at the commencement of lease.

Provision for legal cases

The Group is involved in various legal and regulatory proceedings that arise in the normal course of business. Management assesses the likelihood of an adverse outcome for each case based on advice from external legal counsel, the current status of the proceedings, historical experience, and other relevant factors. Provisions are recognised only when it is determined that an outflow of economic resources is probable and a reliable estimate of the obligation can be made, in accordance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets. Due to the inherent uncertainties associated with litigation, the actual outcomes of these matters may differ from the estimates made as at the reporting date and the recognition of provisions involves significant estimation and judgment.

Sources of estimation uncertainty

Fair values – unquoted equity investments and business combinations

The valuation techniques for unquoted equity investments and identifiable assets, liabilities and contingent liabilities arising in a business combination make use of estimates such as future cash flows, discount factors, yield curves, current market prices adjusted for market, credit and model risks and related costs and other valuation techniques commonly used by market participants where appropriate.

Provision for expected credit losses of customer, distributor receivables and contract assets

The Group uses a provision matrix to calculate ECLs for customer, distributor receivables and contract assets. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns. The provision matrix is initially based on the Group’s historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year, which can lead to an increased number of defaults the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group’s historical credit loss experience and forecast of economic conditions may also not be representative of customer’s actual default in the future. The information about the ECLs on

the Group’s trade receivables and contract assets is disclosed in note 30.

Tangible and intangible assets

The Group estimates useful lives and residual values of tangible assets and intangible assets with definite useful lives. Changes in technology or intended period of use of these assets as well as changes in business prospects or economic industry factors may cause the estimate useful of life of these assets to change.

Taxes

The Group is subject to income taxes in numerous jurisdictions. Significant judgment is required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognizes a liability for anticipated taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Any changes in the estimates and assumptions used as well as the use of different, but equally reasonable estimates and assumptions may have an impact on the carrying values of the deferred tax assets.

Impairment of non-financial assets

The Group annually tests non-financial assets for impairment to determine their recoverable amounts based on value-in-use calculations or at fair value less costs to sell. The value in use includes estimates on growth rates of future cash flows, number of years used in the cash flow model and the discount rates. The fair value less cost to sell estimate is based on recent/intended market transactions and the related EBITDA multiples used in such transactions.

36. Restatement of Comparative information

In accordance with IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors and IAS 1 Preparation of Financial Statements, the comparative information has been restated to give effect to the following:

Restatement due to application of IAS 29 for subsidiaries in Sudan

During the current year, management applied IAS 29 Financial Reporting in Hyperinflationary Economies to the Group’s subsidiaries operating in Sudan. The Republic of Sudan has been a hyperinflationary economy since 2015. However, IAS 29 had not been applied previously to these operations. Accordingly, the financial information of the Sudan operations has been restated to reflect the current purchasing power at the reporting date. As a result, comparative information has been restated to reflect the impact of applying IAS 29 retrospectively from 2015.

The following tables summarize the impact on Group’s consolidated financial statements:

As at 1 January 2024

Consolidated statement of financial position

	As reported	Effect of restatement	As restated
	KD '000	KD '000	KD '000
Assets			
Inventories	54,945	-	54,945
Right of use assets	128,191	-	128,191
Property and equipment	1,109,050	-	1,109,050
Intangible assets and goodwill	2,036,624	(1,402)	2,035,222
Total assets	4,995,696	(1,402)	4,994,294
Equity			
Foreign currency translation reserve	(1,556,226)	845,087	(711,139)
Retained earnings	457,025	(846,661)	(389,636)
Non-controlling interests	714,284	172	714,456
Total equity	1,960,235	(1,402)	1,958,833
Total liabilities and equity	4,995,696	(1,402)	4,994,294

As at 31 December 2024

Consolidated statement of financial position

	As reported	Effect of restatement	As restated
	KD '000	KD '000	KD '000
Assets			
Inventories	78,322	-	78,322
Right of use assets	172,979	-	172,979
Property and equipment	1,176,529	-	1,176,529
Intangible assets and goodwill	1,958,685	-	1,958,685
Total assets	5,264,109	-	5,264,109
Equity			
Foreign Currency translation reserve*	(1,633,480)	940,485	(692,995)
Retained earnings*	516,887	(940,700)	(423,813)
Non-controlling interests	734,204	215	734,419
Total equity	1,961,891	-	1,961,891
Total liabilities and equity	5,264,109	-	5,264,109

*Includes IAS 29 adjustment from Zain South Sudan

For the year ended 31 December 2024

Consolidated statement of profit or loss

	As reported	Effect of restatement	As restated
	KD '000	KD '000	KD '000
Revenue	1,971,915	26,038	1,997,953
Cost of sales	(648,780)	(2,502)	(651,282)
Operating and administrative expenses	(584,027)	(9,725)	(593,752)
Expected credit loss on financial assets (ECL)	(49,992)	(453)	(50,445)
Depreciation, amortization and impairment	(351,167)	(52,805) ⁽¹⁾	(403,972)
Interest income	8,056	118	8,174
Other Income / (expenses)	5,175	(6,132)	(957)
Finance Costs	(125,715)	(322)	(126,037)
Foreign exchange gain	11,672	4,719	16,391
Net Monetary gain / (loss)	1,610	(53,099)	(51,489)
Profit before contribution to KFAS, NLST, ZAKAT, income taxes and Board of Directors' remuneration	274,990	(94,163)	180,827
National Labour Support Tax (NLST) and Zakat	(3,530)	3,036	(494)
Income tax expenses	(18,521)	709	(17,812)
Profit for the year from continuing operations	250,245	(90,418)	159,827
Profit for the year	250,958	(90,418)	160,540
Profit attributable to:			
Owners of the company	207,690	(90,420)	117,270
Non-controlling interests	43,268	2	43,270

(1) Upon application of IAS 29 to its subsidiaries in Sudan, the Group recognized an additional impairment loss of KD 50.370 million in 2024 (Zain Sudan: KD 47.530 million and Kuwait Sudanese Holding Company: KD 2.840 million) as the adjusted carrying amount was higher than the recoverable amount of the cash generating unit as at 31 December 2024 and the respective assets. The recoverable amount of Zain Sudan determined based on the value in use calculation was SDG 273,200 million (KD 42.348 million). These calculations use cash flow projections based on financial budgets approved by management covering a five-year period. In 2024, the recoverable amounts of all CGUs other than Zain Sudan were higher than the carrying amount of the CGUs (refer note 13 for key assumptions used). Subsequently, the situation in Sudan has significantly improved in 2025. Hence there are no indicators of impairment as the recoverable value is higher than the carrying value.

For the year ended 31 December 2024

Consolidated statement of other comprehensive income

	As reported	Effect of restatement	As restated
	KD '000	KD '000	KD '000
Profit for the year	250,958	(90,418)	160,540
Foreign exchange differences on translating foreign operations	(74,658)	95,439	20,781
Other comprehensive income for the year	(77,166)	95,439	18,273
Total comprehensive income for the year	173,792	5,021	178,813
Total comprehensive income attributable to:			
Owners of the company	129,564	4,978	134,542
Non-controlling interests	44,228	43	44,271

For the year ended 31 December 2024

Consolidated statement of cash flows

	As reported	Effect of restatement	As restated
	KD '000	KD '000	KD '000
Profit before contribution to KFAS, NLST, ZAKAT, income taxes and Board of Directors' remuneration from continuing operations	274,990	(94,163)	180,827
Depreciation, amortization and impairment	351,167	52,805	403,972
ECL on financial assets	49,992	453	50,445
Interest income	(8,056)	(118)	(8,174)
Finance Costs	125,715	322	126,037
Foreign exchange gain	(11,672)	(4,719)	(16,391)
Net Monetary gain / (loss)	(1,610)	53,099	51,489
Operating cash flows before working capital changes	744,297	7,679	751,976
Increase/(decrease) in trade and other payables	(64,587)	(7,679)	(72,266) ⁽²⁾

(2) Certain corresponding amounts have been reclassified by the Group, where necessary, for the purpose of better presentation and to align with current year presentation.

 **zain**

